



SBR

Strategic Business Reporting
Question Bank
For Exams until June 2024



ACCA



British Library Cataloguing-in-Publication Data
A catalogue record for this book is available from the British Library

www.iaww.com/publishing

ISBN 978-1-78480-531-9

Sixth Edition 2023

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Getting Started on SBR



Aim of the paper

To discuss, apply and evaluate the concepts, principles and practices that underpin the preparation and interpretation of corporate reports in various contexts including the ethical assessment of managements’ stewardship and the information needs of a diverse group of stakeholders.

Outline of the syllabus

- A. Fundamental ethical and professional principles
- B. The financial reporting framework
- C. Reporting the financial performance of a range entities
- D. Financial statements of groups of entities
- E. Interpret financial statements for different stakeholders
- F. The impact of changes and potential changes in accounting regulation
- G. Employability and technology skills

Format of the exam paper

The syllabus is assessed by a three-hour fifteen minute examination.
The paper will comprise two sections.

Section A	Two compulsory questions	50 marks
Section B	Two compulsory questions of 25 marks each	50 marks
Total		100 marks

Using the SBR Question Bank

Here is some guidance on how to use the SBR Question Bank. The guidance starts with an introduction explaining the structure of the SBR exam and the way that the SBR Question Bank reflects this exam structure and then moves on to suggest methods for getting the most out of this Question Bank.

SBR exam structure

The ACCA have issued guidance outlining the way that the SBR exam will be structured, briefly outlined in the format of the exam paper above. The ACCA have made it clear that all the following proposed components, including the way in which the marks are allocated between the questions, may vary from exam to exam. The only promises that the ACCA make is that the ACCA exam will have only compulsory questions in sections A and B, as outlined above, and a mixture of narrative and computational requirements that address reporting issues, with a leaning towards investor relations.

However, the following structure based upon the ACCA SBR specimen paper is a useful guide to understanding the SBR exam philosophy:

Question	Marks	Feel
1. Group case study	30	Explanation of numbers from group scenario
2. Ethical case study	20	Analysis of accounting and ethics from scenario
3. Accounting issues	25	Accounting issues
4. Accounting issues	25	Accounting issues

Group case study

The group case study is likely to possess the majority of the computational marks available in the SBR exam. However, even these questions will generally ask you to “explain” the accounting issue with “suitable workings” to show the calculations.

Ethical case study

The ethical case study will be rooted in corporate reporting, so the answer will be driven by the accounting issues. In order to succeed in these questions you will need to address the reporting issues first and then describe how directors’ actions, in the context of reporting, reflect upon the directors’ ethics.

Accounting issues questions

These questions will take on various forms. There will be industry-based scenario components, that require an analysis of reporting issues, and technical knowledge components, that require restatement of the IFRS guidance. There will be questions that take the preparer’s perspective, requiring answers to technical accounting problems, and questions that take the user’s perspective, requiring analysis of the effect of issues upon investor views. In each exam there will be an element of current issues, discussing problems in financial reporting, and the developments in standards to address these problems. The current issues marks may appear anywhere in the exam but generally are to be expected in questions 3 and 4.

Subjects

Accounting subjects will be addressed throughout the SBR exam. It is important to understand that there are no rules requiring that subjects appear only in certain questions. So, for example, it is reasonable to expect leases anywhere in an SBR exam. Sometimes the same subject may even appear twice. For example, goodwill might appear in question 1 and again in question 4.

SBR Question Bank structure

Thus the most meaningful way to lay out the SBR Question Bank is in exam format. The following Question Bank represents a series of 10 SBR exams. You can see the ACCA SBR specimen exam separately. Questions 1 to 4 represent a second SBR exam and questions 5 to 8 represent a third exam and so on up to question 36. Each block of four questions is designed to simulate a real SBR exam by covering a broad range of topics and

addressing all the ACCA requirements for an exam. Each block of four questions is a self-sufficient test in its own right. This Question Bank also contains supplementary past ACCA exam questions to give more practice. These are valuable questions to plan, to plan and write out some of the answer or to attempt in full but are not in the same format as the actual exam.

Using the SBR Question Bank

Which brings us to advice on how to use this Question Bank. There are a number of different ways in which a student may use this Question Bank. One obvious method would be to attempt each of the ten exams one by one. This way a student could note improvement with practice. Another method would be to focus upon a style of question for a few days. For example, a student might focus upon ethics case studies to achieve momentum in ethical analysis. This would be done by selecting each ethics case study in each exam. And yet another method might be to deliberately look for challenging questions to address, perhaps spotting a component of a question that the student wishes to explore.

Coverage and repetition

However, the key to success is coverage and repetition. This Question Bank addresses the vast majority of the syllabus and the vast majority of potential question styles. So completing all the questions would put a student in a very strong position to pass. However, this coverage is only meaningful if the content is retained and accessible in the exam. This quick access to knowledge and technique is achieved by repetition of questions.

How to pass your exam using this Question Bank

Once you have studied the subject matter of this exam you need to move into practising and revising. A key part of this is the practice that you will do with this Question Bank. The more questions that you can do the better, you will gain in confidence and be better prepared for the exam.

To get the most out of this Question Bank you should do as many questions as you can.

On technique we would recommend for a full question that you:

1. read a limited amount of the scenario to get an idea of the people and organisation and the key things happening to them. See how much time you have to answer the question.
2. read the requirements in detail looking at how many parts there are to the requirements. Look at the verbs used, for example 'discuss' means two things, to give the positives and negatives of whatever you are discussing.
3. use your knowledge of the syllabus to decide the knowledge you will use to answer the requirements. Often there will be models, proformas, accounting standards, formulae and so on that you can apply.
4. read the question in detail noting the information that you can use in your solution for each part of the requirements.
5. stop and think how much you have to do and how much time you have to do it in.
6. write out each part of your answer, keeping disciplined on timing. You must attempt each part of the solution if anyhow possible.
7. if you have time go back and review your solution to see if you can add anything or if anything can be improved.

Once completed, take time to review for how your approach worked, how your timing went and how you should change your approach if it didn't go well (write shorter sentences, practise to speed up your planning, do the easy marks only and then move on etc). If you learn and take your approach forward into the next question you attempt you should improve over time.

You can get great benefit from a mixture of different approaches to questions. It would be great to do each question in full using the technique above but unlikely given your time constraints. These approaches include:

- Reading the first details of the question and the requirements and planning what you will do for the question. This approach will save you time but note how long it takes you, so that you know how much time you would have left to complete your answer. Remember you will become more efficient at this phase of answering questions
- Taking the approach just above but also reading the scenario in detail and getting to a stage that you know what to do on the question
- Taking the approach as above but doing any calculations needed in full (and sometimes writing out one part of your solution to see how long this all takes).
- Doing a complete answer in the time allowed

Try to do all your exam practice using the same exam technique so that you become used to your technique. You may vary the technique that you use from the one above but try to refine then use your technique consistently. You will gain confidence and marks from knowing how to approach questions and why this approach is helping you pick up marks. Make sure that you have attempted more recent exam sitting questions so that you have seen their style.

Good luck with the exam; remember that practice on these Question Bank questions and gaining a good technique to use on the exam are key to your success from now.



Questions



STRATEGIC BUSINESS REPORTING

1. Beth

Beth, a public listed company, has produced the following draft statement of financial positions as at 30 November 2007. Lose and Gain are both limited companies:

	Beth \$m	Lose \$m	Gain \$m
Assets			
Non-current assets			
Property, plant and equipment	1,700	200	300
Intangible assets	300		
Investment in Lose	200		
Investment in Gain	180		
	<u>2,380</u>	<u>200</u>	<u>300</u>
Current assets			
Inventories	800	100	150
Trade receivables	600	60	80
Cash	500	40	20
	<u>1,900</u>	<u>200</u>	<u>250</u>
Total assets	<u>4,280</u>	<u>400</u>	<u>550</u>
Equity and liabilities			
Share capital of \$1	1,500	100	200
Other reserves	300		
Retained earnings	400	200	300
Total equity	<u>2,200</u>	<u>300</u>	<u>500</u>
Non-current liabilities	700		
Current liabilities	1,380	100	50
Total liabilities	<u>2,080</u>	<u>100</u>	<u>50</u>
Total equity and liabilities	<u>4,280</u>	<u>400</u>	<u>550</u>

1. The following information is relevant to the preparation of the group financial statements of the Beth Group:

Date of purchase	Holding acquired (\$m)	Retained earnings at acquisition (\$m)	Purchase consideration (\$m)
Lose: 1 December 2005	20%	80	40
Lose: 1 December 2006	60%	150	160
Gain: 1 December 2006	30%	270	180

Lose and Gain have not issued any share capital since the acquisition of the shareholdings by Beth. The fair values of the net assets of Lose and Gain were the same as their carrying amounts at the date of the acquisitions. Beth has the policy of recognising non-controlling interest at fair value which at acquisition on 1 December 2006 was \$52m. The fair value of the initial 20% in Lose was valued at \$53m on that same day. Beth did not have significant influence over Lose at any time before gaining control of Lose, but does have significant influence over Gain. There has been no impairment of goodwill on the acquisition of Lose since its acquisition, but the recoverable amount of the net assets of Gain has been measured to be \$610 million at 30 November 2007.

2. Beth had contracted to purchase an item of plant for 12 million euros on the following terms:

Payment on signing contract (1 September 2007)	50%
Payable on delivery and installation (11 December 2007)	50%

The amount payable on signing the contract (the deposit) was paid on the due date and is refundable. The following exchange rates are relevant:

2007	Euros to 1 dollar
1 September	0.75
30 November	0.85
11 December	0.79

The deposit is included in trade receivables at the rate of exchange on 1 September 2007. A full year's charge for depreciation of property, plant and equipment is made in the year of acquisition using the straight line method over six years.

3. Beth sold some trade receivables which arose during November 2007 to a factoring company on 30 November 2007. The trade receivables sold are unlikely to default in payment based on past experience but they are long dated with payment not due until 1 June 2008. Beth has given the factor a guarantee that it will reimburse any amounts not received by the factor. Beth received \$45 million from the factor being 90% of the trade receivables sold. The trade receivables are not included in the statement of financial position of Beth and the balance not received from the factor (10% of the trade receivables factored) of \$5 million has been written off against retained earnings.
4. Beth granted 200 share options to each of its 10,000 employees on 1 December 2006. The shares vest if the employees work for the Group for the next two years. On 1 December 2006, Beth estimated that there would be 1,000 eligible employees leaving in each year up to the vesting date. At 30 November 2007, 600 eligible employees had left the company. The estimate of the number of employees leaving in the year to 30 November 2008 was 500 at 30 November 2007. The fair value of each share option at the grant date (1 December 2006) was \$10. The share options have not been accounted for in the financial statements.

Required:

- (a)
- (i) Calculate and briefly explain the goodwill on acquisition of Lose. (5 marks)
 - (ii) Calculate and briefly explain the impairment in the associate Gain. (5 marks)
- (b)
- (i) Explain the appropriate accounting for the deposit for the item of plant and the accounting for the plant itself in the current year ended 30 November 2007. (8 marks)
 - (ii) Explain the appropriate accounting for the sale of the receivable and any adjustment that might be necessary to correct the accounting error. (6 marks)
 - (iii) Explain the appropriate accounting for the employee option scheme. (6 marks)

(30 marks)

2. Seth

The Seth Group operates in the oil industry and contamination of land occurs including the pollution of seas and rivers. The group only cleans up the contamination if it is a legal requirement in the country where it operates. The following information has been produced for Seth by a group of environmental consultants for the year ended 30 November 2007:

Cost to clean up contamination (\$m)	Law existing in country
5	No
7	To come into force in December 2007
4	Yes

The directors of Seth have a widely publicised environmental attitude which shows little regard to the effects on the environment of their business. The Group does not currently produce a separate environmental report and no provision for environmental costs has been made in the financial statements. Seth is likely to operate in these countries for several years.

Required:

- (a) **Discuss the effect of the above contamination upon the Seth group financial statements for the current year ended 30 November 2007.** (6 marks)
- (b) Seth is currently suffering a degree of stagnation in its business development. Its domestic and international markets are being maintained but it is not attracting new customers. Its share price has not increased whilst that of its competitors has seen a rise of between 10% and 20%. Additionally, it has recently received a significant amount of adverse publicity because of its poor environmental record and is to be investigated by regulators in several countries. Although Seth is a leading supplier of oil products, it has never felt the need to promote socially responsible policies and practices or make positive contributions to society because it has always maintained its market share. It is renowned for poor customer support, bearing little regard for the customs and cultures in the communities where it does business. It had recently made a decision not to pay the amounts owing to certain small and medium entities (SMEs) as the directors feel that SMEs do not have sufficient resources to challenge the non-payment in a court of law. The management of the company is quite authoritarian and tends not to value employees' ideas and contributions.

Required:

- (i) **Describe to the Seth Group the possible advantages of producing a separate environmental report and the advantages of environmental reporting within the management commentary in the annual report.** (6 marks)
- (ii) **Discuss the ethical and social responsibilities of the Seth Group and whether a change in the ethical and social attitudes of the management could improve business performance.** (6 marks)

Professional marks will be awarded for clarity and quality of discussion.

(2 marks)

(20 marks)

3. Whitebirk

The principal aim when developing accounting standards for small to medium-sized entities (SMEs) is to provide a framework that generates relevant, reliable, and useful information which should provide a high quality and understandable set of accounting standards suitable for SMEs. There is no universally agreed definition of an SME and it is difficult for a single definition to capture all the dimensions of a small or medium-sized business. The main argument for a separate SME accounting standard is the undue cost burden of reporting, which is proportionately heavier for smaller firms.

Required:

- (a)
- (i) **Comment on the different approaches which could have been taken by the International Accounting Standards Board (IASB) in developing the IFRS for Small and Medium-sized Entities (IFRS for SMEs), explaining the approach finally taken by the IASB.** (5 marks)
 - (ii) **Discuss the main differences and modifications to IFRS which the IASB made to reduce the burden of reporting for SMEs, giving specific examples where possible and include in your discussion how the Board has dealt with the problem of defining an SME.** (7 marks)
 - (iii) **Briefly discuss the definition of a small and medium entity in the IFRS for SMEs.** (2 marks)

Professional marks will be awarded in part (a) for clarity and quality of discussion. (2 marks)

- (b) Whitebirk has met the definition of a SME in its jurisdiction and wishes to comply with the IFRS for Small and Medium-sized Entities. The entity wishes to seek advice on how it will deal with the following accounting issues in its financial statements for the year ended 30 November 2010 assuming that Whitebirk adopts the IFRS for SMEs. The entity currently prepares its financial statements under full IFRS.
- (i) Whitebirk had capitalised borrowing costs of \$100,000 onto the initial cost of a building valued at \$600,000 including those borrowing costs on 1 December 2008. The life of the building was estimated at 10 years.
 - (ii) Whitebirk purchased 90% of Close, an SME, on 1 December 2009. The purchase consideration was \$5.7 million and the value of Close's identifiable assets was \$6 million. The value of the non-controlling interest at 1 December 2009 was estimated at \$0.7 million. Whitebirk has used the full goodwill method to account for business combinations and the estimated life of goodwill cannot be estimated with any accuracy. Whitebirk wishes to know how to account for goodwill under the IFRS for SMEs.
 - (iii) Whitebirk has incurred \$1 million of research expenditure to develop a new product in the year to 30 November 2010. Additionally, it incurred \$500,000 of development expenditure to bring another product to a stage where it is ready to be marketed and sold.

Required:

Discuss how the above transactions should be dealt with in the financial statements of Whitebirk, under the IFRS for Small and Medium-sized Entities.

(9 marks)

Note: the marks are allocated equally between the three parts in requirement (b) above.

(25 marks)

4. Warrburt

The following draft group financial statement relates to Warrburt, a listed public limited company:

Warrburt Group: Statement of cash flows for the year ended at 30 November 2008

Loss before tax	(21)
Associate	(8)
Finance	<u>9</u>
Operating Loss	(20)
Inventory	63
Receivables	71
Payables	(86)
Depreciation	36
Disposal	(7)
GW Impairment & intangible impairment	32
Pension expense	10
Strategic equity profit on disposal	(7)
Insurance gain	(2)
Forex loss	<u>2</u>
Cash generated from operations	92
Interest paid	(8)
Tax paid	<u>(39)</u>
Operating cashflow	45
Investing	
Pension Investment	(10)
Associate Dividend	2
Associate Acquisition	(96)
Strategic Equity Disposal	45
PPE Additions	(57)
PPE Disposals	63
Financing	
Share Issue	55
Loan Repaid	(44)
Dividends	(9)
NCI Dividends	<u>(5)</u>
Cashflow	(11)
Opening	<u>323</u>
Closing	<u>312</u>

Directors' concerns

Warrburt's directors are concerned about the results for the year in the statement of comprehensive income and the subsequent effect on the cash flow statement. They have suggested that the proceeds of the sale of property, plant and equipment ("PPE disposal" above) and the sale of financial assets ("Strategic equity disposal" above) should be included in 'cash generated from operations'. The directors are afraid of an adverse market reaction to their results and of the importance of meeting targets in order to ensure job security, and feel that the adjustments for the proceeds would enhance the 'cash health' of the business. The company accountant is responsible for the preparation of group financial statements and is newly appointed to his role.

Required:

- (a)
 - (i) **Discuss the key issues which the statement of cash flows highlights regarding the cash flow of the company.** (10 marks)
 - (ii) **Discuss the ethical responsibility of the company accountant in ensuring that manipulation of the statement of cash flows, such as that suggested by the directors, does not occur.** (7 marks)
 - (b) **Discuss the current issues with IAS 7 Statement of Cash Flows identifying problems in current presentation and classification guidance and how this impacts upon investors.** (8 marks)
- (25 marks)**

5. Bravado

Bravado, a public limited company, has acquired two subsidiaries and an associate. The draft statements of financial position are as follows at 31 May 2009:

Assets:	Bravado	Message	Mixed
Non-current assets	\$m	\$m	\$m
Property, plant and equipment	265	230	161
Investments in subsidiaries			
Message	300		
Mixed	128		
Investment in associate – Clarity	20		
Financial assets	<u>51</u>	<u>6</u>	<u>5</u>
	<u>764</u>	<u>236</u>	<u>166</u>
Current assets:			
Inventories	135	55	73
Trade receivables	91	45	32
Cash and cash equivalents	<u>102</u>	<u>100</u>	<u>8</u>
	<u>328</u>	<u>200</u>	<u>113</u>
Total assets	<u>1,092</u>	<u>436</u>	<u>279</u>
Equity and liabilities:			
Share capital	520	220	100
Retained earnings	240	150	80
Other components of equity	<u>12</u>	<u>4</u>	<u>7</u>
Total equity	<u>772</u>	<u>374</u>	<u>187</u>
Non-current liabilities:			
Long-term borrowings	120	15	5
Deferred tax	<u>25</u>	<u>9</u>	<u>3</u>
Total non-current liabilities	<u>145</u>	<u>24</u>	<u>8</u>
Current liabilities			
Trade and other payables	115	30	60
Current tax payable	<u>60</u>	<u>8</u>	<u>24</u>
Total current liabilities	<u>175</u>	<u>38</u>	<u>84</u>
Total liabilities	<u>320</u>	<u>62</u>	<u>92</u>
Total equity and liabilities	<u>1,092</u>	<u>436</u>	<u>279</u>

The following information is relevant to the preparation of the group financial statements:

- On 1 June 2008 at the current year start, Bravado acquired 80% of the equity interests of Message, a private entity. The purchase consideration comprised cash of \$300 million. The fair value of the identifiable net assets of Message was \$400 million. The owners of Message had to dispose of their 80% stake in Message for tax purposes by a specified date and, therefore, sold the entity to the first company to bid for it, which was Bravado. An independent valuer has stated that the fair value of the non-controlling interest in Message was \$86 million on 1 June 2008 at the current year start. Bravado measures non-controlling interest at fair value (full goodwill).

2. On 1 June 2007 at the start of the previous accounting period, Bravado acquired 6% of the ordinary shares of Mixed. Bravado had treated this investment as fair value through other comprehensive income (FVTOCI) in the financial statements to 31 May 2008 but had restated the investment at cost on Mixed becoming a subsidiary. On 1 June 2008, Bravado acquired a further 64% of the ordinary shares of Mixed and gained control of the company. The consideration for the acquisitions was as follows:

	Holding	Consideration \$m
1 June 2007	6%	10
1 June 2008	<u>64%</u>	<u>118</u>
	<u>70%</u>	<u>128</u>

Under the purchase agreement of 1 June 2008 at the current year start, Bravado is required to pay the former shareholders 30% of the profits of Mixed for each of the financial years to 31 May 2009 and 31 May 2010. The fair value of this arrangement was estimated at \$12 million at 1 June 2008 and at 31 May 2009 this value had not changed. This amount has not been included in the financial statements.

At 1 June 2008, the fair value of the equity interest in Mixed held by Bravado before the business combination was \$15 million and the fair value of the non-controlling interest in Mixed was \$53 million. The fair value of the identifiable net assets at 1 June 2008 of Mixed was \$173 million. There is no impairment of goodwill arising on the acquisitions.

3. Bravado acquired a 10% interest in Clarity, a public limited company, on 1 June 2007 at the previous year start for \$8 million. The investment was accounted for as fair value through other comprehensive income (FVTOCI) and at 31 May 2008, its value was \$9 million. Last year's gain was reported through other comprehensive income (OCI) and remains in other components of equity (OCE). On 1 June 2008 at the current year start, Bravado acquired an additional 15% interest in Clarity for \$11 million and achieved significant influence. Clarity made profits after dividends of \$6 million and \$10 million for the years to 31 May 2008 and 31 May 2009.
4. Bravado manufactures equipment for the retail industry. The inventory is currently valued at cost. There is a market for the part completed product at each stage of production. The cost structure of the equipment is as follows:

	Cost per unit \$	Selling price per unit \$
Production process – 1st stage	1,000	1,050
Conversion costs – 2nd stage	500	
Finished product	1,500	1,700

The selling costs are \$10 per unit and Bravado has 100,000 units at the first stage of production and 200,000 units of the finished product at the current year end of 31 May 2009. Shortly before the year end, a competitor released a new model onto the market which caused the equipment manufactured by Bravado to become less attractive to customers. The result was a reduction in the selling price to \$1,450 of the finished product and \$950 for 1st stage product.

On 1 June 2007 at the previous year start, Bravado purchased an equity instrument of 11 million dinars which was its fair value. The instrument was classified as fair value through other comprehensive income (FVTOCI). The relevant exchange rates and fair values were as follows:

	\$ to dinars	Fair value of instrument dinars
31 May 2008	5.1	10
31 May 2009	4.8	7

Bravado has not recorded any change in the value of the instrument since 31 May 2008 at the previous year end.

Required:

- (a)
- (i) **Calculate the goodwill for the acquisitions of Message and Mixed and explain the accounting treatment of the goodwill.** (10 marks)
 - (ii) **Calculate and explain the carrying value of the associate Clarity at the current year end.** (5 marks)
 - (iii) **Discuss with suitable workings how the inventory and equity instrument should be valued at the current year end.** (7 marks)
- (b) The acquisition of the two subsidiaries Message and Mixed at the current year start were the first two subsidiary acquisitions by the parent Bravado. The parent Bravado has adopted a policy of measurement of non-controlling interest at fair value (full goodwill) as discussed above. But the parent is interested in the alternative policy to value non-controlling interest at the proportionate share of net assets (partial goodwill).

Required:

Calculate and explain the impact on the calculation of goodwill if the non-controlling interest was calculated on a proportionate basis for Message and Mixed.

(8 marks)

(30 marks)**6. Greenie**

Greenie, a public listed limited company, builds, develops and operates airports. The directors hold options in Greenie. The current financial year is year ended 30 November 2010.

- (a) During the financial year to 30 November 2010, a section of an airport collapsed and as a result several people were hurt. The accident resulted in the closure of the terminal and legal action against Greenie. When the financial statements for the year ended 30 November 2010 were being prepared, the investigation into the accident and the reconstruction of the section of the airport damaged were still in progress. The expert report was expected in 2011. This report was to be presented to the civil courts in order to determine the cause of the accident and to assess the respective responsibilities of the various parties involved. Financial damages arising related to the additional costs and operating losses relating to the unavailability of the building. The nature and extent of the damages and the details of any compensation payments had yet to be established. The directors of Greenie felt that at present, there was no requirement to record the impact of the accident in the financial statements. Compensation agreements had been arranged with the victims and these claims were all covered by Greenie's insurance policy. In each case, compensation paid by the insurance company was subject to a waiver of any judicial proceedings against Greenie and its insurers. If any compensation is eventually payable to third parties then this is expected to be covered by the insurance policies. The directors of Greenie felt that the conditions for recognising a provision or disclosing a contingent liability had not been met. Therefore, Greenie did not recognise a provision in respect of the accident nor did it disclose any related contingent liability or a note setting out the nature of the accident and potential claims in its financial statements for the year ended 30 November 2010.
- (b) Greenie was one of three shareholders in a regional airport Manair. As at 30 November 2010, the majority shareholder held 60.1% of voting shares, the second shareholder held 20% of voting shares and Greenie held 19.9% of the voting shares. The board of directors consisted of ten members. The majority shareholder was represented by six of the board members, while Greenie and the other shareholder were represented by two members each. A shareholders' agreement stated that certain shareholder resolutions require either unanimous or majority decision. Major changes in Manair such as a change company name or the introduction of a new shareholder require unanimous consent. Strategic decisions such as the appointment and removal of directors and dividend policy require a majority resolution. During the financial year, Greenie had provided Manair with maintenance and technical services and had sold the entity a software licence for \$5 million. Additionally, Greenie had sent a team of management experts to give business advice to the board of Manair because Manair had suffered severe losses in the current year. Greenie recognised the investment in Manair at cost because of a lack of significant influence over the entity.

(8 marks)

(10 marks)

Required:

Discuss how the above financial transactions should be dealt with in the financial statements of Greenie for the year ended 30 November 2010 and the ethical implications of the above situations.

Note: The mark allocation is indicated above.

Professional marks will be awarded for the clarity and quality of discussion.

(2 marks)

(20 marks)

7. Aron

The directors of Aron, a public limited company, are worried about the challenging market conditions which the company is facing. The majority of markets are volatile and some markets are illiquid. The central government is injecting liquidity into the economy. The directors are concerned about the significant shift towards the use of fair values in financial statements. IFRS9 'Financial Instruments' refers to fair value and requires the initial measurement of financial instruments to be at fair value. The directors are uncertain of the relevance of fair value measurements in these current market conditions.

Required:

(a) **Briefly discuss how the fair value of financial instruments is determined, commenting on the relevance of fair value measurements for financial instruments where markets are volatile and illiquid.**

(4 marks)

(b) Further they would like advice on accounting for the following transactions within the financial statements for the year ended 31 May 2009:

(i) Aron issued one million convertible bonds on 1 June 2006. The bonds had a term of three years and were issued with a total fair value of \$100 million which is also the par value. Interest is paid annually in arrears at a rate of 6% per annum and bonds, without the conversion option, attracted an interest rate of 9% per annum on 1 June 2006. The company incurred issue costs of \$1 million. The impact of the issue costs is to increase the effective interest rate to 9.38%. If the investor did not convert to shares they would have been redeemed at par. At maturity all of the bonds were converted into 25 million ordinary shares of \$1 of Aron. No bonds could be converted before that date. The directors are uncertain how the bonds should have been accounted for up to the date of the conversion on 31 May 2009.

(6 marks)

(ii) Aron held 3% holding of the shares in Smart, a public limited company. The investment was held with an intent to keep and so classified as fair value through other comprehensive income (FVTOCI) and at 31 May 2009 was fair valued at \$5 million. The cumulative gain recognised in equity relating to the investment was \$400,000. On the same day, the whole of the share capital of Smart was acquired by Given, a public limited company, and as a result, Aron received shares in Given with a fair value of \$5.5 million in exchange for its holding in Smart. The company wishes to know how the exchange of shares in Smart for the shares in Given should be accounted for in its financial records.

(4 marks)

(iii) The functional and presentation currency of Aron is the dollar (\$). Aron has a wholly owned foreign subsidiary, Gao, whose functional currency is the zloti. Gao owns a debt instrument which is held for trading. In Gao's financial statements for the year ended 31 May 2008, the debt instrument was carried at its fair value of 10 million zloti. At 31 May 2009, the fair value of the debt instrument had increased to 12 million zloti. The exchange rates were:

	Zloti to \$1
31 May 2008	3
31 May 2009	2
Average rate for year to 31 May 2009	2.5

The company wishes to know how to account for this instrument in Gao's entity financial statements and the consolidated financial statements of the group.

(5 marks)

- (iv) Aron granted interest free loans to its employees on 1 June 2008 of \$10 million. The loans will be paid back on 31 May 2010 as a single payment by the employees. The market rate of interest for a two-year loan on both of the above dates is 6% per annum. The company is unsure how to account for the loan but wishes to classify the loans as amortised cost.
- (4 marks)

Required:

Discuss, with relevant computations, how the above financial instruments should be accounted for in the financial statements for the year ended 31 May 2009.

Note. The mark allocation is shown against each of the transactions above.

Professional marks will be awarded for clarity and quality of discussion.

(2 marks)

(25 marks)

8. Conceptual

The International Accounting Standards Board (IASB) has a project to revise its conceptual framework for financial accounting and reporting. This project has been under development for many years. The goals of the project are to build on the existing framework and reflect current financial reporting concepts. There have been attempts to converge worldwide financial reporting into one set of standards based upon one conceptual framework. It is often suggested that a robust conceptual framework and a single body of accounting standards applicable across all jurisdictions would benefit investors and preparers alike.

Required:

- (a)
- (i) **Discuss the benefits of developing an agreed international conceptual framework combined with agreed international accounting standards and the extent to which an agreed international conceptual framework can be used to resolve practical accounting issues.**
- (9 marks)
- (ii) **Discuss the key issues which will need to be addressed in determining the basic components of a conceptual framework.**
- (6 marks)
- (b) Rethan has an operating subsidiary, Leung, which has in issue A and B shares, both of which have voting rights. Rethan holds 70% of the A and B shares and the remainder are held by shareholders external to the group. The subsidiary Leung is obliged to pay an annual dividend of 5% on the B shares. The dividend payment is cumulative even if the subsidiary does not have sufficient legally distributable profit at the time the payment is due. In Rethan's consolidated statement of financial position, the B shares of the subsidiary were accounted for in the same way as equity instruments would be, with the B shares owned by external parties reported as a non-controlling interest.

Required:

Explain how Rethan group should record the B shareholding due to outside investors. Discuss why there is a need to develop an agreed definition of equity to resolve practical accounting issues.

(10 marks)

(25 marks)

9. Grange

Grange, a public listed limited company, operates in the manufacturing sector. The draft statements of financial position of the group companies are as follows at 30 November 2009:

	Grange \$m	Park \$m	Fence \$m
Assets:			
Non-current assets			
Property, plant and equipment	257	311	238
Investments in subsidiaries			
Park	340		
Fence	134		
Investment in Sitin	16		
	<u>747</u>	<u>311</u>	<u>238</u>
Current assets	475	304	141
Total assets	<u>1,222</u>	<u>615</u>	<u>379</u>
Equity and liabilities:			
Share capital	430	230	150
Retained earnings	410	170	65
Other components of equity	22	14	17
Total equity	<u>862</u>	<u>414</u>	<u>232</u>
Non-current liabilities	<u>172</u>	<u>124</u>	<u>38</u>
Current liabilities			
Trade and other payables	178	71	105
Provisions for liabilities	10	6	4
Total current liabilities	<u>188</u>	<u>77</u>	<u>109</u>
Total liabilities	<u>360</u>	<u>201</u>	<u>147</u>
Total equity and liabilities	<u>1,222</u>	<u>615</u>	<u>379</u>

The following information is relevant to the preparation of the group financial statements:

- On 1 June 2008 half way through the previous year, Grange acquired 60% of the equity interests of Park, a public limited company. The purchase consideration comprised cash of \$250 million. Excluding the franchise referred to below, the fair value of the identifiable net assets was \$360 million. The excess of the fair value of the net assets is due to an increase in the value of non-depreciable land.

Park held a franchise right, which at 1 June 2008 had a fair value of \$10 million. This had not been recognised in the financial statements of Park. The franchise agreement had a remaining term of five years to run at that date and is not renewable. Park still holds this franchise at the year-end.
Grange wishes to use the 'full goodwill' method for all acquisitions. The fair value of the non-controlling interest in Park was \$150 million on 1 June 2008. The retained earnings of Park were \$115 million and other components of equity were \$10 million at the date of acquisition.
Grange acquired a further 20% interest from the non-controlling interests in Park on 30 November 2009 for a cash consideration of \$90 million.
- On 1 December 2008 at the current year start, Grange acquired a 100% of the equity interests of Fence for a cash consideration of \$214 million. The identifiable net assets of Fence had a provisional fair value of \$202 million, including any contingent liabilities but excluding the plant described below. At the time of the business combination, Fence had a contingent liability with a fair value of \$30 million. At 30 November 2009, the contingent liability met the recognition criteria of IAS 37 Provisions, Contingent Liabilities and Contingent

Assets and the revised estimate of this liability was \$25 million. The accounting of Fence is yet to account for this liability.

An item of plant included in property plant and equipment was excluded from the provisional value of net assets above until a detailed assessment was possible. Following the detailed assessment it was estimated that the excess of the fair value over book value at the date of acquisition was \$4 million. The plant had a remaining life of 4 years from acquisition.

The retained earnings of Fence were \$73 million and other components of equity were \$9 million at 1 December 2008 before any adjustment for the contingent liability.

On 30 November 2009, Grange disposed of 25% of its equity interest in Fence to the non-controlling interest for a consideration of \$80 million. The disposal proceeds had been credited to the cost of the investment in the statement of financial position.

3. On 30 June 2008, Grange had acquired a 100% interest in Sitin, a public limited company, for a cash consideration of \$39 million. Sitin's identifiable net assets were fair valued at \$32 million.

On 30 November 2009, Grange disposed of 60% of the equity of Sitin when its identifiable net assets were \$36 million. The sale proceeds were \$23 million and the remaining equity interest was fair valued at \$13 million. Grange could still exert significant influence after the disposal of the interest. The only accounting entry made in Grange's financial statements was to increase cash and reduce the cost of the investment in Sitin.

Required:

- (a)
- (i) Calculate the goodwill on the acquisitions of Park and Fence. (4 marks)
 - (ii) Show the effect of the purchase of the further 20% of Park and the sale of the 25% of Fence upon the group equity. (12 marks)
 - (iii) Calculate the gain or loss arising on the disposal of the equity interest in Sitin. (4 marks)
- (b) Grange acquired a plot of land on 1 December 2008 in an area where the land is expected to rise significantly in value if plans for regeneration go ahead in the area. The land is currently held at cost of \$6 million in property, plant and equipment until Grange decides what should be done with the land. The market value of the land at 30 November 2009 was \$8 million but as at 15 December 2009, this had reduced to \$7 million as there was some uncertainty surrounding the viability of the regeneration plan.

Grange has a property located in a foreign country, which was acquired at a cost of 8 million dinars on 30 November 2008 when the exchange rate was \$1 = 2 dinars. At 30 November 2009, the property was revalued to 12 million dinars. The exchange rate at 30 November 2009 was \$1 = 1.5 dinars. The property was being carried at its value as at 30 November 2008. The company policy is to revalue property, plant and equipment whenever material differences exist between book and fair value. Depreciation on the property can be assumed to be immaterial.

Grange anticipates that it will be fined \$1 million by the local regulator for environmental pollution. It also anticipates that it will have to pay compensation to local residents of \$6 million although this is only the best estimate of that liability. In addition, the regulator has requested that certain changes be made to the manufacturing process in order to make the process more environmentally friendly. This is anticipated to cost the company \$4 million. Requests of this nature are routinely ignored by manufacturers. Grange has no policy regarding environmental responsibility.

Required:

- (i) Explain with suitable computations how the land and foreign property should have been recorded in the group financial statements. (8 marks)
- (ii) Briefly explain how the fine should have been recorded in the group financial statements. (2 marks)

(30 marks)

10. Cate

Cate is an entity in the software industry. The year-end is 31 May 2010.

- (a) Cate had incurred substantial losses in the five previous financial years from 31 May 2004 to 31 May 2009. In the current financial year to 31 May 2010 Cate made a small profit before tax. This included significant non-operating gains. In 2009, Cate recognised a material deferred tax asset in respect of carried forward losses, which will expire during 2012. Cate again recognised the deferred tax asset in 2010 on the basis of anticipated performance in the years from 2010 to 2012, based on budgets prepared in 2010. The budgets included high growth rates in profitability. Cate argued that the budgets were realistic as there were positive indications from customers about future orders. Cate also had plans to expand sales to new markets and to sell new products whose development would be completed soon. Cate was taking measures to increase sales, implementing new programs to improve both productivity and profitability. Deferred tax assets represent 25% of shareholders' equity at 31 May 2010.
- (b) At the current year end of 31 May 2010 Cate held an investment in and had a significant influence over Bates, a public limited company. Cate had carried out an impairment test in respect of its investment in accordance with the procedures prescribed in IAS 36, Impairment of assets. Cate argued that fair value was the only measure applicable in this case as value-in-use was not determinable as cash flow forecasts had not been produced. Cate also stated that the quoted share price was not an appropriate measure when considering the fair value of Cate's significant influence on Bates. Therefore, Cate estimated the fair value of its interest in Bates through application of two measurement techniques; one based on earnings multiples and the other based on an option-pricing model. Neither of these methods supported the existence of an impairment loss as of 31 May 2010.
- (c) In the current financial year to 31 May 2010, Cate disclosed the existence of a voluntary fund established in order to provide a post-retirement benefit plan to employees. Cate considers its contributions to the Plan to be voluntary, and has not recorded any related liability in its consolidated financial statements. Cate has a history of paying benefits to its former employees, even increasing them to keep pace with inflation since the commencement of the Plan. The main characteristics of the Plan are as follows:
 - (i) The Plan is totally funded by Cate;
 - (ii) The contributions for the Plan are made periodically;
 - (iii) The post retirement benefit is calculated based on a percentage of the final salaries of Plan participants dependent on the years of service;
 - (iv) The annual contributions to the Plan are determined as a function of the fair value of the assets less the liability arising from past services.

Cate argues that it should not have to recognise the Plan because, according to the underlying contract, it can terminate its contributions to the Plan, if and when it wishes. The termination clauses of the contract establish that Cate must immediately purchase lifetime annuities from an insurance company for all the affected employees.

Required:

Discuss the ethical and accounting implications of the above under International Financial Reporting Standards.

(18 marks)

Note: The marks are allocated equally between (a) and (b) and (c).

Professional marks will be awarded in this question for clarity and quality of discussion.

(2 marks)

(20 marks)

11. Key

Key, a public limited company, is concerned about the reduction in the general availability of credit and the sudden tightening of the conditions required to obtain a loan from banks. The directors are trying to determine the practical implications for the financial statements. They are particularly concerned about the impairment of assets and the market inputs to be used in impairment testing. They are afraid that they may experience significant impairment charges in the coming financial year. They are unsure as to how they should test for impairment and any considerations which should be taken into account.

Required:

- (a) Discuss the main considerations that the company should take into account when impairment testing non-current assets in the above economic climate.

(8 marks)

Professional marks will be awarded in part (a) for clarity of expression.

(2 marks)

There are specific assets on which the company wishes to seek advice regarding the preparation of the financial statements for the year ended 30 November 2009. The company holds a factory in a development area and carried at cost less depreciation. These assets cost \$3 million on 1 June 2008 six months before the current year start and are depreciated on the straight-line basis over their useful life of five years. An impairment review was carried out on 31 May 2009 in the middle of the current year six months after the year start and six months before the year end and the projected cash flows relating to these assets were as follows:

Year to	31 May 2010	31 May 2011	31 May 2012	31 May 2013
Cash flows (\$000)	280	450	500	550

The company used a discount rate of 5%. At the current year end of 30 November 2009, the directors used the same cash flow projections and noticed that the resultant value in use was above the carrying amount of the assets and wished to reverse any impairment loss calculated at 31 May 2009. The government has indicated that it may compensate the company for any loss in value of the assets up to 20% of the impairment loss.

(6 marks)

Key holds plant, which was purchased for \$10 million on 1 December 2006 two years before the current year start with an expected useful life of 10 years. On 1 December 2008 at the current year start, it was revalued to \$8.8 million. At 30 November 2009 at the current year end, the asset was reviewed for impairment and written down to its recoverable amount of \$5.5 million. Key has the policy of transferring the revaluation reserve to the retained earnings over the life of the asset.

(6 marks)

Key committed itself at the beginning of the financial year to selling a property that is being under-utilised following the economic downturn. As a result of the economic downturn, the property was not sold by the end of the year. The asset was actively marketed but there were no reasonable offers to purchase the asset. Key is hoping that the economic downturn will change in the future and therefore has not reduced the price of the asset. The asset was classified as held for sale.

(3 marks)

Required:

- (b) Discuss, with suitable computations, how to account for any potential impairment and classification issues of the above non-current assets in the financial statements for the year ended 30 November 2009.

(25 marks)

12. Ghorse

Ghorse, a public limited company, operates in the fashion sector and had undertaken a group reorganisation during the current financial year to 31 October 2007. As a result the following events occurred:

- (a) Ghorse identified two manufacturing units, Cee and Gee, which it had decided to dispose of in a single transaction. These units comprised non-current assets only. One of the units, Cee, had been impaired prior to the financial year end on 30 September 2007 and it had been written down to its recoverable amount of \$35 million. The criteria in IFRS 5 Non-Current Assets Held for Sale and Discontinued Operations, for classification as held for sale, had been met for Cee and Gee at 30 September 2007. The following information related to the assets of the cash generating units at 30 September 2007:

	Depreciated historical cost	Fair value less costs to sell and recoverable amount	Carrying value under IFRS
	\$m	\$m	\$m
Cee	50	35	35
Gee	70	90	70
	<u>120</u>	<u>125</u>	<u>105</u>

The fair value less costs to sell had risen at the year-end to \$40 million for Cee and \$95 million for Gee. The increase in the fair value less costs to sell had not been taken into account by Ghorse.

(7 marks)

- (b) As a consequence of the reorganisation, and a change in government legislation, the tax authorities have allowed a revaluation of the non-current assets of the holding company for tax purposes to market value at 31 October 2007. There has been no change in the carrying values of the non-current assets in the financial statements. The tax base and the carrying values after the revaluation are as follows:

	Carrying amount at 31 October 2007	Tax base at 31 October 2007 after revaluation	Tax base at 31 October 2007 before revaluation
	\$m	\$m	\$m
Property	50	65	48
Vehicles	30	35	28

Other taxable temporary differences amounted to \$5 million at 31 October 2007. Assume income tax is paid at 30%. The deferred tax provision at 31 October 2007 had been calculated using the tax values before revaluation.

(6 marks)

- (c) A subsidiary company had purchased computerised equipment for \$4 million on 31 October 2006 to improve the manufacturing process. Whilst reorganising the group, Ghorse had discovered that the manufacturer of the computerised equipment was now selling the same system for \$2.5 million. The projected cash flows from the equipment are:

Year ended 31 October	Cash flows (\$m)
2008	1.3
2009	2.2
2010	2.3

The residual value of the equipment is assumed to be zero. The company uses a discount rate of 10%. The directors think that the fair value less costs to sell of the equipment is \$2 million. The directors of Ghorse propose to write down the non-current asset to the new selling price of \$2.5 million. The company's policy is to depreciate its computer equipment by 25% per annum on the straight line basis.

(5 marks)

- (d) The manufacturing property of the group, other than the head office, was held on a short lease for six months that was renewed every six months. The rental has been charged directly to the statement of profit or loss. On reorganisation on 31 October 2007, the lease has been renegotiated and is held for 12 years at a rent of \$5 million per annum paid in arrears. The fair value of the property is \$35 million and its remaining economic life is 13 years. The factor to be used for an annuity at 10% for 12 years is 6.8137.

(5 marks)

STRATEGIC BUSINESS REPORTING

The directors are worried about the impact that the above changes will have on the value of its non-current assets and its key performance indicator which is 'Return on Capital Employed' (ROCE). ROCE is defined as operating profit before interest and tax divided by share capital, other reserves and retained earnings. The directors have calculated ROCE as \$30 million divided by \$220 million, i.e. 13.6% before any adjustments required by the above.

Formation of opinion on impact on ROCE.

(2 marks)

Required:

Discuss the accounting treatment of the above transactions and the impact that the resulting adjustments to the financial statements would have on ROCE.

Note: Your answer should include appropriate calculations where necessary and a discussion of the accounting principles involved.

(25 marks)

13. Jocatt

The following draft group financial statements relate to Jocatt, a public limited company:

Jocatt Group: Statement of financial position as at 30 November

	2010	2009
	\$m	\$m
Assets		
<i>Non-current assets</i>		
Property, plant and equipment	327	254
Investment property	8	6
Goodwill	48	68
Intangible assets	85	72
Investment in associate	54	–
Financial assets	94	90
	<u>616</u>	<u>490</u>
<i>Current assets</i>		
Inventories	105	128
Trade receivables	62	113
Cash and cash equivalents	232	143
	<u>399</u>	<u>384</u>
Total assets	<u>1,015</u>	<u>874</u>
Equity and Liabilities		
<i>Equity attributable to the owners of the parent</i>		
Share capital	290	275
Retained earnings	351	324
Other components of equity	15	20
	<u>656</u>	<u>619</u>
Non-controlling interest	55	36
Total equity	<u>711</u>	<u>655</u>
<i>Non-current liabilities</i>		
Long-term borrowings	67	71
Deferred tax	35	41
Pension liability	25	22
<i>Current liabilities:</i>		
Trade payables	144	55
Current tax payable	33	30
Total equity and liabilities	<u>1,015</u>	<u>874</u>

Jocatt Group: Statement of profit or loss and other comprehensive income for the year ended 30 November 2010

Profit or loss	\$m
Revenue	432
Cost of sales	(317)
Gross profit	115
Other income	36
Distribution costs	(56)
Administrative expenses	(36)
Finance costs paid	(6)
Share of profit of associate	<u>6</u>
Profit before tax	59
Income tax expense	<u>(11)</u>
Profit for the year	<u>48</u>
Other comprehensive income after tax:	
Gain on financial assets	3
Losses on property revaluation	(7)
Actuarial losses on defined benefit plan	<u>(6)</u>
Other comprehensive income for the year, net of tax	<u>(10)</u>
Total comprehensive income for the year	<u>38</u>
Profit attributable to:	
Owners of the parent	38
Non-controlling interest	<u>10</u>
	<u>48</u>
Total comprehensive income attributable to	
Owners of the parent	<u>28</u>
Non-controlling interest	<u>10</u>
	<u>38</u>

The following information relates to the financial statements of Jocatt:

- On 1 December 2008, Jocatt acquired 8% of the ordinary shares of Tigret. Jocatt had carried this investment at cost in the financial statements to 30 November 2009 and therefore included the cost in financial assets. On 1 December 2009, Jocatt acquired a further 52% of the ordinary shares of Tigret and gained control of the company. At this point Jocatt derecognised the cost of the 8% of Tigret from financial assets at cost in order to recognise a profit on deemed disposal of the previous 8% which has been included in administration expenses. The consideration for the acquisitions was as follows:

	Holding	Consideration
		\$m
1 December 2008	8%	4
1 December 2009	<u>52%</u>	<u>30</u>
	<u>60%</u>	<u>34</u>

At 1 December 2009, the fair value of the 8% holding in Tigret held by Jocatt at the time of the business combination was \$5 million and the fair value of the non-controlling interest in Tigret was \$20 million. The gain on the 8% holding in Tigret has been reported in the administration expenses at 1 December 2009. The purchase consideration at 1 December 2009 comprised cash of \$15 million and shares of \$15 million.

The fair value of the identifiable net assets of Tigret, excluding deferred tax assets and liabilities, at the date of acquisition comprised the following:

	\$m
Property, plant and equipment	15
Intangible assets	18
Inventory	8
Trade receivables	5
Cash	7
Trade payables	8

The tax base of the identifiable net assets of Tigret was \$40 million at 1 December 2009. The tax rate of Tigret is 30%.

2. Jocatt purchased a project from a third party including certain patents on 1 December 2009 for \$8 million and recognised it as an intangible asset. During the year, Jocatt incurred further costs, which included \$2 million on completing the research phase, \$4 million in developing the product for sale and \$1 million for the initial marketing costs. There were no other additions to intangible assets in the period other than those on the acquisition of Tigret. Jocatt had correctly accounted for the above expenses, capitalising and writing off as appropriate. There was an impairment on intangibles.
3. Jocatt operates a defined benefit scheme. The current service costs for the year ended 30 November 2010 are \$10 million. Jocatt enhanced the benefits on 1 December 2009. The total cost of the enhancement is a past service cost of \$2 million. The finance cost on the net opening liability was \$2 million for the year. Both the service costs and the finance cost have been included in cost of sales. Jocatt has the policy of presenting pension contributions in operating cash flow.
4. Jocatt had exchanged surplus land with a carrying value of \$10 million for cash of \$15 million and plant valued at \$4 million. The transaction has commercial substance. The gain on the disposal has been included in other income on the face of the profit or loss. Depreciation for the period for property, plant and equipment was \$27 million. Jocatt owns an investment property. There was a gain on investment property value during the year and this has been included in other income on the face of the profit or loss.
5. Goodwill relating to all subsidiaries had been impairment tested in the year to 30 November 2010 and any impairment accounted for. The goodwill impairment related to those subsidiaries which were 100% owned.
6. The financial assets are equity investments classified as fair value through other comprehensive income. Deferred tax of \$1 million arose on the gains on these financial asset investments in the year. The gain on financial assets in other comprehensive income is shown net of this deferred tax charge.

Required:

- (a) **Prepare a reconciliation of profit before tax with cash generated from operations for presentation within a consolidated statement of cash flows for the Jocatt Group using the indirect method under IAS 7 'Statement of Cash Flows'.**
(15 marks)
- (b)
 - (i) **Calculate the tax paid by Jocatt during the year ended 30 November 2010.**
(4 marks)
 - (ii) **Calculate the cash flow purchases of property plant and equipment by Jocatt during the year ended 30 November 2010.**
(4 marks)
- (c) The directors of Jocatt feel that the indirect method is more useful and informative to users of financial statements than the direct method.

Required:

Comment on the directors' view that the indirect method of preparing statements of cash flow is more useful and informative to users than the direct method.

(7 marks)

(30 marks)**14. Alexandra**

Alexandra, a public listed limited company, designs and manages business solutions and IT infrastructures. The current financial year end was 30 April 2011.

- (a) In November 2010, Alexandra defaulted on an interest payment on an issued bond loan of \$100 million repayable in fifteen years. The loan agreement stipulates that such default leads to an obligation to repay the whole of the loan immediately, including accrued interest and expenses. In January 2011 the bondholders issued a waiver postponing the interest payment until 31 May 2011. The waiver also postponed the obligation to pay the capital until 31 May 2011. In May 2011, Alexandra paid the interest due and the bondholders reinstated the Alexandra rights to repay the capital in fifteen years. Alexandra classified the loan as long-term debt in its statement of financial position at 30 April 2011 on the basis that the loan was not in default at the end of the reporting period as the bondholders had issued waivers and had not sought redemption.
- (b) Alexandra has a two-tier board structure consisting of a management and a supervisory board. Alexandra remunerates its board members as follows:
- Annual base salary
 - Variable annual compensation (bonus)
 - Share options

In the group financial statements, within the related parties note under IAS 24 Related Party Disclosures, Alexandra disclosed the total remuneration paid to directors and non-executive directors and a total for each of these boards. No further breakdown of the remuneration was provided.

The management board comprises both the executive and non-executive directors. The remuneration of the non-executive directors, however, was not included in the key management disclosures. Some members of the supervisory and management boards are of a particular nationality. Alexandra was of the opinion that in that jurisdiction, it is not acceptable to provide information about remuneration that could be traced back to individuals. Consequently, Alexandra explained that it had provided the related party information in the annual accounts in an ambiguous way to prevent users of the financial statements from tracing remuneration information back to specific individuals.

- (c) Alexandra's pension plan was accounted for as a defined benefit plan in 2010. In the year ended 30 April 2011, Alexandra changed the accounting method used for the scheme and accounted for it as a defined contribution plan, restating the comparative 2010 financial information. The effect of the restatement was significant. In the 2011 financial statements, Alexandra explained that, during the year, the arrangements underlying the retirement benefit plan had been subject to detailed review. Since the pension liabilities are fully insured and indexation of future liabilities can be limited up to and including the funds available in a special trust account set up for the plan, which is not at the disposal of Alexandra, the plan qualifies as a defined contribution plan under IAS 19 Employee Benefits rather than a defined benefit plan. If an employee leaves Alexandra and transfers the pension to another fund, Alexandra is liable for, or is refunded the difference between the benefits the employee is entitled to and the insurance premiums paid.

Required:

Discuss how the above transactions should be dealt with in the financial statements of Alexandra for the year ended 30 April 2011 and discuss the ethical implications of the above situations.

(18 marks)

Note: The marks are allocated equally between (a) and (b) and (c)

Professional marks will be awarded for clarity and quality of discussion.

(2 marks)

(20 marks)

15. Coate

Coate, a public limited company, is a producer of ecologically friendly electrical power (green electricity). Coate has produced draft group financial statements for the year ended 30 November 2012

- (a) Coate's revenue comprises mainly the sale of electricity and green certificates. Coate obtains green certificates under a national government scheme. Green certificates represent the environmental value of green electricity. The national government requires suppliers who do not produce green electricity to purchase a certain number of green certificates. Suppliers who do not produce green electricity can buy green certificates either on the market on which they are traded or directly from a producer such as Coate. The national government wishes to give incentives to producers such as Coate by allowing them to gain extra income in this way. Coate obtains the certificates from the national government on satisfactory completion of an audit by an independent organisation, which confirms the origin of production. Coate then receives a certain number of green certificates from the national government depending on the volume of green electricity generated. The green certificates are allocated to Coate on a quarterly basis by the national government and Coate can trade the green certificates.

Coate is considering recognising the green certificates as purchased intangibles in its financial statements for the period ended 30 November 2012 and adopting a revaluation policy in order that the green certificates that were not sold at the end of the reporting period will be visible to users on the position statement.

(9 marks)

- (b) Coate also sold 50% of a previously wholly owned subsidiary, Patten, to a third party, Manis. Manis is in the same industry as Coate. Coate has continued to account for the investment in Patten as a subsidiary in its consolidated financial statements. The main reason for this accounting treatment was the agreement that had been made with Manis, under which Coate would exercise general control over Patten's operating and financial policies. Coate has appointed two out of four directors to the board. The agreement also stated that certain decisions required consensus by the two shareholders.

Under the shareholder agreement, consensus is required with respect to:

- changes in the company's activities;
- plans or budgets that deviate from the business plan;
- accounting policies; acquisition of assets above a certain value; employment or dismissal of senior employees; distribution of dividends or establishment of loan facilities

Coate feels that the consensus required above does not constitute a hindrance to the power to control Patten, as it is customary within the industry to require shareholder consensus for decisions of the types listed in the shareholders' agreement.

(9 marks)

- (c) In the notes to Coate's financial statements for the current year ended 30 November 2012, the tax expense included an amount in respect of 'Adjustments to current tax in respect of prior years' and this expense had been treated as a prior period adjustment. These items related to adjustments arising from tax audits by the authorities in relation to previous reporting periods.

The issues that resulted in the tax audit adjustment were not a breach of tax law but related predominantly to transfer pricing issues, for which there was a range of possible outcomes that were negotiated during 2012 with the taxation authorities. Further at last year end of 30 November 2011, Coate had accounted for all known issues arising from the audits to that date and the tax adjustment could not have been foreseen as at 30 November 2011, as the audit authorities changed the scope of the audit. No penalties were expected to be applied by the taxation authorities.

(7 marks)

Required:

Discuss how the above events should be accounted for the consolidated financial statements of Coate for the year ended 30 November 2012.

Note: The mark allocation is shown against each of the events above.

(25 marks)

16. Jayach

- (a) IFRS 13 Fair Value Measurement defines fair value, establishes a framework for measuring fair value and requires significant disclosures relating to fair value measurement.

The IFRS enhances the guidance available for assessing fair value in order that users could better gauge the valuation techniques and inputs used to measure fair value. The IFRS does not guide as to when fair value accounting is required, but the IFRS gives guidance regarding fair value measurements in existing standards. Fair value measurements are categorised into a three-level hierarchy, based on the type of inputs to the valuation techniques used. However, the guidance in IFRS 13 does not apply to transactions dealt with by certain specific standards.

Required:

- (i) **Discuss the main principles of fair value measurement as set out in IFRS 13.** (7 marks)
 (ii) **Describe the three-level hierarchy for fair value measurements used in IFRS 13.** (6 marks)
- (b) Jayach, a public limited company, is reviewing the fair valuation of certain assets and liabilities in light of IFRS 13.

It carries an asset that is traded in different markets and is uncertain as to which valuation to use. The asset has to be valued at fair value under International Financial Reporting Standards. Jayach currently only buys and sells the asset in the Australasian market. The data relating to the asset are set out below:

Market data

Year to 30 November 2012	Asian Market	European Market	Australasian Market
Volume of market – units	4 million	2 million	1 million
Price	\$19	\$16	\$22
Costs of entering the market	\$2	\$2	\$3
Transaction costs	\$1	\$2	\$2

Additionally, Jayach had acquired an entity on 30 November 2012 and is required to fair value a decommissioning liability. The entity has to decommission a mine at the end of its useful life, which is in three years' time. Jayach has determined that it will use a valuation technique to measure the fair value of the liability.

If Jayach were allowed to transfer the liability to another market participant, then the following data would be used.

Input amount

Labour and material cost	\$2 million
Overhead	30% of labour and material cost
Third party mark-up – industry average	20%
Annual inflation rate	5%
Risk adjusted discount rate appropriate to Jayach	6%

Jayach needs advice on how to fair value the asset and liability.

Required:

Discuss, with relevant computations, how Jayach should fair value the above asset and liability under IFRS 13.

(10 marks)

Note: the mark allocation is equal between the asset and the liability.

Professional marks will be awarded for the clarity and quality of the presentation and discussion.

(2 marks)

(25 marks)

17. Rose

Rose, a public listed company, operates in the mining sector. Rose group has a year end of 30 April 2011. Rose acquired 52% of the ordinary shares of Stem on 1 May 2010. Stem is located in a foreign country and operates a mine. The income of Stem is denominated and settled in dinars. The output of the mine is routinely traded in dinars and its price is determined initially by local supply and demand. Stem pays 40% of its costs and expenses in dollars with the remainder being incurred locally and settled in dinars. Stem's management has a considerable degree of authority and autonomy in carrying out the operations of Stem and is not dependent upon group companies for finance. Rose wishes to use the 'full goodwill' method to consolidate the financial statements of Stem. There have been no issues of ordinary shares and no impairment of goodwill since acquisition.

Required:

- (a) **Discuss and apply the principles set out in IAS 21 The Effects of Changes in Foreign Exchange Rates in order to determine the functional currency of Stem.**

(5 marks)

The draft statements of financial position are as follows, at 30 April 2011:

	Rose \$m	Petal \$m	Stem Dinars m
Assets:			
Non-current assets			
Property, plant and equipment	370	110	380
Investments in subsidiaries			
Petal	113		
Stem	46		
Financial assets	<u>15</u>	<u>7</u>	<u>50</u>
	544	117	430
Current assets	<u>118</u>	<u>100</u>	<u>330</u>
Total assets	<u>662</u>	<u>217</u>	<u>760</u>
Equity and liabilities			
Share capital	158	38	200
Retained earnings	256	56	300
Other components of equity	<u>7</u>	<u>4</u>	<u>—</u>
Total equity	<u>421</u>	<u>98</u>	<u>500</u>
Non-current liabilities	56	42	160
Current liabilities	<u>185</u>	<u>77</u>	<u>100</u>
Total liabilities	<u>241</u>	<u>119</u>	<u>260</u>
Total equity and liabilities	<u>662</u>	<u>217</u>	<u>760</u>

The following information is relevant to the preparation of the group financial statements:

- On 1 May 2010, Rose acquired 70% of the equity interests of Petal, a public limited company. The purchase consideration comprised cash of \$94 million. The fair value of the identifiable net assets recognised by Petal was \$120 million excluding the patent below. The identifiable net assets of Petal at 1 May 2010 included a patent which had a fair value of \$4 million. This had not been recognised in the financial statements of Petal. The patent had a remaining term of four years to run at that date and is not renewable. The retained earnings of Petal were \$49 million and other components of equity were \$3 million at the date of acquisition. The remaining excess of the fair value of the net assets is due to an increase in the value of land.

Rose wishes to use the 'full goodwill' method. The fair value of the non-controlling interest in Petal was \$46 million on 1 May 2010. There have been no issues of ordinary shares since acquisition and goodwill on acquisition is not impaired. Rose acquired a further 10% interest from the non-controlling interest in Petal on 30 April 2011 for a cash consideration of \$19 million.

- Rose acquired 52% of the ordinary shares of Stem on 1 May 2010 when Stem's retained earnings were 220 million dinars. The fair value of the identifiable net assets of Stem on 1 May 2010 was 495 million dinars. The excess of the fair value over the net assets of Stem is due to an increase in the value of land. The fair value of the non-controlling interest in Stem at 1 May 2010 was 250 million dinars. The following exchange rates are relevant to the preparation of the group financial statements:

	Dinars to \$
1 May 2010	6
30 April 2011	5
Average for year to 30 April 2011	5.8

Required:

- Calculate the Petal goodwill and explain the effect of the purchase of the further 10% interest in Petal. (6 marks)
 - Calculate the Stem goodwill and show how this would be presented to parent shareholders in the Rose group statement of financial position at the year end of 30 April 2011. (4 marks)
 - Calculate the group foreign subsidiary exchange gain or loss for the year and show how this would be split between the parent and non-controlling interest on the group statement of financial position at the year end of 30 April 2011. (7 marks)

Rose has a property located in the same country as Stem. The property was acquired on 1 May 2010 and is carried at a cost of 30 million dinars. The property is depreciated over 20 years on the straight-line method. At 30 April 2011, the property was revalued to 35 million dinars. Depreciation has been charged for the year but the revaluation has not been taken into account in the preparation of the financial statements as at 30 April 2011. Rose has the policy of revaluation of property.

Rose purchased plant for \$20 million on 1 May 2007 with an estimated useful life of six years. Its estimated residual value at that date was \$1.4 million. At 1 May 2010, the estimated residual value changed to \$2.6 million. The change in the residual value has not been taken into account when preparing the financial statements as at 30 April 2011.

- Show how the above issues with Rose property plant and equipment should have been recorded in the financial statements of Rose group for the year ended 30 April 2011. (8 marks)

Note: The marks are allocated equally between the property and the plant.

(30 marks)

18. **Ethan**

Ethan, a public listed company, develops, operates and sells investment properties. The current year end is 31 May 2012.

Ethan focuses mainly on acquiring properties where it foresees growth potential, through rental income as well as value appreciation. The properties are unoccupied by the group and complete at purchase. The acquisition of an investment property is usually realised through the acquisition of the entity, which holds the property.

In Ethan's consolidated financial statements, investment properties acquired through business combinations are recognised at fair value, using a discounted cash flow model as approximation to fair value. There is currently an active market for this type of property.

Goodwill arising on business combinations is determined using the measurement principles for the investment properties as outlined above. Goodwill is only considered impaired if and when the related deferred tax liability is reduced below the amount at which it was first recognised. This reduction can be caused both by a reduction in the value of the real estate or a change in local tax regulations. As long as the deferred tax liability is equal to, or larger than, the prior year, no impairment is charged to goodwill. Ethan explained its accounting treatment by it is normal in the industry to account for goodwill in this way.

Since 2008, Ethan has incurred substantial annual losses except for the year ended 31 May 2011, when it made a small profit before tax. In year ended 31 May 2011, most of the profit consisted of income recognised on revaluation of investment properties. Ethan had announced early in its financial year ended 31 May 2012 that it anticipated substantial growth and profit. Later in the year, however, Ethan announced that the expected profit would not be achieved and that, instead, a substantial loss would be incurred. Ethan had a history of reporting considerable negative variances from its budgeted results. Ethan's recognised deferred tax assets have been increasing year-on-year despite the deferred tax liabilities recognised on business combinations. Ethan's deferred tax assets consist primarily of unused tax losses that can be carried forward which are unlikely to be offset against anticipated future taxable profits.

Required:

Discuss how the above transactions and events should be recorded in the consolidated financial statements of Ethan and discuss the ethical implications of the above situations.

(18 marks)

Professional marks will be awarded for the quality of the discussion.

(2 marks)

(20 marks)

19. **William**

William is a public listed company and would like advice in relation to the following transactions. The company year-end is 31 May 2012.

- (a) William owned a building on which it raised finance. William sold the building for \$5 million to a finance company on 1 June 2011 when the carrying amount was \$3.5 million. The same building was leased back from the finance company for a period of 20 years, which was felt to be equivalent to the majority of the asset's economic life. The lease rentals for the period are \$441,000 payable annually in arrears. The interest rate implicit in the lease is 7%. The present value of the minimum lease payments is the same as the sale proceeds. William wishes to know how to account for the above transaction for the year ended 31 May 2012. (10 marks)
- (b) On 1 June 2009, William granted 500 share appreciation rights to each of its 20 managers. All of the rights vest after two years' service and they can be exercised during the following two years up to 31 May 2013. The fair value of the right at the grant date was \$20. It was thought that three managers would leave over the initial two-year period and they did so. The fair value of each right was as follows:

Year	Fair value at year end \$
31 May 2010	23
31 May 2011	14
31 May 2012	24

On 31 May 2012, seven managers exercised their rights when the intrinsic value of the right was \$21. William wishes to know what the liability and expense will be at 31 May 2012.

(7 marks)

- (c) William acquired another entity, Chrissy, on 1 May 2012. At the time of the acquisition, Chrissy was being sued as there is an alleged mis-selling case potentially implicating the entity. The claimants are suing for damages of \$10 million and Chrissy feels that it is more likely than not that no outflow of funds will occur. William estimates that the fair value of any contingent liability is \$4 million. William wishes to know how to account for this potential liability in Chrissy's entity financial statements and whether the treatment would be the same in the consolidated financial statements.

(6 marks)

Required:

Discuss, with suitable computations, the advice that should be given to William in accounting for the above events.

Note: The mark allocation is shown against each of the four events above.

Professional marks will be awarded for the quality of the discussion.

(2 marks)

(25 marks)

20. Grainger

IFRS 9, Financial Instruments purports to enhance the ability of investors and other users of financial information to understand the accounting of financial assets and reduce complexity.

Required:

- (a)
- (i) **Discuss the approach taken by IFRS 9 Financial Instruments in measuring and classifying financial assets.**

(11 marks)

IFRS 9, Financial Instruments uses an expected credit loss model to measure impairment in financial assets. Criticisms had been made against the former impairment model for financial assets (the incurred loss model). The issue with the incurred loss model was that impairment losses were only recognised when there was evidence that they existed and had been incurred. The expected credit loss model has now replaced the incurred loss model as the model widely adopted on most world stock exchanges.

- (ii) **Discuss briefly the issues related to considering the effects of expected losses in dealing with impairment of financial assets and the effect of the expected credit loss model upon investors.**

(6 marks)

Grainger, a public limited company, has adopted IFRS 9 for the first time in the current financial year and has decided to restate comparative information under IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors. The entity has an investment in a financial asset which was carried at amortised cost under the earlier standard but will be valued at fair value through profit and loss (FVTPL) under IFRS 9. The carrying value of the assets was \$105,000 on 30 April 2010 and \$110,400 on 30 April 2011. The fair value of the asset was \$106,500 on 30 April 2010 and \$111,000 on 30 April 2011. Grainger has determined that the asset will be valued at FVTPL at 30 April 2011.

Required:

- (b) **Discuss how the financial asset will be accounted for in the financial statements of Grainger in the year ended 30 April 2011.**

(8 marks)

(25 marks)

21. Traveler

Traveler, a public listed company, operates in the manufacturing sector. The draft statements of financial position are as follows at 30 November 2011:

Assets:	Traveler	Data	Captive
	\$m	\$m	\$m
Non-current assets			
Property, plant and equipment	439	810	620
Investments in subsidiaries			
Data	820		
Captive	541		
Financial assets	108	10	20
	<u>1,908</u>	<u>820</u>	<u>640</u>
Defined benefit asset	72		
Current assets	995	781	350
Total assets	<u>2,975</u>	<u>1,601</u>	<u>990</u>
Equity and liabilities:			
Share capital	1,120	600	390
Retained earnings	1,066	442	169
Other components of equity	60	37	45
Total equity	<u>2,246</u>	<u>1,079</u>	<u>604</u>
Non-current liabilities	455	323	73
Current liabilities	274	199	313
Total liabilities	<u>729</u>	<u>522</u>	<u>386</u>
Total equity and liabilities	<u>2,975</u>	<u>1,601</u>	<u>990</u>

The following information is relevant to the preparation of the group financial statements:

- On 1 December 2010 at the current year start, Traveler acquired 60% of the equity interests of Data, a public limited company. The purchase consideration comprised cash of \$600 million. At acquisition, the fair value of the non-controlling interest in Data was \$395 million. Traveler wishes to use the 'full goodwill' method. On 1 December 2010, the fair value of the identifiable net assets acquired was \$935 million and retained earnings of Data were \$299 million and other components of equity were \$26 million. The excess in fair value is due to non-depreciable land.
- On 1 December 2010 at the current year start, Traveler acquired 80% of the equity interests of Captive for a consideration of \$541 million. The consideration comprised cash of \$477 million and the transfer of non-depreciable land with a fair value of \$64 million. The carrying amount of the land at the acquisition date was \$56 million. At the yearend, this asset was still included in the non-current assets of Traveler and the sale proceeds had been credited to profit or loss. At the date of acquisition, the identifiable net assets of Captive had a fair value of \$526 million, retained earnings were \$90 million and other components of equity were \$24 million. The excess in fair value is due to non-depreciable land. This acquisition was accounted for using the partial goodwill method in accordance with IFRS 3 (Revised) *Business Combinations*.
- Goodwill was impairment tested after the additional acquisition in Data on 30 November 2011. The recoverable amount of Data was \$1,099 million and that of Captive was \$700 million.

Required:

- (a) **Explain with suitable calculations the measurement of goodwill at the current year end commenting on the use of both full and partial goodwill and the impact of the impairment upon the goodwill.** (15 marks)

Included in the financial assets of Traveler is a ten-year 4% loan. At 30 November 2011, the borrower was in financial difficulties and its credit rating had been downgraded. The loan asset is currently held at amortised cost of \$29 million. Traveler now wishes to value the loan at fair value using current market interest rates. Traveler has agreed for the loan to be restructured; there will only be three more annual payments of \$8 million starting in one year's time. Current market interest rates are 8%, the original effective interest rate is 6.7% and the effective interest rate under the revised payment schedule is 6.3%.

Required:

- (b) **Discuss with suitable workings the effect of the loan restructure upon the carrying value of the receivable.** (7 marks)

The actuarial value of Traveler's pension plan showed a surplus at 1 December 2010 at the current year start of \$72 million, represented by the fair value of the assets of \$272 million and the present value of the defined benefit obligation of \$200 million. The aggregate of the current service cost and interest cost amounted to a cost of \$55 million for the year. The actuarial remeasurement gain on the pension was \$2m. No entries had been made in the financial statements for the above amounts. After consulting with the actuaries, the company decided to reduce its contributions for the year to \$45 million. The contributions were recorded in current assets. At the year-end, the present value of available future refunds and reductions in future contributions (asset ceiling) was \$40 million.

Required:

- (c) **Discuss with suitable workings the movement in the net pension asset for the year.** (8 marks)
- (30 marks)**

22. Havana

- (a) Havana owns a chain of health clubs and has prepared draft financial statements for the year ended 30 November 2013.

Havana has entered into binding contracts with sports organisations, which earn income over given periods. The services rendered in return for such income include access to their database of members, and admission to health clubs, including the provision of coaching and other benefits. These contracts are for periods of between 9 and 18 months. Havana feels that because it only assumes limited obligations under the contract mainly relating to the provision of coaching, this could not be seen as the rendering of services for accounting purposes. As a result, Havana's accounting policy for revenue recognition is to recognise the contract income **in full at the date when the contract was signed.**

(8 marks)

- (b) In May 2013, Havana decided to sell one of its regional business divisions through a mixed asset and share deal and immediately began searching for a buyer. The decision to sell the division at a price of \$40 million was made public in November 2013 and gained shareholder approval in December 2013. The target was to dispose of the business within 6 months although it was decided that the payment of any agreed sale price could be deferred until 30 November 2015. The business division was presented as a disposal group in the statement of financial position as at 30 November 2013. At the initial classification of the division as held for sale, its net carrying amount was \$90 million. In writing down the disposal group's carrying amount, Havana accounted for an impairment loss of \$30 million which represented the difference between the carrying amount and value of the assets measured in accordance with applicable International Financial Reporting Standards (IFRS). In the financial statements at 30 November 2013, Havana has ignored the following issues raised by the accountant. These costs were related to the business division being sold and were as follows:
- (i) A loss relating to a potential write-off of a trade receivable which had gone into liquidation.
 - (ii) An expense relating to the discounting of the long-term receivable on the fixed amount of the sale price of the disposal group.
 - (iii) A provision was rejected which related to the expected transaction costs of the sale including legal advice and lawyer fees.

(10 marks)

Required:

Advise Havana on how the above transactions should be dealt with in its financial statements with reference to International Financial Reporting Standards and ethical issues where appropriate.

Note: The mark allocation is shown against each of the issues above.

Professional marks will be awarded for clarity and quality of presentation.

(2 marks)

(20 marks)

23. Verge

- (a) In its annual financial statements for the year ended 31 March 2013, Verge, a public limited company, had identified the following operating segments:

(i)	Segment 1	local train operations
(ii)	Segment 2	inter-city train operations
(iii)	Segment 3	railway constructions

The company disclosed two reportable segments. Segments 1 and 2 were aggregated into a single reportable operating segment. Operating segments 1 and 2 have been aggregated on the basis of their similar business characteristics, and the nature of their products and services. In the local train market, it is the local transport authority which awards the contract and pays Verge for its services. In the local train market, contracts are awarded following a competitive tender process, and the ticket prices paid by passengers are set by and paid to the transport authority. In the inter-city train market, ticket prices are set by Verge and the passengers pay Verge for the service provided.

(5 marks)

- (b) Verge entered into a contract with a government body on 1 April 2011 to undertake maintenance services on a new railway line. The total revenue from the contract is \$5 million over a three-year period. The contract states that \$1 million will be paid at the commencement of the contract but although invoices will be subsequently sent at the end of each year, the government authority will only settle the subsequent amounts owing when the contract is completed. The invoices sent by Verge to date (including \$1 million above) were as follows:

Year ended 31 March 2012 \$2.8 million

Year ended 31 March 2013 \$1.2 million

The balance will be invoiced on 31 March 2014. Verge has only accounted for the initial payment in the financial statements to 31 March 2012 as no subsequent amounts are to be paid until 31 March 2014. The amounts of the invoices reflect the work undertaken in the period. Verge wishes to know how to account for the revenue on the contract in the financial statements to date. Market interest rates are currently at 6%.

(6 marks)

- (c) In February 2012 shortly before the current year start, an inter-city train did what appeared to be superficial damage to a storage facility of a local company. The directors of the company expressed an intention to sue Verge but in the absence of legal proceedings, Verge had not recognised a provision in last year's financial statements to 31 March 2012. In July 2012, Verge received notification for damages of \$1.2m, which was based upon the estimated cost to repair the building. The local company claimed the building was much more than a storage facility as it was a valuable piece of architecture which had been damaged to a greater extent than was originally thought. The head of legal services advised Verge that the company was clearly negligent and the view obtained from an expert surveyor was that the value of the building was \$800,000 and that the rectification would cost \$350,000. Verge had an insurance policy that would cover the first \$200,000 of such claims.

(6 marks)

- (d) Verge was given a building by a private individual in February 2012, shortly before the current year start. The benefactor included a condition that it must be brought into use as a train museum in the interests of the local community or the asset must be returned. The fair value of the asset was \$1.5 million in February 2012. Verge took possession of the building in May 2012. However, it could not utilise the building in accordance with the condition until February 2013 as the building needed some refurbishment and adaptation and in order to fulfil the condition. Verge spent \$1 million on adaptation. On 1 July 2012, Verge obtained a cash grant of \$250,000 from the government. Part of the grant related to the creation of 20 jobs at the train museum by providing a subsidy of \$5,000 per job created. The remainder of the grant related to capital expenditure on the project. At 31 March 2013, all of the new jobs had been created.

(6 marks)

Required:

Advise Verge on how the above accounting issues should be dealt with in its financial statements for the year ending 31 March 2013 (including the comparatives where applicable) including a discussion of how the accounting addresses the needs of investors.

Note: The mark allocation is shown against each of the four issues above.

Professional marks will be awarded for clarity and quality of presentation.

(2 marks)

(25 marks)**24. Venue**

IFRS 15 Revenue from contracts with customers addresses the financial reporting of revenue.

Required:

- (a)
- (i) **Discuss the five-step model adopted by IFRS 15 Revenue from contracts with customers.** (12 marks)
 - (ii) **Discuss the reasons why it might be relevant to take into account credit risk and the time value of money in assessing revenue recognition.** (5 marks)

- (b) Venue enters into a contract with a customer to provide computers at a value of \$1 million. The terms are that payment is due one month after the sale of the goods. On the basis of experience with other contractors with similar characteristics, Venue considers that there is a 5% risk that the customer will not pay the amount due after the goods have been delivered and the property transferred. Venue subsequently felt that the financial condition of the customer has deteriorated and that the trade receivable is further impaired by \$100,000.

Venue has also sold a computer hardware system to a customer and, because of the current difficulties in the market, Venue has agreed to defer receipt of the selling price of \$2 million until two years after the hardware has been transferred to the customer. Venue has also been offering discounts to customers if products were sold with terms whereby payment was due now but the transfer of the product was made in one year. A sale had been made under these terms and payment of \$3 million had been received. A discount rate of 4% should be used in any calculations.

Required:

Discuss how both of the above transactions would be treated under IFRS 15 Revenue from contracts with customers.

(8 marks)

Note: The mark allocation is equal between the two revenue issues in part (b).

(25 marks)

Ask about it

25. Minny

Minny is a company which operates in the service sector. Minny has business relationships with Bower and Heeny. All three entities are public limited companies. The draft statements of financial position of these entities are as follows at 30 November 2012:

	Minny	Bower	Heeny
	\$m	\$m	\$m
Assets:			
Non-current assets			
Property, plant and equipment	696	620	310
Investments in subsidiaries			
Bower	730		
Heeny	224		
Investment in Puttin	48		
Intangible assets	198	30	35
	<u>1,896</u>	<u>650</u>	<u>345</u>
Current assets	895	480	250
Total assets	<u>2,791</u>	<u>1,130</u>	<u>595</u>
Equity and liabilities:			
Share capital	920	400	200
Other components of equity	73	37	25
Retained earnings	895	442	139
Total equity	<u>1,888</u>	<u>879</u>	<u>364</u>
Non-current liabilities	495	123	93
Current liabilities	408	128	138
Total liabilities	<u>903</u>	<u>251</u>	<u>231</u>
Total equity and liabilities	<u>2,791</u>	<u>1,130</u>	<u>595</u>

The following information is relevant to the preparation of the group financial statements:

On 1 December 2010 at the previous year start, Minny acquired 70% of the equity interests of Bower. The purchase consideration comprised cash of \$730 million. At acquisition, the fair value of the non-controlling interest in Bower was \$295 million. On 1 December 2010, the fair value of the identifiable net assets acquired was \$835 million and retained earnings of Bower were \$319 million and other components of equity were \$27 million. The excess in fair value is due to non-depreciable land.

On 1 December 2011 at the current year start, Minny acquired 56%% of the equity interests of Heeny for a cash consideration of \$224 million. The fair value of the non-controlling interest was was \$161 million. At the date of acquisition, the identifiable net assets of Heeny had a fair value of \$362 million, retained earnings were \$106 million and other components of equity were \$20 million. The excess in fair value is due to non-depreciable land. It is the group's policy to measure the non-controlling interest at fair value at the date of acquisition.

Both Bower and Heeny were impairment tested at the current year end of 30 November 2012. The recoverable amounts of both cash generating units as stated in the individual financial statements at 30 November 2012 were Bower, \$1,425 million, and Heeny, \$644 million, respectively. The recoverable amount has been determined without consideration of liabilities which all relate to the financing of operations.

Required:

- (a)
- (i) **Explain with suitable workings how the goodwill should be calculated for the acquisition of Bower and Heeny showing how the impairment tests in each affected the carrying value of goodwill at the current year end.**

(12 marks)

Minny acquired a 14% interest in Puttin, a public limited company, on 1 December 2010 for a cash consideration of \$18 million. The investment was accounted for under IFRS 9 Financial Instruments and was designated as at fair value through other comprehensive income. On 1 June 2012, Minny acquired an additional 16% interest in Puttin for a cash consideration of \$27 million and achieved significant influence. The value of the original 14% investment on 1 June 2012 was \$21 million. Puttin made profits after tax of \$20 million and \$30 million for the years to 30 November 2011 and 30 November 2012 respectively. On 30 November 2012, Minny received a dividend from Puttin of \$2 million, which has been credited to other components of equity.

- (ii) **Explain with suitable workings how the carrying value of the associate should be measured at the current year end.**

(6 marks)

- (b) Minny intends to dispose of a major line of the parent's business operations. At the date the held for sale criteria were met, the carrying amount of the assets and liabilities comprising the line of business were:

	\$m
Property, plant and equipment (PPE)	49
Inventory	18
Current liabilities	3

It is anticipated that Minny will realise \$30 million for the business. No adjustments have been made in the financial statements in relation to the above decision.

Required:

Discuss the effect of the classification of the major line of business as a disposal group.

(4 marks)

Note: Marks will only be awarded above for the discussion of the effect of the classification as a disposal group. There are no marks for the discussion of the criteria which are discussed below.

- (c) Minny intends to dispose of a major line of business in the above scenario and the entity has stated that the held for sale criteria were met under IFRS 5 Non-current Assets Held for Sale and Discontinued Operations. Regulators have been known to question entities on the application of the standard. The two criteria which must be met before an asset or disposal group will be defined as recovered principally through sale are: that it must be available for immediate sale in its present condition and the sale must be highly probable.

Required:

Discuss what is meant in IFRS 5 by 'available for immediate sale in its present condition' and 'the sale must be highly probable', setting out briefly why regulators may question entities on the application of the standard.

(8 marks)

(30 marks)

26. Minco

Minco is a major property developer which buys land for the construction of housing.

- (a) One aspect of its business is to provide low-cost homes through the establishment of a separate entity, known as a housing association. Minco purchases land and transfers ownership to the housing association before construction starts. Minco sells rights to occupy the housing units to members of the public but the housing association is the legal owner of the building. The housing association enters into loan agreements with the bank to cover the costs of building the homes. However, Minco negotiates and acts as guarantor for the loan, and bears the risk of increases in the loan's interest rate above a specified rate. Currently, the housing rights are normally all sold out on the completion of a project.

Minco enters into discussions with a housing contractor regarding the construction of the housing units but the agreement is between the housing association and the contractor. Minco is responsible for any construction costs in excess of the amount stated in the contract and is responsible for paying the maintenance costs for any units not sold. Minco sets up the board of the housing association, which comprises one person representing Minco and two independent board members.

At single point of time, recognition

Minco recognises income for the entire project when the land is transferred to the housing association. The income recognised is the difference between the total sales price for the finished housing units and the total estimated costs for construction of the units. Minco argues that the transfer of land represents a sale of goods which fulfils the revenue recognition criteria in IFRS 15 *Revenue*.

(8 marks)

- (b) Minco often sponsors professional tennis players in an attempt to improve its brand image. At the moment, it has a three-year agreement with a tennis player who is currently ranked in the world's top ten players. The agreement is that the player receives a signing bonus of \$20,000 and earns an annual amount of \$50,000, paid at the end of each year for three years, provided that the player has competed in all the specified tournaments for each year. If the player wins a major tournament, she receives a bonus of 20% of the prize money won at the tournament. In return, the player is required to wear advertising logos on tennis apparel, play a specified number of tournaments and attend photo/film sessions for advertising purposes. The different payments have all being written off to the profit or loss.

(5 marks)

- (c) Minco leased its head office during the current accounting period and the agreement terminates in six years' time. There is a clause in the lease relating to the internal condition of the property at the termination of the lease. The clause states that the internal condition of the property should be identical to that at the outset of the lease. Minco has improved the building by adding another floor to part of the building during the current accounting period. There is also a clause which enables the landlord to recharge Minco for costs relating to the general disrepair of the building at the end of the lease. In addition, the landlord can recharge any costs of repairing the roof immediately. The roof has been damaged in the current year before the year end and the landlord intends to replace part of the roof of the building during the near future. Minco has not provided for any of the above.

(5 marks)

Required:

Discuss how the above items should be dealt with in the financial statements of Minco and the ethical issues raised by these items.

Professional marks will be awarded for clarity and quality of presentation.

(2 marks)

(20 marks)

27. Clive

Clive is an entity in the publications industry. The year-end is 31 May 2010.

- (a) On 1 April 2009 two months before the current year start Clive bought a direct holding of shares giving 70% of the equity voting rights in Date, a limited company operating a farm. In May 2010, shortly before the current year end, Date issued new shares, which were wholly subscribed for by a new investor. After the increase in capital, Clive retained an interest of 35% of the voting rights in its former subsidiary Date. At the same time, the shareholders of Date signed an agreement providing new governance rules for Date. Based on this new agreement, Clive was no longer to be represented on Date's board or participate in its management. As a consequence Clive considered that its decision not to subscribe to the issue of new shares was equivalent to a decision to disinvest in Date. Clive argued that the decision not to invest clearly showed its new intention not to recover the investment in Date principally through continuing use of the asset and was considering selling the investment. Due to the fact that Date is a separate line of business (with separate cash flows, management and customers), Clive considered that the results of Date for the period to 31 May 2010 should be presented based on principles provided by IFRS 5 Non-current Assets Held for Sale and Discontinued Operations.

Required:

Discuss whether the accounting treatments proposed by the company are acceptable under International Financial Reporting Standards for the year end 31 May 2010.

(8 marks)

- (b) Leasing is important to Clive, a public limited company as a method of financing the business. The Directors feel that it is important that they provide users of financial statements with a complete and understandable picture of the entity's leasing activities. However, Clive has failed to recognise one lease in accordance with IFRS 16 Leases. Clive has rented plant for a fixed term of six years and the useful life of the plant is 12 years. The contract is non-cancellable, and there are no rights to extend the lease term or purchase the machine at the end of the term. There are no guarantees of its value at that point. The legal owner does not have the right of access to the plant until the end of the contract or unless permission is granted by Clive. Fixed payments are due annually over the term after delivery of the plant, which is maintained by Clive. Clive accounts for the payments as rental costs directly to profit or loss.

Required:

Discuss the reasons why IFRS 16 requires the recognition of an asset and a liability by lessees for leases except for leases for which there is a recognition exemption. Discuss whether the plant and the corresponding obligation in the rental agreement meet the definition of an asset and liability as set out in the 'Conceptual Framework for Financial Reporting.'

(10 marks)

- (c) Clive acquired a property for \$4 million and annual depreciation of \$300,000 is charged on the straight line basis. At the end of the previous financial year, when accumulated depreciation was \$1 million, a further amount relating to an impairment loss of \$350,000 was recognised, which resulted in the property being valued at its estimated value in use. On 1 October 2010, as a consequence of a proposed move to new premises, the property was classified as held for sale. At the time of classification as held for sale, the fair value less costs to sell was \$2.4 million. At the date of the published interim financial statements, 1 December 2010, the property market had improved and the fair value less costs to sell was reassessed at \$2.52 million and at the year end on 31 May 2014 it had improved even further, so that the fair value less costs to sell was \$2.95 million. The property was sold on 5 June 2014 for \$3 million.

Required:

Explain the movement in the property carrying value under International Financial Reporting Standards for the year end 31 May 2010.

(7 marks)

(25 marks)

28. Pod

The introduction of a new accounting standard can have significant impact on an entity by changing the way in which financial statements show particular transactions or events. In many ways, the impact of a new accounting standard requires the same detailed considerations as is required when an entity first moves from local Generally Accepted Accounting Practice to International Financial Reporting Standards (IFRS).

A new or significantly changed accounting standard often provides the key focus for examination of the financial statements of listed companies by national enforcers who issue common enforcement priorities. These priorities are often highlighted because of significant changes to accounting practices as a result of new or changed standards or because of the challenges faced by entities as a result of the current economic environment. Recent priorities have included recognition and measurement of deferred tax assets and impairment of financial and non-financial assets.

Required:

- (a)
- (i) **Discuss the key practical considerations, and financial statement implications which an entity should consider when implementing a move to a new IFRS.**
(8 marks)
 - (ii) **Discuss briefly the reasons why regulators might focus on the impairment of non-financial assets and deferred tax assets in a period of slow economic growth, setting out the key areas which entities should focus on when accounting for these elements.**
(7 marks)

Professional marks will be awarded for clarity and quality of presentation.

(2 marks)

- (b)
- (i) Pod is a listed company specialising in the distribution and sale of photographic products and services. Pod's statement of financial position included an intangible asset which was a portfolio of customers acquired from a similar business which had gone into liquidation. Pod changed its assessment of the useful life of this intangible asset from 'finite' to 'indefinite'. Pod felt that it could not predict the length of life of the intangible asset, stating that it was impossible to foresee the length of life of this intangible due to a number of factors such as technological evolution, and changing consumer behaviour.
 - (ii) Pod has a significant network of retail branches. In its financial statements, Pod changed the determination of a cash generating unit (CGU) for impairment testing purposes at the level of each major product line, rather than at each individual branch. The determination of CGUs was based on the fact that each of its individual branches did not operate on a standalone basis as some income, such as volume rebates, and costs were dependent on the nature of the product line rather than on individual branches. Pod considered that cash inflows and outflows for individual branches did not provide an accurate assessment of the actual cash generated by those branches. Pod, however, has daily sales information and monthly statements of profit or loss produced for each individual branch and this information is used to make decisions about continuing to operate individual branches.

Required:

Discuss whether the changes to accounting practice suggested by Pod are acceptable under International Financial Reporting Standards.

(8 marks)

Note: The marks are allocated equally between (b)(i) and (b)(ii).

(25 marks)

29. Marchant

The following draft financial statements relate to Marchant, a public listed limited company.

Marchant Group: Draft statements of profit or loss and other comprehensive income for the year ended 30 April 2014.

	Marchant	Nathan	Option
	\$m	\$m	\$m
Revenue	400	115	70
Cost of sales	<u>(312)</u>	<u>(65)</u>	<u>(36)</u>
Gross profit	88	50	34
Other income	21	7	2
Administrative costs	(15)	(9)	(12)
Other expenses	<u>(35)</u>	<u>(19)</u>	<u>(8)</u>
Operating profit	59	29	16
Finance costs	(5)	(6)	(4)
Finance income	<u>6</u>	<u>5</u>	<u>8</u>
Profit before tax	60	28	20
Income tax expense	<u>(19)</u>	<u>(9)</u>	<u>(5)</u>
Profit for the year	<u>41</u>	<u>19</u>	<u>15</u>
Other comprehensive income – revaluation surplus	10	—	—
Total comprehensive income for year	<u>51</u>	<u>19</u>	<u>15</u>

The following information is relevant to the preparation of the group statement of profit or loss and other comprehensive income:

- On 1 May 2012, Marchant acquired 60% of the equity interests of Nathan, a public limited company. The purchase consideration comprised cash of \$80 million and the fair value of the identifiable net assets acquired was \$110 million at that date. The fair value of the non-controlling interest (NCI) in Nathan was \$45 million on 1 May 2012. Marchant wishes to use the 'full goodwill' method for all acquisitions. The share capital and retained earnings of Nathan were \$25 million and \$65 million respectively and other components of equity were \$6 million at the date of acquisition. The excess of the fair value of the identifiable net assets at acquisition is due to non-depreciable land.

Goodwill has been impairment tested annually and as at 30 April 2013 had reduced in value by 20%. However at 30 April 2014, the impairment of goodwill had reversed and goodwill was valued at \$2 million above its original value.
- Marchant disposed of an 8% equity interest in Nathan on 30 April 2014 for a cash consideration of \$18 million and had accounted for the gain or loss in other income. The retained earnings were \$85 million and the other components of equity were \$10 million at 30 April 2014.
- Marchant acquired 60% of the equity interests of Option, a public limited company, on 30 April 2012. The purchase consideration was cash of \$70 million. Option's identifiable net assets were fair valued at \$86 million and the NCI had a fair value of \$28 million at that date. On 1 November 2013, Marchant disposed of a 40% equity interest in Option for a consideration of \$50 million. Option's identifiable net assets were \$90 million and the value of the NCI was \$34 million at the date of disposal. The remaining equity interest was fair valued at \$40 million. After the disposal, Marchant exerts significant influence. Any increase in net assets since acquisition has been reported in profit or loss and the carrying value of the investment in Option had not changed since acquisition. Goodwill had been impairment tested and no impairment was required. No entries had been made in the financial statements of Marchant for this transaction other than for cash received.

Required:

- (a)
- (i) Explain with suitable workings how the goodwill of Nathan should have been measured at the current year end of 30 April 2014. (6 marks)
 - (ii) Explain, with suitable calculations, how the sale of the 8% interest in Nathan should be dealt with in the group statement of financial position at 30 April 2014. (6 marks)
 - (iii) Explain, with suitable calculations, how the sale of the 40% interest in Option should be dealt with in the group statement of profit or loss for the year ended 30 April 2014. (7 marks)
- (b) Marchant sold inventory to Nathan for \$12 million at fair value. Marchant made a profit on the transaction of \$2 million and Nathan still holds \$8 million in inventory at the year end.

Required:

Explain with suitable workings how the revenue of the Marchant group would be measured for the current year end of 30 April 2014.

(4 marks)

- (c) On 1 May 2012, Marchant purchased an item of property, plant and equipment for \$12 million and this is being depreciated using the straight line basis over 10 years with a zero residual value. At 30 April 2013, the asset was revalued to \$13 million but at 30 April 2014, the value of the asset had fallen to \$7 million. Marchant uses the revaluation model to value its non-current assets. The effect of the revaluation at 30 April 2014 had not been taken into account in total comprehensive income but depreciation for the year had been charged. Marchant has the policy of transferring a proportion of the revaluation reserve to retained earnings in line with the related asset life.

Required:

Explain with suitable workings how the fall in value of the property would be measured for the current year end of 30 April 2014.

(4 marks)

- (d) On 1 May 2012, Marchant made an award of 8,000 share options to each of its seven directors. The condition attached to the award is that the directors must remain employed by Marchant for three years. The fair value of each option at the grant date was \$100 and the fair value of each option at 30 April 2014 was \$110. At 30 April 2013, it was estimated that three directors would leave before the end of three years. Due to an economic downturn, the estimate of directors who were going to leave was revised to one director at 30 April 2014. The expense for the year as regards the share options had not been included in profit or loss for the current year and no directors had left by 30 April 2014.

Required:

Explain with suitable workings how the option scheme would be measured for the current year end of 30 April 2014.

(3 marks)

(30 marks)

30. Kayte

- (a) Kayte operates in the shipping industry and owns vessels for transportation. Kate directors receive a bonus based upon group profit.

During the current year, Kayte acquired Ceemone whose assets were entirely investments in small companies. The small companies each owned and operated one or two shipping vessels. There were no employees in Ceemone or the small companies. At the acquisition date, there were only limited activities related to managing the small companies as most activities were outsourced. All the personnel in Ceemone were employed by a separate management company. The companies owning the vessels had an agreement with the management company concerning assistance with chartering, purchase and sale of vessels and any technical management. The management company used a shipbroker to assist with some of these tasks. The agreement with the management company can be terminated with a months' notice.

Kayte accounted for the investment in Ceemone as an asset purchase. The consideration paid and related transaction costs were recognised as the purchase price of the vessels. Kayte argued that the vessels were only passive investments and that Ceemone did not own a business consisting of processes, since all activities regarding commercial and technical management were outsourced to the management company. As a result, the acquisition was accounted for as if the vessels were bought on a stand-alone basis.

There is evidence that the customer base of Ceemone has deteriorated following adverse publicity.

(10 marks)

- (b) Kayte's vessels constitute a material part of its total assets. The economic life of the vessels is estimated to be 30 years and so depreciation is spread over 30 years. But the useful life of most of the Kayte vessels is only 10 years because Kayte's policy is to sell these vessels when they are 10 years old. Kayte estimated the residual value of these vessels at sale to be half of acquisition cost and this value was assumed to be constant during their useful life. Kayte argued that the estimates of residual value used were conservative in view of an immature market with a high degree of uncertainty and presented documentation which indicated some vessels were being sold for a price considerably above carrying value. Broker valuations of the residual value were considerably higher than those used by Kayte. Kayte argued against broker valuations on the grounds that it would result in greater volatility in reporting.

(8 marks)

Required:

Discuss the accounting treatment of the above transactions in the financial statements of Kayte and how the proposed accounting reflects upon the ethics of the directors.

Note: The mark allocation is shown against each of the elements above.

Professional marks will be awarded for clarity and quality of presentation.

(2 marks)

(20 marks)

31. Blackcutt

Blackcutt is a local government organisation whose financial statements are prepared using International Financial Reporting Standards. The current financial statements for the year ended 30 November 2012 are in the final processes of preparation.

- (a) Blackcutt wishes to create a **credible investment property portfolio** with a view to determining if any property may be considered surplus to the functional objectives and requirements of the local government organisation. The following portfolio of property is owned by Blackcutt. Blackcutt owns several plots of land. Some of the land is owned by Blackcutt for capital appreciation and this may be sold at any time in the future. Other plots of land have no current purpose as Blackcutt has not determined whether it will use the land to provide services such as those provided by national parks or for short-term sale in the ordinary course of operations. The local government organisation supplements its income by buying and selling property. The housing department regularly sells part of its housing inventory in the ordinary course of its operations as a result of changing demographics. Part of the inventory, which is not held for sale, is to provide housing to low-income employees at below market rental. The rent paid by employees covers the cost of maintenance of the property.
- (7 marks)
- (b) Blackcutt has outsourced its waste collection to a private sector provider called Waste and Co and pays an annual amount to Waste and Co for its services. Waste and Co purchases the vehicles and uses them exclusively for Blackcutt's waste collection. The vehicles are painted with the Blackcutt local government organisation name and colours. Blackcutt can use the vehicles and the vehicles are used for waste collection for nearly all of the asset's life. In the event of Waste and Co's business ceasing, Blackcutt can obtain legal title to the vehicles and carry on the waste collection service.
- (6 marks)
- (c) Blackcutt owns a warehouse. Chemco has leased the warehouse from Blackcutt and is using it as a storage facility for chemicals. The national government has announced its intention to enact environmental legislation requiring property owners to accept liability for environmental pollution. **As a result, Blackcutt has introduced a hazardous chemical policy and has begun to apply the policy to its properties.** Blackcutt has had a report that the **chemicals have contaminated the land surrounding the warehouse.** Blackcutt has no recourse against Chemco or **its insurance company for the clean-up costs of the pollution.** At 30 November 2012, it is virtually certain that draft legislation requiring a clean-up of land already contaminated will be enacted shortly after the year end.
- (4 marks)
- (d) On 1 December 2006 five years before the current year start, Blackcutt opened a school at a cost of \$5 million. The estimated useful life of the school was 25 years. On 30 November 2012 at the current year end, the school was closed because numbers using the school declined unexpectedly due to a population shift caused by the closure of a major employer in the area. The school is to be converted for use as a library, and there is no expectation that numbers using the school will increase in the future and thus the building will not be reopened for use as a school. The current replacement cost for a library of equivalent size to the school is \$2.1 million. Because of the nature of the non-current asset, value-in-use and net selling price are unrealistic estimates of the value of the school. The change in use would have no effect on the estimated life of the building.
- (6 marks)

Required:

Discuss how the above events should be accounted for in the financial statements of Blackcutt.

Note: The mark allocation is shown against each of the four events above.

Professional marks will be awarded for the clarity and quality of the presentation and discussion.

(2 marks)

(25 marks)

32. Tang

IFRS 15 *Revenue from Contracts with Customers* sets out a five-step model, which applies to revenue earned from a contract with a customer with limited exceptions, regardless of the type of revenue transaction or the industry. Step one in the five-step model requires the identification of the contract with the customer and is critical for the purpose of applying the standard. The remaining four steps in the standard's revenue recognition model are irrelevant if the contract does not fall within the scope of IFRS 15.

Required:

- (a)
- (i) **Discuss the criteria which must be met for a contract with a customer to fall within the scope of IFRS 15.**
(5 marks)
 - (ii) **Discuss the four remaining steps which lead to revenue recognition after a contract has been identified as falling within the scope of IFRS 15.**
(8 marks)
- (b)
- (i) Tang enters into a contract with a customer to sell an existing printing machine such that control of the printing machine vests with the customer in two years' time. The contract has two payment options. The customer can pay \$240,000 when the contract is signed or \$300,000 in two years' time when the customer gains control of the printing machine. The interest rate implicit in the contract is 11.8% in order to adjust for the risk involved in the delay in payment. However, Tang's incremental borrowing rate is 5%. The customer paid \$240,000 on 1 December 2014 when the contract was signed.
(4 marks)
 - (ii) Tang enters into a contract on 1 December 2014 to construct a printing machine on a customer's premises for a promised consideration of \$1,500,000 with a bonus of \$100,000 if the machine is completed within 24 months. At the inception of the contract, Tang correctly accounts for the promised bundle of goods and services as a single performance obligation in accordance with IFRS 15. At the inception of the contract, Tang expects the costs to be \$800,000 and concludes that it is highly probable that a significant reversal in the amount of cumulative revenue recognised will occur. Completion of the printing machine is highly susceptible to factors outside of Tang's influence, mainly issues with the supply of components. At 30 November 2015, Tang has satisfied 65% of its performance obligation on the basis of costs incurred to date and concludes that the variable consideration is still constrained in accordance with IFRS 15. However, on 4 December 2015, the contract is modified with the result that the fixed consideration and expected costs increase by \$110,000 and \$60,000 respectively. The time allowable for achieving the bonus is extended by six months with the result that Tang concludes that it is highly probable that the bonus will be achieved and that the contract still remains a single performance obligation. Tang has an accounting year end of 30 November.
(8 marks)

Required:

Discuss how the above two contracts should be accounted for under IFRS 15 up to 30 November 2016.

Note: The mark allocation is shown against each of the items above.

(25 marks)

33. Bubble

The following draft financial statements relate to Bubble, a public limited company and two other companies in which it owns investments.

Draft statements of financial position as at 31 October 2015

	Bubble \$m	Salt \$m	Tyslar Dinars m
Assets			
Non-current assets			
Property, plant and equipment	280	105	390
Investment in Salt	110		
Investment in Tyslar	46		
Financial assets	12	9	98
	<u>448</u>	<u>114</u>	<u>488</u>
Current assets			
Inventories	20	12	16
Trade and other receivables	30	25	36
Cash and cash equivalents	14	11	90
	<u>64</u>	<u>48</u>	<u>142</u>
Total assets	<u>512</u>	<u>162</u>	<u>630</u>
Equity and liabilities			
Equity shares	80	50	210
Retained earnings	230	74	292
Other components of equity	40	12	
Total equity	<u>350</u>	<u>136</u>	<u>502</u>
Non-current liabilities	95	7	110
Current liabilities	67	19	18
	<u>162</u>	<u>26</u>	<u>128</u>
Total equity and liabilities	<u>512</u>	<u>162</u>	<u>630</u>

The following information is relevant to the preparation of the group statement of financial position:

Bubble acquired 80% of the equity shares of Salt on 1 November 2013 when Salt's retained earnings were \$56 million and other components of equity were \$8 million. The fair value of the net assets of Salt was \$120 million at the date of acquisition. This does not include a contingent liability which was disclosed in Salt's financial statements as a possible obligation of \$5 million. The fair value of the obligation was assessed as \$1 million at the date of acquisition and remained unsettled as at 31 October 2015. \$5 million is still disclosed as a possible obligation with no change in its fair value. Any remaining difference in the fair value of the net assets at acquisition relates to non-depreciable land. The fair value of the non-controlling interest at acquisition was estimated as \$25 million. Bubble always adopts the full goodwill method under IFRS 3 *Business Combinations*.

Bubble also owns 60% of the equity shares of Tyslar, a company located overseas which uses the dinar as its functional currency. The shares in Tyslar were acquired on 1 November 2014 at a cost of 368 million dinars. At the date of acquisition, retained earnings were 258 million dinars and Tyslar had no other components of equity. No fair value adjustments were deemed necessary in relation to the acquisition of Tyslar. The fair value of the non-controlling interest was estimated as 220 million dinars at acquisition. An impairment review of goodwill was undertaken as at 31 October 2015. No impairment was necessary in relation to Salt, but the goodwill of Tyslar is to be impaired by 20%. Neither Bubble, Salt nor Tyslar has issued any equity shares since acquisition.

STRATEGIC BUSINESS REPORTING

The following exchange rates are relevant for the preparation of the group financial statements:

	Dinars to \$
1 November 2014	8
1 February 2015	9
1 May 2015	9
31 October 2015	9.5
Average for the year to 31 October 2015	8.5

Required:

- (a)
- (i) **Calculate the goodwill for presentation on the consolidated statement of financial position of the Bubble Group at 31 October 2015 in accordance with International Financial Reporting Standards.** (6 marks)
- (ii) **Calculate the gain or loss on the retranslation of the foreign subsidiary showing the split between controlling interest and non-controlling interest and the closing balance on the foreign currency reserve to be presented on the consolidated statement of financial position of the Bubble Group at 31 October 2015 in accordance with International Financial Reporting Standards.** (6 marks)

Bubble wished to expand its overseas operations and on 1 May 2015 acquired an overseas property with a fair value of 58.5 million dinars. In exchange for the building, Bubble paid the supplier with land which Bubble had held but had yet to determine its use. The carrying amount of the land was \$5 million but it had an open market value of \$7 million. Bubble was unsure as to how to deal with this transaction and so has transferred \$5 million from investment properties to property, plant and equipment. The transaction has commercial substance.

In addition, Bubble spent \$0.5 million to help relocate staff to the new property and added this amount to the cost of the asset. Bubble has made no other entries in its financial statements in relation to the property. Bubble has a policy of depreciating properties over 35 years and follows the revaluation model under IAS 16 *Property, Plant & Equipment*. Due to a surge in the market, it is estimated that the fair value of the property is 75 million dinars as at 31 October 2015.

Bubble operates a defined benefit scheme for its employees but has yet to record anything for the current year except to expense the cash contributions which were \$6 million. The opening position was a net liability of \$15 million which is included in the non-current liabilities of Bubble in its draft financial statements. Current service costs for the year were \$5 million and interest rates on good quality corporate bonds fell from 8% at the start of the year to 6% by 31 October 2015. In addition, a payment of \$3 million was made out of the cash of the pension scheme in relation to employees who left the scheme at the year end. The reduction in the pension scheme liability as a result of the curtailment was \$4 million. The actuary has assessed that the scheme is in deficit by \$17 million as at 31 October 2015.

Required:

- (iii) **Explain with suitable calculations how the purchase of the foreign property would be recorded in the consolidated statement of financial position of the Bubble Group at 31 October 2015 in accordance with International Financial Reporting Standards.** (5 marks)
- (iv) **Show how the defined benefit pension scheme would be recorded in the consolidated financial statements of the Bubble Group at 31 October 2015 in accordance with International Financial Reporting Standards.** (4 marks)

The directors of Bubble are not fully aware of the requirements of IAS 21 *The Effects of Changes in Foreign Exchange Rates* in relation to exchange rate differences. They would like advice on how exchange differences should be recorded on both monetary and non-monetary assets in the financial statements of individual entities trading with foreign suppliers and how these differ from the requirements for the translation of an overseas entity. The directors also wish advice on what would happen to the exchange differences if Bubble were to sell all of its equity shares in Tyslar.

Required:

- (b) Explain to the directors of Bubble the correct accounting treatment for the various issues raised.

(9 marks)

(30 marks)

34. Estoil

An assessment of accounting practices for asset impairments is especially important in the context of financial reporting quality in that it requires the exercise of considerable management judgment and reporting discretion. The importance of this issue is heightened during periods of ongoing economic uncertainty as a result of the need for companies to reflect the loss of economic value in a timely fashion through the mechanism of asset write-downs. There are many factors which can affect the quality of impairment accounting and disclosures. These factors include changes in circumstance in the reporting period, the market capitalisation of the entity, the allocation of goodwill to cash generating units, valuation issues and the nature of the disclosures.

Required:

- (a) Discuss the importance and significance of the above factors when conducting an impairment test under IAS 36 *Impairment of Assets*.

(8 marks)

Estoil is an international company providing parts for the automotive industry. It operates in many different jurisdictions with different currencies. During 2014, Estoil experienced financial difficulties marked by a decline in revenue, a reorganisation and restructuring of the business and it reported a loss for the year. An impairment test of goodwill was performed but no impairment was recognised. Estoil applied one discount rate for all cash flows for all cash generating units (CGUs), irrespective of the currency in which the cash flows would be generated. The discount rate used was the weighted average cost of capital (WACC) and Estoil used the 10-year government bond rate for its jurisdiction as the risk free rate in this calculation. Additionally, Estoil built its model using a forecast denominated in the functional currency of the parent company. Estoil felt that any other approach would require a level of detail which was unrealistic and impracticable. Estoil argued that the different CGUs represented different risk profiles in the short term, but over a longer business cycle, there was no basis for claiming that their risk profiles were different.

Fariole specialises in the communications sector with three main CGUs. Goodwill was a significant component of total assets. Fariole performed an impairment test of the CGUs. The cash flow projections were based on the most recent financial budgets approved by management. The realised cash flows for the CGUs were negative in 2014 and far below budgeted cash flows for that period. The directors had significantly raised cash flow forecasts for 2015 with little justification. The projected cash flows were calculated by adding back depreciation charges to the budgeted result for the period with expected changes in working capital and capital expenditure not taken into account.

Required:

- (b) Discuss the acceptability of the above accounting practices under IAS 36 *Impairment of Assets* and the ethical issues that directors proposed accounting implies.

(10 marks)

Note: The marks are allocated equally between Estoil and Fariole.

Professional marks will be awarded for clarity and quality of presentation.

(2 marks)

(20 marks)

35. Lizzer

Developing a framework for disclosure is at the forefront of current debate and there are many bodies around the world attempting to establish an overarching framework to make financial statement disclosures more effective, coordinated and less redundant. It has been argued that instead of focusing on raising the quality of disclosures, these efforts have placed their emphasis almost exclusively on reducing the quantity of information. The belief is that excessive disclosure is burdensome and can overwhelm users. However, it could be argued that there is no such thing as too much 'useful' information for users.

Required:

- (a)
- (i) **Discuss why it is important to ensure the optimal level of disclosure in annual reports, describing the reasons why users of annual reports may have found disclosure to be excessive in recent years.** (9 marks)
 - (ii) **Describe the barriers, which may exist, to reducing excessive disclosure in annual reports.** (6 marks)
- (b) The directors of Lizzer, a public limited company, have read various reports on excessive disclosure in the annual report. They have decided to take action and do not wish to disclose any further detail concerning the two instances below.
- (i) Lizzer is a debt issuer whose business is the securitisation of a portfolio of underlying investments and financing their purchase through the issuing of listed, limited recourse debt. The repayment of the debt is dependent upon the performance of the underlying investments. Debt-holders bear the ultimate risks and rewards of ownership of the underlying investments. Given the debt specific nature of the underlying investments, the risk profile of individual debt may differ. Lizzer does not consider its debt-holders as being amongst the primary users of the financial statements and, accordingly, does not wish to provide disclosure of the debt-holders' exposure to risks in the financial statements, as distinct from the risks faced by the company's shareholders, in accordance with IFRS 7 Financial Instruments: Disclosures. (4 marks)
 - (ii) At the date of the financial statements, 31 January 2013, Lizzer's liquidity position was quite poor, such that the directors described it as 'unsatisfactory' in the management report. During the first quarter of 2013, the situation worsened with the result that Lizzer was in breach of certain loan covenants at 31 March 2013. The financial statements were authorised for issue at the end of April 2013. The directors' and auditor's reports both emphasised the considerable risk of not being able to continue as a going concern. The notes to the financial statements indicated that there was 'ample' compliance with all loan covenants as at the date of the financial statements. No additional information about the loan covenants was included in the financial statements. Lizzer had been close to breaching the loan covenants in respect of free cash flows and equity ratio requirements at 31 January 2013. The directors of Lizzer felt that, given the existing information in the financial statements, any further disclosure would be excessive and confusing to users. (4 marks)

Required:

Discuss the directors' view that no further information regarding the two instances above should be disclosed in the financial statements because it would be 'excessive'.

Note: The mark allocation is shown against each of the two instances above.

Professional marks will be awarded for clarity and quality of presentation.

(2 marks)

(25 marks)

36. Cloud

IAS 1 *Presentation of Financial Statements* defines profit or loss and other comprehensive income. The purpose of the statement of profit or loss and other comprehensive income is to show an entity's financial performance in a way which is useful to a wide range of users so that they may attempt to assess the future net cash inflows of an entity. The statement should be classified and aggregated in a manner which makes it understandable and comparable. However, the International Integrated Reporting Council (IIRC) is calling for a shift in thinking more to the long term, to think beyond what can be measured in quantitative terms and to think about how the entity creates value for its owners. Historical financial statements are essential in corporate reporting, particularly for compliance purposes, but it can be argued that they do not provide meaningful information. Preparers of financial statements seem to be unclear about the interaction between profit or loss and other comprehensive income (OCI) especially regarding the notion of reclassification, but are equally uncertain about whether the IIRC's Framework constitutes suitable criteria for report preparation. The Conceptual Framework published by the International Accounting Standards Board (IASB) has tried to clarify what distinguishes recognised items of income and expense which are presented in profit or loss from items of income and expense presented in OCI.

However, some commentators have noted that the Conceptual Framework clarification is inadequately robust in distinguishing between profit or loss and other comprehensive income (OCI)

Required:

- (a)
- (i) **Describe the current presentation requirements relating to the statement of profit or loss and other comprehensive income.**
(4 marks)
 - (ii) **Discuss, with examples, the nature of a reclassification adjustment and the arguments for and against allowing reclassification of items to profit or loss.**
(5 marks)
 - (iii) **Discuss the principles and key components of the IIRC's Framework, and any concerns which could question the Framework's suitability for assessing the prospects of an entity.**
(8 marks)
- (b) Cloud, a public limited company, regularly purchases steel from a foreign supplier and designates a future purchase of steel as a hedged item in a cash flow hedge. The steel was purchased on 1 May 2014 and at that date, a cumulative gain on the hedging instrument of \$3 million had been credited to other comprehensive income. At the year end of 30 April 2015, the carrying amount of the steel was \$8 million and its net realisable value was \$6 million. The steel was finally sold on 3 June 2015 for \$6.2 million.

On a separate issue, Cloud purchased an item of property, plant and equipment for \$10 million on 1 May 2013. The asset is depreciated over five years on the straight line basis with no residual value. At 30 April 2014, the asset was revalued to \$12 million. At 30 April 2015, the asset's value has fallen to \$4 million. The entity makes a transfer from revaluation surplus to retained earnings for excess depreciation, as the asset is used.

Required:

Show how the above transactions would be dealt with in the financial statements of Cloud from the date of the purchase of the assets.

(8 marks)

Note: The marks are allocated equally between the two issues.

(25 marks)

Specimen exam 1

Section A – BOTH questions are compulsory and MUST be attempted

1. The following group financial statements relate to the Kutchen Group which comprised Kutchen, House and Mach, all public limited companies.

Group statement of financial position as at 31 December 20X6

	\$m
Assets:	
Non-current assets	
Property, plant and equipment	365
Goodwill	-
Intangible assets	<u>23</u>
	388
Current assets	<u>133</u>
Total assets	<u>521</u>
Equity and liabilities	
Share capital of \$1 each	63
Retained earnings	56
Other components of equity	26
Non-controlling interest	<u>3</u>
	<u>148</u>
Non-current liabilities	101
Current liabilities	
Trade payables	<u>272</u>
Total liabilities	<u>373</u>
Total equity and liabilities	<u>521</u>

At the time of the internal review of the group financial statements, the following issues were discovered:

1. On 1 June 20X6, Kutchen acquired 70% of the equity interests of House. The purchase consideration comprised 20 million shares of \$1 of Kutchen at the acquisition date and a further 5 million shares on 31 December 20X7 if House's net profit after taxation was at least \$4 million for the year ending on that date.

The market price of Kutchen's shares on 1 June 20X6 was \$2 per share and that of House was \$4.20 per share. It is felt that there is a 20% chance of the profit target being met.

In accounting for the acquisition of House, the finance director did not take into account the non-controlling interest in the goodwill calculation. He determined that a bargain purchase of \$8 million arose on the acquisition of House, being the purchase consideration of \$40 million less the fair value of the identifiable net assets of House acquired on 1 June 20X6 of \$48 million. This valuation was included in the group financial statements above.

After the directors of Kutchen discovered the error, they decided to measure the non-controlling interest at fair value at the date of acquisition. The fair value of the non-controlling interest (NCI) in House was to be based upon quoted market prices at acquisition. House had issued share capital of \$1 each, totalling \$13 million at 1 June 20X6 and there has been no change in this amount since acquisition.

2. On 1 January 20X6, Kutchen acquired 80% of the equity interests of Mach, a privately owned entity, for a consideration of \$57 million. The consideration comprised cash of \$52 million and the transfer of non-depreciable land with a fair value of \$5 million. The carrying amount of the land at the acquisition date was \$3 million and the land has only recently been transferred to the seller of the shares in Mach and is still carried at \$3 million in the group financial statements at 31 December 20X6.

At the date of acquisition, the identifiable net assets of Mach had a fair value of \$55 million. Mach had made a net profit attributable to ordinary shareholders of \$3.6 million for the year to 31 December 20X5. The directors of Kutchen wish to measure the non-controlling interest at fair value at the date of acquisition but had again omitted NCI from the goodwill calculation. The NCI is to be fair valued using a public entity market multiple method. The directors of Kutchen have identified two companies who are comparable to Mach and who are trading at an average price to earnings ratio (P/E ratio) of 21. The directors have adjusted the P/E ratio to 19 for differences between the entities and Mach, for the purpose of fair valuing the NCI. The finance director has determined that a bargain purchase of \$3 million arose on the acquisition of Mach being the cash consideration of \$52 million less the fair value of the net assets of Mach of \$55 million. This gain on the bargain purchase had been included in the group financial statements above.

3. Kutchen had purchased an 80% interest in Niche for \$40 million on 1 January 20X6 when the fair value of the identifiable net assets was \$44 million. The partial goodwill method had been used to calculate goodwill and an impairment of \$2 million had arisen in the year ended 31 December 20X6. The holding in Niche was sold for \$50 million on 31 December 20X6. The carrying value of Niche's identifiable net assets other than goodwill was \$60 million at the date of sale. Kutchen had carried the investment in Niche at cost. The finance director calculated that a gain arose of \$2 million on the sale of Niche in the group financial statements being the sale proceeds of \$50 million less \$48 million being their share of the identifiable net assets at the date of sale (80% of \$60 million). This was credited to retained earnings.
4. Kutchen has decided to restructure one of its business segments. The plan was agreed by the board of directors on 1 October 20X6 and affects employees in two locations. In the first location, half of the factory units have been closed by 31 December 20X6 and the affected employees' pension benefits have been frozen. Any new employees will not be eligible to join the defined benefit plan. After the restructuring, the present value of the defined benefit obligation in this location is \$8 million. The following table relates to location 1.

5.

Value before restructuring	Location 1 – \$m
Present value of defined benefit obligation	(10)
Fair value of plan assets	7
Net pension liability	(3)

In the second location, all activities have been discontinued. It has been agreed that employees will receive a payment of \$4 million in exchange for the pension liability of \$2.4 million in the unfunded pension scheme. Kutchen estimates that the costs of the above restructuring excluding pension costs will be \$6 million. Kutchen has not accounted for the effects of the restructuring in its financial statements because it is planning a rights issue and does not wish to depress the share price. Therefore there has been no formal announcement of the restructuring.

Required:

- (a)
 - (i) Explain to the directors of Kutchen, with suitable workings, how goodwill should have been calculated on the acquisition of House and Mach showing the adjustments which need to be made to the consolidated financial statements to correct any errors by the finance director. (10 marks)
 - (ii) Explain, with suitable calculations, how the gain or loss on the sale of Niche should have been recorded in the group financial statements. (5 marks)
 - (iii) Discuss, with suitable workings, how the pension scheme should be dealt with after the restructuring of the business segment and whether a provision for restructuring should have been made in the financial statements for the year ended 31 December 20X6. (7 marks)

Note: Marks will be allocated in (a) for a suitable discussion of the principles involved as well as the accounting treatment.

- (b) When Kutchen acquired the majority shareholding in Mach, there was an option on the remaining non-controlling interest (NCI), which could be exercised at any time up to 31 March 20X7. On 31 January 20X7, Kutchen acquired the remaining NCI in Mach. The payment for the NCI was structured so that it contained a fixed initial payment and a series of contingent amounts payable over the following two years.

The contingent payments were to be based on the future profits of Mach up to a maximum amount. Kutchen felt that the fixed initial payment was an equity transaction. Additionally, Kutchen was unsure as to whether the contingent payments were either equity, financial liabilities or contingent liabilities.

After a board discussion which contained disagreement as to the accounting treatment, Kutchen is preparing to disclose the contingent payments in accordance with IAS 37 *Provisions, Contingent Liabilities and Contingent Assets*. The disclosure will include the estimated timing of the payments and the directors' estimate of the amounts to be settled.

Required:

Advise Kutchen on the difference between equity and liabilities, and on the proposed accounting treatment of the contingent payments on acquisition of the NCI of Mach.

(8 marks)

(30 marks)

2. Abby is a company which conducts business in several parts of the world.

The accountant has discovered that the finance director of Abby has purchased goods from a company, Arwright, which the director jointly owns with his wife and the accountant believes that this purchase should be disclosed. However, the director refuses to disclose the transaction as in his opinion it is an 'arm's length' transaction. He feels that if the transaction is disclosed, it will be harmful to business and feels that the information asymmetry caused by such non-disclosure is irrelevant as most entities undertake related party transactions without disclosing them. Similarly, the director felt that competitive harm would occur if disclosure of operating segment profit or loss was made. As a result, the entity only disclosed a measure of total assets and total liabilities for each reportable segment.

When preparing the financial statements for the recent year end, the accountant noticed that Arwright has not paid an invoice for several million dollars and it is significantly overdue for payment. It appears that the entity has liquidity problems and it is unlikely that Arwright will pay. The accountant believes that a loss allowance for trade receivables is required. The finance director has refused to make such an allowance and has told the accountant that the issue must not be discussed with anyone within the trade because of possible repercussions for the credit worthiness of Arwright.

Additionally, when completing the consolidated financial statements, the director has suggested that there should be no positive fair value adjustments for a recently acquired subsidiary and has stated that the accountant's current position is dependent upon following these instructions. The fair value of the subsidiary is \$50 million above the carrying amount in the financial records. The reason given for not fair valuing the subsidiary's net assets is that goodwill is an arbitrary calculation which is meaningless in the context of the performance evaluation of an entity.

Finally, when preparing the annual impairment tests of goodwill arising on other subsidiaries, the director has suggested that the accountant is flexible in the assumptions used in calculating future expected cash flows, so that no impairment of goodwill arises and that the accountant should use a discount rate which reflects risks for which future cash flows have been adjusted. He has indicated that he will support a salary increase for the accountant if he follows his suggestions.

Required:

Discuss the ethical and accounting implications of the above situations from the perspective of the reporting accountant.

(18 marks)

Professional marks will be awarded in question 2 for the application of ethical principles.

(2 marks)

(20 marks)

Section B – BOTH questions are compulsory and MUST be attempted

3.

- (a) Africant owns several farms and also owns a division which sells agricultural vehicles. It is considering selling this agricultural retail division and wishes to measure the fair value of the inventory of vehicles for the purpose of the sale. Three markets currently exist for the vehicles. Africant has transacted regularly in all three markets.

At 31 December 20X5, Africant wishes to find the fair value of 150 new vehicles, which are identical. The current volume and prices in the three markets are as follows:

Market	Sales price per vehicle \$	Historical volume – vehicles sold by Africant	Total volume of vehicles sold in the market	Transaction costs per vehicle \$	Transport cost to market per vehicle \$
Europe	40,000	6,000	150,000	500	400
Asia	38,000	2,500	750,000	400	700
Africa	34,000	1,500	100,000	300	600

Africant wishes to value the vehicles at \$39,100 per vehicle as these are the highest net proceeds per vehicle, and Europe is the largest market for Africant's product.

- (i) Africant wishes to understand the principles behind the valuation of the new vehicles and also whether their valuation would be acceptable under IFRS 13 *Fair Value Measurement*. (8 marks)
- (ii) Africant uses the revaluation model for its non-current assets. Africant has several plots of farmland which are unproductive. The company feels that the land would have more value if it were used for residential purposes. There are several potential purchasers for the land but planning permission has not yet been granted for use of the land for residential purposes. However, preliminary enquiries with the regulatory authorities seem to indicate that planning permission may be granted. Additionally, the government has recently indicated that more agricultural land should be used for residential purposes.

Africant has also been approached to sell the land for commercial development at a higher price than that for residential purposes and understands that fair value measurement of a non-financial asset takes into account a market perspective.

Africant would like an explanation of what is meant by a 'market perspective' and advice on how to measure the fair value of the land in its financial statements. (7 marks)

Required:

Advise Africant on the matters set out above (in (i) and (ii)) with reference to relevant International Financial Reporting Standards.

Note: The mark allocation is shown against each of the two issues above.

- (b) Africant is about to hold its annual general meeting with shareholders and the directors wish to prepare for any potential questions which may be raised at the meeting. There have been discussions in the media over the fact that the most relevant measurement method should be selected for each category of assets and liabilities. This 'mixed measurement approach' is used by many entities when preparing financial statements. There have also been comments in the media about the impact that measurement uncertainty and price volatility can have on the quality of financial information.

Required:

Discuss the impact which the above matters may have on the analysis of financial statements by investors in Africant.

(8 marks)

Professional marks will be awarded in part (b) for clarity and quality of presentation.

(2 marks)

(25 marks)

STRATEGIC BUSINESS REPORTING

4. The directors of Rationale are reviewing the published financial statements of the group. The following is an extract of information to be found in the financial statements.

Year ended	31 December 20X6 (\$m)	31 December 20X5 (\$m)
Net profit/(loss) before taxation and after the items set out below	(5)	38
Net interest expense	10	4
Depreciation	9	8
Amortisation of intangible assets	3	2
Impairment of property	10	
Insurance proceeds	<u>(7)</u>	3
Debt issue costs	2	
Share-based payment	3	1
Restructuring charges	4	
Impairment of acquired intangible assets	6	8

The directors use 'underlying profit' to comment on its financial performance. Underlying profit is a measure normally based on earnings before interest, tax, depreciation and amortisation (EBITDA). However, the effects of events which are not part of the usual business activity are also excluded when evaluating performance.

The following items were excluded from net profit to arrive at 'underlying profit'. In 20X6, the entity had to write off a property due to subsidence and the insurance proceeds recovered for this property was recorded but not approved until 20X7, when the company's insurer concluded that the claim was valid. In 20X6, the entity considered issuing loan notes to finance an asset purchase, however, the purchase did not go ahead. The entity incurred costs associated with the potential issue and so these costs were expensed as part of net profit before taxation. The entity felt that the share-based payment was not a cash expense and that the value of the options was subjective. Therefore, the directors wished to exclude the item from 'underlying profit'. Similarly, the directors wish to exclude restructuring charges incurred in the year, and impairments of acquired intangible assets.

Required:

- (a)
- Discuss the possible concerns where an entity may wish to disclose additional information in its financial statements and whether the Conceptual Framework for Financial Reporting helps in determining the boundaries for disclosure. (8 marks)
 - Discuss the use and the limitations of the proposed calculation of 'underlying profit' by Rationale.

Note: Your answer should include a comparative calculation of underlying profit for the years ended 31 December 20X5 and 20X6. (9 marks)

- (b) The directors of Rationale are confused over the nature of a reclassification adjustment and understand that the IASB has issued pronouncements on the subject.

Required:

Discuss, with examples, the nature of a reclassification adjustment and the arguments for and against allowing reclassification of items to profit or loss.

Note: A brief reference should be made in your answer to the IASB's 2018 Conceptual Framework. (8 marks)

(25 marks)

Specimen exam 2

Section A – BOTH questions are compulsory and MUST be attempted

1. Background

Hill is a public limited company which has investments in a number of other entities. All of these entities prepare their financial statements in accordance with International Financial Reporting Standards. Extracts from the draft individual statements of profit or loss for Hill, Chandler and Doyle for the year ended 30 September 20X6 are presented below.

	Hill	Chandler	Doyle
	\$m	\$m	\$m
Profit/(loss) before taxation	(45)	67	154
Taxation	9	(15)	(31)
Profit/(loss) for the period	<u>(36)</u>	<u>52</u>	<u>123</u>

Acquisition of 80% of Chandler

Hill purchased 80% of the ordinary shares of Chandler on 1 October 20X5. Cash consideration of \$150 million has been included when calculating goodwill in the consolidated financial statements. The purchase agreement specified that a further cash payment of \$32 million becomes payable on 1 October 20X7 but no entries have been posted in the consolidated financial statements in respect of this. A discount rate of 5% should be used.

In the goodwill calculation, the fair value of Chandler's identifiable net assets was deemed to be \$170 million. Of this, \$30 million related to Chandler's non-depreciable land. However, on 31 December 20X5, a survey was received which revealed that the fair value of this land was actually only \$20 million as at the acquisition date. No adjustments have been made to the goodwill calculation in respect of the results of the survey. The non-controlling interest at acquisition was measured using the proportionate method as \$34 million (\$170m x 20%).

As at 30 September 20X6, the recoverable amount of Chandler was calculated as \$250 million. No impairment has been calculated or accounted for in the consolidated financial statements.

Disposal of 20% holding in Doyle

On 1 October 20X4, Hill purchased 60% of the ordinary shares of Doyle. At this date, the fair value of Doyle's identifiable net assets was \$510 million. The non-controlling interest at acquisition was measured at its fair value of \$215 million. Goodwill arising on the acquisition of Doyle was \$50 million and had not been impaired prior to the disposal date. On 1 April 20X6, Hill disposed of a 20% holding in the shares of Doyle for cash consideration of \$140 million. At this date, the net assets of Doyle, excluding goodwill, were carried in the consolidated financial statements at \$590 million.

From 1 April 20X6, Hill has the ability to appoint two of the six members of Doyle's board of directors. The fair value of Hill's 40% shareholding was \$300 million at that date.

Issue of convertible bond

On 1 October 20X5, Hill issued a convertible bond at par value of \$20 million and has recorded it as a non-current liability. The bond is redeemable for cash on 30 September 20X7 at par. Bondholders can instead opt for conversion in the form of a fixed number of shares. Interest on the bond is payable at a rate of 4% a year in arrears. The interest paid in the year has been presented in finance costs. The interest rate on similar debt without a conversion option is 10%.

Discount factors

Year	Discount rate 5%	Discount rate 10%
1	0.952	0.909
2	0.907	0.826

Required:

- (a)
- (i) In respect of the investment in Chandler, explain, with suitable calculations, how goodwill should have been calculated, and show the adjustments which need to be made to the consolidated financial statements for this as well as any implications of the recoverable amount calculated at 30 September 20X6. (13 marks)
 - (ii) Discuss, with suitable calculations, how the investment in Doyle should be dealt with in the consolidated financial statements for the year ended 30 September 20X6. (7 marks)
 - (iii) Discuss, with suitable calculations, how the convertible bond should be dealt with in the consolidated financial statements for the year ended 30 September 20X6, showing any adjustments required. (6 marks)
- (b) Hill has made a loss in the year ended 30 September 20X6, as well as in the previous two financial years. In the consolidated statement of financial position it has recognised a material deferred tax asset in respect of the carry-forward of unused tax losses. These losses cannot be surrendered to other group companies. On 30 September 20X6, Hill breached a covenant attached to a bank loan which is due for repayment in 20X9. The loan is presented in non-current liabilities on the statement of financial position. The loan agreement terms state that a breach in loan covenants entitles the bank to demand immediate repayment of the loan. Hill and its subsidiaries do not have sufficient liquid assets to repay the loan in full. However, on 1 November 20X6 the bank confirmed that repayment of the loan would not be required until the original due date. Hill has produced a business plan which forecasts significant improvement in its financial situation over the next three years as a result of the launch of new products which are currently being developed.

Required:

Discuss the proposed treatment of Hill's deferred tax asset and the financial reporting issues raised by its loan covenant breach. (9 marks)

(35 marks)

2. Gustoso is a public limited company which produces a range of luxury Italian food products which are sold to restaurants, shops and supermarkets. It prepares its financial statements in accordance with International Financial Reporting Standards. The directors of Gustoso receive a cash bonus each year if reported profits for the period exceed a pre-determined target. Gustoso has performed in excess of targets in the year ended 31 December 20X7. Forecasts for 20X8 are, however, pessimistic due to economic uncertainty and stagnant nationwide wage growth.

Provisions

A new accountant has recently started work at Gustoso. She noticed that the provisions balance as at 31 December 20X7 is significantly higher than in the prior year. She made enquiries of the finance director, who explained that the increase was due to substantial changes in food safety and hygiene laws which become effective during 20X8. As a result, Gustoso must retrain a large proportion of its workforce. This retraining has yet to occur, so a provision has been recognised for the estimated cost of \$2 million. The finance director then told the accountant that such enquiries were a waste of time and would not be looked at favourably when deciding on her future pay rises and bonuses.

Wheat contract

Gustoso purchases significant quantities of wheat for use in its bread and pasta products. These are high-value products on which Gustoso records significant profit margins. Nonetheless, the price of wheat is volatile and so, on 1 November 20X7, Gustoso entered into a contract with a supplier to purchase 500,000 bushels of wheat in June 20X8 for \$5 a bushel. The contract can be settled net in cash. Gustoso has entered into similar contracts in the past and has always taken delivery of the wheat. By 31 December 20X7 the price of wheat had fallen. The finance director recorded a derivative liability of \$0.5 million on the statement of financial position and a loss of \$0.5 million in the statement of profit or loss. Wheat prices may rise again before June 20X8. The accountant is unsure if the current accounting treatment is correct but feels uncomfortable approaching the finance director again.

QUESTIONS

Required:

Discuss the ethical and accounting implications of the above situations from the perspective of the accountant.

(13 marks)

Professional marks will be awarded in question 2 for the application of ethical principles.

(2 marks)

(15 marks)

Section B – BOTH questions are compulsory and MUST be attempted

3. Calendar has a reporting date of 31 December 20X7. It prepares its financial statements in accordance with International Financial Reporting Standards. Calendar develops biotech products for pharmaceutical companies. These pharmaceutical companies then manufacture and sell the products. Calendar receives stage payments during product development and a share of royalties when the final product is sold to consumers. A new accountant has recently joined Calendar's finance department and has raised a number of queries.

(a)

- (i) During 20X6 Calendar acquired a development project through a business combination and recognised it as an intangible asset. The commercial director decided that the return made from the completion of this specific development project would be sub-optimal. As such, in October 20X7, the project was sold to a competitor. The gain arising on derecognition of the intangible asset was presented as revenue in the financial statements for the year ended 31 December 20X7 on the grounds that development of new products is one of Calendar's ordinary activities. Calendar has made two similar sales of development projects in the past, but none since 20X0.

The accountant requires advice about whether the accounting treatment of this sale is correct. (6 marks)

- (ii) While searching for some invoices, the accountant found a contract which Calendar had entered into on 1 January 20X7 with Diary, another entity. The contract allows Calendar to use a specific aircraft owned by Diary for a period of three years. Calendar is required to make annual payments.

On 1 January 20X7, costs were incurred negotiating the contract. The first annual payment was made on 31 December 20X7. Both of these amounts have been expensed to the statement of profit or loss.

There are contractual restrictions concerning where the aircraft can fly. Subject to those restrictions, Calendar determines where and when the aircraft will fly, and the cargo and passengers which will be transported.

Diary is permitted to substitute the aircraft at any time during the three-year period for an alternative model and must replace the aircraft if it is not working. Any substitute aircraft must meet strict interior and exterior specifications outlined in the contract. There are significant costs involved in outfitting an aircraft to meet Calendar's specifications.

The accountant requires advice as to the correct accounting treatment of this contract. (9 marks)

Required:

Advise the accountant on the matters set out above with reference to International Financial Reporting Standards.

Note: The split of the mark allocation is shown against each of the two issues above.

- (b) The new accountant has been reviewing Calendar's financial reporting processes. She has recommended the following:
- All purchases of property, plant and equipment below \$500 should be written off to profit or loss. The accountant believes that this will significantly reduce the time and cost involved in maintaining detailed financial records and producing the annual financial statements.
 - A checklist should be used when finalising the annual financial statements to ensure that all disclosure notes required by specific IFRS and IAS Standards are included.

Required:

With reference to the concept of materiality, discuss the acceptability of the above two proposals.

Note: Your answer should refer to the IFRS Practice Statement: *Application of Materiality to Financial Statements*.

(10 marks)

(25 marks)

4.

- (a) Kiki is a public limited entity. It designs and manufactures children's toys. It has a reporting date of 31 December 20X7 and prepares its financial statements in accordance with International Financial Reporting Standards. The directors require advice about the following situations.

- (i) Kiki sells \$50 gift cards. These can be used when purchasing any of Kiki's products through its website. The gift cards expire after 12 months. Based on significant past experience, Kiki estimates that its customers will redeem 70% of the value of the gift card and that 30% of the value will expire unused. Kiki has no requirement to remit any unused funds to the customer when the gift card expires unused.

The directors are unsure about how the gift cards should be accounted for. (6 marks)

- (ii) Kiki's best-selling range of toys is called Scarimon. In 20X6 Colour, another listed company, entered into a contract with Kiki for the rights to use Scarimon characters and imagery in a monthly comic book. The contract terms state that Colour must pay Kiki a royalty fee for every issue of the comic book which is sold. Before signing the contract, Kiki determined that Colour had a strong credit rating. Throughout 20X6, Colour provided Kiki with monthly sales figures and paid all amounts due in the agreed-upon period. At the beginning of 20X7, Colour experienced cash flow problems. These were expected to be short term. Colour made nominal payments to Kiki in relation to comic sales for the first half of the year. At the beginning of July 20X7, Colour lost access to credit facilities and several major customers. Colour continued to sell Scarimon comics online and through specialist retailers but made no further payments to Kiki.

The directors are unsure how to deal with the above issues in the financial statements for the year ended 31 December 20X7. (6 marks)

Required:

Advise the accountant on the matters set out above with reference to International Financial Reporting Standards.

Note: The split of the mark allocation is shown against each of the two issues above.

- (b) As a result of rising property prices, Kiki purchased five buildings during the current period in order to benefit from further capital appreciation. Kiki has never owned an investment property before. In accordance with IAS 40 Investment Property, the directors are aware that they can measure the buildings using either the fair value model or the cost model. However, they are concerned about the impact that this choice will have on the analysis of Kiki's financial performance, position and cash flows by current and potential investors.

Required:

Discuss the potential impact which this choice in accounting policy will have on investors' analysis of Kiki's financial statements. Your answer should refer to key financial performance ratios.

(11 marks)

Professional marks will be awarded in part (b) for clarity and quality of presentation.

(2 marks)

(25 marks)

End of Question Paper

Past exams

September 2018

Section A - BOTH questions are compulsory and MUST be attempted

1. Banana

Background

Banana is the parent of a listed group of companies which have a year end of 30 June 20X7. Banana has made a number of acquisitions and disposals of investments during the current financial year and the directors require advice as to the correct accounting treatment of these acquisitions and disposals.

The acquisition of Grape

On 1 January 20X7, Banana acquired an 80% equity interest in Grape. The following is a summary of Grape's equity at the acquisition date.

	\$ millions
Equity share capital (\$1 each)	20
Retained earnings	42
Other components of equity	<u>8</u>
Total	<u>70</u>

The purchase consideration comprised 10 million of Banana's shares which had a nominal value of \$1 each and a market price of \$6-80 each. Additionally, cash of \$18 million was due to be paid on 1 January 20X9 if the net profit after tax of Grape grew by 5% in each of the two years following acquisition. The present value of the total contingent consideration at 1 January 20X7 was \$16 million. It was felt that there was a 25% chance of the profit target being met. At acquisition, the only adjustment required to the identifiable net assets of Grape was for land which had a fair value \$5 million higher than its carrying amount. This is not included within the \$70 million equity of Grape at 1 January 20X7.

Goodwill for the consolidated financial statements has been incorrectly calculated as follows:

	\$m
Share consideration	68
Add NCI at acquisition (20% x \$70 million)	14
Less net assets at acquisition	<u>(70)</u>
Goodwill at acquisition	<u>12</u>

The financial director did not take into account the contingent cash since it was not probable that it would be paid. Additionally, he measured the non-controlling interest using the proportional method of net assets despite the group having a published policy to measure non-controlling interest at fair value. The share price of Grape at acquisition was \$4.25 and should be used to value the non-controlling interest.

The acquisition and subsequent disposal of Strawberry

Banana had purchased a 40% equity interest in Strawberry for \$18 million a number of years ago when the fair value of the identifiable net assets was \$44 million. Since acquisition, Banana had the right to appoint one of the five directors on the board of Strawberry. The investment has always been equity accounted for in the consolidated financial statements of Banana. Banana disposed of 75% of its 40% investment on 1 October 20X6 for \$19 million when the fair values of the identifiable net assets of Strawberry were \$50 million. At that date, Banana lost its right to appoint one director to the board. The fair value of the remaining 10% equity interest was \$4.5 million at disposal but only \$4 million at 30 June 20X7. Banana has recorded a loss in reserves of \$14 million calculated as the difference between the price paid of \$18 million and the fair value of \$4 million at the reporting date. Banana has stated that they have no intention to sell their remaining shares in Strawberry and wish to classify the remaining 10% interest as fair value through other comprehensive income in accordance with International Financial Reporting Standards (IFRS®) 9 *Financial Instruments*.

The acquisition of Melon

On 30 June 20X7, Banana acquired all of the shares of Melon, an entity which operates in the biotechnology industry. Melon was only recently formed and its only asset consists of a licence to carry out research activities. Melon has no employees as research activities were outsourced to other companies. The activities are still at a very early stage and it is not clear that any definitive product would result from the activities. A management company provides personnel for Melon to supply supervisory activities and administrative functions. Banana believes that Melon does not constitute a business in accordance with IFRS 3 *Business Combinations* since it does not have employees nor carries out any of its own processes. Banana intends to employ its own staff to operate Melon rather than to continue to use the services of the management company. The directors of Banana therefore believe that Melon should be treated as an asset acquisition but are uncertain as to whether the International Accounting Standards Board's exposure draft *Definition of a Business and Accounting for Previously Held Interests ED 2016/1* would revise this conclusion.

The acquisition of bonds

On 1 July 20X5, Banana acquired \$10 million 5% bonds at par with interest being due at 30 June each year. The bonds are repayable at a substantial premium so that the effective rate of interest was 7%. Banana intended to hold the bonds to collect the contractual cash flows arising from the bonds and measured them at amortised cost.

On 1 July 20X6, Banana sold the bonds to a third party for \$8 million. The fair value of the bonds was \$10.5 million at that date. Banana has the right to repurchase the bonds on 1 July 20X8 for \$8.8 million and it is likely that this option will be exercised. The third party is obliged to return the coupon interest to Banana and to pay additional cash to Banana should bond values rise. Banana will also compensate the third party for any devaluation of the bonds.

Required:

- (a) Draft an explanatory note to the directors of Banana, discussing the following:
 - (i) how goodwill should have been calculated on the acquisition of Grape and show the accounting entry which is required to amend the financial director's error; (8 marks)
 - (ii) why equity accounting was the appropriate treatment for Strawberry in the consolidated financial statements up to the date of its disposal showing the carrying amount of the investment in Strawberry just prior to disposal; (4 marks)
 - (iii) how the gain or loss on disposal of Strawberry should have been recorded in the consolidated financial statements and how the investment in Strawberry should be accounted for after the part disposal. (4 marks)

Note: Any workings can either be shown in the main body of the explanatory note or in an appendix to the explanatory note.

- (b) Discuss whether the directors are correct to treat Melon as a financial asset acquisition and whether the International Accounting Standards Board's proposed amendments to the definition of a business would revise your conclusions. (7 marks)
- (c) Discuss how the derecognition requirements of IFRS 9 Financial Instruments should be applied to the sale of the bond including calculations to show the impact on the consolidated financial statements for the year ended 30 June 20X7. (7 marks)

(30 marks)

2. Farham

Background

Farham manufactures white goods such as washing machines, tumble dryers and dishwashers. The industry is highly competitive with a large number of products on the market. Brand loyalty is consequently an important feature in the industry. Farham operates a profit related bonus scheme for its managers based upon the consolidated financial statements but recent results have been poor and bonus targets have rarely been achieved. As a consequence, the company is looking to restructure and sell its 80% owned subsidiary Newall which has been making substantial losses. The current year end is 30 June 20X8.

Factory subsidence

Farham has a production facility which started to show signs of subsidence since January 20X8. It is probable that Farham will have to undertake a major repair sometime during 20X9 to correct the problem. Farham does have an insurance policy but it is unlikely to cover subsidence. The chief operating officer (COO) refuses to disclose the issue at 30 June 20X8 since no repair costs have yet been undertaken although she is aware that this is contrary to international accounting standards. The COO does not think that the subsidence is an

STRATEGIC BUSINESS REPORTING

indicator of impairment. She argues that no provision for the repair to the factory should be made because there is no legal or constructive obligation to repair the factory.

Farham has a revaluation policy for property, plant and equipment and there is a balance on the revaluation surplus of \$10 million in the financial statements for the year ended 30 June 20X8. None of this balance relates to the production facility but the COO is of the opinion that this surplus can be used for any future loss arising from the subsidence of the production facility. (5 marks)

Sale of Newall

At 30 June 20X8 Farham had a plan to sell its 80% subsidiary Newall. This plan has been approved by the board and reported in the media. It is expected that Oldcastle, an entity which currently owns the other 20% of Newall, will acquire the 80% equity interest. The sale is expected to be complete by December 20X8. Newall is expected to have substantial trading losses in the period up to the sale. The accountant of Farham wishes to show Newall as held for sale in the consolidated financial statements and to create a restructuring provision to include the expected costs of disposal and future trading losses. The COO does not wish Newall to be disclosed as held for sale nor to provide for the expected losses. The COO is concerned as to how this may affect the sales price and would almost certainly mean bonus targets would not be met. The COO has argued that they have a duty to secure a high sales price to maximise the return for shareholders of Farham. She has also implied that the accountant may lose his job if he were to put such a provision in the financial statements. The expected costs from the sale are as follows:

Future trading losses	\$30 million
Various legal costs of sale	\$2 million
Redundancy costs for Newall employees	\$5 million
Impairment losses on owned assets	\$8 million

Included within the future trading losses is an early payment penalty of \$6 million for a leased asset which is deemed surplus to requirements. (6 marks)

Required:

- (a) Discuss the accounting treatment which Farham should adopt to address each of the issues above for the consolidated financial statements.

Note: The mark allocation is shown against each of the two issues above.

- (b) Discuss the ethical issues arising from the scenario, including any actions which Farham and the accountant should undertake. (7 marks)

Professional marks will be awarded in question 2 for the quality of the discussion. (2 marks)

(20 marks)

Section B - BOTH questions are compulsory and MUST be attempted

3. Skizer

- (a) Skizer is a pharmaceutical company which develops new products with other pharmaceutical companies that have the appropriate production facilities.

Stakes in development projects

When Skizer acquires a stake in a development project, it makes an initial payment to the other pharmaceutical company. It then makes a series of further stage payments until the product development is complete and it has been approved by the authorities. In the financial statements for the year ended 31 August 20X7, Skizer has treated the different stakes in the development projects as separate intangible assets because of the anticipated future economic benefits related to Skizer's ownership of the product rights. However, in the year to 31 August 20X8, the directors of Skizer decided that all such intangible assets were to be expensed as research and development costs as they were unsure as to whether the payments should have been initially recognised as intangible assets. This write off was to be treated as a change in an accounting estimate.

Sale of development project

On 1 September 20X6, Skizer acquired a development project as part of a business combination and correctly recognised the project as an intangible asset. However, in the financial statements to 31 August 20X7, Skizer recognised an impairment loss for the full amount of the intangible asset because of the uncertainties surrounding the completion of the project. During the year ended 31 August 20X8, the directors of Skizer judged that it could not complete the project on its own and could not find a suitable entity to jointly develop it. Thus, Skizer decided to sell the project, including all rights to future development. Skizer succeeded in selling the project and, as the project had a nil carrying value, it treated the sale proceeds as revenue in the financial statements. The directors of Skizer argued that IFRS 15 *Revenue from Contracts with Customers* states that revenue should be recognised when control is passed at a point in time. The directors of Skizer argued that the sale of the rights was part of their business model and that control of the project had passed to the purchaser.

Required:

- (i) Explain the criteria in the 2018 version of the *Conceptual Framework for Financial Reporting* (the *Conceptual Framework*) of the International Accounting Standards Board for the recognition of an asset and whether the criteria are the same in International Accounting Standard (IAS®) 38 *Intangible Assets*. (6 marks)
 - (ii) Discuss the implications for Skizer's financial statements for both the years ended 31 August 20X7 and 20X8 if the recognition criteria in IAS 38 for an intangible asset were met as regards the stakes in the development projects above. Your answer should also briefly consider the implications if the recognition criteria were not met. (5 marks)
 - (iii) Discuss whether the proceeds of the sale of the development project above should be treated as revenue in the financial statements for the year ended 31 August 20X8. (4 marks)
- (b) External disclosure of information on intangibles is useful only insofar as it is understood and is relevant to investors. It appears that investors are increasingly interested in and understand disclosures relating to intangibles. A concern is that, due to the nature of disclosure requirements of IFRS Standards, investors may feel that the information disclosed has limited usefulness, thereby making comparisons between companies difficult. Many companies spend a huge amount of capital on intangible investment, which is mainly developed within the company and thus may not be reported. Often, it is not obvious that intangibles can be valued or even separately identified for accounting purposes.

The *Integrated Reporting Framework* may be one way to solve this problem.

Required:

- (i) Discuss the potential issues which investors may have with:
- accounting for the different types of intangible asset acquired in a business combination;
 - the choice of accounting policy of cost or revaluation models, allowed under IAS 38 *Intangible Assets* for intangible assets;
 - the capitalisation of development expenditure. (7 marks)
- (ii) Discuss whether integrated reporting can enhance the current reporting requirements for intangible assets. (3 marks)

(25 marks)**4. Toobasco**

- (a) Toobasco is in the retail industry. In the reporting of financial information, the directors have disclosed several alternative performance measures (APMs), other than those defined or specified under IFRS Standards. The directors have disclosed the following APMs:
- (i) 'Operating profit before extraordinary items' is often used as the headline measure of the Group's performance, and is based on operating profit before the impact of extraordinary items. Extraordinary items relate to certain costs or incomes which are excluded by virtue of their size and are deemed to be non-recurring. Toobasco has included restructuring costs and impairment losses in extraordinary items. Both items had appeared at similar amounts in the financial statements of the two previous years and were likely to occur in future years.
 - (ii) 'Operating free cash flow' is calculated as cash generated from operations less purchase of property, plant and equipment, purchase of own shares, and the purchase of intangible assets. The directors have described this figure as representing the residual cash flow in the business but have given no detail of its calculation. They have emphasised its importance to the success of the business. They have also shown free cash flow per share in bold next to earnings per share in order to emphasise the entity's ability to turn its earnings into cash.
 - (iii) 'EBITDAR' is defined as earnings before interest, tax, depreciation, amortisation and rent. EBITDAR uses operating profit as the underlying earnings. In an earnings release, just prior to the financial year end, the directors disclosed that EBITDAR had improved by \$180 million because of cost savings associated with the acquisition of an entity six months earlier. The directors discussed EBITDAR at length describing it as 'record performance' but did not disclose any comparable information under IFRS Standards and there was no reconciliation to any measure under IFRS Standards. In previous years, rent had been deducted from the earnings figure to arrive at this APM.
 - (iv) The directors have not taken any tax effects into account in calculating the remaining APMs.

Required:**Advise the directors whether the above APMs would achieve fair presentation in the financial statements.****(10 marks)**

- (b) Daveed is a car retailer who leases vehicles to customers under operating leases and often sells the cars to third parties when the lease ends.

Net cash generated from operating activities for the year ended 31 August 20X8 for the Daveed Group is as follows:

Year ended 31 August 20X8	\$m
Cash generated from operating activities	345
Income taxes paid	(21)
Pension deficit payments	(33)
Interest paid	(25)
Associate share of profits	<u>12</u>
Net cash generated from operating activities	<u>278</u>

Net cash flows generated from investing activities included interest received of \$10 million and net capital expenditure of \$46 million excluding the business acquisition at (iii) below.

There were also some errors in the presentation of the statement of cash flows which could have an impact on the calculation of net cash generated from operating activities.

The directors have provided the following information as regards any potential errors:

- (i) Cars are treated as property, plant and equipment when held under operating leases and when they become available for sale, they are transferred to inventory at their carrying amount. In its statement of cash flows for the year ended 31 August 20X8, cash flows from investing activities included cash inflows relating to the disposal of cars (\$30 million).
- (ii) On 1 September 20X7, Daveed purchased a 25% interest in an associate for cash. The associate reported a profit after tax of \$16 million and paid a dividend of \$4 million out of these profits in the year ended 31 August 20X8. The directors had incorrectly included a figure of \$12 million in cash generated from operating activities as the cash generated from the investment in the associate. The associate was correctly recorded at \$23 million in the statement of financial position at 31 August 20X8 and profit for the year of \$4 million was included in the statement of profit or loss.
- (iii) Daveed also acquired a digital mapping business during the year ended 31 August 20X8. The statement of cash flows showed a loss of \$28 million in net cash inflow generated from operating activities as the effect of changes in foreign exchange rates arising on the retranslation of this overseas subsidiary. The assets and liabilities of the acquired subsidiary had been correctly included in the calculation of the cash movement during the year.
- (iv) During the year to 31 August 20X8, Daveed made exceptional contributions to the pension plan assets of \$33 million but the statement of cash flows had not recorded the cash tax benefit of \$6 million.
- (v) Additionally, Daveed had capitalised the interest paid of \$25 million into property, plant and equipment (\$18 million) and inventory (\$7 million).
- (vi) Daveed has defined operating free cash flow as net cash generated by operating activities as adjusted for net capital expenditure, purchase of associate and dividends received, interest received and paid. Any exceptional items should also be excluded from the calculation of free cash flow.

Required:

Prepare:

- (i) an adjusted statement of net cash generated from operating activities to correct any errors above; (4 marks)
- (ii) a reconciliation from net cash generated by operating activities to operating free cash flow (as described in note (vi) above); and (4 marks)
- (iii) an explanation of the adjustments made in parts (i) and (ii) above. (5 marks)

Professional marks will be awarded in question 4(b) for clarity and quality of discussion. (2 marks)

(25 marks)

End of Question Paper

December 2018

Section A - BOTH questions are compulsory and MUST be attempted

1. Moyes Group

Background

The following are extracts from the consolidated financial statements of the Moyes group.

Group statement of profit or loss for the year ended 30 September 20X8:

	\$m
Revenue	612
Cost of sales	<u>(347)</u>
Gross profit	265
Operating expenses	<u>(123)</u>
Share of profit of associate	67
Profit before tax	<u>209</u>

Extracts from the group statement of financial position:

	30 September 20X8	30 September 20X7
	\$m	\$m
Inventories	126	165
Trade receivables	156	149
Trade payables	215	197

The following information is also relevant to the year ended 30 September 20X8:

Pension scheme

Moyes operates a defined benefit scheme. A service cost component of \$24 million has been included within operating expenses. The remeasurement component for the year was a gain of \$3 million. Benefits paid out of the scheme were \$31 million. Contributions into the scheme by Moyes were \$15 million.

Goodwill

Goodwill was reviewed for impairments at the reporting date. Impairments arose of \$10 million in the current year.

Property, plant and equipment

Property, plant and equipment (PPE) at 30 September 20X8 included cash additions of \$134 million. Depreciation charged during the year was \$99 million and an impairment loss of \$43 million was recognised. Prior to the impairment, the group had a balance on the revaluation surplus of \$50 million of which \$20 million related to PPE impaired in the current year.

Inventory

Goods were purchased for Dinar 80 million cash when the exchange rate was \$1:Dinar 5. Moyes had not managed to sell the goods at 30 September 20X8 and the net realisable value was estimated to be Dinar 60 million at 30 September 20X8. The exchange rate at this date was \$1:Dinar 6. The inventory has been correctly valued at 30 September 20X8 with both the exchange difference and impairment correctly included within cost of sales.

Changes to group structure

During the year ended 30 September 20X8, Moyes acquired a 60% subsidiary, Davenport, and also sold all of its equity interests in Barham for cash. The consideration for Davenport consisted of a share for share exchange together with some cash payable in two years. 80% of the equity shares of Barham had been acquired several years ago but Moyes had decided to sell as the performance of Barham had been poor for a number of years. Consequently, Barham had a substantial overdraft at the disposal date. Barham was unable to pay any dividends during the financial year but Davenport did pay an interim dividend on 30 September 20X8.

Discontinued operations

The directors of Moyes wish advice as to whether the disposal of Barham should be treated as a discontinued operation and separately disclosed within the consolidated statement of profit or loss.

There are several other subsidiaries which all produce similar products to Barham and operate in a similar geographical area. Additionally, Moyes holds a 52% equity interest in Watson. Watson has previously issued share options to other entities which are exercisable in the year ending 30 September 20X9. It is highly likely that these options would be exercised which would reduce Moyes' interest to 35%. The directors of Moyes require advice as to whether this loss of control would require Watson to be classified as held for sale and reclassified as discontinued.

Required:

- (a) Draft an explanatory note to the directors of Moyes which should include:
- (i) a calculation of cash generated from operations using the indirect method; and
 - (ii) an explanation of the specific adjustments required to the group profit before tax to calculate the cash generated from operations.

Note: Any workings can either be shown in the main body of the explanatory note or in an appendix to the explanatory note. (12 marks)

- (b) Explain how the changes to the group structure and dividend would impact upon the consolidated statement of cash flows at 30 September 20X8 for the Moyes group. You should not attempt to alter your answer to part (a). (6 marks)
- (c) Advise the directors as to whether Watson should be classified as held for sale and whether both it and Barham should be classified as discontinued operations. (6 marks)
- (d) The 2018 version of the *Conceptual Framework for Financial Reporting* (the *Conceptual Framework*) of the International Accounting Standards Board specifies that recognition criteria must be fulfilled in order for an asset or liability to qualify for recognition. Earlier versions of the *Conceptual Framework* made reference to the probability of flows in the recognition criteria. This led to some standards applying probability tests prior to asset or liability recognition. But other standards make no reference to probability tests. The International Accounting Standards Board came to the conclusion that the probability criterion in the original *Conceptual Framework* undermined the relevance of Financial Statements and therefore removed the probability criterion from the *Conceptual Framework* in the 2018 edition. However, this leaves the accounting standards with inconsistency in the application of probability.

Required:

Explain how the probability criterion has not been applied consistently across accounting standards. Illustrate your answer with reference to how there may be inconsistencies with the measurement of provisions and contingent consideration. (6 marks)

(30 marks)

2. Fiskerton

Background

The following is an extract from the statement of financial position of Fiskerton, a public limited entity as at 30 September 20X8.

	\$'000
Non-current assets	160,901
Current assets	110,318
Equity share capital (\$1 each)	10,000
Other components of equity	20,151
Retained earnings	70,253
Non-current liabilities (bank loan)	50,000
Current liabilities	120,815

The bank loan has a covenant attached whereby it will become immediately repayable should the gearing ratio (long-term debt to equity) of Fiskerton exceed 50%. Fiskerton has a negative cash balance as at 30 September 20X8.

Halam property

Included within the non-current assets of Fiskerton is a property in Halam which has been leased to Edingley under a 40-year lease. The property was acquired for \$20 million on 1 October 20X7 and was immediately leased to Edingley.

The asset was expected to have a useful life of 40 years at the date of acquisition and have a minimal residual value. Fiskerton has classified the building as an investment property and has adopted the fair value model.

The property was initially revalued to \$22 million on 31 March 20X8. Interim financial statements had indicated that gearing was 51% prior to this revaluation. The managing director was made aware of this breach of covenant and so instructed that the property should be revalued. The property is now carried at a value of \$28 million which was determined by the sale of a similar sized property on 30 September 20X8. This property was located in a much more prosperous area and built with a higher grade of material. An independent professional valuer has estimated the value to be no more than \$22 million. The managing director has argued that fair values should be referenced to an active market and is refusing to adjust the financial statements, even though he knows it is contrary to international accounting standards.

Sales contract

Fiskerton has entered into a sales contract for the construction of an asset with a customer whereby the customer pays an initial deposit. The deposit is refundable only if Fiskerton fails to complete the construction of the asset. The remainder is payable on delivery of the asset. If the customer defaults on the contract prior to completion, Fiskerton has the right to retain the deposit. The managing director believes that, as completion of the asset is performed over time, revenue should be recognised accordingly. He has persuaded the accountant to include the deposit and a percentage of the remaining balance for construction work in revenue to date.

Required:

- (a) Discuss how the Halam property should have been accounted for and explain the implications for the financial statements and the debt covenant of Fiskerton. (7 marks)
- (b) In accordance with International Financial Reporting Standards (IFRS®) 15 *Revenue from Contracts with Customers*, discuss whether revenue arising from the sales contract should be recognised on a stage of completion basis. (4 marks)
- (c) Explain any ethical issues which may arise for the managing director and the accountant from each of the scenarios. (7 marks)

Professional marks will be awarded in question 2(c) for the quality of the discussion. (2 marks)

(20 marks)

Section B - BOTH questions are compulsory and MUST be attempted

3. Fill

- (a) Fill is a coal mining company and sells its coal on the spot and futures markets. On the spot market, the commodity is traded for immediate delivery and, on the forward market, the commodity is traded for future delivery. The inventory is divided into different grades of coal. One of the categories included in inventories at 30 November 20X6 is coal with a low carbon content which is of a low quality. Fill will not process this low quality coal until all of the other coal has been extracted from the mine, which is likely to be in three years' time. Based on market information, Fill has calculated that the three-year forecast price of coal will be 20% lower than the current spot price.

The directors of Fill would like advice on two matters:

- whether the *Conceptual Framework* affects the valuation of inventories;
 - how to calculate the net realisable value of the coal inventory, including the low quality coal. (7 marks)
- (b) At 30 November 20X6, the directors of Fill estimate that a piece of mining equipment needs to be reconditioned every two years. They estimate that these costs will amount to \$2 million for parts and \$1 million for the labour cost of their own employees. The directors are proposing to create a provision for the next reconditioning which is due in two years' time in 20X8, along with essential maintenance costs. There is no legal obligation to maintain the mining equipment.

As explained above, it is expected that there will be future reductions in the selling prices of coal which will affect the forward contracts being signed over the next two years by Fill.

The directors of Fill require advice on how to treat the reconditioning costs and whether the decline in the price of coal is an impairment indicator. (8 marks)

- (c) Fill also jointly controls coal mines with other entities. The Theta mine is owned by four participants. Fill owns 28%, and the other three participants each own 24% of the mine. The operating agreement requires any major decisions to be approved by parties representing 72% of the interest in the mine. Fill is considering purchasing one of the participant's interests of 24%.

The directors of Fill wish advice on whether the *Conceptual Framework* will affect the decision as to whether Fill controls the mine.

The directors are also wondering whether the acquisition of the interest would be considered a business combination under IFRS Standards. (10 marks)

Required:

Advise the directors of Fill on how the above transactions should be dealt with in its financial statements with reference to relevant IFRS Standards and the *Conceptual Framework* where indicated.

Note: The split of the mark allocation is shown against each of the three issues above.

(25 marks)

4. Holls Group

- (a) The IFRS Practice Statement *Management Commentary* provides a broad, non-binding framework for the presentation of management commentary which relates to financial statements which have been prepared in accordance with IFRS Standards. The management commentary is within the scope of the *Conceptual Framework* and, therefore, the qualitative characteristics will be applied to both the financial statements and the management commentary.

Required:

- (i) Discuss briefly the arguments for and against issuing the IFRS Practice Statement *Management Commentary* as a non-binding framework or as an IFRS Standard. (4 marks)
 - (ii) Discuss how the qualitative characteristics of understandability, relevance and comparability should be applied to the preparation of the management commentary. (5 marks)
- (b) Holls Group is preparing its financial statements for the year ended 30 November 20X7. The directors of Holls have been asked by an investor to explain the accounting for taxation in the financial statements.

The Group operates in several tax jurisdictions and is subject to annual tax audits which can result in amendments to the amount of tax to be paid.

The profit from continuing operations was \$300 million in the year to 30 November 20X7 and the reported tax charge was \$87 million. The investor was confused as to why the tax charge was not the tax rate multiplied by the profit from continuing operations. The directors have prepared a reconciliation of the notional tax charge on profits as compared with the actual tax charge for the period.

	\$ million
Profit from continuing operations before taxation	<u>300</u>
Notional charge at local corporation tax rate of 22%	66
Differences in overseas tax rates	10
Tax relating to non-taxable gains on disposals of businesses	(12)
Tax relating to the impairment of brands	9
Other tax adjustments	<u>14</u>
Tax charge for the year	<u>87</u>

The amount of income taxes paid as shown in the statement of cash flows is \$95 million but there is no current explanation of the tax effects of the above items in the financial statements.

The tax rate applicable to Holls for the year ended 30 November 20X7 is 22%. There is a proposal in the local tax legislation that a new tax rate of 25% will apply from 1 January 20X8. In the country where Holls is domiciled, tax laws and rate changes are enacted when the government approves the legislation. The government approved the legislation on 12 November 20X7. The current weighted average tax rate for the Group is 27%. Holls does not currently disclose its opinion of how the tax rate may alter in the future but the government is likely to change with the result that a new government will almost certainly increase the corporate tax rate.

At 30 November 20X7, Holls has deductible temporary differences of \$4.5 million which are expected to reverse in the next year. In addition, Holls also has taxable temporary differences of \$5 million which relate to the same taxable company and the tax authority. Holls expects \$3 million of those taxable temporary differences to reverse in 20X8 and the remaining \$2 million to reverse in 20X9. Prior to the current year, Holls had made significant losses.

Required:

With reference to the above information, explain to the investor, the nature of accounting for taxation in financial statements.

Note: Your answer should explain the tax reconciliation, discuss the implications of current and future tax rates, and provide an explanation of accounting for deferred taxation in accordance with relevant IFRS Standards. (14 marks)

Professional marks will be awarded in question 4(b) for clarity and quality of discussion. (2 marks)

(25 marks)

End of Question Paper

March / June 2019

Section A – BOTH questions are compulsory and MUST be attempted**1. Carbise****Background**

Carbise is the parent company of an international group which has a presentation and functional currency of the dollar. The group operates within the manufacturing sector. On 1 January 20X2, Carbise acquired 80% of the equity share capital of Bikelite, an overseas subsidiary. The acquisition enabled Carbise to access new international markets. Carbise transfers surplus work-in-progress to Bikelite which is then completed and sold in various locations. The acquisition was not as successful as anticipated and on 30 September 20X6 Carbise disposed of all of its holding in Bikelite. The current year end is 31 December 20X6.

Bikelite trading information

Bikelite is based overseas where the domestic currency is the dinar. Staff costs and overhead expenses are all paid in dinars. However, Bikelite also has a range of transactions in a number of other currencies. Approximately 40% of its raw material purchases are in dinars and 50% in the yen. The remaining 10% are in dollars of which approximately half were purchases of material from Carbise. This ratio continued even after Carbise disposed of its shares in Bikelite. Revenue is invoiced in equal proportion between dinars, yen and dollars. To protect itself from exchange rate risk, Bikelite retains cash in all three currencies. No dividends have been paid by Bikelite for several years. At the start of 20X6 Bikelite sought additional debt finance. As Carbise was already looking to divest, funds were raised from an issue of bonds in dinars, none of which were acquired by Carbise.

Acquisition of Bikelite

Carbise paid dinar 100 million for 80% of the ordinary share capital of Bikelite on 1 January 20X2. The net assets of Bikelite at this date had a carrying amount of dinar 60 million. The only fair value adjustment deemed necessary was in relation to a building which had a fair value of dinar 20 million above its carrying amount and a remaining useful life of 20 years at the acquisition date. Carbise measures non-controlling interests (NCI) at fair value for all acquisitions, and the fair value of the 20% interest was estimated to be dinar 22 million at acquisition. Due to the relatively poor performance of Bikelite, it was decided to impair goodwill by dinar 6 million during the year ending 31 December 20X5.

Rates of exchange between the \$ and dinar are given as follows:

1 January 20X2:	\$1:0.5 dinar
Average rate for year ended 31 December 20X5	\$1:0.4 dinar
31 December 20X5:	\$1:0.38 dinar
30 September 20X6:	\$1:0.35 dinar
Average rate for the nine-month period ended 30 September 20X6	\$1:0.37 dinar

Disposal of Bikelite

Carbise sold its entire equity shareholding in Bikelite on 30 September 20X6 for \$150 million. Further details relating to the disposal are as follows:

Carrying amount of Bikelite's net assets at 1 January 20X6	dinar 48 million
Bikelite loss for the year ended 31 December 20X6	dinar 8 million
Cumulative exchange gains on Bikelite at 1 January 20X6	\$74.1 million
Non-controlling interest in Bikelite at 1 January 20X6	\$47.8 million

Required:**(a) Prepare an explanatory note for the directors of Carbise which addresses the following issues:**

- (i) What is meant by an entity's presentation and functional currency. Explain your answer with reference to how the presentation and functional currency of Bikelite should be determined. (7 marks)

- (ii) A calculation of the goodwill on the acquisition of Bikelite and what the balance would be at **30 September 20X6 immediately before the disposal of the shares**. Your answer should include a calculation of the exchange difference on goodwill for the period from 1 January 20X6 to 30 September 20X6. (5 marks)
- (iii) An explanation of your calculation of goodwill and the treatment of exchange differences on goodwill in the consolidated financial statements. You do not need to discuss how the disposal will affect the exchange differences. (4 marks)

Note: Any workings can either be shown in the main body of the explanatory note or in an appendix to the explanatory note.

- (b) Explain why exchange differences will arise on the net assets and profit or loss of Bikelite each year and how they would be presented within the consolidated financial statements. Your answer should include a calculation of the exchange differences which would arise on the translation of Bikelite (excluding goodwill) in the year ended 31 December 20X6. (7 marks)
 - (c)
 - (i) Calculate the group profit or loss on the disposal of Bikelite. (3 marks)
 - (ii) Briefly explain how Bikelite should be treated and presented in the consolidated financial statements of Carbise for the year ended 31 December 20X6. (4 marks)
- (30 marks)**

2. Hudson

Background

Hudson has a year end of 31 December 20X2 and operates a defined benefit scheme for all employees. In addition, the directors of Hudson are paid an **annual bonus** depending **upon the earnings before interest, tax, depreciation and amortisation (EBITDA)** of Hudson.

Hudson has been experiencing losses for a number of years and its draft financial statements reflect a small loss for the current year of **\$10 million**. On 1 May 20X2, Hudson announced that it was restructuring and that it was going to close down division Wye. A number of redundancies were confirmed as part of this closure with some staff being reallocated to other divisions within Hudson. **The directors have approved the restructuring in a formal directors meeting**. Hudson is highly geared and much of its debt is secured on covenants which stipulate that a **minimum level of net assets should be maintained**. The directors are concerned that compliance with International Financial Reporting Standards (IFRS® Standards) could have **significant implications for their bonus and debt covenants**.

Redundancy and settlement costs

Hudson still requires a number of staff to operate division Wye until its final expected closure in early 20X3. As a consequence, Hudson offered its staff two settlement packages in relation to the curtailment of the defined benefit scheme. **A basic settlement** was offered for all staff who leave before the final closure of division Wye. An additional pension contribution was offered for staff who remained in employment until the final closure of division Wye.

The directors of Hudson have only included an adjustment in the financial statements for those staff who left prior to 31 December 20X2. The directors have included this adjustment within the **remeasurement component of the defined benefit scheme**. They do not wish to provide for any other settlement **contributions until employment is finally terminated**, arguing that an obligation would only arise once the staff were made redundant. On final termination, **the directors intend to include the remaining basic settlement and the additional pension contribution within the remeasurement component**. The directors and accountant are aware that the proposed treatment does not conform to IFRS Standards. The directors believe that the proposed treatment is justified as it will help Hudson maintain its debt covenant obligations and will therefore be in the best interests of their shareholders who are the primary stakeholder. The directors have indicated that, should the accountant not agree with their accounting treatment, **then he will be replaced**.

Tax losses

The directors of Hudson wish to recognise a material deferred tax asset in relation to \$250 million of unused trading losses which have accumulated as at 31 December 20X2. Hudson has budgeted profits for \$80 million for the year ended 31 December 20X3. The directors have forecast that profits will grow by 20% each year for the next four years. The market is currently depressed and sales orders are at a lower level for the first quarter of 20X3 than they were for the same period in any of the previous five years. **Hudson operates under a tax jurisdiction which allows for trading losses to be only carried forward for a maximum of two years**.

Required:

- (a) Explain why the directors of **Hudson** are wrong to classify the basic settlement and additional pension contributions as part of the remeasurement component, including an explanation of the correct treatment for each of these items. Also explain how any other restructuring costs should be accounted for. (8 marks)
- (b) Explain whether a deferred tax asset can be recognised in the financial statements of Hudson in the year ended 31 December 20X2. (5 marks)
- (c) Identify any ethical issues which arise from the directors' proposed accounting treatments and behaviour. Your answer should also consider the implications for the accountant arising from the directors' behaviour. (5 marks)

Professional marks will be awarded in question 2c for quality of discussion.

(2 marks)

(20 marks)

Section B – BOTH questions are compulsory and MUST be attempted**3. Crypto**

(a)

- (i) Crypto operates in the power industry, and owns 45% of the voting shares in Kurran. Kurran has four other investors which own the remaining 55% of its voting shares and are all technology companies. The largest of these holdings is 18%. Kurran is a property developer and purchases property for its renovation potential and subsequent disposal. Crypto has no expertise in this area and is not involved in the renovation or disposal of the property.

The board of directors of Kurran makes all of the major decisions but Crypto can nominate up to four of the eight board members. Each of the remaining four board members are nominated by each of the other investors. Any major decisions require all board members to vote and for there to be a clear majority. Thus, **Crypto has effectively the power of veto on any major decision.** There is no shareholder agreement as to how Kurran should be operated or who will make the operating decisions for Kurran. The directors of Crypto believe that Crypto has joint control over Kurran because it is the major shareholder and holds the power of veto over major decisions.

The directors of Crypto would like advice as to whether or not they should account for Kurran under IFRS® 11 *Joint Arrangements*. (6 marks)

- (ii) On 1 April 20X7, Crypto, which has a functional currency of the dollar, entered into a contract to purchase a fixed quantity of electricity at 31 December 20X8 for 20 million euros. At that date, the spot rate was 1.25 dollars to the euro. The electricity will be used in Crypto's production processes.

Crypto has separated out the foreign currency embedded derivative from the electricity contract and measured it at fair value through other comprehensive income (FVTOCI). However, on 31 December 20X7, there was a contractual modification, such that the contract is now an executory contract denominated in dollars. At this date, Crypto calculated that the embedded derivative had a negative fair value of 2 million euros.

The directors of Crypto would like advice as to whether they should have separated out the foreign currency derivative and measured it at FVTOCI, and how to treat the modification in the contract. (5 marks)

Required:

Advise the directors of Crypto as to how the above issues should be accounted for with reference to relevant IFRS Standards.

Note: The split of the mark allocation is shown against each of the two issues above.

- (b) Previous leasing standards have been criticised about the lack of information they required to be disclosed on leasing transactions. These concerns were usually expressed by investors and so IFRS 16 *Leases* was issued in response to these criticisms.

Required:

- (i) **Discuss some of the key changes to financial statements which investors will see when companies apply the lessee accounting requirements in IFRS 16.** (6 marks)
- (ii) **For a company with significant off-balance sheet leases, discuss the likely impact that IFRS 16 will have generally on accounting ratios and particularly on:**
- Earnings before interest and tax to interest expense (interest cover);
 - Earnings before interest and tax to capital employed (return on capital employed);
 - Debt to earnings before interest, tax, depreciation and amortisation (EBITDA).

(6 marks)

Professional marks will be awarded in question 3b for clarity and quality of discussion.

(2 marks)

(25 marks)

4. Zedtech

- (a) In the Conceptual Framework for Financial Reporting (Conceptual Framework 2018) the accounting model is built on the definitions and principles for recognition of assets and liabilities. The understandability and consistent application of these definitions and principles are crucial. However, it appears that standard setters have interpreted the definitions differently for many years and the result is that the Conceptual Framework is inconsistent with many existing IFRS.

Required:

- (i) **Discuss the criteria for recognition of assets and liabilities in financial statements as set out in the current Conceptual Framework (2018).** (5 marks)
- (ii) **Discuss how the recognition of assets and liabilities under IAS® 12 *Income Taxes* and IAS 37 *Provisions, Contingent Liabilities and Contingent Assets* are both inconsistent with the definitions in the Conceptual Framework (2018) and how certain items recognised in a business combination may not be recognised in the individual financial statements of the group companies.** (8 marks)
- (b) Zedtech is a software development company which provides data hosting and other professional services. As part of these services, Zedtech also securely hosts a range of inventory management software online which allows businesses to manage inventory from anywhere in the world. It also sells hardware in certain circumstances.

Zedtech sells two distinct software packages. The first package, named Oinventory, gives the customer the option to buy the hardware, professional services and hosting services as separate and distinct contracts. Each element of the package can be purchased without affecting the performance of any other element. Zedtech regularly sells each service separately and generally does not integrate the goods and services into a single contract.

With the second package, InventoryX, the hardware is always sold along with the professional and hosting services and the customer cannot use the hardware on its own. The hardware is integral to the delivery of the hosted software. Zedtech delivers the hardware first, followed by professional services and finally, the hosting services. However, the professional services can be sold on a stand-alone basis as this is a distinct service which Zedtech can offer any customer.

Zedtech has decided to sell its services in a new region of the world which is suffering an economic downturn. The entity expects the economy to recover and feels that there is scope for significant growth in future years. Zedtech has entered into an arrangement with a customer in this region for promised consideration of \$3 million. At contract inception, Zedtech feels that it may not be able to collect the full amount from the customer and estimates that it may collect 80% of the consideration.

Required:

- (i) **Discuss the principles in IFRS 15 *Revenue from Contracts with Customers* which should be used by Zedtech to determine the recognition of the above contracts.** (5 marks)
- (ii) **Discuss how the above contracts should be recognised in the financial statements of Zedtech under IFRS 15.** (7 marks)
- (25 marks)**

September / December 2019**Section A - BOTH questions are compulsory and MUST be attempted****1. Luploid Co****Background**

Luploid Co is the parent company of a group undergoing rapid expansion through acquisition. Luploid Co has acquired two subsidiaries in recent years, Colyson Co and Hammond Co. The current financial year end is 30 June 20X8.

Acquisition of Colyson Co

Luploid Co acquired 80% of the five million equity shares (\$1 each) of Colyson Co on 1 July 20X4 for cash of \$90 million. The fair value of the non-controlling interest (NCI) at acquisition was \$22 million. The fair value of the identifiable net assets at acquisition was \$65 million, excluding the following asset. Colyson Co purchased a factory site several years prior to the date of acquisition. Land and property prices in the area had increased significantly in the years immediately prior to 1 July 20X4. Nearby sites had been acquired and converted into residential use. It is felt that, should the Colyson Co site also be converted into residential use, the factory site would have a market value of \$24 million. \$1 million of costs are estimated to be required to demolish the factory and to obtain planning permission for the conversion. Colyson Co was not intending to convert the site at the acquisition date and had not sought planning permission at that date. The depreciated replacement cost of the factory at 1 July 20X4 has been correctly calculated as \$17.4 million.

Impairment of Colyson Co

Colyson Co incurred losses during the year ended 30 June 20X8 and an impairment review was performed. The recoverable amount of Colyson Co's assets was estimated to be \$100 million. Included in this assessment was the only building owned by Colyson Co which had been damaged in a storm and impaired to the extent of \$4 million. The carrying amount of the net assets of Colyson Co at 30 June 20X8 (including fair value adjustments on acquisition but excluding goodwill) are as follows:

	\$ millions
Land and buildings	60
Other plant and machinery	15
Intangibles other than goodwill	9
Current assets (recoverable amount)	<u>22</u>
Total	<u>106</u>

None of the assets of Colyson Co including goodwill have been impaired previously. Colyson Co does not have a policy of revaluing its assets.

Acquisition of Hammond Co

Luploid Co acquired 60% of the 10 million equity shares of Hammond Co on 1 July 20X7. Two Luploid Co shares are to be issued for every five shares acquired in Hammond Co. These shares will be issued on 1 July 20X8. The fair value of a Luploid Co share was \$30 at 1 July 20X7. Hammond Co had previously granted a share-based payment to its employees with a three-year vesting period. At 1 July 20X7, the employees had completed their service period but had not yet exercised their options. The fair value of the options granted at 1 July 20X7 was \$15 million. As part of the acquisition, Luploid Co is obliged to replace the share-based payment scheme of Hammond Co with a scheme of its own which has the following details:

Luploid Co issued 100 options to each of Hammond Co's 10,000 employees on 1 July 20X7. The shares are conditional on the employees completing a further two years of service. Additionally, the scheme required that the market price of Luploid Co's shares had to increase by 10% from its value of \$30 per share at the acquisition date over the vesting period. It was anticipated at 1 July 20X7 that 10% of staff would leave over the vesting period but this was revised to 4% by 30 June 20X8. The fair value of each option at the grant date was \$20. The share price of Luploid Co at 30 June 20X8 was \$32 and is anticipated to grow at a similar rate in the year ended 30 June 20X9.

Required:

Draft an explanatory note to the directors of Luploid Co, addressing the following:

- (a)
- (i) **How the fair value of the factory site should be determined at 1 July 20X4 and why the depreciated replacement cost of \$17.4 million is unlikely to be a reasonable estimate of fair value.**
(7 marks)
 - (ii) **A calculation of goodwill arising on the acquisition of Colyson Co measuring the non-controlling interest at:**
 - fair value;
 - proportionate share of the net assets.
(3 marks)
- (b) **Discuss the calculation and allocation of Colyson Co's impairment loss at 30 June 20X8 and why the impairment loss of Colyson Co would differ depending on how non-controlling interests are measured. Your answer should include a calculation and an explanation of how the impairments would impact upon the consolidated financial statements of Luploid Co.**
(11 marks)
- (c)
- (i) **How the consideration for the acquisition of Hammond Co should be measured on 1 July 20X7. Your answer should include a calculation of the consideration and a discussion of why only some of the cost of the replacement share-based payment scheme should be included within the consideration.**
(4 marks)
 - (ii) **How much of an expense for the share-based payment scheme should be recognised in the consolidated profit or loss of Luploid Co for the year ended 30 June 20X8. Your answer should include a brief discussion of how the vesting conditions impact upon the calculations.**
(5 marks)

Note: Any workings can either be shown in the main body of the explanatory note or in an appendix to the explanatory note.

(30 marks)

2. Stent Co**Background**

Stent Co is a consumer electronics company which has faced a challenging year due to increased competition. Stent Co has a year end of 30 September 20X9 and the unaudited draft financial statements report an operating loss. In addition to this, debt covenant limits based on gearing are close to being breached and the company is approaching its overdraft limit.

Cash advance from Budster Co

On 27 September 20X9, Stent Co's finance director asked the accountant to record a cash advance of \$3m received from a customer, Budster Co, as a reduction in trade receivables. Budster Co is solely owned by Stent Co's finance director. The accountant has seen an agreement signed by both companies stating that the \$3m will be repaid to Budster Co in four months' time. The finance director argues that the proposed accounting treatment is acceptable because the payment has been made in advance in case Budster Co wishes to order goods in the next four months. However, the accountant has seen no evidence of any intent from Budster Co to place orders with Stent Co.

(4 marks)

Preference shares

On 1 October 20X8, the CEO and finance director each paid \$2m cash in exchange for preference shares from Stent Co which provide cumulative dividends of 7% per annum. These preference shares can either be converted into a fixed number of ordinary shares in two years' time, or redeemed at par on the same date, at the choice of the holder. The finance director suggests to the accountant that the preference shares should be classified as equity because the conversion is into a fixed number of ordinary shares on a fixed date ('fixed for fixed') and conversion is certain (given the current market value of the ordinary shares).

(4 marks)

Deferred tax asset

Stent Co includes a deferred tax asset in its statement of financial position, based on losses incurred in the current and the previous two years. The finance director has asked the accountant to include the deferred tax asset in full. He has suggested this on the basis that Stent Co will return to profitability once its funding issues are resolved.

(3 marks)

Required:

- (a) Discuss appropriate accounting treatments which Stent Co should adopt for all issues identified above and their impact upon gearing.

Note: The mark allocation is shown against each issue above.

- (b) The accountant has been in her position for only a few months and the finance director has recently commented that 'all these accounting treatments must be made exactly as I have suggested to ensure the growth of the business and the security of all our jobs'. Both finance director and accountant are ACCA qualified accountants.

Required:

Discuss the ethical issues arising from the scenario, including any actions which the accountant should take to resolve the issues.

(7 marks)

Professional marks will be awarded in question 2 for the application of ethical principles.

(2 marks)

(20 marks)

Section B - BOTH questions are compulsory and MUST be attempted

3. Digiwire Co

Background

Digiwire Co has developed a new business model whereby it sells music licences to other companies which then deliver digital music to consumers.

Revenue: sale of three-year licence

Digiwire Co has agreed to sell Clamusic Co, an unlisted technology start-up company, a three-year licence to sell Digiwire Co's catalogue of classical music to the public. This catalogue contains a large selection of classical music which Digiwire Co will regularly update over the three-year period.

As revenue for the three-year licence, Clamusic Co has issued shares to Digiwire Co equivalent to a 7% shareholding. Voting rights are attached to these shares. Digiwire Co received the shares in Clamusic Co on 1 January 20X6, which is the first day of the licence term.

Digiwire Co will also receive a royalty of 5% of future revenue sales of Clamusic Co as revenue for the licence.

Clamusic Co valuation and revenue

On 1 January 20X6, Clamusic Co was valued at between \$4-\$5 million by a professional valuer who used a market-based approach. The valuation was based on the share price of a controlling interest in a comparable listed company.

For the financial year end of 31 December 20X6, sales of the classical music were \$1 million. At 31 December 20X6, a further share valuation report had been produced by the same professional valuer which indicated that Clamusic Co was valued in the region of \$6-\$7 million.

Investment in FourDee Co

Digiwire Co has agreed to work with TechGame Co to develop a new music platform. On 31 December 20X6, the companies created a new entity, FourDee Co, with equal shareholdings and shares in profit. Digiwire Co has contributed its own intellectual property in the form of employee expertise, cryptocurrency with a carrying amount of \$3 million (fair value of \$4 million) and an office building with a carrying amount of \$6 million (fair value of \$10 million). The cryptocurrency has been recorded at cost in Digiwire Co's financial statements. TechGame Co has contributed the technology and marketing expertise. The board of FourDee Co will comprise directors appointed equally by Digiwire Co and TechGame Co. Decisions are made by a unanimous vote.

Pension plan

Digiwire Co provides a pension plan for its employees. From 1 September 20X6, Digiwire Co decided to curtail the plan and to limit the number of participants. The employees were paid compensation from the plan assets and some received termination benefits due to redundancy. Due to the curtailment, the current monthly service cost changed from \$9 million to \$6 million. The relevant financial information relating to the plan is as follows:

Date	Net defined liability (\$m)	Discount rate %
1 January 20X6	30	3
1 September 20X6	36	3.5
31 December 20X6	39	3.7

Required:

- (a) Advise the directors of Digiwire Co on the recognition and measurement of the:
- (i) Clamusic Co shares received as revenue for the sale of the three-year licence and how they should be accounted for in the financial statements for the year ended 31 December 20X6; and
 - (ii) royalties which Clamusic Co has agreed to pay as revenue for the sale of the three-year licence in the financial statements for the year ended 31 December 20X6. Your answer to (a)(ii) should demonstrate how it is supported by the revised *Conceptual Framework for Financial Reporting* (2018). (9 marks)
- (b) Based on International Financial Reporting Standards (IFRS®), advise the directors on the following:
- (i) the classification of the investment which Digiwire Co has in FourDee Co;
 - (ii) the derecognition of the assets exchanged for the investment in FourDee Co and any resulting gain/loss on disposal in the financial statements of Digiwire Co at 31 December 20X6; and
 - (iii) whether the cryptocurrency should be classified as a financial asset or an intangible asset. Your answer should also briefly consider whether fair value movements on the cryptocurrency should be recorded in profit or loss. (9 marks)
- (c)
- (i) Explain the reasons behind the issue of the amendment to International Accounting Standard (IAS®) 19: *Plan Amendment, Curtailment or Settlement* and discuss why the changes to the calculation of net interest and current service cost were considered necessary. (3 marks)
 - (ii) Advise the directors of Digiwire Co on the impact of the amendment to IAS 19 on the calculation of net interest and current service cost for the year ended 31 December 20X6. (4 marks)
- (25 marks)**

4. Guidance Co

Background

Guidance Co is considering the financial results for the year ended 31 December 20X6. The industry places great reliance on the return on equity (ROE) as an indicator of how well a company uses shareholders' funds to generate a profit.

Return on equity (ROE)

Guidance Co analyses ROE in order to understand the fundamental drivers of value creation in the company. ROE is calculated as:

$$\text{Return on equity} = \frac{\text{Net profit before tax}}{\text{Sales}} \times \frac{\text{Sales}}{\text{Assets}} \times \frac{\text{Assets}}{\text{Equity}}$$

Guidance Co uses year-end equity and assets to calculate ROE.

The following information in *table 1* relates to Guidance Co for the last two years:

	20X5	20X6
	(\$m)	(\$m)
Net profit before tax	30	38
Sales	200	220
Assets	250	210
Equity at 31 December	175	100

Special purpose entity (SPE)

During the year ended 31 December 20X6, Guidance Co stated that it had reorganised its assets and set up a SPE. Guidance Co transferred property to the SPE at its carrying amount of \$50 million, but had incorrectly charged revaluation reserves with this amount rather than showing the transfer as an investment in the SPE. The property was the SPE's only asset. However, Guidance Co still managed the property, and any profit or loss relating to the assets of the entity was remitted directly to Guidance Co. Guidance Co had no intention of consolidating the SPE.

Miscellaneous transactions

Guidance Co has bought back 25 million shares of \$1 for \$1.20 per share during the year ended 31 December 20X6 for cash and cancelled the shares. This transaction was deemed to be legal.

Guidance Co also raised loan capital for the first time during the year ended 31 December 20X6 of \$20 million in order to help with the buy-back of the company's shares.

Guidance Co had purchased a 25% interest in an associate company on 1 July 20X6 for cash. The investment had cost \$15 million and the associate had made profits of \$32 million in the year to 31 December 20X6. Guidance Co accounted for the purchase of the associate correctly.

All of these miscellaneous transactions have been accounted for in the financial information for the year ended 31 December 20X6 in *table 1*.

Required:

- (a) Management's intent and motivation will often influence accounting information. However, corporate financial statements necessarily depend on estimates and judgement. Financial statements are intended to be comparable but their analysis may not be the most accurate way to judge the performance of any particular company. This lack of comparability may be due to different accounting policy choices or deliberate manipulation.

Required:

Discuss the reasons why an entity may choose a particular accounting policy where an International Financial Reporting Standard allows an accounting policy choice and whether faithful representation and comparability are affected by such choices.

(6 marks)

(b)

- (i) Discuss the usefulness to investors of the ROE ratio and its component parts provided above and calculate these ratios for the years ended 31 December 20X5 and 20X6. These calculations should be based upon the information provided in table 1.**

(5 marks)

- (ii) Discuss the impact that the setting up of the SPE and miscellaneous transactions have had on ROE and its component parts. Given these considerations, adjust table 1 and recalculate the ROE for 20X6 thereby making it more comparable to the ROE of 20X5.**

(12 marks)

Professional marks will be awarded in question 4(b)(i) for clarity and quality of discussion.

(2 marks)

(25 marks)

March 2020

Section A - BOTH questions are compulsory and MUST be attempted

1. Hummings Co

Background

Hummings Co is the parent company of a multinational listed group of companies. Hummings Co uses the dollar (\$) as its functional currency. Hummings Co acquired 80% of the equity shares of Crotchet Co on 1 January 20X4 and 100% of Quaver Co on the same date. The group's current financial year end is 31 December 20X4.

Crotchet Co: functional currency

The head office of Crotchet Co is located in a country which uses the dinar as its main currency. However, its staff are located in a variety of other locations. Consequently, half of their employees are paid in dinars and the other half are paid in the currency of grommits. Crotchet Co has a high degree of autonomy and is not reliant on finance from Hummings Co, nor do sales to Hummings Co make up a significant proportion of their income. All of its sales and purchases are invoiced in grommits and therefore Crotchet Co raises most of its finance in grommits. Cash receipts are retained in both grommits and dinars. Crotchet Co does not own a dollar (\$) bank account. Crotchet Co is required by law to pay tax on its profits in dinars.

The acquisition of Crotchet Co

Hummings Co paid cash of \$24 million for the 80% holding in Crotchet Co on 1 January 20X4. Hummings Co has a policy of measuring non-controlling interests at fair value. The fair value of the non-controlling interests in Crotchet Co on 1 January 20X4 was \$6 million. Since Crotchet Co has a range of net assets held domestically and overseas, the fair values of the net assets at acquisition were determined in their local currency. Hence, the fair value of some assets have been determined in dinars and others in grommits. The total fair value of the net assets denominated in grommits at 1 January 20X4 was 43 million grommits. The total fair value of the net assets denominated in dinars at 1 January 20X4 was 50 million dinars.

Excluded from these fair values are several contracts with the customers of Crotchet Co. These contractual relationships prohibit the customers of Crotchet Co from obtaining services from any of the main competitors of Crotchet Co. They have an estimated fair value at 1 January 20X4 of 15 million grommits.

At 31 December 20X4, it was decided to impair goodwill by 30%.

The following is a summary of the exchange rates between the dollar, grommits and dinars at 1 January 20X4 and 31 December 20X4:

1 January 20X4

\$1:8 grommits

\$1:4 dinar

1 dinar:2 grommits

31 December 20X4

\$1:7 grommits

\$1:3.5 dinar

1 dinar:2 grommits

The acquisition of Quaver Co

On 1 January 20X4, Hummings Co purchased a 100% equity interest in Quaver Co. Hummings Co made the acquisition with the intention to sell and therefore did not wish to have an active involvement in the business of Quaver Co. Hummings Co immediately began to seek a buyer for Quaver Co and felt that the sale would be completed by 31 October 20X4 at the latest. A buyer for Quaver Co was located in August 20X4 but, due to an unforeseen legal dispute over a contingent liability disclosed in Quaver Co's financial statements, the sale had not yet been finalised as at 31 December 20X4. The sale is expected to be completed in early 20X5.

Impairment of bonds

On 31 December 20X3, Hummings Co purchased \$10 million 5% bonds in Stave Co at par value. The bonds are repayable on 31 December 20X6 and the effective rate of interest is 8%. Hummings Co's business model is to collect the contractual cash flows over the life of the asset. At 31 December 20X3, the bonds were considered to be low risk and as a result the 12-month expected credit losses are expected to be \$10,000.

On 31 December 20X4, Stave Co paid the coupon interest, however, at that date the risks associated with the bonds were deemed to have increased significantly. The present value of the repayments for the year ended 31

STRATEGIC BUSINESS REPORTING

December 20X5 were estimated to be \$462,963 and the probability of default is 3%. At 31 December 20X4, it is also anticipated that no further coupon payments would be received during the year ended 31 December 20X6 and only a portion of the nominal value of the bonds would be repaid. The present value of these cash shortfalls was assessed to be \$6,858,710 with a 5% likelihood of default in the year ended 31 December 20X6.

Required:

Draft an explanatory note to the directors of Hummings Co, addressing the following:

- (a) how the functional currency of Crotchet Co should be determined;**
(5 marks)
- (b)**
 - (i) how Crotchet Co's customer contracts should be accounted for in the consolidated financial statements of Hummings Co, which are presented in dollars (\$), for the year ended 31 December 20X4;**
(4 marks)
 - (ii) a calculation of the goodwill on acquisition of Crotchet Co (in grommits) and how it would be accounted for in the consolidated statement of financial position of Hummings Co at 31 December 20X4 after translation. Include a brief explanation and calculation of how the impairment and exchange difference on goodwill will impact on the consolidated financial statements;**
(6 marks)
- (c) how Quaver Co should be accounted for in the consolidated financial statements at 31 December 20X4; and**
(4 marks)
- (d) a calculation and discussion of how the bonds should be accounted for in the financial statements of Hummings Co as at 31 December 20X3 and for the year ended 31 December 20X4, including any impairment losses.**
(11 marks)
(30 marks)

2. Bagshot Co

Background

Bagshot Co has a controlling interest in a number of entities. Group results have been disappointing in recent years and the directors of Bagshot Co have been discussing various strategies to improve group performance. The current financial year end is 31 December 20X5.

The following personnel are relevant to the scenario:

Mr Shaw	Head accountant of Bagshot Co
Mrs Dawes	Chief executive of Bagshot Co
Mike Starr	Nephew of Mr Shaw
Mrs Shaw	Wife of Mr Shaw

Group restructure

Mr Shaw, an ACCA member, is the head accountant of Bagshot Co. He is not a member of the board of directors. Mrs Dawes, the chief executive of Bagshot Co, is also an ACCA member. During December 20X5, Mrs Dawes revealed plans to Mr Shaw of a **potential** restructure of the Bagshot group which had been discussed at board meetings. The restructuring plans included a **general analysis of expected costs which would be incurred** should the **restructure take place**. These include legal fees, relocation costs for staff and also redundancy costs for a number of employees. **One such employee to be made redundant, Mike Starr, is the nephew of Mr Shaw.**

Mrs Dawes is insistent that Mr Shaw should include a restructuring provision for all of the expenditure in the financial statements of Bagshot Co for the year ended 31 December 20X5. Mrs Dawes argues that, even if the restructure did not take place exactly as detailed, similar levels of expenditure are likely to be incurred on alternative strategies. It would therefore be prudent to include a restructuring provision for all expenditure. None of the staff other than Mr Shaw have been notified of the plans although Mrs Dawes has informed **Mr Shaw that she expects a final decision and public announcement to be made prior to the authorisation of the financial statements.**

Mrs Shaw

Mrs Shaw is the wife of Mr Shaw, the head accountant of Bagshot Co. She is not an employee of Bagshot Co and does not know about the proposed restructure. However, Mrs Shaw recently acquired 5% of the equity shares in Bagshot Co. Mr Shaw is considering informing his wife of the proposed restructure so that she can make an informed decision as to whether to divest her shareholding or not. Mr Shaw is concerned that, in the short term at least, the inclusion of any restructuring costs would be harmful to the profitability of Bagshot Co. It is also uncertain as to how the market may react should the restructure take place. It is, however, anticipated that in the long term, shareholder value would be enhanced.

Required:

- (a)
 - (i) **Discuss the appropriate accounting treatment of the restructuring costs in the financial statements of Bagshot Co for the year ended 31 December 20X5.**
(6 marks)
 - (ii) **Discuss what is meant by good stewardship of a company and whether the restructure and the recognition of a restructuring provision in the financial statements are examples of good stewardship.**
(4 marks)
 - (iii) **Discuss briefly whether Mrs Shaw's acquisition of the equity shares in Bagshot Co should be disclosed as a related party transaction.**
(3 marks)
 - (b) **Identify and discuss the ethical issues arising from the scenario which Mr Shaw needs to consider and what actions he should take as a consequence.**
(5 marks)
- Professional marks will be awarded in part (b) for the clarity of discussion.
(2 marks)
- (20 marks)**

Section B - BOTH questions are compulsory and MUST be attempted

3. Leria Co

Background

Leria Co is an internationally successful football club. Leria Co is preparing the financial statements for the year ending 31 October 20X5 but is currently facing liquidity problems.

Stadium sale/leaseback and improvements

Leria Co has entered into a contract regarding its stadium whereby it will sell the stadium on 30 November 20X6 and immediately lease it back. The directors of Leria Co wish to classify the stadium as a non-current asset 'held for sale' in its financial statements for the year ended 31 October 20X5 as they believe the sale to be highly probable at that date. The sale contract requires the disposal of the stadium for its fair value (market value) of \$30 million and for Leria Co to lease it back over 10 years. The present value of the lease payments at market rates on 30 November 20X6 will be \$26 million. The market value for a stadium of this type has not changed in several years and is unlikely to change in the near future. The stadium is being depreciated by 5% per annum using the reducing balance method.

In the year to 31 October 20X6, it is anticipated that \$2 million will be spent to improve the crowd barriers in the stadium. There is no legal requirement to improve the crowd barriers. Leria Co has incorrectly treated this amount as a reduction of the asset's carrying amount at 31 October 20X5 and the corresponding debit has been made to profit or loss. At 31 October 20X5, the carrying amount of the stadium, after depreciation and deduction of the crowd barrier improvements, is \$18 million.

Television programme content rights

Leria Co has its own subscription-based television station. As a result, it has material intangible assets which relate to the content rights associated with the television programmes. The budgeted costs of production are based on the estimated future revenues for the television programme. These costs of production are then capitalised as an intangible asset and called 'contents rights'. The directors of Leria Co believe that the intellectual property in the content rights is consumed as customers view the television programmes. Consequently, Leria Co currently amortises the content rights based upon estimated future revenues from the television programme. For example, if a television programme is expected to generate \$8 million of revenue in total and \$4 million of that revenue is generated in year 1, then the intangible asset will be amortised by 50% in year 1. However, the industry practice is to amortise the capitalised cost of the programme, less its recoverable amount, over its remaining useful life.

Players' contract costs

Players' registration contract costs are shown as intangible assets and are initially recognised at the fair value of the consideration paid for their acquisition. However, subsequently, players' contracts are often re-negotiated at a cost. Also, players' contracts may contain contingent performance conditions where individual players may be paid a bonus based on their success in terms of goals scored or the success of the football team as a whole. These bonuses represent additional contract costs.

For impairment purposes, Leria Co does not consider that it is possible to determine the value-in-use of an individual player unless the player were to suffer a career threatening injury and cannot play in the team. Players only generate direct cash flows when they are sold to another football club.

Required:

- (a) Discuss with reference to International Financial Reporting Standards (IFRS®):
- (i) whether the directors can classify the stadium as held for sale at 31 October 20X5;
 - (ii) Leria Co's accounting treatment of the crowd barrier improvements at 31 October 20X5; and
 - (iii) the principles of the accounting treatment for the sale and leaseback of the stadium at 30 November 20X6.
- (13 marks)
- (b) Discuss:
- (i) whether the amortisation of the intangible assets relating to television programme content rights by Leria Co and by the industry are acceptable policies in accordance with IFRS standards; and
 - (ii) how to account for the players' contract costs (including the contingent performance conditions), any impairment which might be required to these non-current assets and whether a player can be considered a single cash generating unit.
- (12 marks)
- (25 marks)**

4. Ecoma Co

- (a) The current developments in sustainability reporting show that there is a global trend towards more extensive and more meaningful narrative reporting. The improvements in the quality and scope of reporting are driven by both regulatory demands and market demands for transparency. 'Sustainable investing' describes an approach to investment where environmental, social or governance (ESG) factors, in combination with financial considerations, guide the selection and management of investments.

Required:

Discuss why the disclosure of sustainable information has become an important and influential consideration for investors.

(8 marks)

(b) Background

The directors of Ecoma Co consider environmental, social and governance issues to be extremely important in a wide range of areas, including new product development, reputation building and overall corporate strategy. The company is taking a proactive approach to managing sustainability and is actively seeking opportunities to invest in sustainable projects and embed them in their business practices. The company's financial year end is 30 September 20X5.

Head office

Ecoma Co is committed to a plan to move its head office to a building which has an energy efficient green roof that acts as a natural temperature controller. The move from the current head office, which is leased, will take place at the company's year end of 30 September 20X5. The new green roof building requires less maintenance than a conventional building and produces oxygen which offsets Ecoma Co's CO₂ emissions. The directors of Ecoma Co believe that the green roof building will save the company \$2 million per annum over the useful life of the building. However, over the next two years, it anticipates that the disruption of the move will cause the company to make a loss of \$10 million per annum. The company wishes to make a provision of \$16 million which comprises the loss to be incurred over the next two years net of the saving created by the green roof.

Meanwhile, the company will have to vacate its currently leased head office building. At 30 September 20X5, the lease has two years to run at a rental of \$600,000 per annum payable in advance on 1 October each year. If the lease is cancelled, the full rental is payable on cancellation. The head-lease permits sub-letting and Ecoma Co has sub-let the building for one year from 1 October 20X5 at a rental of \$400,000 per annum payable in advance. Ecoma Co estimates that there is a 40% probability that it will be able to extend the sub-lease at the same rental for a second year.

The costs of moving to the green building are estimated at \$1 million and the costs of terminating the lease in two years' time are negligible. The pre-tax discount rate is 5%.

Defined benefit pension scheme

Ecoma Co is worried that the poor remuneration package offered to employees is putting the company at risk of reputational damage. Consequently, Ecoma Co changed its pension scheme on 30 September 20X5 to include all of its staff. The benefits accrue from the date of their employment but only vest after two years additional service from 30 September 20X5. The net pension obligation at 30 September 20X5 of \$78 million has been updated to include this change. During the year, benefits of \$6 million were paid under the scheme and Ecoma Co contributed \$10 million to the scheme. These payments had been recorded in the financial statements. The following information relates to the pension scheme:

	\$m
Net pension obligation at 30 September 20X5	78
Net pension obligation at 30 September 20X4	59
Service cost for year	18
Past service cost relating to scheme amendment at 30 September 20X5	9
Discount rate at 30 September 20X4	5.5%
Discount rate at 30 September 20X5	5.9%

Required:

- (i) Discuss how the \$16 million provision associated with Ecoma Co's move to a new head office and the sub-let of its old head office should be accounted for in accordance with IAS® 37 *Provisions, Contingent Liabilities and Contingent Assets*. (6 marks)
- (ii) Advise Ecoma Co on the principles of accounting for the pension scheme, including calculations, for the year to 30 September 20X5. (7 marks)
- (iii) Calculate the impact which the above adjustments in (b)(i) and (ii) will have on profit before tax of \$25 million for the year ended 30 September 20X5. Ignore any potential tax implications. (2 marks)
- Professional marks will be awarded in part (a) for clarity and quality of discussion. (2 marks)
- (25 marks)**

End of Question Paper

September / December 2020

Section A - BOTH questions are compulsory and MUST be attempted

1. Sugar Co

At 30 June 20X7, Sugar Co has investments in several associate companies, including Flour Co. On 1 July 20X7 Sugar Co acquired additional shares in Flour Co and obtained control. On 1 October 20X7 Sugar Co also acquired an associate, Butter Co. The group is preparing the consolidated statement of cash flows for the year ended 30 June 20X8.

Acquisition of Flour Co

A 40% shareholding in Flour Co was purchased several years ago at a cost of \$10 million. This investment gave Sugar Co significant influence in Flour Co. The consideration to acquire an additional three million shares (30% shareholding) in Flour Co on 1 July 20X7 was in two parts: (i) cash and; (ii) a one for two share exchange when the market price of Sugar Co shares was \$6 each. In Flour Co's individual financial statements, the net assets had increased by \$12 million between the two acquisition dates. The carrying amount of Flour Co's net assets on 1 July 20X7 was as follows:

	\$'000
Intangible assets (licences and patents)	6,781
Property, plant and equipment	18,076
Cash and cash equivalents	1,234
Other net current assets	9,650
Total net assets carrying amount	<u>35,741</u>

The carrying amounts of the net assets at 1 July 20X7 were equal to the fair values except for land which had a fair value \$600,000 above the carrying amount. The Sugar group values non-controlling interests (NCI) at fair value and the share price of Flour Co at 1 July 20X7 was \$3.80. This share price should be used to value NCI at that date and to value the initial 40% equity interest in Flour Co.

Goodwill at 1 July 20X7 was correctly calculated as \$2,259,000 and has been correctly accounted for in the consolidated statement of financial position.

Asset acquisitions and disposals

Including its purchase of the additional investment in Flour Co which it correctly consolidated from 1 July 20X7, the Sugar group also purchased various assets during the year.

There were no disposals or impairments of intangible assets during the year but amortisation of \$3.5 million had been deducted from profit from operations.

The only additions to property, plant and equipment during the year were as a result of the acquisition of Flour Co. The group disposed of some plant and machinery at a loss on disposal of \$2 million. Depreciation deducted from the profit from operations was \$10 million.

Sugar Co purchased a 25% equity interest in Butter Co on 1 October 20X7 for \$5 million cash which gave significant influence. Butter Co paid a dividend in the post-acquisition period and Sugar Co also received dividends from other associates during the year ended 30 June 20X8. Sugar Co did not pay any dividends during the year.

There were no acquisitions of investments measured at fair value through profit or loss (FVTPL) during the year but there were disposals which had a carrying amount of \$4 million. These were sold at a profit of \$500,000 which was included, alongside fair value gains, in investment income in the consolidated statement of profit or loss. The investment income figure also includes dividends received from these investments and any fair value gains or losses recognised on the initial investment in Flour Co.

In addition to the shares issued to purchase Flour Co, Sugar Co issued some ordinary \$1 shares for cash during the year ended 30 June 20X8.

Group financial statement extracts

The group's consolidated financial statements have been calculated correctly. Extracts, together with relevant comparative figures at 30 June are provided below:

Consolidated statement of financial position as at 30 June (extracts):

	20X8 \$'000	20X7 \$'000
Non-current assets		
Intangible assets	33,456	15,865
Property, Plant and Equipment	55,124	52,818
Investment in Associates	26,328	23,194
Financial assets (measured at FVTPL)	3,000	6,000
Equity		
Ordinary share capital (\$1 shares)	23,000	20,000
Other Components of equity (all share premium)	33,600	18,000
Non-controlling interest	30,152	12,914

Consolidated statement of profit or loss for the year ended 30 June 20X8 (extract):

	\$'000
Investment income	3,891
Share of profit from associate companies	15,187
Profit attributable to the non-controlling interest	9,162

Pension scheme

Sugar Co is the only entity of the group which operates a defined benefit pension scheme. The pension scheme obligation increased during the year from \$1.175m to \$6.368m. The movement on the pension liability represents the service cost component, the net interest component and also the remeasurement component for the year. Sugar Co usually makes cash contributions into the scheme on an annual basis towards the year end. The significant increase in the pension scheme obligation for the year ended 30 June 20X8 was because the contributions to the scheme did not follow normal practice and were instead made in July 20X8. Benefits paid during the year were \$2 million in cash.

Required:

- Draft an explanatory note to the directors of Sugar Co, addressing how the initial 40% investment in Flour Co and the additional purchase of the equity shares on 1 July 20X7 should be accounted for in the consolidated financial statements (including the statement of cash flows). Using the goodwill figure of \$2,259,000, calculate the cash paid to acquire control of Flour Co and include a brief explanation as to how that cash should be accounted for in the consolidated statement of cash flows. (10 marks)
- Prepare extracts of the cash flows generated from (i) investing activities and (ii) financing activities in the consolidated statement of cash flows for the Sugar group for the year ended 30 June 20X8. No explanations are required in part (b). (16 marks)
- Describe the impact, if any, that the defined benefit pension scheme will have on the consolidated statement of cash flows for the Sugar group for the year ended 30 June 20X8 assuming that cash flows from operating activities are calculated by the indirect method. (4 marks)

(30 marks)

2. Calibra Co

Calibra Co operates in the property sector and has invested in new technology, distributed ledgers/blockchain, to trade and to support property transactions. The financial year end of Calibra Co is **31 December 20X8**.

Apartment blocks

Calibra Co builds apartment blocks which normally take two years to complete from the date of signing the contract. The title and possession, and **therefore control**, of the apartment blocks pass to the customer upon **completion of construction**. The price which is payable **on completion** of each apartment block is **\$9.55 million**. Alternatively, customers can pay **\$8.5 million** cash on the day that the contract is signed. The chief accountant has calculated that this represents an appropriate borrowing rate of **6%** for Calibra Co. Calibra Co immediately recognises \$8.5 million as revenue if customers pay when they sign the contract.

Chief accountant and Bodoni Co

The chief accountant does not hold a permanent employment contract with Calibra Co. He has applied for the position on a permanent basis and is to be interviewed in the near future. Bodoni Co, a customer of Calibra Co, wanted to take advantage of the \$8.5 million reduced price for an apartment block but was having problems with cash flow. The chief accountant therefore allowed Bodoni Co to pay \$8.5 million and to delay payment until one month after the contract was signed. In return, Bodoni Co has agreed to provide a good employment reference. The chief accountant of Calibra Co was afraid that he might lose Bodini Co as a customer and referee if he did not agree to the delay in payment.

Distributed ledger technology

Calibra Co has recently used distributed ledger technology/blockchain to sell shares in a property to investors. These digitised transactions are only visible to the authorised parties. The chief accountant publicly supports this technology and is to manage the new system. However, he has private concerns over the reliability of the due diligence carried out on the sale of property shares and the potential violation of local regulations. The directors of Calibra Co want to increase the number of transactions on the distributed ledger by offering digital shares in the whole of the entity's property portfolio. **Although the chief accountant has very basic knowledge of distributed ledgers, he has assured the directors that he can facilitate this move. The project has been approved by the board despite the chief accountant's private reservations. The chief accountant has only recently qualified as an accountant and wishes to be employed with Calibra Co on a permanent basis.**

Required:

- Discuss how Calibra Co should have accounted for the sale of the apartment blocks in accordance with IFRS **15 Revenue** from Contracts with Customers and **IAS 23 Borrowing Costs**. (5 marks)
- Provide the accounting entries that would be required to record the contractual sale of an apartment block on 1 January 20X8 at the discounted amount over the two-year construction period. (3 marks)
- Discuss the way in which the chief accountant should have acted to ensure that he maintained ethical standards in dealing with the issues described. (10 marks)

Professional marks will be awarded in part (c) for the quality of the ethical discussion. (2 marks)

- (20 marks)**
- In terms of the apartment blocks, it is qualifying asset for Calibra, which is an asset that taking time of 2 years to be ready.
 - However, there borrowing cost here of 6%, which should be capitalised as part of the cost of the qualifying asset.
 - The percentage of 6% should be calculated based on the borrowed amount from the customers to undertake the apartment blocks project.
 - The borrowing rate here 6%, for two years = $8.5 \text{ million} \times 1.06 \times 1.06 = 0.955 \text{ million}$.

The accounting entry for 8.5 million:

Dr. Cash 8.5
Cr. Deferred income 8.5

At year end 1:

Dr. qualifying asset 0.51 million
Cr. Deferred income 0.51

Year 2:

Dr. qualifying asset 0.51 million
Cr. Deferred income 0.51

Dr. deferred income 9.55 million
Cr. Sales 9.55 million

Section B - BOTH questions are compulsory and MUST be attempted

3. Corbel Co

Corbel Co trades **in the perfume sector**. It has recently acquired a company for its brand 'Jengi', purchased two additional brand names, and has announced plans to close its Italian stores. Corbel Co also opened a new store on a prime site in Paris. The current financial year end is 31 December 20X7.

Acquisition of Jengi Co

On 1 January 20X7, Corbel Co acquired 100% of Jengi Co. Both companies operate in the perfume sector. Corbel Co intends to merge the manufacture of Jengi Co's products into its own facilities and close Jengi Co's manufacturing unit. Jengi Co's brand name is well known in the sector, retailing at premium prices, and therefore, Corbel Co will continue to sell products under the Jengi brand name after its registration has been transferred and its manufacturing units have been integrated. The directors of Corbel Co believe that most of the value of Jengi Co was derived from the brand and there is no indication of the impairment of the brand at 31 December 20X7.

Acquisition of perfume brands

In addition to now owning the Jengi Co brand, Corbel Co has acquired two other perfume brand names to prevent rival companies acquiring them. The first perfume (Locust) has been sold successfully for many years and has an established market. The second is a new perfume which has been named after a famous actor (Clara) who intends to promote the product. The directors of Corbel Co believe that the two perfume brand names have an indefinite life.

Plan to close and sell stores

Corbel Co approved and announced a plan to close and sell all six Italian stores on 31 December 20X7. The six stores will close after a liquidation sale which will last for three months. Management has committed to a formal plan for the closure of the six stores and has also started an active search for a single buyer for their assets. The stores are being closed because of the increased demand generated by Corbel Co's internet sales.

A local newspaper has written an article suggesting that up to 30 stores may be closed with a loss of 500 jobs across the world, over the next five years. The directors of Corbel have denied that this is the case.

Corbel Co's primary store

Corbel Co's primary store is located in central Paris. It has only recently been opened at a significant cost with the result that management believes it will make a loss in the current financial year to 31 December 20X7. This loss-making is not of concern as the performance is consistent with expectations for such a new and expensive store and management believes that the new store will have a positive effect on Corbel Co's brand image.

If impairment testing of the primary store were to be required, then Corbel Co would include the cash flows from all internet sales in this assessment. The goods sold via the internet are sourced from either Corbel Co's central distribution centre or individual stores. Internet sales are either delivered to the customer's home or collected by the customer from the store supplying the goods.

Required:

- (a) Describe the main challenges in recognising and measuring intangible assets, such as brands, in the statement of financial position. (5 marks)
 - (b) Discuss the following accounting issues relating to Corbel Co's financial statements for the year ended 31 December 20X7 in accordance with IFRS standards:
 - (i) whether the Jengi Co brand name will be accounted for separately from goodwill on acquisition and whether it should be accounted for as a separate cash generating unit after the integration of the manufacturing units; (4 marks)
 - (ii) how to account for intangible assets with an indefinite life and whether the Locust and Clara perfume brand names can be regarded as having an indefinite life; (6 marks)
 - (iii) how to account for the proposed closure of the six stores and the suggested closure of the remaining stores; and (6 marks)
 - (iv) whether the primary store should be tested for impairment at 31 December 20X7 and whether the internet sales can be attributed to this store. (4 marks)
- (25 marks)**

4. Handfood Co

Handfood Co is a small and medium-sized enterprise (SME) which has introduced a benefit to encourage employees to remain with the entity. The company's financial year end is 31 December and it prepares its financial statements using IFRS for SMEs.

Employee benefit

On 1 January 20X2, Handfood Co introduced a benefit to encourage employees to remain in its employment for at least five years. Handfood Co has promised its employees a lump-sum benefit, payable on 1 January 20X7, which is equal to 1% of their salary at 31 December 20X6, provided they remain employed until that date.

The current salaries of employees on 1 January 20X2 are \$1.1 million per annum. The directors of Handfood Co have used the following assumptions:

- Salaries for year ended 31 December 20X2 will remain at \$1.1 million.
- Salaries should increase by 3% each year from 1 January 20X3.
- There is a 75% probability that all employees will still be employed by Handfood Co at 31 December 20X6.

The discount rate is 5% per year.

Handfood Co recognises actuarial gains and losses in other comprehensive income. **Interest is recognised by Handfood Co on an annual basis.** Handfood Co uses the projected unit credit method to measure its defined benefit obligation which means that the current service cost is the increase in the present value of the future defined benefit liabilities. The benefit will be payable from the balance on Handfood Co's business bank account at 1 January 20X7.

Present value factors	5%
Periods (years)	
4	0.823
5	0.784

Required:

It can be argued that small and medium-sized enterprises (SMEs) face financing difficulties because there is serious information asymmetry between SMEs and investors. Information asymmetry, in the context of SMEs, means that the SME has access to relevant information, while the investor suffers from a lack of relevant information. It can be argued that IFRS for SMEs decreases information asymmetry between the entity and investors.

Where SMEs lead in product and service innovation, they can also lead in innovation for integrated reporting. There is a clear, concise and persuasive case for why SMEs and their stakeholders stand to benefit greatly by using integrated reporting.

Required:

- (a)
- (i) Discuss the nature of IFRS for SMEs and the principal differences between IFRS for SMEs and full IFRS standards. (4 marks)
 - (ii) Discuss the effect that information asymmetry can have on the decision to invest in SMEs. (4 marks)
 - (iii) Discuss how integrated reporting could help SMEs better understand and better communicate how they create value to investors. (5 marks)

Professional marks will be awarded in part (a) for clarity and quality of discussion. (2 marks)

- (b)
- (i) Discuss, with suitable calculations, the principles of how Handfood Co should account for the current service cost of its employee benefit for the year ended 31 December 20X2. (6 marks)
 - (ii) Discuss the impact on the defined benefit liability for the year ended 31 December 20X3 if Handfood Co were to take into account the following changes in assumptions:
 - an increase in employees' salaries above 3% per annum; and
 - a decrease in the probability of employees leaving the company.

STRATEGIC BUSINESS REPORTING

Note: there is no need to provide any calculations in your answer to (b)(ii).

(4 marks)

(25 marks)

March / June 2021

Section A - BOTH questions are compulsory and MUST be attempted

1. Columbia Co

Columbia Co is the parent of a listed group which operates within the telecommunications industry. During the year ended 31 December 20X5 Columbia Co acquired a new subsidiary and made adjustments to its pension scheme. The group's current year end is 31 December 20X5

The following exhibits provide information relevant to the question:

1. Acquisition of Peru Co - contains information relating to the acquisition and consideration paid for Peru Co
2. Peru Co: net assets at 1 July 20X5 - describes the valuation of the assets of Peru Co at the date of acquisition.
3. Columbia Co: pension scheme - explains the defined benefit and the defined contribution pension schemes available to the employees of Columbia Co.

This information should be used to answer the question requirements within your chosen response option(s).

Required:

Draft an explanatory note to the directors of Columbia Co to address the following issues:

(a)

- (i) whether Columbia Co should be considered the acquirer in a business combination with Peru Co;
(9 marks)
- (ii) a calculation of goodwill at 1 July 20X5, explaining how fair values of both the consideration and the net assets have been determined; and
(11 marks)
- (iii) how the defined benefit and the defined contribution pension schemes should be accounted for in the year ended 31 December 20X5.
(10 marks)

(30 marks)

Exhibits**Exhibit 1: Acquisition of Peru Co**

Brazil Co is a competitor of Columbia Co. On 1 July 20X5 both Brazil Co and Columbia Co acquired 50% of the 5 million ordinary \$1 shares of Peru Co. The consideration paid by Columbia Co consisted of cash of \$8 per share and also a 1 for 20 share exchange when the market price of Columbia Co's shares was \$10 each. Brazil Co also paid \$8 per share for their interest but did not issue any shares to the original shareholders of Peru Co. The ordinary shares of Peru Co have one voting right each.

Following the acquisition, Columbia Co had the contractual right to appoint 60% of the board of Peru Co with the remaining 40% appointed by Brazil Co. Brazil Co has veto rights over any amendments to the articles of incorporation and also over the appointment of auditors. Brazil Co and Columbia Co each appointed one member to Peru Co's senior management team. It is the senior manager appointed by Columbia Co who makes the key decisions regarding the development of Peru Co's new technologies, its principle revenue stream, the markets that it will operate in and how it is financed. The senior manager appointed by Columbia Co also provides a supervisory role and has the right to request that significant activities get board approval, such as imposing restrictions on Peru Co from undertaking activities that would significantly increase credit risk.

Exhibit 2: Peru Co: net assets at 1 July 20X5

The net assets of Peru Co reported in the individual financial statements had a carrying amount of \$32 million on 1 July 20X5. However, on the acquisition of Peru Co. the directors of Columbia Co discovered the following:

On 1 January 20X5 Peru Co acquired 6 million 6% coupon bonds for \$6 million in an unquoted company at par (\$1). Bond interest is paid annually on 31 December. Due to a premium on redemption the effective rate of interest was 8%. Peru Co has a business model to collect the contractual cash-flows from the bonds and therefore measures them at amortised cost. Columbia Co holds similar unquoted assets but has a business model whereby they may either collect the contractual cash-flows or sell the asset. Bonds with a similar risk profile for a similar quoted company were trading at \$2 per bond on 1 July 20X5. A discount of 30% is considered reasonable to reflect the difference in liquidity of the two types of bonds.

One of the identifiable intangible assets of Peru Co at acquisition was a brand. The brand had a carrying amount of \$4 million on 1 July 20X5. Columbia Co has a similar branded product and is therefore planning to discontinue the trade of Peru Co's branded product with immediate effect. The future cash-flows from the Peru Co's product post-acquisition are therefore considered to be \$nil. If the trade of the branded product were to be sold to a competitor in order to continue the trade, it is estimated that it could be sold for around \$5 million.

Peru Co has several technical support service contracts for which there are outstanding performance obligations at 1 July 20X5. Included in contract liability (deferred income) at this date is a balance of \$2.8 million in respect of these contracts. It is estimated that these contracts will cost \$1.7 million for Peru co (and any other market participants) to complete. A mark-up of 30% is considered reasonable for this type of contract.

Columbia Co has a policy of measuring the non-controlling interest at fair value.

Exhibit 3: Columbia Co: pension scheme

Columbia Co has, for many years, operated a defined benefit pension scheme. At 1 January 20X5 the fair value of the pension scheme assets were estimated to be \$260 million and the present value of the pension scheme liabilities were \$200 million. The total of the present value of future refunds and reductions in future contributions (asset ceiling) was \$20 million at 1 January 20X5.

This table provides details of the scheme for the year ended 31 December 20X5 when there was a curtailment to the scheme.

Discount rate on good quality corporate bonds	5%
	\$(millions)
Current service cost	30
Cash contributions	21
Benefits paid during the year	25
Scheme curtailment (31 December 20X5)	28
Payment to employees as settlement for curtailment (paid 31 December 20X5)	16

At 31 December 20X5 the fair value of the pension scheme assets were estimated to be \$242 million and the present value of the pension scheme liabilities were \$195 million. The total of the present value of future refunds and reductions in future contributions (asset ceiling) was \$25 million at 31 December 20X5.

Columbia Co intends all new employees to be offered a defined contribution rather than a defined benefit pension scheme. Contributions of \$0.5 million were paid into a defined contribution scheme for new employees over the last 3 months of the year.

2. Bismuth Co

Bismuth Co is a mining company. Investors in Bismuth Co receive earnings from mining projects as a return on their investment. The year end is 31 December 20X7.

The following exhibits provide information relevant to the question:

1. Impairment testing of mines - describes the decommissioning provision associated with Bismuth Co's mines and its potential impact on the impairment of the mines.
2. Class A and B shares - explains the sale of Class A and B shares in exchange for Bitcoin, a cryptocurrency.
3. Blockchain technology - provides information about the ethical issues created by the implementation of Blockchain technology.

This information should be used to answer the question requirements within your chosen response option(s).

Required:

- (a) Discuss, with suitable calculations, whether Bismuth Co should recognise an impairment loss for the mines.**

(5 marks)

- (b) Discuss whether the class A and B shares should be classified as either equity or liability in accordance with IAS 32 Financial Instruments: Presentation.**

(5 marks)

- (c) Discuss the ethical issues raised by the implementation of the blockchain technology for both the chief accountant and the finance director, including any appropriate actions which should be considered to resolve these issues.**

(8 marks)

Professional marks will be awarded in part (c) for the quality of the discussion.

(2 marks)

(20 marks)

Exhibits**Exhibit 1: Impairment testing of mines**

At 31 December 20X7, Bismuth Co owns mines which have a carrying amount of \$200 million. The company has committed itself to decommissioning its mines at the end of their useful life (five years or less) and has created a decommissioning provision of \$53 million. However, the directors are unsure how the decommissioning provision will impact on the impairment testing of the mines. At the end of the useful life of a mine, its reusable components will be dismantled and sold.

The following information relates to the decommissioning of the mines at 31 December 20X7:

	\$ million
Carrying amount of decommissioning provision	53
Present value of future cash inflows from:	
sale of reusable components at decommission date (inflows)	20
sale of mining output from 31 December 20X7 to decommission date (inflows)	203
operating costs from 31 December 20X7 to decommission date (outflows)	48

Exhibit 2: Class A and B shares

Bismuth Co has issued two classes of shares, class A and class B, in exchange for a cryptocurrency, Bitcoin. Both types of shares permit the holder to vote and give an entitlement to 'rewards'. Bismuth Co has discretion over whether 'rewards' are payable on class A and class B shares. Bitcoin can be readily converted into cash in Bismuth Co's jurisdiction.

Class A shares are redeemable at par in the event of Bismuth Co obtaining a listing on a formal stock exchange which is highly probable. On listing, Bismuth Co has a choice of the method of redemption either:

- (i) cash to the value of 1 Bitcoin per 1000 class A shares, or
- (ii) shares to the value of 2 Bitcoins per 1000 class A shares.

Note: 1 Bitcoin equates to approximately \$12,000

The share settlement option, option (ii) above, would involve exchanging class A shares for the equivalent number of class B shares. Class B shares have never fluctuated in value.

Bismuth Co is not compelled to redeem the class B shares but these shares do contain an option allowing Bismuth Co to repurchase them. However, if within two years, Bismuth Co fails to exercise its call option on the class B shares, it must pay an additional reward to the holders of class B shares.

Exhibit 3: Blockchain technology

Bismuth Co plans to implement Blockchain technology to store all of its data relating to its mines, trading and to certify the ethical sourcing of all its raw materials. The chief accountant, Ms Pleasant, is currently developing a blockchain technology that will be filed for patent. Ms Pleasant has only recently taken up the post and has discovered that work done at her previous employer, Gypsam Co, is relevant to the project. If Ms Pleasant discloses this information, it will compromise a patent process at Gypsam Co but will consolidate her position as chief accountant in Bismuth Co. When she left the employment of Gypsam Co, she signed a confidentiality agreement but the clauses were not clear or specific about what information could be shared and with whom.

Ms Pleasant has significant knowledge of Blockchain technology but the finance director, Mr Fricklin has limited knowledge of it or the new business model that Bismuth Co is trying to develop. Mr Fricklin has told her that there is no need to spend a significant amount of time creating a technology to ethically source materials. Ms Pleasant is worried about Mr Fricklin 's lack of technical and legal knowledge as she feels that it will affect the development of the technology. In addition, some of the data concerning ethically sourced materials has gone missing and she thinks that Mr Fricklin has erased the data to try and sabotage the project. Mr Fricklin has told the Board of Directors that he has an 'in depth knowledge' of the technology.

Section B - BOTH questions are compulsory and MUST be attempted

3. Sitka Co

Sitka Co is a software development company which operates in an industry where technologies change rapidly. Its customers use the cloud to access the software and Sitka Co generates revenue **by charging customers for the software license and software updates**. It has recently disposed of an interest in a subsidiary, Marlett Co, and purchased a controlling interest in Billing Co. The year end of the company is 31 December 20X7.

The following exhibits provide information relevant to the question:

1. Software contract and updates - explains the contract to licence software and other related services to Cent Co.
2. Part-disposal of Marlett Co - describes the accounting in Sitka Co's separate financial statements for the disposal of an interest in a subsidiary, Marlett Co
3. Acquisition of Billing Co - provides information about the fair values of two assets acquired in a business combination with Billing Co

This information should be used to answer the question requirements within the response option provided.

Required:

- (a)
- (i) **Discuss whether the four-year software contract with Cent Co is a single performance obligation in accordance with IFRS 15 Revenue from Contracts with Customers including how the revenue from the contract would be accounted for in Sitka Co's financial statements for the year ended 31 December 20X7. Your answer should include whether the revenue should be recognised at a point in time or over time.**
(8 marks)
 - (ii) **Discuss briefly why the right to receive access to Sitka Co's software is unlikely to be accounted for as an intangible asset or a lease in Cent Co's financial statements.**
(4 marks)
- (b) **Discuss and demonstrate how the disposal of 45% interest and the retained interest of 15% in Marlett Co should be accounted for in the separate financial statements of Sitka Co at the date of disposal.**
(9 marks)
- (c) **Discuss how the two assets acquired on the acquisition of Billing Co should be valued in accordance IFRS 13 Fair Value Measurement.**
(4 marks)
- (25 marks)**

Exhibits**Exhibit 1: Software contract and updates**

On 1 January 20X7, Sitka Co agreed a **four-year contract** with Cent Co to provide **access** to licence Sitka Co's software including **customer support in the form of monthly updates to the software**.

The total contract price is \$3 million for both licensing the software and the monthly updates. Sitka Co licenses the software on a stand-alone basis for between \$1 million and \$2 million over a four-year period and regularly sells the monthly updates separately for \$2.5 million over the same period. The software can function on its own without the updates. Although, the monthly updates improve its effectiveness, they are not essential to its functionality. However, because of the rapidly changing technology in the industry, if Cent Co does not update the software regularly, the benefits of using the software would be significantly reduced. In the year to 31 December 20X7, Cent Co has only updated the software on two occasions. Cent Co must access the software via the cloud and does not own the rights to the software.

Exhibit 2: Part-disposal of Marlett Co

Sitka Co prepares separate financial statements in accordance with IAS 27 Separate Financial Statements. At 31 December 20X6, it held a 60% controlling equity interest in Marlett Co and accounted for Marlett Co as a subsidiary. In its separate financial statements, Sitka Co had elected to measure its investment in Marlett Co using the equity method. On 1 July 20X7, Sitka Co disposed of 45% of its equity interest in Marlett Co for \$10 million and lost control. At the date of disposal, the carrying amount of Marlett Co in its separate financial statements was \$12 million. After the partial disposal, Sitka Co does not have joint control of, or significant influence over Marlett Co and its retained interest of 15% is to be treated as an investment in an equity instrument.

At 1 July 20X7, the fair value of the retained interest of 15% in Marlett Co was \$3.5 million. Sitka Co wishes to recognise any profit or loss on the disposal of the 45% interest in other comprehensive income.

Exhibit 3: Acquisition of Billing Co

Sitka Co has acquired two assets in a business combination with Billing Co. The first asset is 'Qbooks' which is an accounting system developed by Billing Co for use with the second asset which is 'Best Cloud' software. The directors of Sitka Co believe that the fair value of the assets is higher if valued together rather than individually. If the assets were to be sold, there are two types of buyers that would be interested in purchasing the assets. One buyer group would be those who operate in the same industry and have similar assets. This group of buyers would eventually replace Qbooks with their own accounting system which would enhance the value of their assets. The fair values of the individual assets in the industry buyer group would be \$30 million for Qbooks and \$200 million for 'Best Cloud', therefore being \$230 million in total.

Another type of buyer is the financial investor who would not have a substitute asset for Qbooks. They would licence Qbooks for its remaining life and commercialise the product. The indicated fair values for Qbooks and Best Cloud within the financial investor group are \$50 million and \$150 million, being \$200 million in total.

4. Colat Co

Colat Co manufactures aluminium products and operates in a region that has suffered a natural disaster on 1 November 20X7. There has been an increase in operating costs as the company had to replace a regional supplier with a more costly international supplier. The year-end of Colat Co is 31 December 20X7.

The following exhibits provide information relevant to the question:

1. Non-current assets - provides information about the non-current assets destroyed by the natural disaster including the effect on the decommissioning of a power plant.
2. Other natural disaster consequences - describes the potential costs of repairing the environmental damage and the associated government compensation, the nature of the hedge against a commodity price risk in aluminium and potential insurance policy proceeds.

This information should be used to answer the question **requirements** within the **response option** provided.

Required:

Investors need to understand a variety of factors when making an investment decision. The nature of the companies in which they are looking to invest is an important consideration, as is the need to incorporate sustainability factors into investment decisions.

(a) Discuss why sustainability has become an important aspect of the investors' analysis of companies.

Note: there is no requirement to refer to any exhibit when answering part (a).

(4 marks)

Professional marks will be awarded in part (a) for clarity and quality of discussion.

(2 marks)

(b) Discuss any events affecting Colat Co which might indicate that an impairment test ought to be conducted in accordance with IAS 36 Impairment of Non-Current Assets.

(3 marks)

(c) Discuss how the following should be accounted for in the financial statements for the year ended 31 December 20X7:

(i) the destruction of the non-current assets and decommissioning of the power plant;

(4 marks)

(ii) the cost of repairing the environmental damage and the potential receipt of government compensation;

(4 marks)

(iii) the hedge of the commodity price risk in aluminium; and

(4 marks)

(iv) the potential insurance policy proceeds.

(4 marks)

(25 marks)

Exhibits**Exhibit 1: Non-current assets**

As a result of the natural disaster, the share price of Colat Co has declined as a significant amount of non-current assets were destroyed, including the manufacturing facility. In addition, Colat Co has suffered reputational damage resulting in a decline in customer demand.

The non-current assets of Colat Co that were destroyed had a carrying amount of \$250 million on 31 October 20X7 and the fair value of these non-current assets was \$280 million based on an independent appraisal shortly before that date. In addition, Colat Co determined that a power plant will have to be closed and decommissioned earlier than previously expected. The remaining useful life of the power plant has reduced from 25 years to 8 years. Non-current assets are valued using the cost model.

Exhibit 2: Other natural disaster consequences**Other natural disaster consequences****Environmental damage and government compensation**

Colat Co has, in the past, repaired minor environmental damage that it has caused but it has never suffered a natural disaster on this scale. There is no legal obligation for Colat Co to repair and restore damage caused by the disaster as this will be the responsibility of the government.

The government announced on 1 December 20X7 that there would be compensation of \$50 million available to repair the environmental damage only and that companies should apply for the compensation by 31 December 20X7. By 1 March 20X8, when the financial statements were approved, Colat Co had only received an acknowledgement of their application but no approval.

Hedge of commodity price risk in aluminium

Colat Co hedges commodity price risk in aluminium and such transactions were classified as 'highly probable' in accordance with IFRS 9 *Financial Instruments*. However, the purchases which were considered highly probable prior to the natural disaster, are no longer expected to occur.

Potential insurance policy proceeds

Colat Co's insurance policy provides compensation for losses based on the fair value of non-current assets, any temporary relocation costs estimated at \$2 million and any revenue lost during the two-month period from 1 November 20X7. At 31 December 20X7, it is unclear which events and costs are covered by insurance policies and significant uncertainty exists as to whether any compensation will be paid. Before the financial statements were approved, it was probable that the insurance claim for the loss of the non-current assets would be paid but no further information was available about other insured losses.

The insurance policy does not cover environmental damage which is the responsibility of the government.

End of Question Paper



Answers



1. Beth

**Tutor's Tips**

This question adopts the classic formula for a SBR question one. Notice that there are marks for calculations in this answer. But also notice that the explanations play a part of the marking guide. Also notice that the driver of the (a) requirements is the phrase “calculate and briefly explain”. Whereas the driver of the (b) requirement is “explain”. This is reflected in the answers below which are driven by narrative for (b) but driven by the numbers for (a).

(a)

(i) Goodwill

The goodwill on the sub acquisition would be calculated as follows:-

	%	Sub
FV of consideration	60%	160
FV of previous	20%	53
FV of NCI	20%	52
FV of NA (100+150 see below)		(250)
Goodwill		<u>15</u>

(3 marks)

Net assets

	Lose
	Acq.
Share capital	100
Retained earnings	<u>150</u>
	<u>250</u>

Control

Control is the power to direct activities and the date upon which control is obtained is called “acquisition” and dictates the timing of the measurement of goodwill.

Fair values

This means all the fair values above must be measured at acquisition on 1 December 2006 when Beth bought the 60%. In particular the previous 20% must be valued at \$53m rather than the cost of \$40m from the year before.

(2 marks)

(ii) Associate

The movement in the associate carrying value is as follows:

Cost (1) (given)	180
Growth (30 x 30%) {see below}	<u>9</u>
Before	189
Impairment (balance)	<u>(6)</u>
After (610 x 30%) (1) (given)	<u>183</u>

Net assets

	Acq	Gain Y/E
Share capital	200	200
Retained earnings	<u>270</u>	<u>300</u>
	<u>470</u>	<u>500</u>
Growth {see above}		30

(3 marks)

Movement

The movement simply starts with the basic equity accounting of cost plus share of associate growth.

Impairment

But then at the year end the movement must accommodate the impairment of the carrying value down to the associate recoverable value. The key issue is the recognition that the 30% ownership of Gain is valued at 30% of the whole of Gain.

(2 marks)

(b)

(i)

Foreign receivable

The only transaction to occur during the year is the prepayment of the 6 million Euro (50% of 12). This results in a foreign receivable because the supplier owes Beth.

Foreign transaction

The receivable is then measured the point of payment to the supplier and then remeasured at the year end. This results in a foreign exchange loss as follows:

Date	Euro	Rate	Dollars
Transaction	6m	0.758	8
Year end	6m	0.85	<u>7</u>
Forex loss			<u>1</u>

Performance reporting

The FX gain would then be reported through the profit or loss and retained on the position statement in equity within retained earnings.

(4 marks)

EARP

The delivery of the plant after the year end is a non-adjusting event after the reporting period [IAS 10]. Therefore the plant recognition would not appear on the current position statement at the current year end.

Disclosure

The parent PPE is \$1,700m. The delivery of plant of this significance shortly after the year end is highly unlikely to be of relevance to the users of the financial statements. It is likely that Beth frequently has plant delivery measured in millions. This transaction is individually immaterial. Therefore it is unlikely that disclosure is appropriate unless required by law.

Depreciation

Of course, the plant is not depreciated in the current year as the plant was delivered the following year.

(4 marks)

(ii)

Revenue

Revenue is only recognised when a sale transaction has commercial substance [IFRS 15]. To have substance a transaction must transfer the risks to the new owner.

Receivable derecognition

The same conclusion is reached when looking at the guidance on financial asset derecognition [IFRS 9]. A financial asset is derecognised when the risks are transferred to the new owner.

Recourse

The technical name for the guarantee that Beth has offered the factor is called "recourse". It means that if the customer does not pay the factor then the factor will come back to Beth and get the money off Beth.

Risk

From the above it can be seen that the risk has not been transferred to the factor. The risk of default remains with Beth who should continue to recognise the receivable.

Journal

The journal required to reverse the erroneous derecognition is as follows:

Dr	Receivable (45/0.9)	50
Cr	Loan	45
Cr	Operating cost	5

(6 marks)

(iii)

Share based payment

SBP obligations are measured at any point by the following:

SBP obligation = (number of rights expected to vest) x (fair value) x (timing ratio)

Number of rights

The number of rights expected to vest is, as the name suggests, is normally a guess. This means that Beth must estimate at each measurement point the number of employees likely to be still in the scheme at the end point called the "vest" point.

Beth estimation

At the end of year one 600 of the 10,000 have already left and Beth estimates that another 500 will leave within the year. So the number estimated at the current year end to be in the scheme at next year end is 8,900 employees.

Fair value

The measurement of fair value depends on the nature of the scheme:

<i>Scheme</i>	<i>Fair value</i>
Options	Grant
SARs	Current

Timing ratio

This measures where the year-end falls in the scheme, so at the end of year 1 of a 2 year scheme the timing ratio is 1/2.

Movement

The result is the following movement in the liability:

	\$m
Opening $(1.6 \times \$10 \times 0/2)$ $(200 \times (10,000 - 1,000 - 1,000)) = 1.6\text{m above}$	0
Increase to operating costs (balance)	<u>8.9</u>
Closing $(1.78 \times \$10 \times 1/2)$ $(200 (10,000 - 600 - 500)) = 1.78\text{m}$	<u>8.9</u>

(6 marks)

2. Seth**Tutor's Tips**

The markers mark to a marking guide that recognises “1 mark per point”. A “point” is a packaged idea that addresses the requirement. So a useful way to signpost your answer to match the marking guide is to deliver each 1 point in one short paragraph of around 25 words with a heading for each.

(a)

Provision

A provision is required when there is a present obligation as a result of a past obliging event [IAS37:14a]. A present obligation can be either legal or constructive.

Legal or constructive

A legal obligation is enforceable by law. A constructive obligation arises as a result of promises to counterparties in whom the entity creates an expectation.

Seth environmental policy

Seth has a “widely publicised environmental attitude which shows little regard to the effects on the environment of their business”. Seth cannot incur a constructive obligation to clean environmental damage.

Virtually certain

The provisions standard requires the recognition of a provision when the enactment of the relevant legislation is “virtually certain” [IAS 37].

Seth contamination

The contamination with a clean-up cost of \$7m is in a country where the relevant legislation will come into force in December 2007. Therefore Seth must provide for this expenditure.

Seth Provisions

So the provisions required by Seth can be summarised as follows:

Cash flows	Provided	Provision
5	X	-
7	✓	7
4	✓	4
		11
		(7 marks)

(b)

(i)

Environmental reporting

Environmental reporting is usually recorded in the management commentary which lies alongside the FS in the annual report.

Separate environmental report

However, as Seth operates in the oil industry, maybe it is better to have a separate environmental report. This industry has a reputation for environmental damage and it may be best to address this problem in a separate report.

Directors

One advantage Seth would get from environmental reporting would be that it would make directors think about environmental issues. The directors appear to be out of step with wider environmental sentiments and the requirement to produce an environmental report may focus their minds on environmental issues.

Regulators

Another advantage is that an environmental report might improve the relationships with environmental regulators. Regulators often require that environmental issues are addressed in the management commentary often under the heading of "sustainability reporting".

Customers

Also an environmental report would allow customers to see that Seth is improving in its environmental performance. Beth could publish trends showing improvement in environmental performance.

Sales

Also by attracting new customers an environmental report might increase sales. Currently environmental customers may not be prepared to trade with Seth. A separate environmental report might help win their custom.

Shareholders

Environmental reporting is considered to be a base of good corporate governance and so providing this report may improve relations with shareholders.

Share price

This in turn may push up share price and benefit the employees with options. This last point may be most attractive to the current directors who appear to have little genuine concern for the environment.

Integrated reporting

However, the suggestion of a “separate” environmental report is contrary to the current philosophy of integrated reporting. A separate environmental report may be useful. But it is important that environmental reporting is integrated in to the Annual Report and an Integrated Report.

(7 marks)

(ii)

Corporate social responsibility (CSR)

CSR reporting is part of corporate governance which is part of ethics and this subject means different things to different people.

Basic CSR

It is widely accepted that corporations have a responsibility to society and not simply to their shareholders. Seth directors attitudes do not appear to be tuned to this acceptance and a change in behaviour may benefit Seth and the Seth directors.

Change (1) Environmental performance

Seth could improve its environmental performance and thereby avoid action by regulators. The current attitudes appear to expose Seth to actions by environmental regulators.

Change (2) Employees

Seth could start listening to employees and thereby improve its operating performance. It is likely the employee motivation would increase if the employee felt that they were listened to.

Change (3) Suppliers

Seth could pay its suppliers on time and thereby get greater cooperation from its suppliers. Paying suppliers late helps short term cash flow but can lead to uncooperative suppliers.

Change (4) Culture

Seth could pay more attention to culture and thereby improve the effectiveness of marketing. Because Seth is out of step with the culture in which it operates it is possible the marketing campaigns are reduced in effectiveness.

Change (5) Customers

Also Seth could improve customer support and thereby increase repeat sales. Happy satisfied current customers may help increase sales volume by recommending Seth to potential customers.

(6 marks)

3. Whitebirk**Tutor's Tips**

This question has flavours of development whilst also clearly examining the very specific subject of SMEs. When originally examined the following was sufficient for full marks which does appear to confirm the suspicion that some questions are easier than others.

(a)

(i)

Different approaches

The IASB had three different approaches available to the problem of dealing with the demand for reduced reporting for SMEs:

(1) Ignore the demand

The IASB could have ignored the demand for international SME accounting and let local jurisdictions write their own SME rules locally.

Comment

This is exactly what the IASB did do at first. The result is that there were local SME rules in many jurisdictions (like the FRSSE in the UK).

(2) Appendix

The IASB could have put an appendix in the back of each IFRS saying how it applies to SMEs.

Comment

Fortunately the IASB rejected this idea. This would have made the enormous full IFRS book even larger.

(3) Single IFRS

The IASB could have created a stand-alone standard for SMEs; a one stop shop for smaller entity reporting.

Comment

This is exactly what the IASB did do. The IASB called this product the IFRS for SMEs and they claim it is 10% of the full IFRSs. But more significantly, it is much better set out and much clearer in its language.

(5 marks)

(ii)

Main modifications

There are three forms of modification that the IFRS for SMEs used:

(1) Removal

The IASB removed inappropriate IFRSs that apply only to listed entities.

Examples of removed financial reporting include EPS, interim reporting and segmental reporting.

(2) Alternatives

The full IFRS have lots of choice alternatives; like full or partial goodwill. The IASB generally removed the more expensive choice so the IFRS for SMEs allows only partial goodwill.

So the example is that the IFRS for SMEs allows only partial goodwill whereas the full IFRS allows full or partial goodwill.

(3) Simplifications

Then the IASB looked at the most complicated of the IFRS complications and tried to make them simpler.

So for example, to avoid the painful annual goodwill impairment review, the IFRS for SMEs substitutes annual depreciation and suggests a life of 10 years to make continuing goodwill measurement easy.

(6 marks: one mark for each modification technique and one mark for each example)

(iii)

Definition of SME

The IASB decided to leave the decision as to the definition of an SME to legislators in each jurisdiction.

Recommendation

But the IASB recommends that the IFRS for SMEs should be made available to all entities without public interest. Public interest means finance companies (eg banks) or companies with shares or debt on a listed market (eg PLCs).

(2 marks)

(b)

(i)

Borrowing cost accounting

Full IFRS require the capitalisation of borrowing costs during building (IAS23). But the IFRS for SMEs prohibits this complexity.

Restatement

The answer is complicated by the capitalisation occurring last year so restatement of comparatives is required (prior period adjustment or PPA).

Solution

The opening building carrying value of \$540k must be restated to \$450k before the current year depreciation of \$50k is charged, to leave a closing carrying value of \$400k.

(3 marks)

(ii)

Goodwill

The IFRS for SMEs requires the partial method and then depreciation.

Close

The goodwill movement would be:

	\$m
FV of consideration	5.7
FV of NA (90% x \$6m)	<u>(5.4)</u>
Goodwill	<u>0.3</u>
Depreciation	<u>(0.03)</u>
Goodwill	<u>0.27</u>

Depreciation

This would then be one tenth of \$0.3; so \$0.03m.

(3 marks)

(iii)

R&D

The IFRS for SMEs requires the write-off of both research and development.

Comment

This does not advantage the SME in terms of profit as it makes SME profit lower, though it allows the SME to avoid the tricky deferral test for development.

Solution

The \$500k would go into the statement of profit or loss in full as incurred.

(3 marks)

4. Warrburt**Tutor's Tips**

The key is part (a)(i) is to use an analysis of the CFS to identify that cash flows are well managed and the directors really should know that themselves. The key to part (a)(ii) is go beyond an ethical analysis of the proposed manipulation and seek a way forward for the company accountant as required by the requirement.

(a)

(i)

Operating cash flow

Directors have mentioned their concerns about results and their concerns about how that reflects on cash flow. Operating profit is a loss and that is clearly not good. However, the operating cash flow is a healthy inflow of \$45m. So directors should not be concerned about that.

Cash flow

The overall cash flow is an outflow of \$11m. However, in the scale of this enormous business that is essentially a net cash breakeven. So again directors should not be overly concerned about cash flow.

Cash

Turning now to the cash balance, the company has a closing asset balance of \$312m. This is a large amount. Directors should not worry about having too little cash. In fact they should be concerned about having too much cash. They could pay a dividend out to shareholders if they do not know what to do with this huge balance.

Working capital management

This is satisfactory. The net working capital cash flow is an inflow of \$48m ($63 + 71 - 86$). This is more good news. It appears the central functions of customer credit control and supplier credit control and stock control are under control.

Inventory

This is particularly notable. It appears the stock controllers have substantially reduced stock and this has freed up a large amount of cash.

Receivables

There is a similar story in receivables. The balance has come right down. This apparently indicates that the company is getting its cash from its customers much quicker this year than last year. This too has freed up an enormous amount of cash.

PPE additions

The company has invested heavily in new PPE (\$57m). It looks like this was financed simply by selling the old PPE (\$63m). This appears to be very neat cash management.

Loan repaid

There is a similar story in finance. A big chunk of debt has been paid off (\$44m). However, this appears to have been balanced by a share issue (\$55m).

Associate

\$96m went into buying a new associate. This appears to have been financed from operations. More evidence of good cash flow management.

Conclusion

In conclusion it appears that directors concerns about cash flow are misplaced. It appears that the group is managing its cash flows very well. What is of concern is that directors do not know that Warrburt is managing cash flow well.

(10 marks)

(ii)

Fiduciary duty

Directors have a responsibility to run the company for the benefit of the shareholders. This duty is sometimes called the fiduciary duty. This duty includes showing a true and fair view in the financial statements.

Ethical guidelines

The Chief Financial Officer (CFO) has ethical duties based on his professional accounting body. They are:

P: professionalism

I: integrity

C: confidentiality

C: competence

O: objectivity

The company accountant who works for the CFO has the same ethical duties as his boss.

Proposal

The proposal to include investing and financing cash flows in operating cash flows is creative accounting. It is clearly an attempt to bend and break accounting rules (IAS 7) to manipulate the financial statements to improve the picture.

Unethical

Very obviously the proposal is unethical. It is a breach of fiduciary duty for the directors in general and a breach of integrity for the CFO in particular.

Comment

It is also an unnecessary proposal. The cash flow is fine and does not need manipulation. It is also wrong to classify PPE and financial asset flows under operating cash flows. The proposal is likely to cost directors their jobs.

Company accountant

All this puts the company accountant in a difficult position. The company accountant has a contractual obligation to the company, a practical obligation to the CFO and an ethical obligation to himself. These obligations appear to be pulling in opposite directions.

Solution

The company accountant can solve the problem by explaining to the CFO that the cash flow statement presents positive cash flow management. Hopefully the company accountant can persuade the CFO to abandon the creative accounting.

(7 marks)

(b)

IAS7

IAS7 was the seventh IAS meaning the standard is very old {1992}. The standard has survived these long years because it works adequately. But because the standard was developed in an era when standards had less detail the main concerns relate to clarity resultant from the lack of detail.

Classification

One significant area where the standard lacks clarity is in classification. The CFS has three sections; operating and investing and financing. [IAS7:10]

Activities

Operating activities produce revenues. Investing activities relate to long term assets. Financing activities relate to equity and borrowings. [IAS7:6]

Interpretation

The above definitions can be interpreted differently by different entities. For example interest paid can be interpreted as either operating or financing and defined benefit pension contributions can be interpreted as either operating or investing.

Investors

This classification ambiguity is open to manipulation by cynical directors. This could undermine investors understanding of entity cash flows.

Warrburt

Warrburt appear to be playing on this lack of clarity in the attempted creative accounting discussed above. However, the Warrburt manipulation is a crude attempt to bend IAS 7 and will highly likely fail because PPE sales and Strategic equity sales are very clearly investing flows.

Direct/indirect presentation

There are also two very different ways to present operating cash flow. The indirect presentation essentially reconciles the operating profit to the operating cash flow by making adjustments. The direct presentation simply shows cash in from customers less cash out to suppliers.

Investors

Generally entities adopt the indirect presentation policy. This is unhelpful to users, especially less financially literate users, as the result is a CFS that starts with profit; and profit is not a cash flow. This is sufficiently confusing to put some users off this critical report.

Future proposal

So the IASB has discussed making the direct presentation compulsory. However, this is not a current proposal.

Movement in net debt

The most recent change to IAS7 is to adopt a current culture of reporting into the standard to make it compulsory. It is common for entities to disclose a movement in net debt. This movement is now a current requirement of the standard.

Investors

The disclosure amendment to IAS 7 was adopted by the IASB because the disclosure is widely used by users. The net debt movement is very useful to investors wanting to understand the relationship between cash and debt.

(8 marks for any 8 points)

5. **Bravado****Tutor's Tips**

This is a great question to test your knowledge of goodwill. It has a step acquisition and negative goodwill. The question requires you to look at both full and partial goodwill. There is even contingent consideration.

(a)

(i)

Goodwill

	%	Message	%	Working	Mixed
FV of consideration	80%	300	64%	{118+12}	130
FV of previous			6%	{10+5}	15
FV of NCI	20%	86	30%		53
FV of NA		(400)			(173)
Goodwill		<u>(14)</u>			<u>25</u>

(5 marks: 2 marks for Message and 3 marks for Mixed)

Bargain Purchase

The negative goodwill generated in the Message acquisition is labelled a “bargain purchase” to clarify the positive nature of the gain [IFRS 3]. The gain is recognised immediately in the profit or loss.

Control

Control is the power to direct activities and gives rise to a subsidiary. It is the second purchase of 64% that gives Bravado control of Mixed.

Goodwill

So the goodwill recognition is measured at the point of acquisition when Bravado get control. This means all the components of goodwill must be fair valued at the point of acquisition.

Previous

In particular the previous 6% of Mixed must be fair valued at acquisition at \$15m. This is because the parent is essentially deemed to have sold the 6% investment and purchased a 70% subsidiary at acquisition [IFRS 10].

Contingent consideration

Also when measuring the fair value of consideration the contingent consideration must be included at fair value of \$12m.

Subsequent measurement

The resultant goodwill then goes to the group position statement and will be assessed for potential impairment at each year end.

(5 marks)

(ii)

Associate

Associates are carried using equity accounting which means the purchase cost plus the share of the accumulated growth reported as share of profit and OCI through the SPLOCI (cost plus growth).

Cost

The literal cost of the 25% equity is the original cost of \$8m for the first 10% and a further \$11m for the next 15%. This could be interpreted as the cost.

Alternative

However, an alternative interpretation is preferred based upon the logic used in the sub acquisition of Mixed above. This alternative deems the parent to sell the 10% investment and buy a 25% associate at the point that the parent attains influence [IFRS 10 principles applied to an associate].

Alternative cost

This preferred alternative measures both the 10% and the 15% at fair value at the current year start and gives the combined carrying value on the balance sheet in the question (\$20m=\$9m+\$11m).

Conclusion

Thus only the share of current year profits need to be added to the carrying value given to produce the year end equity accounting carrying value of the associate as follows:-

$$\text{Associate} = [20 + (10 \text{ growth} \times 25\%)] = \$22.5\text{m}$$

(5 marks)

(iii)

	WIP	Finished
Selling price	950	1450
Selling costs	(10)	(10)
NRV per unit	940	1440
Cost per unit	(1000)	(1500)
Loss per unit	(60)	(60)
Loss= \$60(per unit)*300,000(units) = \$18m		

(3 marks)

Foreign equity

This equity is classed as FVTOCI. This simply means the asset will be carried at fair value and the gains will be reported in the OCI.

Foreign currency

Note that the foreign currency component is incidental to the fair value measurement. There is no need to separate the fall in value due the fall on the foreign stock exchange from the fall in the value of the dinar.

Base currency

The currency exchange rate has been quoted with the dinar as the base currency and this tells us that each dinar is far more valuable than the dollar.

Calculation

Here is the fair value movement:

	Dinar m	Rate	Value \$m
Current opening	10	5.1	51.0
Loss (balance) to OCI and OCE			<u>(17.4)</u>
Current closing	7	4.8	<u>33.6</u>

(4 marks)

(b)

Goodwill

Goodwill is measured as follows using partial goodwill:

Goodwill

	%	Message	%	Working	Mix
FV of consideration	80%	300	64%	{118+12}	130
FV of previous			6%		15
FV of NCI {20%*400 & 30%*173}	20%	80	30%		52
FV of NA		<u>(400)</u>			<u>(173)</u>
Goodwill		<u>(20)</u>			<u>24</u>

(4 marks: 2 each)

Partial goodwill

Partial goodwill (proportionate goodwill) is based upon assuming that the NCI is a simple proportion of net assets.

Assumption

The underlying assumption is that NCI is taken to have no goodwill. The goodwill is smaller because the goodwill reflects the value attributable to the parent only.

Effect on Mixed

As the NCI is smaller under the proportionate assumption, so the goodwill is usually smaller on the partial basis. This expected outcome is reflected in the goodwill for Mixed which is \$1m lower because the partial goodwill excludes the goodwill attributable to the NCI.

Effect on Message

As you can see, this logic is turned on its head for a bargain purchase. The negative goodwill is made more negative by the exclusion of the \$6m goodwill attributable to the NCI.

(4 marks)

6. Greenie

**Tutor's Tips**

This is a fairly typical industry mix question with ethical issues interwoven. Like all industry mix questions, the focus is upon analysis. The idea is to look at the stories, see the picture each story paints and deliver the same number of points as there are marks in the story. As with all industry mix questions, the examiner encourages you to draw your own conclusions. The key is to outline the knowledge applicable to the scenario and apply that knowledge based upon your own interpretation of the scenario. And do not forget the ethics marks as these are the easiest.

(a)

Provisions

A provision is required if three criteria are fulfilled (IAS 37):

- Reasonably reliable estimate
- Obligation
- Probable outflow

Legal action

The probability of an outflow is difficult to interpret as the case appears to be in the early stages and an expert report is awaited. It is therefore necessary to make an estimate as to whether Greenie has an obligation at the current year end.

Regulation

However, we do know that the air industry is highly regulated. It is likely that Greenie has breached contracts and regulations when the airport section collapsed. Hence it is likely that Greenie has a probable obligation to pay compensation to the victims of the collapse.

Compensation agreements

This seems to be supported by the scenario reference to “compensation agreements had been arranged with the victims”. Therefore it is recommended that Greenie estimate the likely cash outflow and make a provision.

Disclosure

This would result in a liability and a cost in the profit or loss. However, the material nature of the issue is sufficient that the liability and the cost in the primary financial statements must be supported by a disclosure note explaining the basis of the provision.

Contingent liability

There may also be a contingent liability to the airlines. Greenie may have to pay compensation to them for loss of earnings. This appears to be a possible contingent liability; so should be disclosed.

Insurance

The potential cash inflow appears to be a probable contingent asset. So this potential inflow should be disclosed.

Competence

The directors appear to be aware that there are conditions requiring the recognition of provisions. It therefore appears that directors have sufficient competence to recognise the provision and prepare an appropriate disclosure.

Integrity

It appears the directors are deliberately ignoring the provision. This is dishonest and is a breach of integrity.

Objectivity

The motivation for ignoring the provision and disclosure may be the directors' options. Directors may be more concerned about the maintenance of the share price than the true and fair view of the fs.

(8 marks for 8 points)

(b)

Relationships

A parent accounts for entities in which it has equity ownership depending on the relationship with the entity. There are relationships as follows:

Relationship	Entity	Accounting
Control	Subsidiary	consolidation (acquisition accounting)
Joint control	Joint arrangement	Joint arrangement accounting
Influence	associate	single line (equity accounting)
None	investment	investment (financial instrument accounting)

Control

Control is defined as the power to direct activities. It is usually obtained by voting sufficient to pass resolutions [IFRS 10].

Joint control

Joint control is defined by unanimous consent. This gives all the shareholders the right to reject a proposal [IFRS 11].

Influence

Influence is defined as the power to participate in decisions. It is also usually obtained by voting and is presumed at 20%. However, influence is defined as the power to participate in decisions and is not a percentage ownership [IAS 28].

Shareholders agreement

The relationships in Manair are more to do with the shareholders' agreement and board representation than the percentages of ownership. The scenario does tell us that some decisions require a unanimous vote and other decisions require a majority. The strategic decisions require majority resolution. So the majority shareholder has control of Manair and would recognise Manair as a subsidiary.

Representation

Greenie has two of the ten directors on the Manair board. So it appears Greenie would have influence and an associate. If the majority six listened to the Greenie two when setting strategy then Greenie would have influence.

Management experts

The scenario provides further evidence that Greenie has influence over Manair. This quote shows that Greenie ideas are heard by the board of Manair: "Greenie had sent a team of management experts to give business advice to the board of Manair".

Conclusion

Greenie has influence over Manair and should recognise Manair as an associate using equity accounting (cost plus growth).

Related party transaction

This would make the maintenance contract an RPT and so the maintenance contract would be disclosed.

Minority protection

It appears that the unanimous consent clause is a form of minority shareholder protection. A unanimous decision is required for the issue of shares. This is to give the minority protection against dilution. But day-to-day decisions require a simple majority. The unanimous consent clause is not relevant to the assessment of the relationship of Greenie with Manair.

Integrity

There is substantial evidence indicating the influence of Greenie over Manair. It appears that the directors of Greenie are deliberately ignoring the evidence to avoid the equity accounting.

Objectivity

The purpose of the avoidance of the equity accounting appears to be the avoidance of the recognition of the share of the associate losses. This should go through profit or loss and would depress profits. Again the motivation for the fs manipulation may be the director's options.

(10 marks for 10 points)

7. **Aron**

**Tutor's Tips**

Part (a) is reasonably straightforward. However, part (b) is a challenge. For this part, remember that it is good exam technique to answer question components in the order that best suits you the student. The usual 1 mark per point applies. So an answer structure based upon paragraphs for each point is useful to addressing the marking guide.

(a)

Fair Value

This is the transaction price between market participants at the measurement date (IFRS13).

Measurement

Ideally fair value is taken from a current transaction price (observable inputs; level one or level two). But sometimes when no transaction data is available fair value must be taken from financial models (unobservable inputs; level three).

Volatile

In a volatile market, usually there are lots of transactions but prices are fluctuating. This means it is easy to get a fair value (level one) but it also means the fair value soon becomes irrelevant.

Illiquid

In an illiquid market there are few transactions. If the volume of transactions falls to zero then it may be necessary to use financial models to guess a fair value (level three) resulting in reduced reliability.

(4 marks)

(b)

(i)

Financial liability

The second word in the scenario is "issued". The borrower issues debt and the lender purchases debt. So Aron is the borrower and has a financial liability.

Financial Liability classification

IFRS9 uses an intent criterion to classify financial liabilities (IFRS 9 4.2.1). An intent to keep gives amortised cost and an intent to trade gives fair value.

Aron

The scenario tells us nothing about intent. But we do know for a fact that Aron did keep the debt for the whole three years. So amortised cost seems to make sense.

Initial fair value

This is calculated by discounted cash flow. Note the effective interest rate is 9.38% because of the impact of the issue costs.

Year	Cash flow \$k	DF	PV \$k
1	6,000	0.9142	5,485
2	6,000	0.8358	5,015
3	106,000	0.764163	<u>81,001</u>
Initial FV of debt			<u>91,501</u>

Initial recognition

This liability is not pure debt. It is part debt and part equity:

Dr	Bank {\$100m inflow – \$1m outflow for transaction costs}	99,000
Cr	Debt {liability} (from above)	91,501
Cr	Equity {conversion reserve (OCE)} (balance)	7,499

The debt then unwinds back up to \$100m but the equity remains in equity until conversion.

Amortised cost

The debt unwinds as follows:

Year	Opening	Interest	Instalment	Closing
1	91,501	8,583	(6,000)	94,084
2	94,084	8,825	(6,000)	96,909
3	96,909	9,091	(6,000)	100,000

Debt equity swap

The bond holders demand equity and that is what they get. So the whole \$100m moves from debt to equity. The \$100m moves into share capital and that share capital is split between nominal and premium.

Dr	Debt {liability}	100,000
Cr	Share capital (nominal) {"25million ordinary shares of \$1"}	25,000
Cr	Share capital (premium)	75,000

Equity {Conversion reserve}

The transfer of the conversion reserve depends on whether the option is exercised or lapsed. The transfer of the \$7,499k in the equity reserve is dependent upon the bondholders' decision to convert to share capital or not.

Conversion to share capital

Yes

No

Transfer of conversion reserve

to share capital

to retained earnings

This bond is converted to share capital. So the following is recorded:

Dr Equity {conversion reserve (OCE)} (balance)	7,499
Cr Share capital (premium)	7,499
	(4 marks)

(ii)

FVTOCI Equity

The question tells us that the investment is FVTOCI. So we do not need to know the characteristics of FVTOCI. However, here they are. FVTOCI equity must be “strategic” and “equity”. That is, the investment must be equity and there must be a strategic intent to keep it (IFRS 9 paragraph 5.7.5). The classification is actually an election.

Rise in value

The takeover results in a rise in value:

Dr Investment (Smart)	0.5
Cr Strategic equity gain (OCI and OCE)	0.5

Equity swap

Then there is the equity swap:

Dr Investment (Given)	5.5
Cr Investment (Smart)	5.5

Realisation

Then the previously unrealised reserve is realised:

Dr Strategic equity reserve (OCE) {0.5above+0.4previous}	0.9
Cr Retained earnings (RE)	0.9

(5 marks)

(iii)

Gao perspective

First we look at the asset from the perspective of the subsidiary itself. The reference to “held for trading” gives away that the business model test has failed. So the asset must be carried at fair value through profit or loss (FVTPL).

Gao accounting

So Gao simply records a gain:

Dr	Investment	(SFP)	Z2m
Cr	Speculating gain	(P/L)	Z2m

Group perspective

The subsidiary is translated using the usual rules. The position statement is translated using the closing rate and the profit or loss is translated using the average rate.

Aron statement of financial position

So Aron has the following:

Investment [Z12m/2]: \$6m

Aron Statement of profit or loss

Aron has the following:

Currency speculating gain [Z2m/2.5]: \$0.8m

(4 marks)

(iv) Financial asset classification

IFRS9 uses two tests for amortised cost; the cash flow characteristics test (to test if the asset is a simple loan with interest and principal repayment and no other features) and the business model test (to test if the asset is held for collection that is with an intent to keep to maturity). If either test fails then the asset is carried at fair value (IFRS 9 paragraph 4.1.1).

Employee loan assets

The scenario is not clear but it does appear both tests are fulfilled. So the asset will be carried at amortised cost.

Cash flow characteristics: the loan has only interest (0%) and principal repayment (\$10m) and no other features.

Business model: it appears Aron has every intention of waiting for that principal at the end.

Initial fair value

This is calculated by discounted cash flow:

Year	Cash Flow \$k	Discount Factor	Present Value \$k
1	0	0.943	0
2	10,000	0.890	8,900
Initial FV			<u>8,900</u>

Amortised cost

The asset then unwinds as follows:

Year	Opening	Interest	Instalment	Closing
1	8,900	534	(0)	9,434
2	9,434	566	(0)	10,000

(6 marks)

8. Conceptual**Tutor's Tips**

As with all discursive answers the aim when answering this question is to deliver a number of points equal to the number of marks allocated. As with all discursive answers a wide variety of relevant points can score. A useful technique is to take words from the requirement and use those words as headings and then write under each heading. This can help to get an answer started. The conceptual framework is often referenced in answers to justify a viewpoint. However, the framework is less frequently directly examined. When directly examined the question can be interpreted as examining development and current issues as well as examining the framework because the framework is used as a reference for development and the framework was itself under development for an extended period. The word "need" in the (b) requirement is easy to address if you know the trick. Financial reporting is for investors and so if there is a "need" for something then it is because investors need it.

(a)

(i)

Convergence

Firstly let's start with convergence. It is widely accepted that a single set of standards can be applicable across the whole globe. However, there are barriers to convergence the principal barrier being the USA.

Investors

The main driver for convergence is the investors in the market. Many investors want to be able to look at American and Russian financial statements and make comparisons.

Preparers

Also preparers often want one set of standards so that one set of financial statements can be produced for companies with multiple quotations. This would reduce cross border consolidation adjustments.

USA

The process of convergence has focussed upon the convergence of the IASB and the US ASB (properly called FASB). The IASB have argued that once the USA adopts IFRS, the rest of the world will follow.

Recent history

At the turn of the millennium the adoption of IFRS by the USA looked likely and imminent. However, since financial crisis (2008) there has been strong opposition to IFRS in the USA.

USA Securities and Exchange Commission

In July 2012, the SEC issued its final report on its IFRS work plan intended to aid the SEC in evaluating the implications of incorporating IFRS into the US reporting system. The staff found little support for adopting IFRS in the US. In a public statement issued on January 5, 2017, former SEC Chair Mary Jo White expressed support toward the development of high-quality, globally accepted accounting standards, and suggested that the SEC support further efforts by the FASB and IASB on convergence but this view is not widely held across the USA.

Prescriptive reporting

In the past the US has had a system of rules based on prescriptive accounting but now they wish to move to conceptual accounting. So during the development of a framework the IASB have communicated with the USA FASB. However, a single framework document applicable under IFRS and USA standards has proved impossible to deliver.

Purpose of a framework

So the IASB have continued to develop a new framework to address IFRS. The main purpose of an accounting framework is to enable standard setters to develop standards which are consistent with one another.

Purpose in more detail

The IASB describe the purpose as follows:

- The framework assists the Board to develop IFRS Standards that are based on consistent concepts;
- The framework assists preparers to develop consistent accounting policies when no IFRS Standard applies to a particular transaction or event, or when a Standard allows a choice of accounting policy; and
- The framework assists others to understand and interpret the Standards.

Practical issues

The framework is for use primarily by the IASB and not for use by accountants in practice. In practice, accountants should use the existing IFRS to solve problems.

Guidance

But it can be seen from the above that the framework can be used by accountants in practice to guide policy decisions and interpretation of the IFRS.

Exception

And in exceptional circumstances the framework can be used directly to solve a financial reporting problem by a company when there is no appropriate IFRS guidance available.

(9 marks for 9 points)

(ii)

Components

The new conceptual framework under development is based on the existing conceptual framework, which in turn contains a number of chapters produced in 2010 together with some older material from the IASB's 1989 Framework.

2018 Framework

The new Conceptual Framework was issued in 2018. The chapters of the Conceptual Framework provide an indicator of the key issues that such a document should address. They are:

Objectives

A chapter on the Objective of general purpose financial reporting. This looks at who financial statements are for and particularly whether they are for shareholders only or wider users.

Qualitative characteristics

This chapter looks at the fundamental characteristics that financial information should possess and the additional characteristics that are desirable and that enhance the quality of information provided.

Elements of financial statements

This chapter gives definitions of assets and liabilities as well as equity, income and expenses.

Recognition and derecognition of elements

This chapter looks at the points at which assets and liabilities should be recognised and derecognised.

Measurement of elements

This chapter considers how assets and liabilities are measured – at historical cost, fair value or using other measurement bases.

Presentation and disclosure

As the name suggests, this chapter assesses the best methods of communicating information on position, performance and cash flow, including guidance on whether income and expenses should be presented in profit or loss or other comprehensive income.

Reporting entity

This chapter is especially relevant to group accounting as it considers what constitutes a reporting entity for the purpose of financial reporting and in particular the use of consolidated financial statements.

Capital and Capital Maintenance

This chapter assesses the concept of capital and profit.

(6 marks for 6 points)

(b)

Assets and liabilities

To paraphrase the conceptual framework “an asset/liability is a present controlled resource/obligation to a future economic inflow/outflow”.

Equity

Equity is defined in the conceptual framework and standards as the residual [IAS 32:11]. In other words, equity is the difference between assets and liabilities. This means that equity currently has no definition in its own right.

Application

This framework definition makes it very hard to assess whether the A and B shares are equity. So the IFRS give a method by which companies can identify equity. The method is to see if the issued paper is really a liability with “contractual obligations” and then if not the issued paper must be equity [IAS 32: 16]. So we look for obligations or more particularly the absence of obligations.

Obligated

The phrase “obliged” in the scenario gives a huge clue. Clearly the 5% annual dividend on B shares is an obligation.

B shares from the subsidiary perspective

The subsidiary should present the B shares as liabilities (a payable of 100% of the debt).

B shares from the parent perspective

The parent should recognise the parent ownership as an asset (a receivable of 70% of the debt).

B shares from the group perspective

The group should consolidate the net liability (30%) with the other group liabilities on the group position statement and eliminate the cross holding of B shares between parent (receivable) and subsidiary (payable) as a group intercompany elimination (70%).

Definition

Because the definition of equity in the framework is a “residual” and because the test to identify equity is to look for an absence of “contractual obligations” there is a risk that debt may be erroneously classified as equity. Looking for something to be not there is awkward. Testing issued paper to see if it is debt or equity is not easy.

Gearing

A misclassification of debt as equity brings gearing down. This can result in investors underestimating the true financial risk of an entity and making poor investment decisions.

Development

So the IASB have a project looking into possible improvements in equity testing and possible improvements in the framework definition of equity.

(10 marks for 10 points)

9. Grange

**Tutor's Tips**

This is a difficult question with an enormous amount going on. It is difficult to complete this question within 1 hour. Be careful when practicing this question not to slow down. It is better to do this question six times for 1 hour than once for 6 hours. In the real exam itself you will have less than an hour regardless of the question difficulty. Part of your practice should be training yourself to work quickly and pick off the easy marks as you go.

(a)

(i)

GOODWILL	%	Working	P	%	Working	F
FV of Consideration	60%		250	100%		214
FV or NCI	40%		150	0%		0
FV of NA		360+10	(370)		202+4	(206)
Goodwill			<u>30</u>			<u>8</u>

(4 marks: 2 each goodwill)

(ii)

TRANSFER (Park) FROM NCI TO CI

NCI at year end before transfer [150+(40%)(56 below)]	172.4
Transfer (172.4 x 20%/40%)	<u>(86.2)</u>
NCI after (shown as NCI in B/S)	<u>86.2</u>

EFFECT ON CI

Transfer IN	86.2
Transfer OUT	<u>(90)</u>
Decrease to OCE	<u>(3.8)</u>

NET ASSETS	P	P
	Acqn	YE
SC	230	230
RE	115	170
OCE	10	14
FVA (Franchise) [depn= \$10m(1.5yr/5yr)]	10	7
FVA (Land)	{balance} 5	5
	(360+10)	<u>426</u>
Growth	<u>370</u>	<u>56</u>

TRANSFER (Fence) FROM CI TO NCI

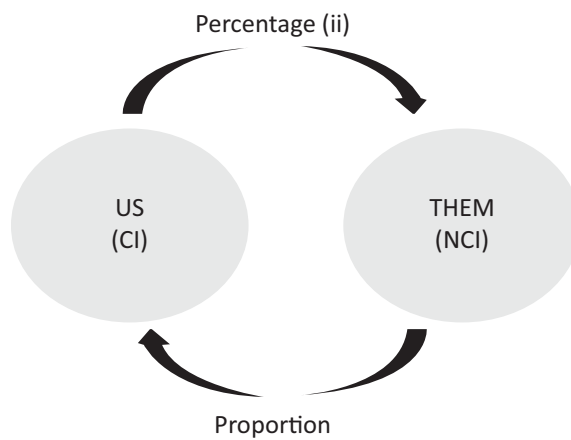
Carrying Value	(NA + GW) (210 + 8)	218
Percentage		<u>25%</u>
Transfer Out (to NCI and therefore shown as NCI in B/S)		<u>54.5</u>
EFFECT ON CI		
Transfer OUT		(54.5)
Consideration IN		<u>80</u>
Increase to OCE		<u>25.5</u>

NET ASSETS	F	F
	Acqn	YE
SC	150	150
RE	73	65
OCE	9	17
FVA (Contingency)	(30)	(25)
FVA (PPE) [depn = \$4m(1yr/4yr)]	{given} 4	3
	(202 + 4)	<u>210</u>
Growth	<u>206</u>	<u>4</u>

(12 marks: 4 each for each transfer effect and 2 each for each NA movement)

Transfers

There can be an inconsistent approach to transfers:



(iii)

Associate

At the year-end, the sale of 60% results in the loss of control of the former subsidiary, which becomes an associate for the last few hours of the year because of the influence retained by the 40% ownership.

Goodwill

FV of consideration [100%]	39
FV of NCI [0%]	-
FV of NA	<u>(32)</u>
Goodwill	<u>7</u>

Disposal

Actual sales proceeds (60%)	23
Deemed sales proceeds (40%){fair value of residual}	13
NCI	-
NA	(36)
GW (39 – 32)	<u>(7)</u>
Loss on disposal	<u>(7)</u>

(4 marks)

(b)

(i)

Investment Property

It is not clear, but it appears the land is an investment property incorrectly thrown in with the PPE. So the \$6m must be moved from PPE to IP and then fair valued at \$8m with a gain of \$2m to the statement of profit or loss.

	\$m
Opening [given]	6
Investment gain (to P/L and RE){balance}	<u>2</u>
Closing [given as \$8m at year end]	<u>8</u>

(4 marks)

Property Plant and Equipment

Again it is not crystal clear, but it does appear that this time property is correctly classified as PPE. So this property stays in PPE and we put through a PPE revaluation.

	\$m
Opening [8m dinars/2]	4
Revaluation (to OCE and OCI){balance}	<u>4</u>
Closing [12m dinars/1.5]	<u>8</u>

The PPE revaluation goes to other comprehensive income (OCI) and so into other components of equity (OCE) [IAS16]. Note that investment property gain goes to the statement of profit or loss and so into retained earnings (RE) [IAS40]. Hence the different the two gain will be contained in different reserves on the position statement.

(4 marks)

(ii)

Provisions

A provision is required if three criteria are fulfilled:

- Reasonably reliable estimate
- Obligation
- Probable outflow

Application

Grange must provide for the fine as it will be fined. Grange must provide for the compensation as it will have to pay. But Grange must not provide for the changes in manufacturing as they have only been requested and so there is no obligation. This view that the request does not constitute an obligation is supported by this phrase: "Requests of this nature are routinely ignored by manufacturers".

(2 marks)

10. Cate

**Tutor's Tips**

Cate is an ethics case study. So of course there are marks for ethical considerations. In past exam answers the examiner has looked particularly at integrity and competence. Identifying a potential deliberate manipulation is connected to integrity. Identifying a potential failure to understand IFRS is connected to competence. However, students should first look at the corporate reporting before looking at the implied ethics of the corporate reporting.

(a)

Deferred tax

Deferred tax (DT) is based on the following (IAS12 paragraph 5):

$$DT = TD \times CT\%$$

Where TD is the temporary difference and CT% is the corporation tax rate.

Temporary difference has its own equation (IAS12 paragraph 5):

$$TD = CV - TB$$

Where CV is the financial accounting carrying value and TB is the tax accounting tax base.

Losses

Financial accountants lose losses in equity, but the tax accountants carry them forward as assets. So losses give rise to DT as illustrated by the following, assuming a loss of \$100m:-

	CV	TB	TD
Loss	0	100	= (100)
			x30%
DT asset			<u>(30)</u>

Negative TD

The formal name for a negative TD is a deductible TD. A deductible TD always gives rise to a DT asset. So as you see above, losses do give rise to a DT asset.

Asset

An asset is only recognised as an asset if it is a controlled present right to a future economic benefit [Framework paraphrased]. In the context of tax losses carried forward, that means tax losses are only useful if they can be set off against future profits.

Cate Budgets

But Cate does not look likely to return to underlying profits soon because Cate only made a profit this year as a result of non-operating gains. And Cate budgets are based upon products still in development. Although Cate is trying to make it look like the future is bright, it is not very convincing.

Ethics

It appears Cate is manipulating the budgets deliberately to support the continued recognition of the deferred tax asset. This is dishonest and is a breach of integrity.

Conclusion

The DT asset is not recoverable and should be derecognised.

(6 marks)

(b)

Impairment

This occurs when the recoverable value of an asset falls below the carrying value (IAS36). Recoverable value is the higher of:

VIU = value in use; and

FVLCTS = fair value less costs to sell

Impairment test

To do the test properly, Cate should have both figures. If Cate really does have significant influence, then Cate should have no problems getting VIU information from Bates.

Ethics

Cate claims to have carried out the impairment test "in accordance with the procedures prescribed in IAS 36". So it seems likely that Cate does know the VIU is required. It appears Cate simply cannot be bothered to produce the cash flow forecasts required. This is unprofessional.

Fair value measurement (FVM)

The fair value should be measured in accordance with the IFRS on FVM (IFRS13). The IFRS describes a hierarchy roughly as follows:

- Level 1: exact equivalent market price
- Level 2: approximately equivalent market price
- Level 3: financial models using unobservable inputs.

Fair value

Deliberately ignoring the obvious fair value available in the form of the market value looks suspicious. Obviously Cate should use the market value as fair value when a market value is available and perform the impairment test properly.

Ethics

This looks like creative accounting. Ignoring the market value in favour of financial models appears to be a deliberate attempt to manipulate the outcome of the impairment test. This is dishonest and is a breach of integrity.

(6 marks)

(c)

Pensions

There are two types and their meanings are literal:

Defined contribution plan = the contributions are defined in the contract

Defined benefit plan = the retirement benefit is defined in the contract

Final salary

Para (iii) makes it clear that it is the benefit that is defined. It describes how the benefit is calculated. It defines the benefit and so this is a defined benefit plan. This style of defined benefit pension is often called “final salary”.

Position statement

Defined benefit is a complicated pension with a growing asset, separate growing liability and an actuary to manage the two. The IFRS requires detailed disclosure in the notes and a net liability on the face of the statement of financial position (IAS 19).

Performance statement

In the statement of profit or loss are the service cost and the finance cost; whilst in the OCI is the actuarial remeasurement gain or loss.

Voluntary

The pension is described as “voluntary” and that is why Cate is claiming to have no liability. However, the mention of an “underlying contract” reveals that the pension is not voluntary and so defined benefit pension accounting is required.

Termination

The directors also reference the termination clause as a justification for ignoring the pension liability. But the termination clause simply allows Cate to pay early. It does not relieve Cate of the obligations.

Ethics

It seems likely that Cate directors know that the employment contract terms give rise to a pension liability. It seems likely that the directors are using deliberate spurious arguments to avoid recognising the liability. This is dishonest and is a breach of integrity.

(6 marks)

11. Key

**Tutor's Tips**

The usual marking guide of 1 mark for 1 point applies. So a simple answer structure of 1 heading and 1 paragraph delivering 1 point per mark allocated works well.

(a)

Impairment

An impairment occurs when the recoverable value of a non-current asset falls below the carrying value. Recoverable value is the higher of value in use and fair value less costs to sell.

Value in use (VIU)

As the name suggests, value in use (VIU) measures the net present value of the asset using the principles of discounted cash flow (DCF) derived from financial management.

Fair value less costs to sell (FVLCTS)

The above is also literal. It is the cash expected to derive from immediate sale as implied by market value less the costs required to achieve that sale. It is essentially synonymous with net realisable value (NRV).

Cash generating unit

Ideally impairment tests should be done on an asset by asset basis. But in practice this is often impossible as many assets do not have individual VIU. So the impairment test is done on the smallest unit possible, called the cash generating unit.

Impairment test

This is required when there are indications of impairment. These can be very obvious such as damage or more subtle such as a fall in related product demand.

Credit conditions

Which brings us to the scenario. The scenario is describing the start of a recession. This is effectively an indication of impairment for all the NCA in the group. It does not mean all assets will have suffered an impairment. It just means they must be tested.

FVLCTS

But of course the tightening of credit is likely to make the sale all the harder. Thus the fair value is likely to be hit. So FVLCTS will be down.

VIU

Also reduced demand will hit the cash flows in the DCF and those cash flows will be hit again by a higher discount rate. This is likely to reduce VIU.

Effect

So in summary, the recession will result in widespread impairment reviews that are more likely to reveal an impairment.

(8 marks)

(b)

Development area Factory

The carrying value at the impairment point half way through the current year is as follows:

	\$k
Cost	3,000
Depreciation {3m*1/5}	<u>(600)</u>
Carrying value	<u>2,400</u>

DCF

The DCF reveals the following:

Year	CF	DF	PV
1	280	0.9524	266
2	450	0.9070	408
3	500	0.8638	432
4	550	0.8227	<u>452</u>
VIU			<u>1,558</u>

FVLCTS (NRV)

There is no information on fair value less costs to sell (FVLCTS). But it is usually the case that this is below VIU.

Impairment

So on the assumption that VIU is the higher of VIU and FVLCTS then the following would be recorded:

	\$k
Carrying value	2,400
Impairment (balance)	<u>(842)</u>
Recoverable value (above)	<u>1,558</u>

Recognition

The impairment loss would go through the statement of profit or loss and may be separately recorded on the statement of profit or loss as a "superexceptional" item (IAS 1: 85).

Reversal

It is quite possible that the above projected cash flows could give a higher VIU at a second impairment test at the year-end. If the directors use a lower discount factor at the year-end then the DCF will reveal a higher VIU. However, given the undiscounted sum of the cash flows is \$1,780k, the reversal would be only partial and probably quite small.

Accounting

The rule when accounting for reversals is that they go back through the performance statement that accommodated the original movement. In this case the original movement was an impairment and so it has gone through the statement of profit or loss. So this proposed reversal will also go through the same statement of profit or loss.

Government compensation

This uncertain cash flow may be categorised as a contingent asset. It appears to be a possible contingent asset and possible contingent assets are ignored.

(6 marks for 6 points)

Plant

The other NCA also has a reversal. This asset (the plant) went up then down. The first asset (the factory) went down then up but the principles hold true for both. The amount of a reversal is subject to two limits.

First limit

Firstly the reversal is limited to the original movement. As you see below the original gain was \$0.8m, so this is the maximum reversal.

Second limit

But it is the second limit that defines the reversal. Reversals are also limited by the historical NBV. This is the figure that would have been carried had there been only depreciation. As you see below the historical NBV is \$7m and this limits the reversal to \$0.7m.

Revaluation reserve

This limit above operates because the reversal is limited by the revaluation reserve and there is only \$0.7m in the revaluation reserve after the transfer of \$0.1m to retained earnings.

Numbers

The numbers on the other NCA are like this:

	\$m
Cost	10
Two earlier years' depreciation	<u>(2)</u>
Last year closing balance before revaluation	8
Revaluation gain (to last year's OCI) {balance}	0.8
Current opening value from valuer {given}	8.8
Current depreciation (8.8/8years)	<u>(1.1)</u>
Current closing before reversal	7.7
Reversal loss (to OCI){balance}	<u>(0.7)</u>
Historical NBV [10 - 3yrs depn]	7
Impairment (to P/L){balance}	<u>(1.5)</u>
Closing recoverable amount from valuer {given}	<u>5.5</u>

(6 marks: 3 marks for explanation and 3 marks for numbers)

Under-utilised property

At first this looks like a candidate for NCA held for sale.

Criteria

The criteria are as follows:

- S sell: clear commitment to sell
- A available: ready to go
- L locate: actively looking for a purchaser
- E expected: sale expected within 12 months.

Fail

But the asset fails the locate test. The standard requires that directors must be "actively" seeking to locate a purchaser and this includes asking a price that reasonably reflects the market. Key directors are claiming to be "actively" marketing but they are not. The directors are not pricing to reflect the market. So the NCA must stay in NCA.

(3 marks)

12. Ghorse

**Tutor's Tips**

That is a lot to do in the time. So try to answer the question in front of you and stick to the time.

(a)

30 September impairment test

The impairment was correctly recorded at this point. Cee and Gee are cash generating units (CGUs) during the year to 31 October 2007. An impairment of Cee was recognised during the year, prior to the date on which the CGUs become disposal groups held for sale, and recorded correctly:

	Carrying value before	Impairment	Carrying value after
C	50	(15)	35
G	70	(-)	70

Single transaction

Ghorse decided to dispose of Cee and Gee in a single transaction. Once the two units are thrown together in non-current assets held for sale they become one combined unit.

Ghorse intends to sell the two CGUs together in a single transaction and therefore they are considered as a single disposal group for the purpose of applying IFRS 5.

On transfer to the held for sale category on 30 September 2007, the disposal group must be measured at the lower of fair value less costs to sell and carrying amount.

The fair value less costs to sell is \$125m and the carrying amount is \$105m, therefore no adjustment to carrying amount is required on transfer.

At 31 October the disposal group held for sale is remeasured and IFRS 5 permits the recognition of a gain for an increase in fair value less costs to sell; the gain cannot, however exceed any impairment loss previously recognised.

The fair value less costs to sell is \$135m, which is \$30m in excess of carrying amount. However, only the impairment loss previously recognised (\$15m) can be reversed. This amount is recognised in profit or loss and the new carrying amount of the disposal group held for sale is \$120million.

31 October impairment review

This results in a reversal of the impairment:

	Before	Reversal of impairment	After
CGU (35+70)	105	15	120

Combined recoverable value

This is \$135m (40m + 95m) but this exceeds the original historical cost of \$120m

Reversal rule

The rule is that the maximum reversal is limited to the original impairment.

Conclusion

This is why the year-end reversal is only \$15m.

ROCE

This affects both PBIT and equity.

(7 marks)

(b)

Tax base

The change in the tax base caused a change in the temporary difference, which in turn causes a change in the deferred tax.

Old DT

The original DT was calculated as follows:

	CV (Carrying value)	TB (Tax base)	TD (Temporary difference)
Property	50	48	2
Vehicles	30	28	2
Other			5
Company total			9
DT (liability) × 30%			2.7

New DT

Based on the new figures, the DT should be as follows:

	CV		TB		TD
Property	50	–	65	=	(15)
Vehicles	30	–	35	=	(5)
Other					5
Company TD					(15)
					× 30%
DT (asset)					(4.5)

Movement

So the DT changes from a liability to an asset:

Old DT (liability)	(2.7)
Increase	<u>7.2</u>
New DT (asset)	<u>4.5</u>

ROCE

Deferred tax on a revaluation is recognised in other comprehensive income and therefore there is no effect on profits. The change from a liability to an asset increases equity and therefore affects ROCE. So this does not affect PBIT but the switch from liability to asset does make equity grow.

(6 marks)

(c)

Carrying value

The year-end carrying value of the equipment is as follows:

	\$m
Opening	4
Depreciation (25%)	(1)
Closing	3

FVLCTS

The fair value less costs to sell is given as \$2m.

VIU

The value in use is calculated as follows:

Year	Cash flow CF	Discount factor DF	Present value PV
1	1.3	0.909	1.2
2	2.2	0.826	1.8
3	2.3	0.751	1.7
VIU			4.7

Conclusion

The recoverable value is \$4.7m (the higher of FVLCTS and VIU). This is higher than the carrying value so there is no impairment.

ROCE

As nothing happens there is no effect on ROCE.

(5 marks)

(d)

Leasing

The IFRS on leasing requires a right of use asset and corresponding liability to be recognised by the lessee (IFRS 16). The two exemptions are leases of 12 months or less in duration and leases for low value assets.

12 months or less

The exemption allows lessees to simply charge the cost straight to the P/L. So there is no asset or liability recognised.

6 month leases

Ghorse had short leases earlier and used the above exemption to ignore the asset and liability created by the short leases. But now Ghorse has signed a longer lease an asset and liability must be recognised.

12-year lease

So the new lease asset must be recognised at the year end when the lease is signed. And a corresponding liability in the same amount must be recognised. Both will be based upon the discounted present value of the future cash outflows over 12 years. Note that the asset life of 13 years is irrelevant in this context.

Measurement

Both asset and liability are measured as follows:

$$\text{Asset/Liability} = \$5\text{m} \times 6.8137 = \$34.1\text{m}$$

ROCE

Because the contract was signed at the year end, it has no effect on ROCE.

(5 marks)

Summary

Here is a summary of the effects of the above upon ROCE:

		(a)	(b)	(c)	(d)	
PBIT	30	+ 15	0	0	0	45
Equity	220	+ 15	+ 7.2	0	0	242.2
Ratio						= 18.6%

Final analysis

So you see that the ROCE actually increases as a result of the adjustments.

(2 marks)

13. Jocatt**Tutor's Tips**

It is unlikely that an SBR exam question will require the preparation of an entire CFS. However, CFS extracts may be examined. This question represents a potential structure by which a CFS could be examined in SBR.

(a)

Indirect cash flow statement (IAS7)

Profit before tax		59
Associate		(6)
Finance		<u>6</u>
Operating profit		59
Inventory	(128-105+8)	31
Receivables	(113-62+5)	56
Payables	(55-144+8)	81
Depreciation (given)		27
Disposal gain on land (11+4-10 and see below)		(9)
Gains on investment property (8-6)		(2)
Gain on equity investment (5-4 plus see note below)		(1)
Impairment of goodwill (see working below)		31.5
Impairment of intangibles (see working below)		17
Pension service cost (10+2 given)		12
Pension finance (given)		2
Pension contribution (see working below)		<u>(17)</u>
Cash generated from operations		<u>287.5</u>

(15 marks)

Workings

Goodwill

Opening	68
Closing	(48)
Goodwill on Tigret acquisition (see below)	<u>11.5</u>
Impairment	<u>31.5</u>

Tigret Goodwill

FV of consideration	30
FV of previous	5
FV of NCI	20
FV of NA (Assets - DT= 45 - 1.5)	<u>(43.5)</u>
Goodwill	<u>11.5</u>

Intangibles

Opening	72
Closing	(85)
Acquisition	18
Purchase	8
Development	<u>4</u>
Impairment	<u>17</u>

Pension liability

Opening	22
Closing	(25)
Loss (given in OCI)	6
Current service cost (given in para (3))	10
Past service cost (given in para (3))	2
Finance (given in para (3))	<u>2</u>
Cash flow contributions	<u>17</u>

Notes

These notes are purely for guidance and are certainly not required in the exam. They look at the tricky difficulties of this question.

Gain on property

The gain on the PPE is derived as \$9m (sale proceeds of \$15m plus \$4m less exit carrying value of \$10m). The gain is removed from operating profit as the gain is included in investing on a full CFS and this adjustment prevents duplication.

Gain on equity investment

IFRS3 assumes that the 8% has been sold and bought back at \$5m as it changes nature from a simple strategic investment in equity to a part of the cost of control of a subsidiary. This would normally be no big deal, but because last year's gain of \$1m (from \$4m cost to \$5m fair value) was not recognised last year, so it must have been recognised this year. The examiner has said that the profit on disposal ended up in operating costs and so the examiner has taken this out of operating in the operating profit reconciliation.

Acquisition deferred tax

Add down the list of assets acquired {15+18+8+5+7-8} and you will see the entry carrying value of net assets is \$45m. The tax base is given in para (1) as \$40m. The result is a temporary difference of \$5m and deferred tax of \$1.5m.

(15 marks)

(b)

(i)

Tax paid

Opening CT	30
Closing CT	(33)
Opening DT	41
Closing DT	(35)
P/L	11
Acquisition $(45-40) \times 30\%$ (see note above)	1.5
OCI FVOCI DT (given)	<u>1</u>
Tax paid	<u>16.5</u>

(4 marks)

(ii)

PPE

Opening	254
Closing	(327)
Revaluation	(7)
Acquisition	15
Disposal	(10)
Exchange	4
Depreciation	<u>(27)</u>
Cash flow purchases	<u>(98)</u>

(4 marks)

(c)

Methods

The two methods are two different ways of deriving cash generated from operations. They are different ways of laying out operating cash flow. The investing and financing sections are unaffected by the different methods.

Direct method

The direct method is a method of calculating the operating cash flow that starts with the cash inflow from customers and lists all the operating cash outflows by class. The result is the readers can see how much operating cash flowed in and how much cash flowed out to suppliers, employees and other parts of operations. The operating section of the CFS would look like this:

Cash from customers	x
Cash to suppliers	(x)
Cash to employees	(x)
Cash generated from operations	<u>x</u>

Name: direct method

The direct method is so called because, in theory, it is derived directly from the cash records. But in reality those few companies that produce direct method cash flows do so indirectly from the statement of profit or loss and statement of financial position.

Example

For example, if Jocatt were to produce a direct cash flow it would start with the following:

	\$m
Cash inflow from customers	488
(sales + opening rec - closing rec + acqn)	
(432+113-62+5)	

You can see that derivation of the cash inflow from customers above is very similar to the methods used in an indirect cash flow.

Comment on direct method

This presentation is natural and intuitive. It tells the reader how much cash flowed in and how much flowed out. It also has consistency (and cohesion) with the statement of profit or loss. The statement of profit or loss starts with sales to customers and a direct CFS starts with cash from those customers.

Indirect method

This is a method that calculates the operating cash flow by starting with the operating profit and then adding back non cash flow costs and adjusting for working capital. It is the method used in part (a) above.

Name: indirect method

It is called the indirect method because it can only be calculated indirectly from the statement of profit or loss and statement of financial position and cannot be calculated directly from cash records.

Comment on indirect method

The indirect method is essentially an accounting reconciliation. It does not actually show cash flows. It has its upsides; it does give a strong feel for working capital management but really the only reason the method persists is because everybody does it.

Profit reversal

The IAS7 indirect method is even more difficult for readers to understand as it starts with profit before tax and reverses up to operating profit, as you can see in the first few lines of the answer above.

Conclusion

The direct method is obviously the more intuitive method. It presents a cash flow statement by presenting cash flows. This is why the IASB propose to move to the direct method of cash flow statement.

(7 marks for 7 points)

14. Alexandra

**Tutor's Tips**

This was a classic industry question requiring the application of a mix of standards. The marking guide throughout was a simple “1 mark per point”. So as usual, very different answers to this question could score full marks. And of course, remember to make comments on the ethics you interpret from the scenario as these marks are often the easiest.

(a)

Non-current liabilities (NCL)

Non-current liabilities are liabilities with the right to defer payment beyond 12 months. All other liabilities are current liabilities (CL).

Statement of financial position

A statement of financial position is intended to be a statement of financial position at the year-end and not the position earlier in the year or the position later in the future. It is irrelevant when the loan was originally due and it is irrelevant when the loan might be paid after the year end. All that is relevant are the rights and obligations at the year end.

Waiver

The waiver extant at the year-end gives Alexandra the right to defer payment for one month from the year end. The entire liability is CL at the year end.

EARP

The payment of the interest and the reinstatement of the original Alexandra rights is an event after the reporting period. Non-adjusting events are events that do not change the conditions at the year end.

Reinstatement of rights

The reinstatement of the Alexandra rights to repay capital in fifteen years would result in the liability being classified NCL in the 31 May 2011 month end financial statements. However, this is not relevant to the year-end financial statements at 30 April 2011.

Disclosure

The reinstatement of the rights after the year end would be classified as a non-adjusting EARP and thus the reinstatement of the rights would be disclosed in the notes to the liability recognised in current liabilities at the year end.

Ethics

It is difficult to assess the ethics of the directors' error. This misclassification may be a simple mistake. In this case there are questions about the directors' competence. But the directors may know the liability was a CL at the year end. This raises questions about directors' integrity.

(6 marks)

(b)

Related Parties

IAS24 is a very long standard with lots of detail, but the principle of the related party is simple enough. A party is related to an entity if there exists a relationship of control or influence.

Directors

All the directors on both boards are in a position of influence at very least. So all directors are related parties. In fact directors are identified specifically as related parties in IAS 24 unless it can be shown the directors do not have influence.

Disclosure

IAS24 requires related party transactions (RPT) to be disclosed in full. That means all the following:

- Parties
- Relationship
- Transactions

Effect

The effect is that all directors must be named and all their various forms of remuneration must be explained in full, including the option schemes. This could be delivered in the form of a table.

Corporate governance

Quite apart from the requirement to disclose under IAS24, Alexandra has a requirement to disclose under corporate governance. This later responsibility is almost certainly given in the corporate governance listing rules of the stock exchange upon which Alexandra is quoted.

Law

It is also a requirement of law in most jurisdictions that directors pay is disclosed.

Integrity

The deliberately ambiguous information is a clear breach of IFRS and may even be a breach of law. This calls into question the integrity of both boards.

Tax evasion

The reference to “tracing remuneration” appears to indicate that board members are hiding their pay from tax authorities. This appears to indicate potential fraud.

(6 marks)

(c)

Pension schemes

There are two forms of pension given in IAS19 and they are distinguished primarily based upon the element of the scheme that is defined. But the two forms of pension are also different in the allocation of risk. This means you can tell which scheme you have depending on whether the employee or the employer faces the risks of stock exchange (SE) movements.

Defined contribution

A defined contribution scheme defines the contributions that the company must pay the employee. This kind of contract makes no promises regarding the eventual value of the benefit. The employee will choose where to put his/her pension money. Ups and downs in pension value result from his/her choices. Therefore if the SE goes down then the employee will suffer but the company will be unaffected.

Defined benefit

If the company defines the benefit that will be given to the employee when he retires, then the company does make promises regarding the value of the eventual benefit. The company will choose where to put the money in the hope that there will be enough at the end to pay the employee off. Therefore if the SE goes down then the company must top up the difference.

Alexandra Review

The results of the review are very complex and hard to read. But the last sentence gives away the situation: “Alexandra is liable for the difference”. So Alexandra still has the risk of a SE fall.

Conclusion

Alexandra still has a defined benefit pension scheme. So Alexandra must continue to recognise net pension liability as before.

Restatement

Alexandra has already restated the comparatives. This restatement must be reversed as the nature of the pension obligations are essentially unchanged from last year.

Ethics

The detail of the pension review appears to show that the classification of the pension was not easy. It appears the reclassification was a simple error and given the complexity of the issues even to accuse the directors of incompetence in this context may be harsh.

(6 marks)

15. Coate**Tutor's Tips**

This was a wide ranging question with a range of issues available to explore. Therefore an important factor in successful answers was the breadth of the issues discussed. Those students that explored a variety of ideas scored well. Those students that got hung up on one issue scored poorly. It was also a question to which a range of conclusions were available. Corporate reporting is often like this. There are often problems to which a range of solutions might be appropriate. Therefore flexible answers that suggested possible solutions scored better than dogmatic answers that insisted upon a single solution.

(a)

Interpretation

There are a number of ways to interpret the scenario; probably the main interpretation being analysis using intangible asset accounting. The accounting is not easy so to help illustrate the double entry the following has assumed a fair value of \$100 for each green certificate.

Intangible asset

The green certificates are controlled rights to future economic inflow and so are assets. Although the paper itself is tangible, the rights cannot be touched and so are intangible so it seems reasonable to interpret the green certificates as intangible assets.

Recognition

Intangibles are recognised when measurable and are measurable when purchased. The certificates were initially purchased from the government at zero cost and so the following double entry applies at purchase:

Dr	Intangible	0
Cr	Bank	0

This means of course that the asset is effectively ignored at purchase.

Sale

Then assuming a cost policy when the asset is sold, a simple sale is recorded:

Dr	Bank	100
Cr	Revenue	100

Comment

This simple double entry works because the sale of the green certificates ends up in revenue and the cost of green power is already in cost of sales so there is nice simple matching. The unsold certificates are valued at zero, which is the cost paid to the government.

Revaluation

There is a fair value model in the IFRS on intangibles (IAS38: 75). It is rarely applicable because it is only available if there is an active market (IAS38: 78). An active market is one with many transactions in identical assets. Most intangibles like brands and patents are all different and so the FV model is unavailable but these intangibles are all identical and there is a market. So revaluation of the green certificates is permissible.

Recognition

Initial recognition would be as above:

Dr	Intangible	0
Cr	Bank	0

But then the revaluation hits the statement of financial position and other comprehensive income:

Dr	Intangible	100
Cr	OCI (&OCE)	100

Sale

Then the sale is recognised as before:

Dr	Bank	100
Cr	Revenue	100

And the intangible is derecognised:

Dr	Cost of sales	100
Cr	Intangible	100

And the unrealised reserve is realised:

Dr	OCE	100
Cr	RE	100

Comment

The green certificate revenue ends up in the OCI whilst the green power manufacturing costs are still stuck in the statement of profit or loss. The revaluation is unnecessarily complicated but it does have the advantage of showing the unsold certificates on the position statement.

Other issue: Revenue

Revenue recognition is also relevant here. The sale of the certificates should be recognised at the point of delivery of the certificate to the buying competitor (using the “at” model for sale of goods [IFRS 15: 38]).

Other issue: Segments

Segmental reporting is also relevant. The retail sales (to the public) and the certificate sales (to competitors) both go in to revenue, but then get split out in a segmental note.

(9 marks for 9 points)

(b)

Control

Control is the power to direct activities to affect the investors’ variable return [IFRS 10: 7]. Control gives rise to a subsidiary.

Joint control

Joint control is the power of control split between two or more investors with unanimous consent [IFRS 11: 7]. Joint control gives rise to a joint arrangement.

Joint arrangement

There are two JAs. When the investors have rights to the net assets (usually because of incorporation) then the JA is a joint venture (JV) and equity accounting applies. When the investors have rights to individual assets and obligations to individual liabilities (usually because the entity is unincorporated) then the JA is a joint operation (JO) and accounting based on the rights and obligations applies.

Consensus

The key word in the scenario is 'consensus'. This means that Coate and Manis must agree with respect to the issues listed. 'Consensus' is another word for 'unanimous'.

List

The issues in the consensus list are comprehensive. They cover all the important matters that may be characterised by the phrase "strategy" or "directing activities" [IFRS 10: 10]. Coate may be able to get their way over minor things like junior staff hiring and firing but for all the big issues like director hiring and firing there must be consensus.

Conclusion

It appears Patten is now a JA. Patten is described as a "subsidiary" so it appears Patten is incorporated. Also it appears Coate and Manis have rights to the net assets and no rights to individual assets or obligations to individual liabilities and so it appears Patten is a JV.

Equity accounting

So Pattern is now a JV and equity accounting applies. Essentially this means the JV will be labelled "JV" but will be recognised as a 50% associate [IFRS 11: 24].

Disposal

The loss of control over the subsidiary results in a subsidiary disposal and if Patten has operations different to the parent then Coate should also consider if there has been a discontinuance.

(9 marks for 9 points)

(c)

Prior period adjustment

PPA and restatement of comparatives is only permissible under either of the following circumstances [IAS 8: 22&42]:

- Material error
- Change of accounting policy

Obviously the tax issue is not a change of accounting policy. In fact, change of accounting policy is rare. An example applies if an entity swaps its accounting system (local to IFRS or IFRS to SME).

Material error

It is clear the issue is material but there has not been an error. An error occurs when something is accounted for plain incorrectly. An error can happen in estimation but only if the estimation was a long way out based on the information available at the time of estimation.

Change of estimate

Tax is notoriously difficult to estimate, especially in the context of transfer pricing. The indications are that the original estimate was perfectly reasonable based on what was known at the time. The change in the tax liability is a change in estimate and that the cost must go through current profit or loss account and that PPA is not permissible.

Penalties

There is a particularly telling phrase in the last line; "no penalties are expected". This tells us that the tax authorities themselves do not think that Coate did anything wrong. This is further evidence there was no error.

Tax

So the under estimate will go into the tax charge as usual as follows:

C: current corporation tax

O: over/under charge from previous years

D: deferred tax

(7 marks for 7 points)

16. Jayach



Tutor's Tips

Of course, the usual 1 mark per idea applies. So utilise the usual heading sentence answer structure to best address the marking guide. The subject of fair value is of continuing importance to users and therefore the question has flavours of current issues analysis and investor viewpoint analysis. Be careful not to discuss the hierarchy until (a)(ii) where it is directly examined. The asset scenario described in part (b) appears contrived and it is dubious whether an accountant would come across an FVM problem like this in real life. However, it is a useful examination skill to be able to score marks when the scenario becomes difficult to interpret. The liability FVM is also difficult with terms that are challenging to interpret. The key is to keep the answer simple and stick to time.

(a)

(i)

Standard

The standard defines fair value and describes how to measure fair value. The standard does not tell you when to use fair value only how to measure fair value.

Example

For example, you use IFRS9 to decide if a Financial Instrument (FI) is measured at FV but once you have decided that the FI is measured at FV then you go to IFRS13 to find out how (IFRS 9: 4.1.4). For another example, you use IAS40 to decide if a property is an investment property and therefore carried at FV but once you have decided that the property is carried at FV then you go and look in IFRS13 to find out how to measure that FV (IAS 40: 5).

Definition

Fair value is the transaction price between market participants at the measurement date (IFRS 13: 9).

Exit price

Fair value is an exit price. It is what you could sell your assets for and what you would have to pay to get rid of your liabilities.

Comment

In that sense fair value is not really “fair”. It ignores the value of the asset to the user. In the context of fair value you will often hear comments like this; “but that asset is worth far more than that to me. Why should I use such a low value just because no-one else rates this asset?” The answer to that question is “because that is how fair value works”.

Market

The standard explains that the ideal fair value is the transaction price in an active market (IFRS 13 Appendix A). The phrase “active market” has two components. Firstly the market should be busy with lots of transactions so that freak prices will be rare but probably more importantly the assets should all be the same, so your asset is the same as all the others changing hands in the market.

Estimation

When there are market participants trading at the measurement date then getting a fair value is easy. All you do is take the figure that they bought and sold for and that is your FV but many assets and liabilities are unsupported by active markets. There is no market price so this is where the hierarchy comes in.

Hierarchy

There are three levels and the idea is that you use the minimum guesswork to get your FV (IFRS 13: 72). Or in the language of IFRS13 you maximise the observable inputs and minimise the unobservable inputs (IFRS 13: 67).

Disclosure

But another principle of IFRS13 is disclosure. Until recently fair values were just used when they were used and that was it so readers of financial statements would have no idea how reliable an FV might be. Under IFRS13 not only is there strict guidance on how to measure FV there is strict guidance on disclosure so readers of financial statements will know how an FV was derived and how much guesswork was involved (IFRS 13: 91).

Transaction costs and delivery costs

IFRS13 has detailed guidance on the above two. Essentially the transaction costs are excluded and the delivery costs are included (IFRS 13: 26). This has implications for part (b).

Example

For example, if you have a field of carrots in the field and the price on the market for the field of carrots is \$10k but it will cost \$1k in the market to pay the auctioneer but \$2k to dig the carrots up then the FV is \$8k whilst the carrots are still in the ground.

(7 marks for 7 points)

(ii)

Hierarchy

The hierarchy has three levels (IFRS 13: 70). The rule is that you use level one if available and you use level two if not and you only use level three if you have to because neither level one nor two are available.

Level one

This is an exact equivalent transaction price in an active market at the measurement date so an exact equivalent asset has just been bought and sold on a busy market and we just take that trade price of the market quotation and use it as the current fair value (IFRS 13: 76).

Example level one

I have 100 shares in Sainsbury's plc. The equity is quoted on the London Stock Exchange and transactions are taking place all the time. To get my year-end FV, I just look at the closing share price at my year end – there is my FV.

Level two

This is a roughly equivalent transaction price used as a start point for the estimation of FV. Because the transaction price is not exactly the transaction price of an exact equivalent asset (or liability) at exactly the measurement date, we adjust for differences between the asset and the one that was bought and sold and adjust for the time elapsed since the transaction occurred (IFRS 13: 81).

Example level two

If we have an investment property carried at fair value and next door there is a similar property just sold for \$1m three months ago. The property next door is slightly smaller and property prices have been rising over the last three months. To get my FV we start with \$1m and add a bit for the size of my property and add a bit more for the price rises.

Level three

This is called "unobservable inputs" (IFRS 13: 86). It basically means that the fair value will be made up using a valuation technique recognised by the market. Markets use financial models, of course, so level three often comes down to financial modelling like discounted cash flow.

Example level three

Say we own a 1% equity stake in a company that has just invented a cure for prostate cancer. Nothing like this has ever been seen before. There are no competitors and no equivalent drugs. So we are forced

to use level three. Fortunately we have access to the company records and there are audited budgets with cash flow forecasts. Of course they are guesswork, but they are the best we have. So we use DCF to value the company and divide by 100 to reflect the 1%.

(6 marks: 2 marks for each input level)

(b)

Asset

A quotation on three capital markets is very rare for equity or debt. A quotation on any capital market is very expensive. There is lots of corporate governance to wade through and divergent stakeholder demands to balance. So many companies with dual quotation have come off one or other market.

Costs

The costs are staggeringly high. There are unexplained costs of entering the market and then transaction costs on top. Taking the European market as an example, the \$4 costs are 25% of the \$16 market price. We do not know what asset Jayach have, but it seems unlikely to be shares as the transaction costs, even to day traders, are far smaller.

Arbitrage

Arbitrage is the simple idea of buying in one market and selling in another. The idea is so simple that arbitrage opportunities soon disappear as the arbitrageurs scurry to buy low and sell high and yet these figures look ripe for arbitrage.

Realistic

There is some doubt as to how realistic the figures are and it is certainly not clear what the asset is and very few entities would come across a problem like this.

Transaction costs

As mentioned before, transaction costs are excluded from FV.

Costs of entering the market

It is not clear what these are. If they are transaction costs by another name then they would be ignored. If they are the cost of physically getting the Jayach asset from wherever it is to the market then they are included. It is assumed that the costs are costs getting the asset to the market, picturing oil in barrels on a harbour wharf and the costs of entering the market being the delivery cost of getting the oil to the relevant capital city.

Principal market

IFRS13 has advice on the market to use when there is more than one market (IFRS 13: 16). IFRS13 requires that we use the price on the principal market, meaning the market with the greatest volume. This is the Asian market.

Conclusion

It appears the FV of the asset is \$17 (19-2).

(5 marks)

Liability

There is no doubt about this FV estimation. The information provided is realistic. This is exactly the kind of FV measurement acquirers have to do when buying a subsidiary.

Level three

As implied but not made clear, Jayach have to use level three. They have to use unobservable inputs and plug those inputs into a financial model and as usual the model is DCF.

Cash flow

Getting the cash outflow is easy enough. The estimate is as follows:

	\$m
Labour	2
Overhead (30% x 2)	0.6
Cost	<u>2.6</u>
Mark up (20% x 2.6)	0.52
Market cost at current prices	<u>3.12</u>

This \$3.12m is roughly what Jayach would expect to pay in 3 years' time to solve the problem using current prices. The annual inflation of 5% will mean the outflow will be bigger than \$3.12m when Jayach comes to pay:

Market cost = \$3.12m x 1.05³

Cash outflow = \$3.61m

Conclusion

The expected cash outflow will be \$3.61m. So the FV is:

FV = 3.61/1.06³ = \$3.03m

Jayach needs to recognise a liability of \$3m.

(5 marks)

17. Rose**Tutor's Tips**

A discussion and application of the concept of the functional currency appears to be a firm favourite with the examining team. So it is well worth being comfortable with part (a). Of course, only 5 points are required to score the 5 marks in part (a).

(a)

Functional currency

The functional currency of an entity is simply the currency in which the entity functions. The functional currency is the currency of the primary economic environment. So the functional currency is determined by what an entity does and which currencies the entity uses.

Presentational currency

The presentational currency of an entity is the currency in which an entity presents its financial statements. The presentational currency is determined by shareholder demand.

Foreign subsidiaries

Most entities function and present in the same currency. Foreign subsidiaries are usually required to present to the parent in the parent currency and this gives rise to a separation of the two currencies.

Mixed currencies

However, even foreign subsidiaries rarely have a problem figuring out their functional currency. But some foreign subsidiaries use a mix of two or more currencies and these subsidiaries have more of a problem. They have to pick one of their currencies as the functional currency even though in reality they function in two or more.

Guidance

IAS21 guidance in this area is fairly simple. An entity that functions in more than one currency should weigh up the various currencies and functions and pick the dominant currency as the functional currency.

Competitive behaviour

IAS21 gives further guidance that the functional currency is the currency that influences sales prices. It is the currency of the competitive forces.

Application

The application to Stem is fairly easy. The introductory paragraph tells us that most of the function's cash flows are in dinar. Further, that paragraph tells us that the output of the mine is traded in dinar at a price determined by local supply and demand.

Conclusion

The functional currency of Stem is the dinar. So Stem will do all its bookkeeping in dinar and produce initial financial statements in that currency, as it has done already. Then Stem will translate those financial statements to dollars for presentation to the parent.

(5 marks for 5 points)

(b)

(i)

Goodwill

	%	Working Petal
FV of consideration	70	94
FV of NCI	30	46
FV of NA		(124)
Goodwill		<u>16</u>

(2 marks)

Transfer

The transfer of ownership from the NCI is measured as a proportion of the NCI ownership. The CI take one third of the NCI ownership at the beginning of the day at the year end and leave the NCI with two thirds.

NCI before $[46 + (30\% \times 7)]$	48.1
Transfer $(10\%/30\% \times 48.1)$	<u>(16.0)</u>
NCI after	<u>32.1</u>

(2 marks)

Effect

But the effect on the CI is compound. As the ownership transfers in from the CI the cash consideration flows out of the parent bank account resulting in a net decrease to OCE as follows:

Transfer in	16.0
Consideration out	<u>(19.0)</u>
Reduction in OCE	<u>(3.0)</u>

(2 marks)

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(ii)

Goodwill

	%	Working	Stem
FV of consideration	52	(\$46m x 6)	276
FV of NCI	48		250
FV of NA			(495)
Goodwill			<u>31</u>

(3 marks)

Group position statement

Non-current assets	
Goodwill (16 + 31/5)	22

(1 mark)

(iii)

Foreign exchange gain on net assets and profit

		Dm	Rate	\$m
Opening	(Below)	495	6	82.5
Profit	(300-220)	80	5.8	13.8
FX	(Balance)			<u>18.7</u>
Closing	(Below)	575	5	<u>115.0</u>

(3 marks)

Movement in net assets

		Acq	YE
Share capital		200	200
Retained earnings	(220 given)	220	300
FVA	(balance)	<u>75</u>	<u>75</u>
Net assets	(495 given)	<u>495</u>	<u>575</u>

(1 mark)

Foreign exchange gain on goodwill

		Dm	Rate	\$m
Opening	(above)	31	6	5.2
FX	(balance)			<u>1.0</u>
Closing	(above)	31	5	<u>6.2</u>

(2 marks)

Split between controlling interest and non-controlling interest

		\$m
Controlling interest	52%	10.2
Non-controlling interest	48%	<u>9.5</u>
FX gain	(18.7+1.0 above)	<u>19.7</u>

(1 mark)

(c)

Property**Error**

The error is simply that Rose has ignored the year end revaluation. The surveyor has reported the fair value in Dinars. But the important point is to realise that Rose functions in Dollars. So this fair value must be remeasured in Dollars before the revaluation is measured.

Working

Cost D30m/6	5.00
Depreciation \$5m/20 years	<u>(0.25)</u>
Closing before	4.75
Revaluation (to OCE)	<u>2.25</u>
Closing after (given)	<u>7.00</u>

(4 marks)

Plant**Error**

Rose has ignored the change in the residual value and so overcharged depreciation in the current year. Actually Rose has been ignoring the requirement to reassess residual value throughout the asset life. But because the residual value had not changed in previous years Rose had got lucky and made no mistakes. But this year Rose has been caught out by a change in residual value that has been ignored. So an adjustment is required to reduce depreciation by \$0.4m (see below).

Working

	Actual	Correct
	\$m	\$m
Cost	20.0	20.0
Depreciation $(20.0 - 1.4)/6$ years	(3.1)	(3.1)
Depreciation	(3.1)	(3.1)
Depreciation	<u>(3.1)</u>	<u>(3.1)</u>
Opening	10.7	10.7
Depreciation $(20.0 - 1.4)/6$ years and $(10.7 - 2.6)/3$ years	(3.1)	(2.7)
Closing	<u>7.6</u>	<u>8.0</u>

(4 marks)

18. Ethan

**Tutor's Tips**

As ever, the 1 mark per point marking guide applies. There is plenty to talk about in this scenario and therefore many ways to build up a full roster of 18 points. The real trick is delivering 18 points within 36 minutes. So the key in the exam is speed. And the key to speed in the exam is practice before the exam.

Investment properties

Properties qualify as investment properties when they fulfil three criteria (IAS40: 5):

I	Investment	the property must be held for rent or capital gain or both.
C	Complete	the property must be finished (otherwise it is construction WIP).
E	Entity unoccupied	the property must be unused by the group (otherwise PPE)

Ethan properties

It does appear that Ethan properties fulfil all of the above and therefore should be recognised as investment properties.

Fair value model

Ethan properties should be carried at fair value and gains and losses should be reported in the statement of profit or loss as investment gains and losses [IAS 19: 33]. This is because investment properties are essentially investing assets.

Fair value measurement (FVM)

The fair value should be measured in accordance with the IFRS on FVM (IFRS13). The IFRS describes a hierarchy roughly as follows:-

Level 1: exact equivalent market price

Level 2: approximately equivalent market price

Level 3: financial models using unobservable inputs.

Active market

Ethan has misused the term “active market”. In FVM “active market” means a market with lots of transaction in identical assets. Investment properties are all different. Ethan means “busy market” but that does not change the conclusion.

Ethan fair value

Ethan has used level 3 when level 2 was available. Level 2 must be used. Level 1 is not available because there are no identical properties but a recent transaction in a similar investment property in the busy investment property market would be a good starting point for FVM.

Competence

The measurement of fair value was inappropriate. However, the error appears to be a simple mistake and therefore directors’ competence should be questioned as fair value is an important and fairly basic corporate reporting concept.

Business combination

Goodwill can only be recognised in the event of a business combination (IFRS3). A business has inputs and processes and outputs. To achieve the processing of a process people are required. So the difference between a business and an asset is that a business has people working with the assets and a simple asset does not

Fake goodwill

It sounds like most of the target companies are empty shell companies that hold the target investment property. It sounds like most of the target companies are not businesses so goodwill would not be recognised and the cost of buying the new company would simply be the opening fair value of the investment property.

Real goodwill

However, it could be argued that those properties with incumbent customers are more than just properties. Some target subsidiaries may be real businesses and these would result in goodwill as follows:

Fair value of consideration	x
Fair value of NCI	x
Fair value of NA	(x)
Goodwill	<u>xx</u>

Impairment testing

An impairment in goodwill occurs when the related CGU recoverable value falls below the carrying value. Recoverable value is the higher of value in use (VIU) and fair value less costs to sell (FVLCTS).

Ethan impairment testing

Ethan is getting mixed up. Ethan is using deferred tax in its impairment test. Deferred tax has nothing to do with impairment testing. As you see from the above, impairment testing requires the calculation of VIU and FVLCTS using DCF and then comparing the higher to the CV. Ethan should reperform its impairment tests.

Industry

It is acceptable accounting practice to look at industry competitors whilst devising accounting policies. An example is the fair value model. IAS40 paragraph 30 actually allows the fair value model or the cost model for investment properties but fair value is used widely across the investment property industry and that is why Ethan should use the fair value model.

Incorrect accounting

Ethan cannot use the fact that someone else is doing impairment testing wrong as an excuse for doing impairment testing wrong. Industry practices give guidance on the details. IFRS set the rules. Again there is evidence of directors lacking competence with IFRS reporting.

Deferred tax (DT)

DT occurs when there are temporary differences. Temporary differences are the differences between financial accounting carrying values and tax accounting tax bases.

Losses

Carried forward tax losses are temporary differences and do give rise to deferred tax assets. But these assets can only be recognised if they represent genuine present controlled rights to future economic inflows.

Recoverability

This means DT assets must be recoverable by the tax losses being set off against future tax profits but Ethan's past performance has been so poor that it seems unlikely that future performance will be better.

Derecognition

It appears the DT asset is not recoverable and should be derecognised.

Announcement history

The poor announcement history corroborates the conclusion that Ethan is unlikely to return to profitability and that the DTA should be written off. But the announcement history also has ethical implications. The "considerable negative variances" are likely to impact upon the shareholders views of their professionalism and are likely to undermine the credibility of all Ethan's corporate reporting.

(18 marks for any 18 points derived from the scenario)

19. William

**Tutor's Tips**

This was one of the harder industry questions examined in recent years. The subjects themselves are challenging enough. But the real difficulties were in the way that these subjects were examined. For example, the subject of SBP is hard enough but this question explored options that had vested but had not been exercised. Very advanced. So for most students the question became a survival exercise where the aim was to get something down for each part.

(a)

Sale and leaseback

The transaction is a sale and leaseback. There are two forms of sale and leaseback; the real sale with the real lease back and the fake sale with fake lease back. IFRS 16 refers to IFRS 15 to distinguish between these two. The two forms are distinguished by their substance [IFRS 15: 9d].

Substance

This concept uses risks and rewards [IFRS 15:9d]. Essentially the concept is applied as follows:-

<i>Risks and rewards</i>	<i>Lessee accounting</i>
With lessor	Record a sale and a lease
With lessee	Record the sale proceeds as a loan

Application

The twenty year contract is believed to be roughly the entire life of the asset so after the sale and leaseback the reward of use of the building is with William, the lessee. This is a fake sale as it fails the contract criteria of substance in the revenue standard.

Meaning

This means that the risks and rewards of the asset have transferred out in the sale and then transferred back in again in the finance lease. Hence the building has not been sold and should not be derecognised.

Loan

Cash has flowed in and must be recognised. In substance this transaction is a simple loan [IFRS 9: 3.1.1] and should be accounted for as follows:

Dr	Cash	\$5m
Cr	Loan	\$5m

Then:

Year	Opening	Interest	Instalment	Closing
1	5,000	350	(441)	4,909
2	4,909	344	(441)	4,812

Disclosure

This loan would then be split between long term and short term as follows:

Current liabilities {balance}	97
Non-current liabilities {from above}	4,812
Total {from above}	<u>4,909</u>

Asset

As the asset has not been sold, the asset should simply continue to be recognised as before:

Opening carrying value	3,500
Depreciation	(175)
Closing carrying value	3,325
	(10 marks)

(b)

Share based payment

SBP obligations are measured at any point by the following:

SBP obligation = (number of rights expected to vest) x (fair value) x (timing ratio)

Number of rights

The number of rights expected to vest is, as the name suggests, normally a guess. But William finds itself in the rather odd position of still owing managers long after the rights have vested. Three directors left before the vesting date and seven more have exercised their rights so that leaves ten.

Fair value

The measurement of fair value depends on the nature of the scheme:

<i>Scheme</i>	<i>Fair value</i>
Options	Grant
SARs	Current

Timing ratio

This measures where the year-end falls in the scheme, so at the end of year 6 of a 7 year scheme the timing ratio would be 6/7. William is after the end of a 2 year scheme, so the timing ratio is 2/2.

Movement

The result is the following movement in the liability:

	\$k
Current year opening [(500 x 17 managers)](\$14 x 2/2)	119
Operating cost {balance}	74.5
Paid [(500 x 7 managers exercise)](\$21)	(73.5)
Current year closing [(500 x 10 managers)](\$24 x 2/2)	<u>120</u>

Fair value and intrinsic value

The fair value of options is always slightly higher than the intrinsic value and that is why the majority of directors are holding on until they have to exercise the options before they lapse. Intrinsic value is the amount of cash you would get from closing out an option early (hence its use in the "paid" balance above) and fair value incorporates a hope that share might rise in the future (hence the \$24 is higher than the \$21).

(7 marks)

(c)

Conflict

This story hits on a conflict between two IFRS. The basic IFRS on contingencies has an all-or-nothing approach to contingent liabilities (IAS37). However, the IFRS on business combinations uses fair value for contingent liabilities (IFRS3).

Chrissy financial statements

The subsidiary Chrissy must apply IAS37 and as the cash flow is possible but not probable Chrissy must disclose the contingent liability in the notes. None of the liability is actually recognised.

Business combination

During the calculation of goodwill everything is valued at fair value, so William simply values the liability at its fair value of \$4m using the IFRS on business combinations (IFRS3).

Thereafter

William group will continue to face a liability until the cases are resolved, so IFRS3 overrides IAS37 and requires that the group continue to recognise the \$4m.

Conclusion

The individual entity (Chrissy) will not recognise the contingent liability but the group (William group) will recognise a contingent liability of \$4m. This clear contradiction between entity and group accounting is recognised as a problem by the IASB.

(6 marks)

20. Grainger**Tutor's Tips**

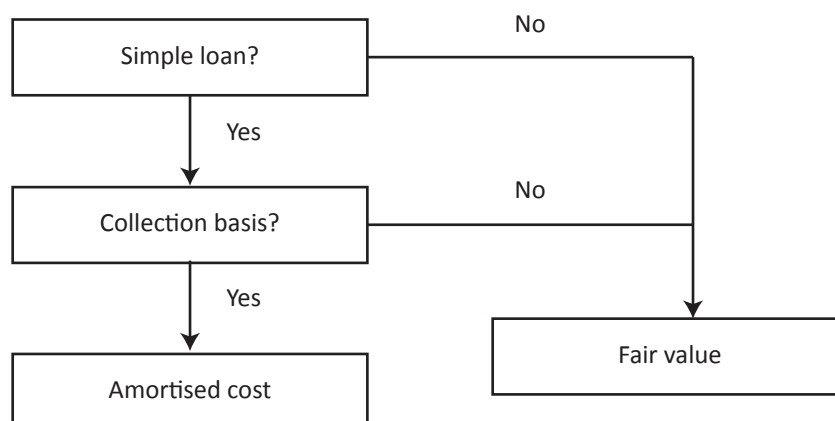
This question clearly tests knowledge. If you have the knowledge required on financial assets then (a) in particular is a breeze. Equally if you do not have this knowledge then it is likely that you will score zero in part (a) as there can be no marks for interpretation or analysis. Further it is worth noting that there appears to be a continuing requirement to understand why the expected credit loss model replaced the incurred loss model. This is presumably because bad debt recognition is such an important part of banking accounting and banks continue to be a current issue in corporate reporting and wider politics.

(a)

(i)

IFRS9

IFRS9 uses two questions to classify financial assets (FAs):

**Question (1) Simple loan?**

IFRS9 is effectively asking 'Is the FA a loan and does the loan have interest and principal repayment with no other terms?'

Cash flow characteristics test

The technical name for this question is the cash flow characteristics test.

Question (2) Collection basis?

IFRS9 is effectively asking 'Are you holding the FA in order to collect that interest and principal repayment?'

Intent

So IFRS9 is looking at the intent to keep (collection basis) or the intent to sell (speculation basis).

Business model test

The technical name for this test is the business model test.

Yes/No

IFRS9 requires two 'yeses' for amortised cost but only requires one 'no' for fair value.

Amortised cost

Carrying an asset at amortised cost means initial recognition at initial fair value and then unwinding.

Fair value

Carrying a FA at fair value means marking the asset to market at each measurement point.

Default

The gains and losses then default into the statement of profit or loss (P/L).

FVPL

This recognition method is often referred to as FVPL or FVTPL (Financial asset at fair through profit and loss).

Extended model

So in summary, IFRS9 allows two simple recognition and measurement methods (amortised cost and fair value) based on two simple tests. However, the basic model is extended by two options discussed below. They are the FVOCI option and the Fair Value Option.

Strategic equity

If you hold an equity investment and can show long-term strategic intent, then the gains and losses can go to the OCI.

FVOCI

This strategic equity is called FVOCI or FVTOCI (Financial asset at fair through other comprehensive income).

Fair value option (FVO)

Finally there is the fair value option. This gives directors the option to carry FA that should be carried at amortised cost at fair value instead.

Mismatch

However this is only permitted if there is an accounting mismatch. An accounting mismatch occurs if there is a FL at fair value and a related FA at amortised cost.

(10 marks)

(ii)

Former model

The former model for impairment was called the incurred loss model as only losses that had been incurred could be recognised.

Politics

But impairment is a particularly political subject. This is because it is highly relevant to banking and, as we have seen, banking is a highly politicised industry. The trouble with only recognising impairment losses when they happen is that they tend to happen all at once and if the banks recognise the impairment losses all at once then this may make a recession worse.

New model

The model under IFRS 9 (2014) is an expected credit loss model. This will require banks in particular to recognise predictable losses in a portfolio of assets before those losses occur.

Problem

That sounds easy enough. But how do you predict losses? Clearly the banks are less than brilliant at predicting losses themselves. They invested heavily in sub-prime debt assets apparently unaware they were toxic.

Advantage

The advantage of the ECL model is that by recognising bigger losses earlier banks are forced to be more prudent. This is felt to make investors' money safer.

Disadvantage

The potential disadvantage feared by some commentators is that because the ECL are "expected" there is a risk that banks may manipulate "expectations" to hit targets and thereby reduce the quality of FS to the disadvantage of investors.

(6 marks)

(b)

FVTPL

Fair value through profit or loss is literal. FVTPL assets are carried at FV on the statement of financial position and gains and losses go through the profit or loss account.

Effect

Therefore, the asset will be carried at its fair value of \$111k at the year-end on the position statement. The gain of \$4.5k (111-106.5) will be reported in profit or loss.

Change of accounting policy

The change in the classification of the asset has arisen due to the adoption of the new standard. The change in classification has nothing to do with the asset itself, so this is a change in accounting policy.

Restatement

The comparative (opening) statement of financial position will need to pick up the opening FV of \$106.5k.

Prior period adjustment

This will necessitate a PPA of \$1.5k (106.5-105) to be disclosed in the notes.

Further disclosure

The reason for the PPA (the new standard) must also be disclosed along with the PPA itself.

SOCIE

The PPA will also appear within the Statement of Changes in Equity as an adjustment upon the opening retained earnings. The restated earnings will be \$1.5k higher than the original opening earnings.

Materiality

It may be noted that Granger is a plc and therefore probably a big company. This might lead to the conclusion that an adjustment of \$1.5k is immaterial. However, because this adjustment has derived from the adoption of a new standard with radically different logic it is likely the issue is material.

(8 marks)

21. Traveler

**Tutor's Tips**

Full goodwill is the goodwill of the entire entity. To work out full goodwill impairment we use the carrying value and recoverable value of the entire entity. However, partial goodwill is only our goodwill. So for partial goodwill impairment we must work with our carrying value and our recoverable value. Thus we factor in the 80% you see below. This is the classic method for calculating partial goodwill impairment. There is another method for calculating the impairment of a CGU when the goodwill is partial. This other method grosses up goodwill. It is necessary for deep impairments when the impairment eats through the whole partial goodwill and into the other assets. As you can see from the language above partial goodwill impairment is not easy. So if you feel that partial goodwill impairment will slow you down then skip it as it is only 2 marks of this marking guide and has been allocated only 2 marks in other questions.

(a)

Goodwill policies

The IFRS on goodwill [IFRS 3] allows the measurement of NCI at either fair value or proportionate share of net asset (full or partial). It is usual to select one or the other as a policy.

Full and partial

However, the IFRS on goodwill allows the use of full or partial on a transaction by transaction basis [IFRS 3]. This is the approach adopted by Traveler.

Consistency

The approach adopted by Traveler is expressly permitted by the goodwill standard. However, it would appear to breach the principle in the standard on policies which requires consistency [IAS 8].

Full v Partial

Full goodwill recognises goodwill in full. This gives consistency with the PPE and inventory which is also recognised in full. Partial goodwill excludes the NCI share of goodwill.

Recommendation

It is recommended that the directors rethink their approach to goodwill. The inconsistency is glaring given the two acquisitions are on the same day. And adoption of a full goodwill policy would also make the impairment measurement easier as discussed below.

Impairment of full goodwill

This simply involves the comparison of the carrying value with the recoverable value and is relatively easy as indicated by the Data goodwill impairment below.

Impairment of partial goodwill

This is harder to measure because the partial goodwill is parent goodwill only but the carrying value and recoverable value are quoted for the entire entity. One solution is to consistently work with the parent share of carrying value and recoverable value and this approach is used below.

(7 marks)

STRATEGIC BUSINESS REPORTING

Goodwill measurement

The goodwill is measured as follows:

	%	Data	%	Working	Captive
FV of consideration	60%	600	80%	(477+64)	541
FV of NCI	40%	395	20%	(20% $\times$ 526)	105
FV of NA		<u>(935)</u>			<u>(526)</u>
Goodwill before impairment		60			120
Impairment (see below)		(50)			(61)
Goodwill after impairment		<u>10</u>			<u>59</u>

(4 marks: 2 marks for each goodwill before impairment)

Impairment

		Data		Captive
Carrying value	[60+1089 below]	1149	[120+(80% $\times$ 626)]	621
Impairment {balance}		(50)		(61)
Recoverable value		<u>1099</u>	[80% $\times$ 700]]	<u>560</u>

(4 marks: 2 marks for each impairment)

Net assets

	Data	Data	Captive	Captive
	Acqn	Y/E	Acqn	Y/E
SC	600	600	390	390
RE	299	442	90	169
OCE	26	37	24	45
FVA (land) {balance}	10	10	22	22
	935	1089	526	626
		NA above		NA above

(b)

Current carrying value

The current carrying value of \$29m represents the amortised cost of the asset at the current year end. There is no need to discount the receivable down to initial fair value or unwind the receivable up to the current year end. This has all been done.

Impairment

However, there is a clear need to measure the impairment as the amounts to be received in total of \$24m are less than the carrying value of \$29m.

Discount rate

There is an explicit requirement in IFRS 9 that requires that the discounting of the receivable amounts should use the original effective interest rate of 6.7%.

Fair value

It is irrelevant that Traveler wishes to measure the receivable at fair value using the current market rates. The receivable must be measured at present value using the original effective rate.

(3 marks)

Calculation

Impairment of financial assets uses the original discount rate for the recoverable amount.

Year	CF	DF	PV
1	8	0.937	7.498
2	8	0.878	7.027
3	8	0.823	6.586
Present value of recoverable amount			<u>21.1</u>
Carrying value			29
Impairment {balance}			<u>(7.9)</u>
Recoverable value above			<u>21.1</u>

(4 marks)

(c)

Movement

The movement in the net pension asset is as follows:

<i>Net pension asset</i>	\$m	
Opening (272-200)	72	
Combined cost (given)	(55)	to be recorded in P/L & RE
Contribution in	45	to be removed from CL
Current year net actuarial gain (given)	<u>2</u>	to be recorded in OCI & OCE
Actual closing	64	
Asset write-off (balance)	<u>(24)</u>	to be recorded in P/L & RE
Recorded closing limited to asset ceiling	<u>40</u>	

(4 marks)

Actual closing

The actual net pension asset was \$64m at the current year end. This means that the fair value of the asset exceeded the present value of the obligation by \$64m.

Excess

In most jurisdictions this excess could be returned to Traveler once the employees have been paid off. More usually entities with a net pension asset reap the benefit of the excess by taking a "contribution holiday" meaning the Traveler would usually be able to use the \$64m as a prepayment for future contributions.

Legislation

Pension law varies from country to country. However, in some countries the amount of excess allowed to be used as a prepayment for future contributions is limited. This is the asset ceiling.

Asset ceiling

It appears that Traveler operates in a jurisdiction with a limit of \$40m. This means that Traveler will be able to reduce future contributions by \$40m but the extra \$24m cannot be used in this way. The question is not explicit but it appears the extra \$24m must be paid to employees on top of their basic pension rights and so Traveler must write this off as the \$24m will not accrue to Traveler.

(4 marks)

22. Havana**Tutor's Tips**

The marking guide was 1 mark per point. Any point drawing from the scenario will score. So there are a variety of points that could be utilised to build up a score of 18 marks. Clearly it is important to discuss revenue recognition and held for sale classification. But beyond that, any point drawn from the scenario will score. But do not leave out the ethical points. These may be the easiest.

(a) Sport organisation contracts**Revenue**

There are two forms of revenue (IFRS 15: 31):

At

This revenue is recognised at the point that the performance obligation is satisfied and control transfers.

Over

This revenue is recognised over the period point that the performance obligation is satisfied and control transfers.

Simultaneous

The standard requires that simultaneous consumption revenue is recognized over the period [IFRS15:35a].

Sports organisation

The Havana revenue appears to have no ambiguity. It seems very clear that this revenue represents a service and that the customer consumes the benefit as the supplier satisfies the obligation. The service Havana provides is consumed by its customers at the same time a Havana provides. The revenue should be recognised over the period.

Evidence

The evidence is clear. The scenario says "services" and "over given periods" and "9 and 18 months". This is very clear evidence in favour of recognition over the period.

Effect

The effect will be to throw revenue forward. Currently revenue is recognised at the start. So moving to recognition over the period will throw revenue forward. This will be particularly noticeable for revenue straddling a year end.

Restatement

It sounds like Havana have been doing their revenue incorrectly for a while. It seems likely that restatement of comparatives is required.

Competence

It is possible that directors do not understand the relatively new standard on revenue (IFRS 15). The reference to "rendering of services" sounds like the directors are still thinking of the old standard (IAS 18). Maybe directors made a mistake with their revenue recognition and this is simple lack of competence.

Integrity

However, the suggestion that coaching is not a service calls the competency analysis into doubt. The current policy seems motivated by the desire to recognise revenue early and this may indicate a lack of integrity.

(8 marks)

(b) Division Sale

Disposal group

The phrase “disposal group” is just another way of saying “discontinued operation” [IFRS 5: 30]. So Havana has disclosed the outgoing regional business division as a discontinued operation.

Discontinued operation

An operation is discontinued if it is closed or sold during the year or held for sale at the year end. Held for sale requires the following criteria fulfilled [IFRS 5: 6 to 12]:

S	sell: clear intent to sell
A	available: asset must be available for immediate sale
L	locate: actively locating a purchaser
E	expected: completion expected within 12 months

Conclusion

It appears all four criteria are met. There was intent to sell and the division appears available and the group are searching for a buyer and completion is expected within 6 months.

Delay in sale proceeds

The payment in November 2015 in two years is not a problem. It sounds like the completion will occur shortly after the year end and then the cash will come in much later. The point being that the sale completion is expected well within 12 months.

Effect

The effect of the discontinuance will be that the division revenue and costs will be netted down to net profit and slotted on a single line at the bottom of the profit or loss and labelled “discontinued” and the assets and liabilities will be netted down to a single line on the position statement and labelled “discontinued” (strictly separate assets and liabilities presentation [IFRS 5: 38]).

Impairment

And the discontinuance will trigger an impairment as follows:

Carrying value	90
Impairment (balance)	(50)
Recoverable value (given)	<u>40</u>

Of course, this means the Havana impairment of \$30m is not enough.

Other issues

But the scenario goes on to talk about other issues discussed below. All of these other issues must be sorted out first before the above impairment test. So in reality it appears likely that the final impairment test will have figures different to those above.

Receivable (i)

This irrecoverable receivable sitting in the division must be written off before we start thinking about discontinuance.

Discounting (ii)

It sounds like Havana is confused about discounting and unwinding. The \$40m that Havana will receive in two years from the current year end needs discounting down to the current year end FV. This will give a recoverable value which will be smaller than \$40m because of the discounting. Then next year and the year after the receivable from the purchaser will unwind back up to the \$40m.

Transaction costs (iii)

Recoverable value used above means fair value less costs to sell (FVLCTS) in this case. There is no value in use because Havana will not use the division. Havana will sell the division. The transaction costs are costs to sell. So the transaction costs will be recorded as costs to sell. This gives a reduction to the recoverable value which will give rise to a further increase in the impairment above.

Competence

The above is complex. So there may be some simple errors in the accounting by Havana.

Integrity

However, it is telling that the issues raised by the accountant were ignored by directors. And the insufficient impairment shows that Havana was aware of the impairment but chose to understate the cost. This is further evidence that Havana directors are deliberately understating the problems of the division in the fs and that there are problems with directors' integrity.

(10 marks)

23. Verge**Tutor's Tips**

The marking guide for this question was the usual 1 mark per valid point. And there are a number of valid points that would be acceptable. However, because there is so much going on in this question an important skill is to limit your points to one point per mark and 1.8 minutes per point.

(a)

Segmental reporting

The idea behind segmental reporting is that it allows users to get a feel for the position and performance of the parts that make up the whole business. This should give investors a better feel for their investments, greater confidence in their directors and result in a higher share price.

Aggregation

It is important not to overwhelm the users with information. This is why the standard on segments gives advice on aggregation. Operating segments can be aggregated if they are similar.

Similarities

Segments can be deemed similar based on a host of factors such as the nature of the products, the way the products are made, the class of customer and the way the products are marketed. But the most useful single factor in identifying similarities between segments is the risk profile of the product revenues. Two segments with product revenues that are exposed to similar risks are similar segments.

Local and inter-city

There can be little doubt that the two above segments bear similarities. If people stop travelling by train then both segments will take a hit. So perhaps if Verge were a huge conglomerate that made computers and ships and provided banking and hospitals (like a Korean Chaebol) then aggregation of rail travel would make sense.

Recommendation

But Verge only does rail. Local and inter-city are different products with different risk profiles. One business is government regulated and the other not. One is primarily for daily commuters and the other for less frequent commuters. So all three segments should be kept as separately reportable segments. The users will cope fine with three segments and it will help the users to understand Verge.

(5 marks)

(b)

Construction contract

Construction revenue has been consumed into the IFRS on revenue (IFRS15) and the IFRS only allows revenue recognition over the period if the contract can be shown to be consistent with one of these models [IFRS 15b: 35]:-

- *No alternative use*
- *Customer controlled asset*
- *Simultaneous consumption.*

Customer controlled asset

It seems that the customer continues to control the railway whilst Verge work on it. This seems to be a clear case where the “over” revenue model should apply. So revenue should be recognised as the work is done.

Revenue recognition

The scenario tells us that the invoices reflect the work done. So \$2.8m should have been recognised last year and \$1.2m would be recognised this year.

Restatement

But last year’s revenue was not recognised in full last year. This is a material prior period error. So a prior period adjustment is required to restate the comparatives. The restatement would allow investors to understand how the revenue and profits have accrued over the two years.

Time value of money

The cash flow in this contract is extreme (\$1m at the start but the remainder of \$4m at the end). Because the bulk of the cash flows to Verge after the deal is done it could be argued that the time value of money is relevant [IFRS 15: 60]. The relevance of the time value of money is a materiality issue and would be interpreted by consideration of the primary users meaning the investors.

Finance component

If the finance component is assessed as material then the receivable figures would need discounting and unwinding. The first year revenue would be \$1m plus $\$1.8/1.06^2$. The current year revenue would be $\$1.2m/1.06$.

(6 marks)

(c)

Provision

Provision recognition is required if the criteria are fulfilled (IAS 37):-

- R reasonably reliable estimate
- O obligation (legal or constructive)
- T probable outflow of economic benefit

Obliging event

The obliging event was the accident and this happened last year. At this point all the criteria were fulfilled but based on the information available at the prior year end the outflow was estimated as immaterial because the damage was “superficial”. So no provision was provided for the year ended 2012. This seems reasonable.

Restatement

Restatement in the new year, 2013, is only required if there is an error in the comparatives (or a change of policy). Verge were right to ignore the provision last year 2012 based on what was known last year. The provision should have been ignored because it appeared immaterial at the time (“superficial”) and not because Verge denied the obligation. Restatement is not permitted.

Current year provision

But clearly Verge do need a provision in the current year FS. The criteria were actually fulfilled last year but the figures are now material.

Valuation

The \$1,200k sounds like a cheeky overestimate by an injured party trying it on. So it is reasonable to suggest this should be ignored too. Perhaps the engineer's estimate of \$350k would be a reasonable valuation of the liability.

Current year receivable

If the receivable from the insurance company is virtually certain then the \$200k debtor should be recognised. However, it appears that the receivable is considered only probable and so disclosure would apply.

Contingencies

An argument could be made that the outflow is a probable contingent liability and the inflow is a probable contingent asset. This would then lead to provision for the outflow and disclosure for the inflow. This answer is consistent to the above.

Disclosure

A disclosure note explaining the accident and the claim would be required to address the needs of investors. The volume of disclosure would depend upon the materiality of the accident to the Verge group.

(6 marks)

(d)

Gifts

There is no standard on gifts. So the accounting for the gift of the building is open to various interpretations.

Property plant and equipment

PPE is initially measured at cost then subsequently recognised at cost or fair value. The scenario does not say but as cost is the default policy generally then I shall assume cost.

Cost

To quote from the standard (IAS16: 16b) cost includes "any costs directly attributable to bringing the asset to a condition capable of operating as intended". And again to quote from the standard "Cost is the amount of cash or cash equivalents paid or the fair value of the other consideration given to acquire an asset at the time of its acquisition or construction" [IAS 16:6]. The property was purchased at no cost to Verge.

Adaptation

So the building would hit the position statement at zero carrying value but then the \$1m adaptation costs would be capitalised on top.

Timing

PPE should be recognised at the point that it becomes probable economic benefit of the asset will flow [IAS 7a]. So the PPE should be recognised at the point Verge takes possession in May 2012. Earlier recognition is too early as the benefactor could change his mind. But later recognition is too late as even at the point of taking possession it is probable that Verge will do the work to fulfil the benefactor's conditions even if it is not certain. Then from that point Verge will accumulate the adaptation costs on top of the zero cost.

Depreciation

Depreciation is the recognition of the cost of use. The building became available for use from February 2013. Since this is so close to the year end of 31 March 2013 then the depreciation may be ignored on the grounds of materiality.

Contingent liabilities

The potential repayment of the \$1.5m to the benefactor was a contingent liability. But since the contingent criteria requiring that the museum be in use is fulfilled before the year end then this can be ignored at the year end.

Revenue grant

It seems that this money is for hiring the staff. So \$100k will go first to liabilities and then \$5k can be released to the P/L every time one of the twenty is hired. Therefore by the year end all \$100k will have been released to the P/L as all the jobs had been created.

Capital grant

It seems this money is for adapting the building. So \$150k will go first to liabilities then a little bit will be released to P/L each year based on the life of the building adaptations.

Disclosure

The receipt of a building via a gift is an unusual event. Therefore the PPE note should explain the addition of the museum via a gift and the adaptation undertaken to bring the asset into use. This will assist the investors to understand this unusual transaction.

(6 marks)

24. Venue**Tutor's Tips**

This was a good current issues question on revenue. Revenue could be argued to be a continuing current issue as adoption in the real world is proving a challenge for many entities. There is a lovely knowledge dump in part (a) (i). This is proof if any were needed that knowing your stuff is critical to SBR. Part (b) is an uncomfortable ride, especially considering the subject matter at first appears to be revenue but as you get into the two stories you discover that part (b) is more to do with expected credit losses and time value.

(a)

(i)

Five steps

The IFRS has five steps (IFRS 15: IN7):

- Contract criteria
- Obligations
- Price
- Allocation
- Revenue recognition

Five contract criteria

There are five criteria for the recognition of a contract with a customer all of which must be fulfilled before revenue is considered. The contract criteria can be tested at each measurement point during negotiation until fulfilled (IFRS 15: 9).

(1) Approval

The contract must be approved by both parties. This means the supplier and the customer must be committed to delivering on their obligations.

(2) Substance

The contract must have commercial substance. There must be a flow of a good or a service from the supplier to the customer or there is no sale.

(3) Probable

There must be probable collectability at the point of sale. The probable collectability can deteriorate later and result in an impairment. That does not affect the sale. But if it was clear from the start that the supplier would never be paid by the customer then the supplier did not make a sale.

(4&5) Rights and obligations

It must be clear what the supplier will supply and what the customer must pay. The IFRS distinguishes these two as two criteria. But of course the supplier's obligations are the customer's rights and vice versa.

Obligations

This step involves breaking a multiple component transaction down into its component parts (IFRS 15: 22). This is often referred to as “unbundling” and is only really relevant if there are multiple components in a sale.

Example

Unbundling is particularly important in mobile telecommunications where suppliers often supply a phone and a line for one price. The supplier would identify the supply of the phone and the supply of the line as separate obligations.

Price

The supplier must then identify the single price for the obligations (IFRS 15: 47). This would exclude taxes and may need adjustment for variable consideration or the time value of money.

Example

A furniture company selling furniture on an interest free deal would actually be required to discount the cash received down to present value and recognise the furniture revenue at delivery in the sum of the present value.

Allocation

Then the supplier is required to allocate the single price against the multiple obligations, there are various methods suggested in the IFRS (IFRS 15: 73).

Example

A supplier supplying a customer with a mobile phone and a line might use the ratio of the standalone prices for the obligations sold separately to split the single price between the two obligations.

Revenue recognition

Then the revenue is recognised as the performance obligation is fulfilled (IFRS 15: 31). Performance obligations are fulfilled either at the point that control transfers or over a period.

Example

The mobile phone supplier would recognise the mobile phone revenue at delivery but recognise the line rental income over the term of the deal.

(12 marks)

(ii)

Credit Risk

Credit risk is the risk that the customer may not pay. It is the risk that a receivable may result in a bad debt.

Bad debts and bad sales

There has been for years a distinction between bad debts and bad sales. Bad debts occur when a good sale has taken place but the customer has not paid. It is formally known as the impairment of a receivable or an “expected credit loss” (IFRS 9: 5.5.1). A bad sale occurs when the company sells to a customer that was never likely to pay. This is accounted for by derecognition of the sale instead of impairment of the receivable (IFRS 15: 9e).

Time value of money

Many sales result in trade receivables that have short lives before being due for payment. Thus the time value of money is immaterial for most trade receivables. IFRS 15 uses this idea of ignoring the time value of money when immaterial but requires the unbundling of finance when material (IFRS 15: 60).

Financial assets

All trade receivables are receivables and all receivables are financial assets. Financial assets at amortised cost must be recognised at an initial fair value based on discounting at the effective rate. We ignore this for most trade receivables because of materiality as discussed but the requirement remains.

Long life receivables

However, of course long life receivables do occur and those receivables should be discounted. This is common in the construction industry for example. Hence IFRS 15 revenue guidance includes guidance on discounting (IFRS 15: 61).

(5 marks)

(b)

(i) Computer Sale**Time value**

One month is immaterial. The time value of money can be ignored.

Credit risk

Credit risk of 5% is sizeable but this would be accommodated by an expected credit loss (ECL) (IFRS 9).

Impairment of financial assets

Current guidance on impairment requires that we factor in expected future losses into our present recognition. This estimate should consider probability and time value of money and the supportability of the information (IFRS 9: 5.1.17).

Point of sale

One reasonable interpretation is to recognize a sale of \$1m and an exact same receivable but with a 5% ECL at the same time. So an ECL of \$50k at the point of sale is recommended.

Subsequent measurement

When the credit risk increases it is appropriate to increase the ECL. An increase of \$100k to the above ECL of \$50k is required.

(4 marks)

(ii) Computer Hardware Sales**Time value**

Clearly with time differences measured in years, the time value of money should be factored in the accounting. This applies to both deals.

First Sale

For the customer that defers payment for two years then the discount factor for 4% after two years is applied to the sale:

$$\text{Initial receivable} = (0.924)(\$2\text{m}) = \$1.849\text{m}$$

Unwinding

The asset is then unwound back up to its original value of \$2m by recording interest income over the two years.

Second sale

For the second sale, Venue receives the money now. The present value of \$3m now, is of course \$3m:-

$$\text{Initial payable} = \$3\text{m}$$

This is effectively recognising a short term loan.

Unwinding

The payable is then unwound over the one year by recording an interest expense at 4% to give a payable of \$3.12m. The payable itself is derecognised at delivery when Venue fulfils the terms of the payable by supplying the goods

(4 marks)

25. Minny

**Tutor's Tips**

The quotation of the recoverable value of the CGU for the assets only and excluding the liabilities was strange and easy to misread. If you misread this then you would be in amongst the vast majority of students who misread this component in the real exam when this was examined. The key issue was not to slow up on this quirk. The key issue was to make a decision quickly and move on. Some students who got this impairment testing right took so long to do so that they failed the whole exam. Clearly this is not good exam technique.

(a)

(i)

Goodwill

Goodwill is calculated as follows:

	%	Data	%	Captive
FV of consideration	70%	730	56%	224
FV of NCI	30%	295	44%	161
FV of NA		<u>(835)</u>		<u>(362)</u>
Goodwill before impairment		190		23
Impairment (below)		<u>(0)</u>		<u>(10)</u>
Goodwill after impairment		<u>190</u>		<u>13</u>

(4 marks: 2 marks for each goodwill before impairment)

Impairment tests

The recoverable amount is quoted for the just the assets. To get the usual CGU recoverable value and complete the impairment test in the usual way then the liabilities must be deducted.

Recoverable value of assets (given)		1425		644
Liabilities (given on balance sheet)		<u>(251)</u>		<u>(231)</u>
Recoverable value of CGU		<u>1174</u>		<u>413</u>
Carrying value of CGU [GW + NA below]	[190+968]	1158	[23+400]	423
Impairment (CV>RV?)		<u>No</u>		<u>Yes</u>

Test conclusion

Only Heeny suffers an impairment. The recoverable value of the Bower CGU is above the carrying value and so no impairment is recorded.

(4 marks)

Impairment in Heeny

The impairment was as follows:

Carrying value of CGU (above)	423
Impairment {balance}	<u>(10)</u>
Recoverable value of CGU (above)	<u>413</u>

(1 mark)

Net assets

	Bower		Heeny	
	Acqn	Y/E	Acqn	Y/E
SC	400	400	200	200
OCE	27	37	20	25
RE	319	442	106	139
FVA (land) {balance}	89	89	36	36
	<u>Given 835</u>	<u>968</u>	<u>Given 362</u>	<u>400</u>
		NA above		NA above

(3 marks)

(ii)

Associate

Associates are carried using equity accounting which means the purchase cost plus the share of the accumulated growth reported as share of associate profit retained (cost plus growth).

Cost

The literal cost of the 30% equity is the original cost of \$18m for the first 14% and a further \$27m for the next 16%. This could be interpreted as the cost.

Alternative

However, an alternative interpretation is preferred based upon the logic used in the sub acquisition. This alternative deems the parent to sell the 14% investment and buy a 30% associate at the point that the parent attains influence [IFRS 10 principles applied to an associate].

Alternative cost

This preferred alternative measures both the 14% and the 16% at fair value at the current year start and gives the combined carrying value on the balance sheet before adjustment (\$48m=\$21m+\$27m).

Conclusion

Thus only the share of current year profits retained need to be added to the carrying value given to produce the year end equity accounting carrying value of the associate.

Growth

The growth is made up of two components. The associate grows as it makes a profit for the second six months of the current year after the purchase ($30\% \times 6/12 \times \30m) but the entity shrinks again as it pays a dividend (\$2m) and the cash flows out.

Effect

The net effect is a growth of \$2.5m as described below and so the associate is measured as follows:

$$\text{Cost} = 21 + 27 = 48$$

$$\text{Growth} = (30\% \times 6/12 \times 30) - 2 \text{ div} = 2.5$$

$$\text{Associate} = \text{cost} + \text{growth}$$

$$\text{Associate} = 48 + 2.5 = 50.5$$

(6 marks)

(b)

Effect

The effect of the classification of the major line of business as a disposal group is to reveal a CGU impairment and change position statement presentation as discussed below.

Impaired disposal group

The operation held for sale (disposal group) has suffered an impairment as follows:

PPE	49
Inventory	18
CL	<u>(3)</u>
CV	64
Impairment (balance) to profit or loss	<u>(34)</u>
RV	<u>30</u>

(2 marks)

Disposal group

The PPE and inventory and current liabilities should be derecognised from their respective lines. The recoverable value of the disposal group of \$30m is then and presented on the face of the position statement under current assets and the label “disposal group”.

Materiality

Strictly the disposal group assets go to one side of the statement of financial position and the disposal group liabilities go to the other. However, the disposal group liabilities above are relatively small and separate disclosure on the face is unlikely to benefit users.

Depreciation

In the new year the PPE in the disposal group will not be depreciated.

(2 marks)

(c)

Held for sale criteria

The ‘held for sale’ criteria can be quoted as follows [IFRS 5: 7&8]:

S	sell	intent to sell
A	available	asset must be available for immediate sale
L	locate	directors must be looking to locate a buyer
E	expected	sale must be expected in 12 months

Comment

Obviously “available” above refers to the “available for immediate sale” criteria mentioned in the question requirement and IFRS 5 [IFRS 5: 7]. The other three are the sub-criteria for “highly probable”. So to test “highly probable” you must look at the “intent to sell” and the “looking to locate” and the “expected within 12 months” criteria [IFRS 5: 8].

Available

Clearly the disposal group was not sold at the year-end, which is why it is on the statement of financial position but the available criteria is testing that the asset was ready to go at the year-end and directors would have sold had they got a reasonable offer.

Sell

This criteria tests the directors’ state of mind at the year-end. Directors must have made their minds up before the year-end for the sale to be highly probable.

Locate

This criteria tests the marketing. For a sale to be highly probable there must be an active programme in place at the year-end to locate a buyer as soon as possible. There is also the implication that the vendor is asking a reasonable market price.

Expected

This simple criteria requires that at the current year-end, the directors expect the asset will be sold before the next year-end.

Application

To apply this standard in practice, an entity must test the relevant asset (or disposal group) for fulfilment of all the criteria above. Fulfilment of all the criteria results in the asset being pulled out of NCA and dropped into CA. Failure of one criteria results in the asset staying still.

Highly probable

Probable in this context may be interpreted as the usual more than 50% chance [IAS 37: 23]. Highly probable is more than that, but this is not defined in the standard.

Subjective

The application of the criteria is highly subjective and the standard itself is complex so it is hardly a surprise that there might be differences of opinion between entities and regulators over IFRS5.

(8 marks)

26. Minco**Tutor's Tips**

The usual 1 mark per valid point applies. And as usual there are a variety of points that could be explored in each part. Again as usual it is important to include at least one ethical point for each part.

(a)

Housing Association

The housing association is described as a "separate entity". It is not clear who owns this entity but it does appear that we are being asked to assume housing association is outside the Minco group.

Revenue

So we use the revenue models to analyse the transfer of land [IFRS 15: 31&32]:

The "at" model

Revenue is recognised when control is transferred.

The "over" model

Revenue is recognised over the period control is transferred and therefore in line with completion.

Land

Minco are using the "at" model. This does seem to be the right model for the land alone but it appears the model has been applied wrongly.

Risks and rewards

As stated above "revenue is recognised when the control transferred". The IFRS (IFRS15) advises this will usually be the point at which risks and rewards transfer [IFRS 15: 38d]. But it appears that risks and rewards have not been transferred. It appears the risks and rewards of the building project remain with Minco throughout and the land is a part of the building project.

Evidence

Minco sells the units. So it appears Minco gets the benefits of high sales volume and bears the risk of low sales volume via the maintenance responsibility. Also Minco bears the risk of loan interest rate rises. Further Minco faces the risk of loan default via the guarantee.

Conclusion

Minco should continue to recognise the land.

Control

There is another way of looking at this which does not appear to be intended as there is very little information about who owns the housing association and how it works. However, it does appear that Minco has the power to direct the activities of the housing association via the Minco director and the rights to negotiate with the buyers and the housing contractor.

Alternative solution

So maybe another way to get the project into the group FS is to allow the housing association to record the construction contract and then consolidate the housing association with Minco group FS.

Competence

The issues above are complex. The evidence appears to point to the incorrect revenue model being applied accidentally. It does appear that Minco are trying to recognise revenue correctly but are failing.

(8 marks)

(b)

Intangible

An intangible is a present right to a future economic inflow that cannot be touched. Intangibles are recognised when measurable and are measurable when purchased.

\$20k

The \$20k appears to fit the criteria. The asset is clearly measurable at its purchase price of \$20k and provides Minco with the right to require the tennis player to display the Minco logo for the next three years.

\$50k

This is measurable but appears to be a payment for the player having worn the logo. The past tense here tells you that there is no future economic inflow.

20%

The 20% is the same. It is a bonus paid to the player after having won the tournament. There is no future benefit to Minco.

Conclusion

So it appears that the \$20k should be capitalised as an intangible and depreciated over three years and it appears that the other payments should be written off as incurred. This means the annual \$50k is recognised as a liability and expense at the end of each year and the 20% is recognised as a liability and expense at the end of each tournament the player wins.

Ethics

The write off related to the \$20k may be immaterial and the error may have no adverse implications for Minco directors.

(5 marks)

(c)

Lease accounting

Upon lease commencement a lessee recognises a right-of-use asset and a lease liability [IFRS 16:22]. The right-of-use asset is initially measured at the amount of the lease liability plus any initial direct costs incurred by the lessee. Adjustments may also be required for lease incentives, payments at or prior to commencement and restoration obligations or similar [IFRS 16:24].

Minco

So Minco will recognise a right of use asset and a lease liability. But the improvements must be further considered.

Improvement

The improvement results in some tricky accounting. The costs of the improvement are simply capitalised and depreciated over the six years. But the cost of removing the floor at the end of the lease must be discounted down to present value the point of improvement at the start of the lease.

Asset & liability

The discounted PV of the removal cost is then capitalised on top of the improvement costs at the top of the B/S and recognised as a liability at the bottom of the B/S. The asset is then depreciated over the six years and the liability is unwound over the period up to the cost of removal.

Disrepair

Minco should also recognise a liability for any damage. The roof has been damaged and the repair will occur in the new year. So a liability will be recognised at the current year end and an expense will go the current P/L.

Competence

The accounting above is not easy. However, it is clear that Minco has incurred various obligations and these have been ignored. It is difficult to know whether this indicates problems with competence or integrity. But based on earlier problems with competence maybe this is another area where directors financial reporting is lacking.

(5 marks)

27. Clive**Tutor's Tips**

Part (a) is straight scenario analysis. But be careful not to over focus upon the held for sale component which is only a small part of the story. Part (b) has flavours of current issues and is looking for students to show an understanding of lease accounting. Part (c) is plain difficult with more going on that can reasonably be expected to be possible in the exam time allowed and so the aim is to score some marks within that time.

(a)

Control

IFRS make it very clear that a subsidiary is defined by control. Subsidiary acquisition occurs when we get control and subsidiary disposal occurs when we lose control (IFRS10).

Disposal

When Clive tells Date to issue shares to a new investor and the Clive ownership and voting falls to 35% then Clive loses control and the result is a subsidiary disposal.

Discontinued

The scenario tells us that Date is in a separate line of business. The scenario tells us that Clive is in the publications industry and Date is operating a farm. Obviously the group stopped doing that separate line of business towards the end of the year, so the operation is discontinued (IFRS5). The Clive group has discontinued farming.

Statement of profit or loss

The effect in the statement of profit or loss is Clive time-apportions Date and then puts the PAT into Discontinued at the bottom of the statement of profit or loss and only discloses the details in the notes.

Profit on disposal

IFRS also make it clear that when we lose control we are deemed to have sold the whole subsidiary and bought back another investment (IFRS10). The result is a profit on disposal which is subsumed into the discontinued line on the P/L discussed above.

Investment retained

The story tells us that Clive have lost their place on the board. So it is possible Clive retain no influence. If this is true then the remaining asset is a simple investment at fair value with gains reflected in the statement of profit or loss.

Associate

On the other hand it is possible that Clive still retains the power to influence Date, just chooses not to get involved. If this is true then Date is an associate after the share issue.

Held for sale

The associate will be considered held for sale if it fulfils these criteria:

S Sell = there must be an intent to sell

A Available = the associate must be available for immediate sale

L Locate = directors must be marketing to locate a buyer

E Expected = the sale must be expected within 12 months

Considering

Clive is only considering the sale. There is no clear intent at the year-end, so the associate stays in non-current assets.

(8 marks for 8 points)

(b)

Lease

A contract is, or contains, a lease if it conveys the right to control the use of an identified asset for a period of time in exchange for consideration. [IFRS 16:9]

Lessees

The user of the asset is described as the lessee. The lessee has the right to use the asset over the term and corresponding obligation to make payments to the owner for the use of the asset.

Accounting by lessees

Upon lease commencement a lessee recognises a right-of-use asset and a lease liability. [IFRS 16:22]

Liability

It could be argued that the current financial reporting under IFRS 16 is driven by the need to be honest about liabilities. To paraphrase the framework, a liability is the present obligation to a future economic outflow.

Lease liability

A lease is a contract. So an agreement to make payments under a lease creates a contractual obligation. This obligation is clearly a liability.

Asset

But leases also deliver assets to lessees. To paraphrase the framework, an asset is a present controlled right to a future economic inflow.

Right of use asset

Regardless of the duration of a lease or the duration of the life of an underlying asset; if a lessee contracts to the right to use an asset for a period of time then that is an asset.

Right of use asset valuations

It is worth pointing out that a right of use asset might be of a similar value to the underlying asset or it might be much smaller. A contract to rent an office block for its entire life is likely to give a right of use asset roughly equal to the fair value of the office itself. But a right to use just three years out of a life of much longer will give a right of use asset much smaller than the fair value of the office block.

Recognition exemptions

The IFRS allows simple recognition of costs direct to the profit or loss for certain contracts. The IASB understand that discounting all lease obligations is potentially onerous. During the development phase the IASB sought to identify the threshold below which this process was not useful.

Materiality

The result was the “recognition exemptions” which effectively is materiality guidance. It defines the threshold below which a lease is too small to be worth the effort of full lease accounting.

Election

Instead of applying the recognition requirements of IFRS 16 described below, a lessee may elect to account for lease payments as an expense on a straight-line basis over the lease term for the following two types of leases:

Two types of lease

- (i) leases with a lease term of 12 months or less and containing no purchase options – this election is made by class of underlying asset; and
- (ii) leases where the underlying asset has a low value when new (such as personal computers or small items of office furniture) – this election can be made on a lease-by-lease basis. [IFRS 16:5, 6 & 8]

Clive lease

Clive has leased 6 out of 12 years. It is clear that the rental contract qualifies as a “lease”. Clive has control for the 6 years.

Asset

To paraphrase the framework, an asset is a present controlled right to a future economic inflow.

Clive asset

Clive has the right to use the machine for 6 years, which does meet the above definition.

Liability

To paraphrase the framework, a liability is the present obligation to a future economic outflow.

Clive liability

Clive has signed up to 6 years of cash outflow, so this fulfils the definition of a liability.

IFRS 16

This is why IFRS 16 requires the recognition of a right of use asset and corresponding liability for the 6 year rental agreement by the lessee Clive.

(10 marks for 10 points)

(c)

Issues

There are a number of issues here. There is depreciation. There is held for sale. There is reversal of impairment. There is an event after the reporting period.

Depreciation

Depreciation reflects the cost of use and as most assets are used evenly over their lives depreciation is usually based on dividing the remaining carrying value over the remaining life. Strictly we should work out the asset life from the figures as 13.3years (\$4m/\$0.3m) and look carefully at remaining lives after impairment. But it appears the examiner wants us to ignore this point and stick with \$300k per annum and \$100k for the four months of June July August and September.

Held for sale (HFS)

There are criteria that must be fulfilled for a property to be classed as held for sale. But no information is given regarding the criteria and so it appears the examiner wants us to assume the property is held for sale without further thought. However, the rather odd IFRS requirement that depreciation stops after classification as held for sale is relevant.

Reversal of impairment

At the end of last year the property went down in value. This was recognised as an impairment last year through P/L. This year the property went up in value. This is classed as a reversal of the impairment and the gain also goes through P/L.

HNBV

But the reversal is limited to the carrying value that would apply if there had been no down or up in value only depreciation. This is sometimes called historical net book value (HNBV). This is \$2.9m from the point of HFS four months into the current year (4-1-0.1) and does not change over the following eight months because HFS do not depreciate. So we can ignore the HNBV at the first reversal because \$2.52m is way below \$2.9m but we accommodate the HNBV at the second reversal because \$2.95m is above \$2.9m.

Events after the reporting period (EARP)

The sale of the property for \$3m shortly after the year end is excellent evidence that the fair value less cost to sell were roughly \$2.95m at the year end. Further it may be worth disclosing that the asset held for sale at the year end was successfully sold shortly after.

(4 marks)

Movement

The very complex movement in the property is as follows over the current year:

	\$k	
Cost (three and one third years before the current year start) (given)	4000	
Accumulated depreciation (given)	<u>(1000)</u>	
Last year's closing balance before impairment	3000	
Last year's impairment (given)	<u>(350)</u>	to last year's P/L
Current opening	2650	
Four months depreciation from June to September (see above)	<u>(100)</u>	
Before further impairment	2550	
Current impairment	<u>(150)</u>	to current P/L
Recoverable value at HFS (given)	2400	
Two months depreciation for October and November because HFS	<u>(0)</u>	
Before first reversal	2400	
Reversal of impairment (balance)	<u>120</u>	to current P/L
After first reversal (FVLCTS given)	2520	
Six months depreciation from December to May because HFS	<u>(0)</u>	
Before second reversal	2520	
Reversal of impairment (balance)	<u>380</u>	to current P/L
HNBV (see above)	2900	
Revaluation (see below)	<u>0</u>	
Closing	2900	to current B/S

Revaluation

The revaluation recognised when the FVLCTS of \$2.95m rises above the HNBV of \$2.9m is zero. This can be identified in a couple of ways. First the scenario says nothing about revaluation. The default policy for PPE is cost. So the examiner's silence means Minco have a cost policy for PPE making revaluation not permissible. Secondly, after a property is classified HFS it is now considered HFS and not property and HFS is always carried at the lower of its HFS entry value and the FVLCTS.

(3 marks)

28. Pod

**Tutor's Tips**

A trick to ensure that you deliver relevant points to the examiner is to copy key words from the exam question and use them as headings and then respond to the heading immediately below. This trick is particularly useful in this question.

(a)

(i)

New IFRS

When an entity adopts a new standard for the first time then the entity must manage the accounting issues and the shareholders expectations. Adopting a new standard can occur when the standard is issued or later when adopted by the local jurisdiction.

Financial statement implications

One of the key issues is the restatement of comparatives in a process often called "prior period adjustment". Individual IFRS give guidance on the process but the general principle is that the comparatives must be adjusted so that they reflect the new accounting.

Practical considerations

Which leads to the practical considerations. The first is that because the comparatives must be comparable then an entity moving to a new IFRS must think ahead. Data will be needed a full two years before the year end of the first year of adoption of an IFRS.

Training

Which leads to training. The accountants involved in the accounting area under change will need training in the workings of the new IFRS long before they actually report to externals using the new IFRS.

Systems

And the systems will need adapting to collect the data and process the new accounting information. To ensure smooth switch over many entities use a process of "transition" where the new and the old systems run parallel for two years.

Shareholders

Then shareholders expectations must be managed. It is quite possible that some shareholders are not aware of the new IFRS and those same shareholders may not be attentive to their own FS. So entities will need to talk to shareholders about the effects of the new IFRS before and during and after financial announcements under the new IFRS.

First time adoption

The above is similar to first time adoption mentioned in the question introduction. In both the case of first time adoption and the adoption of a new IFRS an entity must restate comparatives and manage information.

Three formal steps

However, the process of first time adoption has even greater formality captured in the standard on first time adoption (IFRS1) which requires (1) adoption of new policies then (2) restatement of comparatives then (3) a note explaining the effect.

(8 marks)

(ii)

Impairment

An impairment occurs when the carrying value of an item is above the recoverable value (which is the higher of VIU and FVLCTS) [IAS36:6].

Non-financial assets

The above refers in particular to property plant & equipment but also includes intangibles. Both these two are generally carried at cost less depreciation.

Impairment of non-financial assets

In a period of slow economic growth or worse a period of recession PPE and intangibles can be producing less due to a decrease in demand. This would adversely affect the VIU. And the fall in market values that comes with recession can push FV down too.

Deferred Tax

Deferred tax occurs when there is a difference between the financial accounting carrying value of an item and the corresponding tax base. One area where these temporary differences are common is in the accounting for losses.

Deferred tax assets

A tax accountant carries losses forward to offset against future profits and reduce the future tax payments. This gives rise to the classic deferred tax asset on carried forward tax losses.

Impairment in deferred tax assets (DTA)

However, when DTA for losses carried forward are carried by an entity in financial trouble then the recoverability of the DTA becomes questionable. This is when an impairment in a DTA must be considered and clearly this is more likely to be relevant in recessionary years.

ESMA

The European Securities and Markets Authority focussed upon both the above and found that the key areas where improvement was possible was regular testing for impairment and disclosure of the basis and effects of recorded impairments.

(7 marks)

(b)

(i)

Intangibles

Separate purchase intangibles are recognised when purchased [IAS38:25]. So the purchase of the customer list is appropriately initially recognised by Pod.

Useful life

Intangibles are amortised over their lives [IAS38:97]. The life can be finite or indefinite. Indefinite means without foreseeable limit [IAS38:88].

Indefinite

The word "indefinite" can mean "uncertain" in other contexts. So it is reasonable that Pod have misunderstood this term. However, in this context "indefinite" essentially means "forever". So an indefinite life is inappropriate.

Shortened life

In fact the factors such as technological evolution mean that the useful life should be reassessed and shortened as appropriate. If customer loyalty has disappeared then impairment may be appropriate too.

(4 marks)

(ii)

Cash generating units

Many assets work with others. So many assets cannot be tested individually for impairment. These assets must be tested as part of a CGU which literally means the smallest unit that generates cash. [IAS36:6]

Customers

To generate cash a business unit needs to serve customers. So the CGUs of an entity are the business components that each on their own are able to deliver product to their customers.

Product lines

In the context of photographic retail the phrase “product lines” means cameras and memory cards and photographic paper. Cameras cannot sell cameras; not without people to sell to customers. The selection of product lines as the CGU seems inappropriate.

Branches

In the context of photographic retail the phrase “branches” means “shops”. Shops can sell cameras. They have space to display and people to serve customers. It is reasonable to suggest that even the shops cannot serve customers entirely on their own without head office support. But it can be reasonably argued that the CGU in Pod is the individual shops.

(4 marks)

29. Marchant**Tutor's Tips**

There is a lot to do here in the time available. Well practiced students will rattle through most of this quickly. So if you found yourself slowing down and reminding yourself of syllabus content then this shows you that you need more practice.

(a)

(i)

Goodwill

Goodwill should have been recognised at acquisition as usual by bringing together consideration and NCI and NA all at fair value.

Transfer of ownership

The sale of the 8 % equity has no effect upon the control of the sub. Marchant controls Nathan both before and after the 8% equity sale. So this can be ignored for the purposes of measuring goodwill.

Impairment and reversal

An impairment occurred last year and was recognised last year. However, this year the impairment was reversed. This reversal is forbidden and the closing goodwill should be adjusted back to the opening goodwill.

(3 marks)

Goodwill	N	
FV of consideration	80	
FV of NCI	45	
FV of NA	<u>(110)</u>	
Goodwill at acquisition	15	
Last year's impairment (15)(20%)	<u>(3)</u>	
Goodwill opening & correct closing	12	
Incorrect reversal (balance)	5	reversal removed from operating costs
Incorrect closing goodwill (15+2)	<u>17</u>	

(3 marks)

(ii)

Transfer of ownership

The 8% reduction in controlling interest ownership from 60% down to 52% results in a retention of control. The controlling interest still has control and the non-controlling interest still have no influence. This is not a partial sub disposal. This is just the transfer of ownership from CI to NCI.

Effect on controlling interest

The effect of the transfer to NCI of \$11.7m of ownership is easy enough. The NCI just goes up by \$11.7m. But the effect on the CI is counter intuitive. The CI also goes up. This is because the CI goes down by \$11.7m as the transfer goes out but CI goes up by \$18m as the consideration comes in. The net effect is the increase of \$6.3m seen below.

(2 marks)

Numbers

Carrying value (12 GW + 134 NA)	146
Percentage	<u>8%</u>
Transfer	<u>11.7</u>

Effect on controlling interest

Transfer out	(11.7)
Consideration in	<u>18</u>
Increase to OCE	<u>6.3</u>

(3 marks)

Net assets	Acq	Transfer	Growth
Share capital	25	25	
Retained earnings	65	85	
OCE	6	10	
FVA(land)(balance)	<u>14</u>	<u>14</u>	<u>—</u>
	<u>110</u>	<u>134</u>	<u>24</u>

(1 mark)

(iii)

Disposal

The sale of the 40% sells part of Marchant ownership of Option but the transaction results in a total loss of control. So the standard [IFRS 10] requires that we pretend that we have sold the entire 60% subsidiary and bought back a 20% associate.

(2 marks)

Profit

The profit on disposal would be measured as follows:

Actual sale proceeds	40% sold	50
Deemed sale proceeds	20% kept (FV of associate retained)	40
NCI	{note that this does not agree with $[28 + (40\%)(4)]!!$ }	34
NA		(90)
Goodwill	(see below)	<u>(12)</u>
Profit		<u>22</u>
		(3 marks)

Goodwill	0
FV of consideration	70
FV of NCI	28
FV of NA	(86)
Goodwill at acquisition	<u>12</u>
	(2 marks)

Tutor note on disposal

Note that the NCI does not seem to fit with the facts in the question. Note also that the 20% Marchant keep is somehow fair valued at almost the actual sale proceeds of the 40% Marchant sell despite being half the equity. This just goes to show that questions may not always make perfect sense.

(b)

Revenue

The group would recognise revenue based upon control. So the entire revenue for the year for Marchant and Nathan plus the revenue for the first six months of Option would be recognised.

Intercompany sales

However, the above would be stripped out because these are just internal stock transfers from a group perspective. The PUP effects cost of sales and not sales.

(2 marks)

Group P/L extract

The revenue would be measured as follows:

Statement of profit or loss	M	N	O	Adj	Group
	12/12	12/12	6/12		
Revenue	400	115	35	(12)(iv)	538

(2 marks)

(c)

PPE

The fall in value from \$11.56m down to \$7m at the current year end must go through the SPLOCI of course. However, the split between the reversal to the OCI and the impairment to the p/l is determined by historical net book value.

Historical net book value

This is the carrying value that Marchant would be carrying if the PPE had simply suffered two year of depreciation and nothing else.

(1 mark)

Movement

The movement is as follows:

Cost	12	
Last year's depreciation (12/10years)	<u>(1.2)</u>	
Last year's closing before revaluation	10.8	
Last year's revaluation (balance)	<u>2.2</u>	
Current opening (given)	13	
Current depreciation (13/9years)	<u>(1.44)</u>	
Current closing before reversal	11.56	
Reversal of revaluation (balance)	<u>(1.96)</u>	to OCI
Historical net book value (12-1.2-1.2)	9.6	
Impairment (balance)	<u>(2.6)</u>	to P/L
Closing (given)	<u>7</u>	

(3 marks)

Tutor note on PPE

Note that the reversal of the revaluation of \$1.96m can also be derived as the remainder on the revaluation reserve at the current year end after the annual transfer from the revaluation reserve to the retained earnings [$\$1.96m = \$2.2m(8/9)$].

(d)

Options

The share based payment equity obligation would be measured at the year start and again at the year end and the difference would go to P/L.

(1 mark)

Movement

The movement is as follows:

Opening (4x8k)(\$100)(1/3)	1.067
Operating cost (balance)	<u>2.133</u>
Closing (6x8k)(\$100)(2/3)	<u>3.2</u>

(2 marks)

30. Kayte

**Tutor's Tips**

It could be suggested that the second part of this question was easier than the first. It was certainly true that students who dealt with the depreciation issues first performed better in both parts. Students who attempted the question in order seemed to lose confidence and this effected the performance in both parts. If you wish to answer the second part first then make this clear to markers with a heading like “Depreciation” and a comment like “I am looking at the error on depreciation first” and then go ahead and answer the second part first. The marking allows for this.

(a) Ceemone transaction

Control

Control is the power to direct activities and gives rise to a sub that is consolidated with the parent.

Acquisition

It is not crystal clear, but it appears that Kayte buys all the equity of Ceemone that in turn owns all the equity of the little companies that own the ships. So Kayte now controls the ships and Kayte can do what Kayte likes with the ships. This is control and the transaction is an acquisition.

Management company

The existence of the management company seems at first to challenge Kayte control. But Kayte can sack the management company anytime with only a month’s notice. So Kayte has the power to direct activities even though it delegates the actual directing of activities to the management company.

Asset purchase

Now we look at whether this is a subsidiary (sub) acquisition or an asset purchase. The phrase “asset purchase” means Kayte is accounting for the purchase of the entire equity of Ceemone with all its little subs as the purchase of a whole load of ships. Nothing more. Just ships. Kayte is ignoring that Ceemone is a business and recording the following simple double entry:

Dr	Ships (PPE)	x
Cr	Bank	x

Business combinations

What we have to do is work out if that is right. We need to assess whether there has been a business combination. The IFRS dealing with acquisitions and subsidiaries and goodwill is called “business combinations” (IFRS3) and the title is intended to be meaningful. The idea is that a sub acquisition occurs when two businesses come together.

Business

A business is defined as an entity that does something. It must have inputs and processes and outputs.

Ceemone

Ceemone has the following:

Inputs	There are ships and shipbrokers and management and customers’ goods.
Processes	The ships ride across oceans.
Output	The product is the movement of customers’ goods.

Conclusion

Ceemone is a business and the purchase of Ceemone must be recorded as the acquisition of a sub resulting in goodwill. That is the main difference between an acquisition and an asset purchase. The first has goodwill and the second does not.

Goodwill

That leads to another way of analysing the scenario. Acquisitions have goodwill measured as follows:

FV of consideration	x
FV of NCI	x
FV of NA	(x)
Goodwill	<u>xx</u>

People

The IFRS on goodwill (IFRS3) does not say what goodwill actually is but the IFRS does make it clear that goodwill is the things that are in the sub that are not NA. Subs have people and people are not in NA. So goodwill is often interpreted as being the FV of the people relationships with the sub at acquisition. This means suppliers and bankers and employees but most particularly goodwill means the customers and their loyalty.

Application

It is because Ceemone has moved its employees into a management company that Kayte has assumed Ceemone is not a business. Kayte thinks Ceemone has no people relationships. But this is not true. Ceemone still has a supplier of employees in the form of the separate management company and Ceemone has other suppliers supplying ship broking and fuel and insurance, no doubt. But more importantly Ceemone has customers too, and their loyalty is represented in the acquisition goodwill. Ceemone has people relationships.

Conclusion

The conclusion is the same. Ceemone has people relationships summed up the phrase “goodwill” and Kayte has bought these relationships and needs to recognise this goodwill through a sub acquisition also known as a business combination.

Goodwill impairment

The adverse publicity has caused a fall in the customer base. This means there may be a goodwill impairment.

Competence

The failure to realise that the Ceemone purchase is a sub acquisition may be down to insufficient familiarity with the relevant IFRS. After all the difference between an asset purchase and a sub acquisition is subtle.

Integrity

However, the reference to the adverse publicity is suspicious. It may be that directors do know that this is a sub acquisition but are keen to avoid the recognition of goodwill and the subsequent goodwill impairment.

(10 marks for 10 points)

(b) Vessels**Depreciation**

Depreciation is defined as the consumption of PPE value over useful life. More particularly depreciation each year is the remaining depreciable value divided by the remaining useful life. Depreciable value is defined as carrying value less residual value (IAS16).

Useful life

The life used in depreciation is the life of the asset in Kayte possession. This idea is called “useful life” in order to distinguish it from “economic life” which is the whole asset life to scrap. The residual value is the value that Kayte expects to get when Kayte sells.

10 year vessels

It sounds like Kayte has the management strategy of selling ships after 10 years. If this is the case then these 10 year vessels should be separated any 30 year vessels and depreciated down to a 10 year old ship residual value over 10 years.

Integrity

Depreciating an asset over the period of use by an entity is fairly basic accounting. It seems likely that directors know that the 10 year ships should be depreciated over 10 years but use 30 years to decrease depreciation and increase profit and their bonus.

Residual value

Residual value is the value of the PPE at the end of its useful life. For many assets this is literally zero as the asset is thrown away at the end of its life. For many other assets residual value is immaterial as the asset is scrapped for very little. But for some assets like ships the residual value is high. Scrap ships are valuable because of the metal they contain.

Ship residual value

Residual value in this case is even higher than scrap. The ships that are intended to be used by Kayte for only 10 years will have 20 years left at the end of the Kayte useful life. So the consideration of residual value is important to Kayte financial reporting.

Broker valuations

It makes sense to use the broker valuations of residual value as it will be brokers that broker the deal to sell the ship at its 10 year useful life end. The valuations will be volatile unfortunately. That is because metal is a commodity in which the price goes up and down and shipping is a sensitive economic enterprise. This means the depreciation will be slightly different each year. But this is no big deal. Lots of things are different each year.

Fair value measurement

FVM and the hierarchy could be useful to the debate about the residual value measurement:

Level 1	exact equivalent active market price
Level 2	approximately equivalent transaction price
Level 3	unobservable inputs into financial models

Application

It sounds like the brokers are using level 2 inputs for their estimate of residual value (FVM based on similar ship sales). Whereas it sounds like the directors are using level 3 (making up their FVM based on conservative models but it is hard to tell where directors are getting their figures from). This is more evidence that the brokers' estimates of residual value are likely to be more appropriate.

Competence

This failure to use the broker values appear to be a simple failure to understand residual value. The failure actually results in higher depreciation which is counter to the directors' natural motivation to increase profit to increase their bonus.

Effect

Kayte must recalculate the depreciation using the appropriate useful asset life and the brokers estimate as residual value.

(8 marks for 8 points)

31. Blackcutt

**Tutor's Tips**

This is a challenging question. The first problem is that it is not entirely clear what exactly the examiner wants you to talk about in each part. The second problem is that there is insufficient time to really digest the issues. The two problems are addressed by the same solution. To be successful in this question students must extract points from the scenario by using key words as triggers and then the student must quickly put down the knowledge to solve the issue and then apply it and then move on.

(a)

Investment property criteria

The following criteria must be fulfilled for the recognition of an investment property (IAS 40: 5):

- Investment

The property must be held with an investment motive; that is capital gain or rental income or both.

- Complete

The property must be finished. Unfinished property is classified as WIP within inventory.

- Entity unoccupied

The property must not be used by the group. Owner occupied property is classified as PPE.

Investment property (IP) accounting

Properties fulfilling the above criteria are held at FV with gains and losses to profit or loss. IP is essentially classified as a speculative asset. There is a cost model alternative in the IFRS, but the cost model is rarely used, making the cost model for IP redundant [IAS 40: 30].

Land for capital appreciation

The above appears to fulfil all the criteria so the above would be recognised as IP.

Land for do not know what

The above is not so easy to classify but either it goes into PPE or IP. It could go in either depending on the balance of sentiment between turning the land into a park or selling for cash. Probably a classification as IP whilst the decision is on hold makes most sense.

Buying and selling property

This does sound like stock and should be classified as inventory and held at the lower of cost and net realisable value.

Low income property

This does not sound like stock. The low income employee property is effectively owner occupied, as Blackcutt are using the property to further their political aim of supporting low income workers. These properties are moved to PPE and subject to an impairment review as the low rent may indicate an impairment.

(7 marks)

(b)

Annual amount

The annual amount is Waste revenue. Revenue is either recognised at the point or over the period the performance obligation is fulfilled and control is transferred [IFRS 15: 31]. Performance obligations are satisfied over time if the customer benefits simultaneously as the supplier performs [IFRS 15: 35a].

Blackcutt recognition

The annual amount is service revenue to Waste and Blackcutt consumes as Waste performs. So Waste service revenue should be recognised over the period by Waste. Waste revenue is Blackcutt cost. So by implication the cost should be recognised over the period by Blackcutt. Accruals and prepayments may be needed.

Vehicles

The vehicles are much trickier to classify. Under current rules, the vehicles are either recognised by Waste or Blackcutt. To decide who should recognise the asset we can apply “probable future economic benefits” by looking at risks and rewards [IAS 16: 7a].

Rewards

Waste use the asset to earn their revenue from Blackcutt but on the other hand Blackcutt also get the benefit because they get their bins emptied by the vehicles. Both get the benefit for the entire asset life.

Risks

There is little information on risk. But it does appear that if a vehicle breaks down then it is up to Waste to replace it. There isn't any evidence of Blackcutt paying up for replacement vehicles. In real life, we would look into who pays for the maintenance and who pays for the insurance.

Control

IFRS on leases also asks us to look at control. A contract is, or contains, a lease if it conveys the right to control the use of an identified asset for a period of time in exchange for consideration [IFRS 16:9].

Day to day control

Again we do not really know, but it sounds like Waste decides what the vehicles do day to day. It is true that Blackcutt step in if Waste go bust, but that is more evidence that Blackcutt do not step in whilst Waste is still going.

Conclusion

You could go either way with this conclusion and in real life more evidence would be needed to come to a firm conclusion. But based on what little we know, the asset should be recognised by Blackcutt and not by Waste.

(6 marks)

(c)

Provision recognition

There are three criteria [IAS 37: 14]:

- Reliable estimate
It must be possible to estimate the outflow.
- Obligation (legal or constructive)
There must be an obligation at the year-end.
- Probable outflow
The outflow of economic benefits must be probable (>50%).

Reasonably reliable estimate

It is clear that the surveyors who issued the report can give an estimate of the outflow.

Probable outflow

It is clear that the outflow is at least probable. In fact the outflow is described as “virtually certain”.

Obligation

The tricky criteria is “obligation”. Blackcutt does not literally have an obligation at the year-end. The legislation has not been enacted and that is a fact. **But in a twist in the IFRS**, the IFRS on provisions (IAS37) requires that entities **do recognise an obligation when the enactment of law is virtually certain [IAS 37: 22]**.

Conclusion

Blackcutt must provide in full.

Recourse

Recourse means the right to go to the other guy and demand that they pay up. Recourse gives rise to a potential asset. But Blackcutt do not have recourse and so there is no need to think about potential assets.

(4 marks)

(d)

Current carrying value

First we shall calculate the opening carrying value:

	\$m
Cost	5
Accumulated depreciation [(5 years × \$5m)/25 years]	(1)
Opening carrying value	4

Current depreciation

The school was used as a school for the current year so another year’s depreciation seems to make sense. The school’s life as a school is unchanged:

	\$m
Opening carrying value	4
Accumulated depreciation [\$4m/20 years]	(0.2)
Closing carrying value	3.8

Impairment test

The change in use at the year-end is obvious evidence of an impairment. So an impairment review is required. An impairment occurs if recoverable value falls below carrying value. Recoverable value is the higher of value in use (VIU) and fair value less costs to sell (FVLCTS).

Odd sentence

It is difficult to know what this sentence means: “value in use and net selling price are unrealistic estimates”. Maybe Blackcutt are struggling to get a meaningful VIU as the library users do not pay to borrow books and Blackcutt are struggling to get a meaningful FVLCTS because libraries are not bought and sold.

Replacement cost

So maybe a surrogate for recoverable value is replacement cost and perhaps the VIU of a library equates to the amount of money a government body spend on it. The replacement cost of a new library is \$2.1. Perhaps the VIU of the converted library is the cost avoided to build a new library.

Impairment

Then the impairment would be as follows:

	\$m
Closing carrying value before impairment	3.8
Impairment {balance}	(1.7)
Recoverable value	2.1

(6 marks)

Tutor note on library assumptions

There are a lot of assumptions in the above, including the value in use of a library is roughly equivalent to its replacement cost and a converted library is just as good as an old library. Alternative assumptions would be just as meaningful.

32.

Tang

**Tutor's Tips**

A generous question for those with the knowledge. Many students scored full marks in (a) when this was examined. Using examples to fill out an answer was an easy way to deliver the appropriate volume of points and show the required understanding of the standard. The scenarios in part (b) are strange and the language is technical. The appropriate response is to extract the components that leap out of the scenario like the financing implications in (b)(i) and the uncertainty of the bonus in part (b)(ii) and try not to get dragged into the complexity.

(a)

(i)

Five

There are five criteria for the recognition of a contract with a customer all of which must be fulfilled before revenue is considered. The contract criteria can be tested at each measurement point during negotiation until fulfilled.

Approval

The contract must be approved by both parties. This means the supplier and the customer must be committed to delivering on their obligations.

Substance

The contract must have commercial substance. There must be a flow of a good or a service from the supplier to the customer or there is no sale.

Probable

There must be probable collectability at the point of sale. The probable collectability can deteriorate later and result in an impairment. That does not affect the sale. But if it was clear from the start that the supplier would never be paid by the customer then the supplier did not make a sale.

Rights and obligations

It must be clear what the supplier will supply and what the customer must pay. The IFRS distinguishes these two as two criteria. But of course the supplier's obligations are the customer's rights and vice versa.

(5 marks)

(ii)

Five steps

The IFRS has five steps with the first covered above:

- Contract criteria
- Obligations
- Price
- Allocation
- Revenue recognition

Obligations

This step involves breaking a multiple component transaction down into its component parts. This is referred to as “unbundling” and is only really relevant if there are multiple components in a sale.

Example

Unbundling is particularly important in mobile telecommunications where suppliers often supply a phone and a line for one price. The supplier would identify the supply of the phone and the supply of the line as separate obligations.

Price

The supplier must then identify the single price for the obligations. This would exclude taxes and may need adjustment for variable consideration or the time value of money.

Example

A furniture company selling furniture on an interest free deal would actually be required to discount the cash received down to present value and recognise the furniture revenue at delivery in the sum of the present value.

Allocation

Then the supplier is required to allocate the single price against the multiple obligations, there are various methods suggested in the IFRS.

Example

A supplier supplying a customer with a mobile phone and a line might use the ratio of the standalone prices for the obligations sold separately to split the single price between the two obligations.

Revenue recognition

Then the revenue is recognised as the performance obligation is fulfilled. Performance obligations are fulfilled either at the point that control transfers or over a period.

Example

The mobile phone supplier would recognise the mobile phone revenue at delivery but recognise the line rental income over the term of the deal.

(8 marks)

(b)

(i)

Control

The transfer of control in two years' time means that Tang will use the machine for the next two years even though the buyer has paid \$240k for the machine now. So Tang is getting money now for something it will supply in two years. This indicates a finance component.

Cash on delivery alternative

The alternative deal rejected by the customer of paying \$300k on delivery of the machine further confirms the significant finance component. This is a cash on delivery alternative of \$60k greater than the prepayment option selected by the customer.

Interest

The interest rate would reflect the credit characteristics of the party receiving finance (IFRS 15 paragraph 64). An entity shall consider the difference between the amount of promised consideration and the cash selling price (IFRS 15 paragraph 62b). This seems to indicate that the interest rate implicit in the deal should be used for the interest.

Incremental borrowing rate

However, the incremental borrowing rate is given as 5% and yet Tang appears to have borrowed at 11.8%. It is very hard to understand why Tang would borrow at 11.8% from a customer when Tang can borrow at 5% from the bank. So this may be an indication that the cash alternative has no commercial substance and really the asset fair value in two years will be $(\$240k)(1.05^2)$. Further information is required to clarify this point.

Effect

I suggest that Tang recognises the loan in liabilities as the cash arrives and recognises the interest at the appropriate rate over the two years.

(4 marks)

(ii)

Over revenue

The IFRS identifies three sources of revenue where the performance obligation is fulfilled over time. These are:

- No alternative use revenue
- Customer controlled asset revenue
- Simultaneous consumption revenue

No alternative use

The printer is being constructed on the supplier's premises. It is difficult to see how this asset could be sold to an alternative customer. This asset has no alternative use other than sale to the current customer. So the recognition of revenue over the period makes sense.

Price

The reference to the factors outside of the Tang's influence appears to indicate that the bonus is far from certain. I suggest that this should be excluded from the price and the price of the single performance obligation should be measured at \$1.5m.

Profit

The project profit is therefore \$0.7m ($\$1.5m - \$0.8m$).

Effects

So Tang will recognise 65% of the \$1.5m revenue and 65% of the \$0.8m costs to give a profit of 65% of the \$0.7m profit in the current year ended 30 November 2015.

Modification

The modification on 4 December would change the accounting for the next measurement period. This might be the month ended 31 December 2015. At that point Tang would use the new figures for revenue and costs and a new month end completion percentage to measure new higher figures for revenue and costs to date.

Bonus

The modification has made the bonus highly probable. So that too will be added to the total project revenue.

Events after the reporting period

The modification was signed after the year end and so has no effect on the current year figures to year end 30 November 2015. However, the modification could be disclosed if this information is deemed useful to primary users.

(8 marks)

33. Bubble**Tutor's Tips**

There is a fair amount of number bashing in this question. But actually it may be that the easiest marks are the narrative marks in part (b) if you know your performance reporting current issues of FX. If you feel that you will answer part (b) best then it is perfectly acceptable to answer that first.

(a)

(i)

Goodwill

		Salt Dollar		Tyslar Dinar
FV of consideration		110		368
FV of NCI		25		220
FV of NA	(120-1)	(119)	(210+258)	(468)
Goodwill		<u>16</u>		120
			*20%	(24)
Goodwill				<u>96</u>

(5 marks: 2 marks for Salt and 3 marks for Tyslar)

Note on net assets

The FV of the liability is not included in the FV of NA and should be. So FV of NA is 120-1 as above.

Bubble Group: Statement of financial position as at 31 October 2015

		\$m
<i>Non-current assets</i>		
Goodwill	(16+96/9.5)	26.1

(1 mark)

(ii)

Foreign exchange loss on net assets and profit

		Dm	Rate	\$m
Opening	(210+258)	468	8	58.5
Profit	(292-258)	34	8.5	4.0
FX	Balance			(9.7)
Closing	(210+292)	502	9.5	<u>52.8</u>

(3 marks)

Foreign exchange loss on goodwill

		Dm	Rate	\$m
Opening	(above)	120	8	15.0
Impairment	(above)	(24)	8.5	(2.8)
FX	Balance			<u>(2.1)</u>
Closing	(above)	96	9.5	<u>10.1</u>

(2 marks)

Split between controlling interest and non-controlling interest

			\$m
Controlling interest		60%	(7.1)
Non-controlling interest		40%	(4.7)
FX loss	(9.7+2.1 above)		(11.8)

(1 mark)

(iii)

Relocation

Relocation should go straight to p/l and therefore come out of PPE.

Land

The exchange land appears to be investment property. It is apparently unoccupied and held for gain. So the fair value gain on the land should go to the p/l.

Foreign Property

Property is initially recognised at cost. The property is purchased by a dollar entity by paying using \$7m land. So the 58.5 million dinar is irrelevant.

(2 marks)

Movement

The movement is as follows:

Exit value of exchange land		5	
Unrecorded investment property gain		<u>2</u>	To p/l
Entry value of foreign PPE		7	
Depreciation	(7/35)(6/12)	<u>(0.1)</u>	To p/l
Closing before remeasurement		6.9	
Revaluation gain		<u>1.0</u>	To OCI
Closing after remeasurement	75/9.5	<u>7.9</u>	Increase of 7.9-5 to PPE

(3 marks)

(iv)

Pension

The following would be recorded. In particular the non-current liabilities would increase by \$2m for the increase in the net obligation.

STRATEGIC BUSINESS REPORTING

Opening	Given	(15)	
Finance	(8%)(15)	(1.2)	Into p/l
Contributions	Given	6	Remove from p/l
Service cost	Given	(5)	Into p/l
Curtailment gain	(4-3)	<u>1</u>	Into p/l
Expected closing		(14.2)	
Actuarial remeasurement	Balance	<u>(2.8)</u>	Into OCI
Actual closing	Given	<u>(17)</u>	Increase NCL by 17-15

(4 marks)

(b)

Foreign currency translation

There are two quite separate problems that IAS 21 is seeking to solve:

- Foreign transaction translation
- Foreign subsidiary translation

Performance reporting

One of the more difficult areas of this subject is performance reporting. There are two performance reports (the profit or loss (P/L) and the other comprehensive income (OCI)) and the gains and losses on one retranslation go to one and the gains and losses on the other go to the other:

- Foreign transaction retranslation movement to P/L
- Foreign subsidiary retranslation movement to OCI

Foreign transaction translation

Foreign transactions are translated from the foreign currency to the home functional currency using the spot rate at the date of the transaction. So for a stock purchase this would mean the inventory and the payable would hit the balance sheet at the delivery date rate.

Foreign monetary items

Then receivables and money and payables denominated in a foreign currency would then be retranslated at the year-end using the year end rate. So for a stock purchase this would mean the payable was retranslated creating a profit or a loss.

Profit or loss

This profit or loss would then be reported in the profit or loss report (as previously mentioned) as a foreign exchange gain or loss. The gain or loss would then be accumulated on the position statement in equity under retained earnings.

Functional currency

You can see that we are talking about home functional currencies and foreign currencies as if it is obvious which is which. This is often the case. However, in some entities the use two or more currencies in similar volumes. So IAS 21 gives guidance on functional currency decisions.

Guidance

The functional currency is the currency of the primary economic environment. This means the functional currency is the currency that dominates the functions especially sales and marketing. This decision is important as it gives the currency to be used on the accounting books and in the fs.

Foreign subsidiary translation

Once an entity has produced fs in its functional currency then that subsidiary may be required to translate those fs to a different presentational currency. This applies particularly to foreign subsidiaries and clearly applies to Tyslar. The rates used are as follows:

- Position statement uses year end rate
- Performance statement uses average rate

Other comprehensive income

The translation at one measurement point (say acquisition) and then again at another measurement point (say year-end) then creates a gain or a loss and this goes to OCI (as previously stated). This is then retained in a reserve on the position statement (usually Other Components of Equity or OCE).

Recycling

This accumulated balance is then recognised in the p/l on the sale of a foreign subsidiary. This would apply if Bubble sold the Tyslar equity. This rerecognition of the gain is called “recycling”.

(9 marks)

34. Estoil**Tutor's Tips**

The usual 1 mark per relevant point applies to this question. Part (a) in particular has so many different available points that an important skill is to select the eight points to make. The examiner has commented that the best answers select a mix of technical points (eg defining a CGU) and softer points (eg discussing recession). And do not forget to incorporate some ethical commentary in your analysis of part (b). These ethical marks may be the easiest in the question.

(a)

Impairment

An impairment occurs when the carrying value of an asset is above the recoverable value defined as the higher of VIU and FVLCTS (value in use and fair value less costs to sell) [IAS 36: 6].

Goodwill impairment testing

An impairment test is required annually on goodwill (IAS 36: 10). Annual goodwill testing is required because goodwill is carried without depreciation. Most groups test all their goodwill at the year end. Because goodwill testing is onerous some groups stagger their testing over the year doing a few each month end.

Other asset impairment testing

Other asset impairment tests are required when there is an indication of impairment (IAS 36:9). This can be anything that could indicate the asset is in trouble. But obvious indicators include the following:

- Damage
- Frequent maintenance
- Idle time
- Fall in market value
- Fall in related product demand

Cash generating unit

Ideally all assets should be tested individually (IAS 36: 66). So a rental car damaged by a customer should be assessed in isolation. But some assets have no individual VIU. A machine in the middle of a factory line has no individual VIU. Indeed the machine is useless without the machine before and after in the factory line (IAS 36: 67). These machines are tested collectively in a collective called the cash generating unit (CGU).

Judgement

The involvement of “judgement” in impairment testing is almost endless. Management must decide on whether assets can be tested individually or within a CGU. Then management must judge the operating cash flow forecast figures and discount rate to produce VIU. Then management must judge fair value and separately judge costs to sell to give FVLCTS.

Discretion

Then directors must use their “discretion” for disclosure. The directors must decide whether the impairments are considered exceptional and how the impairment policy should be disclosed.

ESMA

Indeed the European Securities and Markets Authority (ESMA) has conducted research in this area and found that the worst component of EU impairment testing is the disclosure. Many groups have disclosure that is so bad that it is impossible to tell whether the impairment testing is in accordance with the IAS.

Economic uncertainty

It is possible to interpret “economic uncertainty” as “recession”. Economics are always uncertain but the world is in a recession now and clearly that affects impairment testing. In a recession impairment testing needs to be particularly rigorous because many assets will be working at lower than optimal production volume because of the decrease in demand. This means most assets should be tested and means honesty about VIU is required.

Timely

The reference to the word “timely” in the introduction is a reference to the timing of impairment testing. Impairment tests are required at any time there is an indication of impairment. Management may be tempted to conduct impairment tests only at the year-end. But this could be insufficient if there are indications of impairment in the middle of the year.

Example

If a subsidiary (sub) is supplying a single customer and that single customer gets into trouble in the middle of the year then it is obvious that the receivable must be tested for impairment immediately. There is no excuse for waiting until the year-end. What is less obvious is that the whole CGU should be tested at the same time. It is likely that the goodwill and maybe the machines are impaired too.

Changes in circumstance (1) law

The phrase “change in circumstance” is such a broad phrase that it could be taken to mean almost anything. One change in circumstance that would certainly cause trouble would be legislation in a regulated industry. For example, a sub manufacturing medicine would certainly require CGU impairment testing if the government legislated against that medicine.

Change in circumstance (2) commodity prices

Another change in circumstance that would cause trouble would be a change in commodity prices. For example, a sub that drilled for oil would certainly need a CGU impairment test if the price in oil halved overnight. This would be especially true if the oilfield was only marginally economic in the first place.

Market capitalisation (1) meaning

This term means entity share price multiplied by the number of shares. It is the market value of the group based on the trading at any point in time. It does not represent what most shareholders think the group is worth. Obviously the shareholders who are not trading think the group is worth more and that is why they are holding their shares. Market capitalisation does give a flavour of value.

Market capitalisation (2) impairment testing

Market capitalisation is relevant to impairment testing in this way. If the carrying value of the whole group is greater than the market capitalisation of the whole group then it is possible the whole group is impaired and this would trigger wide ranging impairment testing across the whole group, CGU by CGU.

Conclusion

The above discussion shows that impairment testing requires judgement in application and discretion in disclosure. The above discussion also indicates why commentators like ESMA suspect that the actual impairment testing on the ground by EU groups is insufficient in today’s struggling world economy.

(8 marks for any 8 points)

(b)

Estoil**Goodwill**

Goodwill is the classic example of an asset that cannot be impairment tested in isolation. Goodwill is the classic example of an asset that must be tested as part of a CGU impairment test. The CGU tested would generally be the sub related to each goodwill (IAS 36: 66).

Recoverable value

Recoverable value is the higher of FVLCTS and VIU (IAS 36: 6). Discounting applies only to VIU. So the reference to discounting in the scenario is a reference to discounting the sub cash flow forecast figures down to VIU. But of course each sub is different and so a sub by sub discount rate should be used (IAS 36: 54).

WACC

Instead of doing a sub by sub VIU using a discount rate appropriate to each sub, Estoil have used group WACC uniformly throughout. This ignores that each sub will face differing risks dependent upon the economy in each country.

Currency

The currency of the impairment test is incorrect. The goodwill down in each sub is just another asset down in each sub and should be tested in the sub first. The testing of foreign goodwill is no different than the testing of foreign machines in that respect (IAS 36: 54).

Impracticable

Estoil argues that an impairment test down in each sub using a sub appropriate discount rate in a sub appropriate currency is "impracticable". Presumably Estoil means that this is a lot of hard work. Of course this is no excuse for doing a half-hearted impairment test. Many big groups with lots of foreign subs solve the problem by delegating the impairment testing down to the subs themselves and making them do the hard work.

Professionalism

The scenario gives the impression that the directors are taking a short cut to minimise the effort involved and are thereby failing to comply with the relevant IFRS. This appears to display a lack of professionalism. It appears the directors have no respect for the FS and by implication no respect for shareholders.

(5 marks for 5 points)

Fariole**VIU**

This scenario again relates to inappropriate calculation of VIU. This time the VIU calculations are hopelessly inadequate and far worse than those in Estoil above.

Budgets

VIU is based upon budgets. In order to calculate VIU an entity should produce cash flow forecasts (CFF) for each CGU and then discount down to present value using an appropriate risk adjusted discount rate that recognises the risks inherent in those cash flows.

Guidance

The IFRS (IAS 36) does not stipulate in detail exactly how to produce CFF. But the IFRS does require that the budgets should be reasonable and supported by a history of actual cash flows (IAS 36: 33). The Fariole CFF fulfils neither requirement.

Adding back depreciation

The scenario tells us that the budget CFF are just budget profit with depreciation added back. This is no way to do a CFF. A CFF should be projected cash inflows less projected cash outflows and there should be sufficient detail to see where the cash is coming from and where the cash is going.

Realised cash flows

The scenario also tells us that the actual recent cash flows were way below the budget. This is more evidence that the calculation of VIU is hopeless fantasy. The impairment tests need reperforming.

Professionalism

The failings above could also be described as unprofessional. However, the impairment testing is so poor it would be reasonable to accuse directors of negligence in the context of their duty to produce fs that show a true and fair view.

(5 marks for 5 points)

35. Lizzer**Tutor's Tips**

This is a generous question that gives students plenty of opportunity to score. There are a plethora of points that can be made to build up the 15 marks allocated to part (a). But there is a skill to scoring highly in these chatty non-technical questions and unless you practice you will find that you do not score highly.

(a)

(i)

Optimal

Striking a balance between too much disclosure and too little disclosure is a tricky business. It depends on the market expectations, the industry culture and the accounting standards amongst other things.

Too much

If there is too much disclosure then the users become overwhelmed and the preparer will struggle to get the central messages across.

Example

A good example can be drawn from segmental reporting. A broad business with say 30 segments would overburden a user with excessive "clutter" if all 30 were reported. This is why the standard on segments gives advice on aggregation into reportable segments.

Too little

If there is too little information then the user is left wanting more and the preparer will have to answer the users' questions at the annual general meeting or suffer the consequences of a fall in share price.

Example

A good example can be taken from Lizzer below. The insufficient information on asset risks described in (b)(i) would result in both the equity and debt investors asking questions and result in both share and bond prices falling.

Drivers

Over recent years annual reports have become bigger and bigger. It is possible to point to the drivers that have pushed disclosure up. The annual report has two sections; the commentary and the FS and each has its problems.

IFRS

There can be little doubt that the increasing complexity and disclosure demands of the IFRS have driven excessive disclosure in FS. It does not help that some standards themselves are far from eloquent.

Law

Legislators around the world have put demands on annual report disclosure in an effort to make annual reports more robust. But the result has been the cutting and pasting of meaningless legal jargon from one company report to another in an effort to cover companies from regulatory action.

Boiler plate

This protective but uncommunicative over disclosure is sometimes called “boiler plate” and is at its worst in USA commentary. Starbucks are far from the worst in the USA, but their annual report is cold and uninviting [Starbucks Corporation 10-k]. At least part of the problem is that USA entities feel they must use boiler plate to comply with USA regulation.

User Demand

There is often a demand from institutional investors for more disclosure. Even though this leads to excessive disclosure and the overburdening of the user; these very users often ask for more.

Preparer supply

Perhaps understandably, preparers want to err on the side of caution and therefore disclose more than is strictly necessary. We live in a highly litigious world and it is understandable that companies want to avoid being punished for under disclosure.

Other drivers

But of course, there are lots of other drivers pushing disclosure up. There are stock exchanges demanding more, there are governance codes, there are regulators (eg ESMA), there are pressure groups (eg labour rights charities) and so on.

(9 marks)

(ii)

Barriers

The problem is that once a culture builds up around a particular disclosure, it becomes very difficult to reverse this. This is why the IASB and others are trying to get a hold on the problem before it spirals out of control. The barriers to reduction in disclosure are the drivers to increasing disclosure, looked at in a slightly different way.

IFRS

Once an IFRS is issued it takes an age to change it, even if it is problematic. This is beautifully illustrated by IAS39. The development project to replace this standard still rumbled on many years after IAS39 was discredited (2008 to 2014).

Law

Law is perhaps worse. It can take many lifetimes to change the law even if it is so outdated as to become ridiculous. Only in 2013 France repealed a 200 year old law forbidding women to wear trousers.

User Demand

Once users get used to seeing a certain disclosure then it can become comforting, no matter that it is useless. Taking it away can really upset the very people benefiting from the reduction.

Preparer supply

Once the preparers have the staff in place to provide the disclosure then the preparer can be locked into a bureaucratic loop whereby the disclosure that the preparer discloses is what they disclose, no matter that it is unnecessary.

Solutions

The short term solution for preparers is to carefully arrange the annual report in a clear top down presentation so that the important messages get through in the fore and the boiler plate gets shunted to the back. The long term solution is for all the stakeholders to get together and decide what they really need.

(6 marks)

(b)

(i)

Securitisation

This is a highly specialised financial service. In a nutshell, Lizzer buys up a broad range of debt assets in one hand and sells a narrow range of debt assets with the other. So Lizzer gets a bucket load of cash from institutional lenders (like banks) and then passes it on to a wide range of borrowers (like start-up companies) and takes a cut in the middle.

Complex

As you can tell even from the above, the securitisation business is very complex and fraught with risk. In fact it was exactly this business under the label “subprime derivatives” that is often blamed for starting the 2008 financial crisis that led to the subsequent recession.

Users

Lizzer wants to hide from the debt lenders the risks relating to the debt borrowers. The excuse for this economy with the truth is that debt lenders are not primary users. Lizzer clearly views the shareholders as the only users of FS worth considering. But of course that view is way too limited. But debt lenders are primary users and this is confirmed by the framework for financial reporting [Framework OB2].

IFRS7

Besides this debate is all irrelevant. The scenario clearly tells us that the risk disclosure is required by IFRS7. So that is the end of that debate. The risks must be disclosed.

(4 marks)

(ii)

Going concern

A business is deemed a going concern if it is considered that the business will continue for the foreseeable future usually interpreted as 12 months.

Going concern disclosure

So a company is required to disclose any issues that might mean the business does not make it alive to the next year end.

Ample

The directors used the above phrase “ample” to describe the covenant clearance at the year end. But we know this use of the word “ample” to be a lie. The note should be rewritten to give a very clear idea of how the covenant works and exactly how close to breach the company was at the year end.

Events after the reporting period

Further the actual breach after the year end requires disclosure as a non-adjusting EARP. The going concern disclosure is completely inadequate.

(4 marks)

36. Cloud**Tutor's Tips**

SPLOCI and IR are both regular current issues questions. Many students scored well on this question when it was examined because they were ready for both. The components of IR {OGMORSAPO} was a memory test and many students were able to score adequately using the principles of IR. Part (b) opened with hedge accounting. This is a subject that the vast majority of students struggle with. Therefore the more astute students actually started with the PPE issue in their answer to (b).

(a)

(i)

SPLOCI

The statement of profit or loss and other comprehensive income (SPLOCI) represents the revenue less costs of the entity with certain specific items being relegated to the lower statement. The P/L and OCI can be separately reported or merged into a single SPLOCI.

OCI items

There are five:

- H Cash flow hedging
- E Foreign exchange on subs
- A Actuarial remeasurement
- P PPE revaluations
- S Strategic equity (FVOCI)

Recycling

The OCI uses the order above as the first two are labelled as 'may be reclassified to P/L' and the lower three are labelled 'not reclassified to P/L'.

Logic

The now closed research project looking at the relegation of the five OCI items to OCI could find no logic for the exclusion of these items and the discussion on this subject continues [IASB Agenda Consultation 2011 and respondents' responses].

(4 marks)

(ii)

Reclassification

Reclassification in this context refers to the moving of an item previously recorded in the OCI back into the SPLOCI in the P/L. This process of reclassification is widely known as "recycling".

Recycled items

As mentioned above, there are five items that go through the OCI but of those only two (hedging and foreign subsidiary foreign exchange) go back through the P/L later.

Recycling criticism

Recycling is widely criticised because recycling requires the re-recognition of a previously recognised gain or loss. The same item goes through the SPLOCI twice; first through the OCI then later through the P/L. The widest criticism is that recognising one gain twice is deeply problematic because one gain is one gain and so should be recognised once [IASB Closed Discussion Paper on Conceptual Framework 2013 paragraph 8.25c].

Other arguments against

Other arguments against recycling include the complexity (the route a recycled gain takes from the OCI into the OCE then out of the OCE and into the P/L and through the profit retained into the retained earnings is complex) and the opportunity for creative accounting (the complexity allows profit manipulation hard for an auditor to trace). [IASB Closed Discussion Paper on Conceptual Framework 2013 paragraphs 8 to 26]

Arguments for

The arguments for recycling seem to be largely cultural. For example, some accountants feel that it is good that all items appear in the P/L at some point [IASB Discussion Paper on Conceptual Framework 2013 paragraphs 24a].

Development

The IASB found during development that there appear to be as many opinions on the right and wrong in this area as there are opinions – literally hundreds of correspondents all thinking differently about the same thing.

Conceptual Framework

So the IASB have concluded the development project with a reference in the 2018 Conceptual Framework that items should be presented in the OCI when this enhances “relevance” and items should be recycled to the P/L when this enhances “relevance”. The quote from the Conceptual framework is as follows:

“Income and expenses may be presented in the income statement in different ways so as to provide information that is relevant for economic decision-making.”

Commentators

However, as noted in the question itself, some commentators have commented that it is not explained why PPE revaluations are “relevant” to the OCI and investment property gain are “relevant” to the P/L. other commentators have noted that it is not explained why it is “relevant” to recycle sub FX gains but not “relevant” to recycle PPE revaluation gains.

(5 marks)

(iii)

Annual Report (AR)

An annual report (AR) is made up of two components:

- MC management commentary
- FS financial statements

And in recent years these two have drifted apart often delivering an inconsistent incoherent message.

Integrated reporting

There has been a movement recently to get these two components to come together to deliver a single coherent message to the user. This philosophy is “integrated reporting”.

Integrated report (IR)

The truth is that an annual report cannot be wholly integrated. The FS must stand as a separate document within the annual report. FS are a legal requirement. To deliver a truly integrated report many companies have a separate document.

Classic model

The classic model adopted by many is to have a full annual report (AR) of roughly 400 pages with both MC and FS but to offer a separate integrated report (IR) of roughly 40 pages as a kind of focussed abbreviated summary. But there are twists on this. The ACCA for example only have an IR and a separate FS, both as PDF.

IIRC

The IIRC offer guidance on the components of an IR. The IIRC suggest these components:-

O overview	setting the scene
G governance	describing the directors and the systems
M model	outlining the broad competitive model
O opportunities	framing the opportunities to make money
R risks	framing the risks to the business
S strategy	how the business plans to take opportunities and manage risks
A allocation	how the resources are allocated to match the strategy
P performance	how the business has delivered on its strategies
O outlook	reviewing the future

Concern

The most obvious concern is that the above might become a lifeless shopping list and result in an IR as dry and unhelpful as the old AR that have been widely criticised.

Value creation

This is why the IIRC are so keen to make it clear that their ideas should be moulded to fit each business as the directors see fit. The IIRC would rather see interesting and divergent IR that each tell their own story of value creation than see identical boiler plate that says little.

(8 marks with the components list scoring a maximum of 3 marks)

(b)

Property

Here is the movement on the property first (as it is probably the easier of the two):-

	\$m
Cost	10
Depreciation (10/5yr)	<u>(2)</u>
Before revaluation	8
PPE revaluation gain	<u>4</u> to last year's OCI
Current opening	12
Depreciation (12/4yr)	<u>(3)</u>
Before reversal	9
Reversal of PPE revaluation gain	<u>(3)</u> to this year's OCI
HNBV (10-2-2)	6
Impairment	<u>(2)</u> to this year's P/L
Current closing	<u>4</u>

(4 marks)

Steel

Here is the movement on the steel:

	\$m
Cost	8
Transfer of gain from OCE (credit balance)	<u>(3)</u>
Closing	<u>5</u>

STRATEGIC BUSINESS REPORTING

The impairment test on the steel at the year-end reveals no impairment (\$6m>\$5m).

Here is the sale of the steel in the New Year:-

	\$m
Sales	6.2
Cost of sales (closing carrying value of steel above)	<u>(5)</u>
Profit	<u>1.2</u>

(4 marks)

Tutor note on hedging

There are only 4 marks and a requirement to "show" and so it is not required that we explain the above. However, here goes. The steel was purchased for \$8m at the time that an accumulated gain of \$3m had been recorded on the hedge derivative. Hedge derivatives of course bet on bad news. So this derivative must have bet on the price of steel going up. The derivative made a gain. So that means the price of steel must have gone up. In fact it must have gone up by \$3m (assuming a perfect hedge). So the price of steel must have been \$5m when the hedging began (assuming a perfect hedge). And notice how the hedging brings the steel carrying value down at the year-end to \$5m, as if it had cost \$5m. This is because the steel supplier has been paid \$8m but the derivative trader has paid us \$3m. So the steel did cost us \$5m net. In fact, it would not have mattered if we had paid \$9m because that would have a gain of \$4m and bring us back to \$5m. Same for \$10m or indeed any other price. That is of course the point of hedging. It removes the risk (assuming perfect hedging) and gives certainty in the cost of the steel.

Specimen exam 1**Specimen Exam Answers****1. Kutchen**

(a)

(i)

Goodwill

Kutchen Goodwill should be measured as follows:

FV of consideration	X
FV of NCI	X
FV of NA	<u>(X)</u>
	<u>XX</u>

So the NCI & contingent consideration must be included.

Contingent consideration

The contingent consideration is measured as follows:

$$\text{FV} = (5\text{m})(\$2)(20\%)$$

$$= \$2\text{m}$$

Adjustment

The above is incorporated into the goodwill measurement as follows:

DR	GW	\$2m
CR	OCE	\$2m

NCI

The missing NCI is measured as follows:

$$\text{NCI} = (\$4.20)(13\text{m})(30\%)$$

$$= \$16.38\text{m}$$

Adjustment

So the NCI goes into group FS via this journal:

DR	GW	\$16.38m
CR	NCI	\$16.38m

Land

The exchange of land for Mach shares should have been recorded:

Sale proceeds	5
Carrying value	(3)
Profit	2

Adjustment

Putting the above into the group FS requires the following:

DR	GW		\$5m
CR	Land	SFP	\$3m
CR	Profit on sale	(P/L)	\$2m

NCI

Then the Mach NCI is measured:

$$\begin{aligned}\text{NCI} &= (19)(\$3.6\text{m})(20\%) \\ &= \$13.68\text{m}\end{aligned}$$

Adjustment

The NCI is recognised as follows:

DR	GW	\$13.68
CR	NCI	\$13.68

Bargain

A genuine bargain occurs when you have genuine negative goodwill and goes to P/L as a gain. So the above adjustments must be first applied to clear out the incorrect negative goodwill before going to the SFP as positive goodwill:

	\$m
House	(8)
Mach	(3)
Adjustment	2
Adjustment	16.38
Adjustment	5
Adjustment	<u>13.68</u>
Goodwill	<u>26.06</u>

(ii)

Sub disposal

When calculating the profit on sub disposal Kutchen should simply compare the sale proceeds with the exit carrying values of the sub-components on the position statement at disposal (NA + GW - NCI).

Niche disposal

Here is the calculation of the profit on sub disposal:

Actual sale proceeds {80%}	50
Deemed sale proceeds {0%}	0
NCI [8.8+20%(60-44)]	12
NA	(60)
GW	<u>(2.8)</u>
Loss	<u>(0.8)</u>

Goodwill

The goodwill should have been measured as follows:

	%	Working	Sub
FV of con	80%		40
FV of NCI	(20%)	(20%)(44)	8.8
FV of NA			<u>(44)</u>
GW			4.8
Impairment			<u>(2.0)</u>
GW			<u>2.8</u>

(iii)

Provisions

There are three criteria Kutchen must fulfil before a provision is permissible:-

Reliable estimate = reasonable guess

Obligation = legal or constructive duty

Outflow = probable outgoing of benefit

\$6m

The \$6m potential liability is not fully explained. But it appears to be a potential liability for redundancy to employees. So Kutchen must assess if the employees know about the restructuring and redundancies at the year end.

Conclusion

Of course the employees know about the restructuring. Some of the closure plans have already been enacted at the year end. So Kutchen must provide. It is irrelevant that there has been no "formal announcement".

Pension location 1

The restructuring in location 1 resulted in a reduction in the pension liability. Therefore this difference would go to P/L.

Movement location 1

The movement is as follows:-

Value before restructuring	{Given}	(10)
Gain	(Balance to P/L)	<u>2</u>
Value after the restructuring	{Given}	<u>(8)</u>

Pension location 2

A similar effect is felt in pension 2 but this time the liability goes up. The proper name for closing a pension is "curtailment". The curtailment means that not only does the pension liability move in value it also moves from NCL to CL.

Movement in location 2

The movement is as follows:-

Value before restructuring	{Given} (in NCL)	(2.4)
Loss	(Balance to P/L)	(1.6)
Value after the restructuring	{Given} (in CL)	<u>(4)</u>

(b)

Control

Control is the power to direct activities. It is usually exercised via the power to pass a majority resolution. The potential purchase of the remaining 20% ownership of Mach will push the Kutchen ownership up from 80% to 100%. Kutchen can pass a majority resolution both with 80% and 100% and so the transaction does not change the control and is not a sub-acquisition.

NCI purchase

The purchase of NCI by Kutchen is a transfer of ownership from the NCI to the CI. The IFRS on groups [IFRS3 & IFRS 10] requires that the difference be taken to equity (other components of equity or 'OCE').

Journals

First there is the transfer journal:

Dr	NCI	a
Cr	OCE	a

Then there is the consideration

Dr	OCE	b
Cr	Bank	b

Usually b is bigger than a leading to a decrease in OCE.

Contingent consideration

But this scenario has contingent consideration and the question seems to want me to focus on what to do with that. I am asked to consider whether the contingent consideration payments are equity or financial liabilities or contingent liabilities.

Equity

Unhelpfully the IFRS on equity (IAS32) defines equity as the "residual" after deducting liabilities from assets. This cannot be used as a test for equity. So the IFRS then goes on to say equity is essentially a "not liability" where a liability has obligations and so equity does not.

Application

Quite clearly Kutchen has an obligation to the NCI to pay the contingent consideration if the profit targets are met. This contingent consideration is not equity.

Liability

Clearly the contingent consideration is a liability. But is it a financial liability or a contingent liability? Annoyingly it seems to be both. There is a counter party (the NCI) and so the liability is financial. There are conditions (the profit criteria) and so payment is contingent. This matters because financial liabilities are simply measured at fair value and contingent liabilities are either measured in full or not at all depending upon probability.

Acquisition

The solution maybe to look at the measurement of consideration in an acquisition. In an acquisition all the consideration is measured at fair value. This transaction does not deliver control and is therefore not an acquisition. But it is related to group accounting. So I suggest the consideration for the purchase of NCI is measured at FV.

Conclusion

First there is the transfer journal:

Dr	NCI	a
Cr	OCE	a

Then there is the consideration

Dr	OCE	b+c
Cr	bank	b
Cr	liability to former NCI	c

2. Abby*Accounting***Related parts disclosure**

An entity must disclose transactions between parties related by control or influence. The disclosure must disclose the transaction and the parties and their relationship.

Arwright

The FD has influence over Abby and Arwright via his position as director of both. So the Arwright trading must be disclosed in the Abby FS notes.

Segments

The IFRS on segments requires the disclosure of the following as a minimum:

	Total	Segments		
		A	B	C
Revenue	X	X	X	X
Profit	X	X	X	X
Assets	X	X	X	X
Liabilities	X	X	X	X

Competition

So Abby must disclose the segment sales and profit to shareholders. It is irrelevant that competition gets to see this too.

ECL

An expected credit loss is required when there are expectations of potential non-recoverability of a receivable. So when a customer is in trouble a bad debt allowance is required.

Allowance

There is substantial evidence that Arwright is in trouble. It is likely that Abby will receive nothing from Arwright. So Abby should allow for the potential bad debt in full.

Goodwill

Goodwill is calculated as follows:

FV of Consideration	X
FV of NCI	X
FV of NA	(X)
Goodwill	<u>XX</u>

So an undervaluation of NA then overvalues goodwill.

FVA

So the fair value adjustment of \$50m must be recorded. The FVA is probably on property and so depreciation must be adjusted too.

Impairment

An impairment occurs when the recoverable value of a CGU falls below the carrying value of the CGU, where recoverable value is the higher of VIU and FVLCTS.

VIU

The VIU is based upon DCF on cash flow forecasts. For the VIU to be meaningful the CFF must reflect genuine expectations and the discount rate must reflect genuine risk.

(Maximum of 10 marks for accounting points)

Ethics**Integrity**

The points the FD makes about VIU show that the FD understands IFRS. I suggest that all the errors above were deliberate and show the FD has questionable integrity.

Objectivity: Arwright Trading

The reason the FD does not want to disclose the RPTs is probably because the Arwright trading disadvantages Abby (Awright sells high and buys low).

Objectivity: Arwright Survival

The reason the FD does not want to recognise the bad debt is probably because he wants Arwright to survive (he and his wife hold the Arwright shares).

Objectivity: SBP

We do not know why the FD wants to suppress the FVA depreciation and impairment recognition. But maybe he wants to keep the profit high as maybe he has Abby SBP.

Threats and bribes

The FD is trying to manipulate the accountant with a mixture of threats (job security) and bribes (pay rise). This is unprofessional behaviour by the FD. The accountant should reject both.

FS

The accountant is in a very difficult position. The accountant is working for an FD that is seeking to manipulate the FS. But it is important that the accountant understands that the FS are the primary responsibility of the directors.

Board

So the accountant should consider whistleblowing to the other members of the Abby board to explain the FD's accounting. Maybe the accountant should approach the Audit Committee.

Job

And also the accountant should consider looking for a new job. It sounds like Abby accounts department is a poisonous work environment.

(Maximum of 8 marks for ethics points)

3. Africant

(a)

(i)

Fair value

Fair value is the transaction price between market participants on the measurement date. FV is a market value and represents what you could sell the asset for.

Fair value measurement

The process of FVM uses a hierarchy:

Level

1. exact equivalent active market price
2. approximately equivalent transaction price
3. unobservable inputs into financial models

Vehicles

The farm vehicles would be measured using level 1. All the vehicles are identical (exact equivalent) and there are 1000s of transactions per year (active).

Principle market

When there are 2 or 3 active markets then the standard requires that we pick the most active market. This is the market with the most transactions.

Asia

So Africant must use the year end transaction price from the Asia market as this has by far the biggest sale volume. More vehicles sell in Asia than in the other two markets.

Transport costs

It is true that the further a farm vehicle is from the physical market then the less it is worth. So transport costs are included in FV.

Transaction costs

But FV excludes transaction costs (like brokerage fees) because that is the market culture for the quotation of fair value and the FVM standard (IFRS 13) adopts this culture.

Vehicles

So the vehicles are measured as follows:

$$\begin{aligned} \text{FV} &= (150 \text{ Units}) (\$38000 - \$700) \\ &= \$5595k \end{aligned}$$

(ii)

Fair value

FV is a transaction price from the market. This is the idea of "Market Perspective" of FV described in the question.

Exit value

The idea is further reinforced by the phrase "Exit Price" used in the standard to express the concept of "Market Perspective". The FV (aka Exit Price) is the price the owner would get for an asset at sale in the market.

Land

So the Africant land should be valued at the expected sale price Africant would get for current farmland with the potential to be residential land.

Level 1

Level 1 is unavailable because all land is different. Even two adjacent fields are not identical.

Level 2

So Africant drops to level 2 and will probably be able to find an approximately equivalent sale price for pure farmland and another for pure residential land.

FVM

Then the FV per square metre of the Africant land would be estimated as somewhere between the above two. The Africant land is not residential land yet but there is a possibility of planning permission being given. The Africant land is not simply farmland as it has the potential for residential building.

OCI

Assuming that the farmland is classed as PPE then the FV gains in the farmland will go to OCI.

(b)

Mixed measurement

Companies follow IFRS when preparing FS. And different IFRS have different measurement approaches. For example, speculative equity investments are carried at fair value [IFRS 9] and generally PPE is carried at cost less depreciation [IAS 16].

Conceptual framework

This mixed measurement approach draws its authority from the framework. In the framework the IASB acknowledge that different measurement approaches are suitable for different elements.

Inconsistency

However, any mixed measurement approach results in inconsistency in valuation across the position statements. Some components might be at cost, some at NRV and others at FV.

Uncertainty

Uncertainty effects in particular fair value. Fair value is market value and when there is no market fair value must be estimated. This introduces uncertainty and subjectivity and even the potential for bias.

Relevance

The IASB are prepared to accept the uncertainty introduced by fair value because of the relevance of the information. For speculative equity, the year-end fair value is relevant and the historical cost is not.

Fair value measurement

To reduce the potential for manipulation in fair value measurement the IASB have introduced a hierarchy that requires entities to use the most reliable information available when performing FVM.

Volatility

Volatility has the effect of reducing the relevance of information. Even fair value at the year-end can become irrelevant by the time the shareholders are presented with the FS because volatile markets move so violently.

Africant

Africant can address this problem by delivering a speedy corporate reporting system to their investors. They can issue FS shortly after the year end and have their AGM shortly after that.

Disclosure

Africant can also address the needs of their shareholders by comprehensive disclosure. They can explain the basis for the valuation of all estimates and in particular the level used for each FVM.

4. Rationale

(a)

(i)

APM

Alternative Performance Measures (APM) or Additional Performance Measures (APM) are performance measures that are not recognised in IFRS. There are two particular classics that are closely related but appear to have arisen from different drivers.

EBITDA

Earnings Before Interest and Tax and Depreciation and Amortisation is a standard financial analysis tool used by many shareholders in their earnings yield models. So this APM has its roots in user demand.

Underlying Profit

Underlying profit is often interpreted as the profit that would have occurred had it not been for certain non-recurring items that are deemed to have distorted the profit. The directors are often keen to promote this APM and so this APM has its roots in preparer supply.

Revenue Profit

There are also lots of industry specific APM. For example, the “Revenue Profit” used in the investment property sector describes the profit from rental and therefore excludes investment property gains.

Organic Profit

There are also APM that derive from strategic issues. For example, the “Organic Profit” published by acquisitive groups is the profit from the core before including the profit from the new subs.

Framework

The Framework for Financial Reporting requires that preparers present information that aids users understanding of performance and position and cash flows. So APM have the potential to tune to this conceptual aim.

Big Problem

But the big problem is that because APM are ungoverned by IFRS directors are free to manipulate these figures to mask the truth and present a glossy fantasy to serve the director agenda.

International Regulatory Perspective

The regulatory response to APM has been diverse. The UK regulator has heralded the use of APM in FS. Whereas the Australian regulator has forbidden the use of APM in FS.

(ii)

Calculation

The calculation of the proposed underlying profit is as follows:-

<i>Year ended</i>	31 December 20X6 \$m	31 December 20X5 \$m
Net profit/(loss) before taxation	(5)	38
Net interest expense	10	4
Depreciation	9	8
Amortisation of intangible assets	<u>3</u>	<u>2</u>
EBITDA	17	52
Impairment of property	10	
Insurance recovery	(7)	
Debt issue costs	2	
EBITDA after non-recurring items	<u>22</u>	<u>52</u>
Share-based payment	3	1
Restructuring charges	4	
Impairment of acquired intangible assets	6	8
Underlying profit	<u>35</u>	<u>61</u>

(4 marks)

Rationale underlying profit

It seems that Rationale is interpreting “underlying profit” as the profit that would have occurred but for certain no recurring items that will not happen again. But Rationale are not being true to their own rationale.

Impairment of intangibles

Impairment of intangibles is clearly recurring. There were impairments in intangibles in both the current and comparative year. There is little justification for adding this back.

Share based payment

This too is clearly recurring. Besides SBP costs are part of the costs of having directors with SBP. There is little justification for this add back.

Debt issue costs

The above appear to be as a result of a debt issue failure. It appears the directors started something that they could not finish and this strategic failure cost Rationale \$2m. The add back appears to be motivated by a desire to avoid taking responsibility for this mistake.

Conclusion

The underlying profit quoted by Rational does not appear to fit the logic of profit before non-recurring items. The underlying profit quoted by Rationale appears to serve only the directors agenda.

(b)

Reclassification adjustments

“Reclassification adjustments” is the name for adjustments in financial reporting that require the re-recognition of previously recognised gains. This strange process where gains are recognised first in the OCI and then later in the P/L is widely known as “recycling”.

Other comprehensive Income

Standards require that five items are excluded from the P/L and are instead dumped in the OCI:-

H: hedging

E: foreign exchange movements on foreign subs

A: actuarial remeasurements

P: PPE revaluations

S: strategic equity (FVOCI FA gains)

International Accounting Standard Board

During the development of the 2018 Conceptual Framework the IASB consulted widely on viewpoints regarding the logic behind the OCI and the reasoning behind the list above. They discovered there is no coherence in current viewpoints on why some things must go in the OCI and others go to P/L.

Recycling

The recognition of previously recognised gains applies only to the first two items (Hedging and FX on foreign subs). It is so bizarre that it is best illustrated by example.

Example

Say a group buy a foreign sub at the year start and make FX gains of \$330m over the period and then sell the foreign sub at the year end just before midnight. Then the group would recognise the \$330m over the period in the OCI and then re-recognise the same \$330m in the P/L at sale. So the one SPLOCI will record a combined gain of \$660m for a single gain of \$330m.

For

Some commentators have fed back to the IASB that they are FOR recycling. These commentators say that few users look at the OCI and so recycling brings gains and losses into view.

Against

But a significant number of commentators feeding back to the IASB say that recycling is deeply questionable. They argue that recognising one gain twice is just as unjustifiable as recognising one sale twice.

2018 Conceptual Framework

The IASB have stated their opinion that it is not feasible to define OCI recognition logic or the logic of recycling. In the 2018 Conceptual Framework the IASB have said items should be recycled on the basis of “relevance” but have not explained why Sub FX recycling is “relevant” but PPE revaluation recycling is not “relevant”. The debate is now closed. The IASB have concluded that no useful purpose can be attained by further debate about performance and the OCI and recycling.

Specimen exam 2**1. Hill**

(a)

(i)

Goodwill

Hill has incorrectly calculated goodwill. Goodwill is measured by bringing fair values of consideration and net assets together with proportionate NCI as follows:-

FV of consideration	X
NCI	X
FV of NA	(X)
Goodwill	<u>X</u>

So the deferred consideration and land FVA must be accommodated to achieve FV.

Deferred consideration

The above is valued using discounting

$$\text{Deferred consideration} = \frac{\$32\text{m}}{1.05^2} = \$29\text{m}$$

Adjustment

The omission of the above is addressed by this journal:-

Dr	Goodwill	29
Cr	Liabilities	29

Unwinding

The above liability unwinds as follows:-

Year	Opening	Interest	Instalment	Closing
1 <i>This year</i>	29.00	1.45	(0)	30.45
2 <i>Next year</i>	30.45	1.55	(0)	32.00

Adjustment

The current year unwinding is recorded as follows:-

Dr	Financing cost	(P/L)	1.45
Cr	Liability	(SFP)	1.45

Land

The goodwill has not appeared on any published FS. So it is no problem to go back to the year start and adjust the goodwill for the land remeasurement. There is no need for any prior period adjustment.

Adjustment

So the following is recorded:-

Dr	Goodwill	10
Cr	Land	10

NCI

But the proportionate NCI is also effected by the decrease in net assets:-

Effect = (\$10m)(20%)

= \$2m

Adjustment

So the NCI also goes down:-

Dr	NCI	2
Cr	Goodwill	2

Chandler

So the Chandler goodwill is:-

	%	Working	Sub
FV of Consideration	80%	150+29	179
FV of NCI	20%	(20%)(160)	32
FV of NA		(170 – 10)	<u>(160)</u>
Goodwill			<u>51</u>

Impairment

The low year end recoverable value gives evidence that an impairment test is required at the year end. In an impairment test we measure Value In Use (VIU) and Fair Value Less Costs To Sell (FVLCTS) and compare the higher to the carrying value of the sub. The carrying value of the sub is Goodwill plus Net Assets.

Proportionate NCI

The proportionate NCI means we have partial goodwill which as the name suggests undervalues goodwill. Partial goodwill is controlling interest goodwill only. The \$51m above represents only 80% of the full goodwill. This makes impairment testing difficult as the goodwill is partial but the net assets are full.

Impairment test

So the impairment test can be done “net” as follows:-

	GW	NA	
Carrying value	[51 + (80%)(212)]		220.6
Impairment (Balance)			<u>(20.6)</u>
Recoverable value	(80%)(250)		<u>200</u>

The \$20.6m impairment goes against the \$51m goodwill.

Net assets

The NA at the year end are not given and so must be calculated as a balance from the movement as follows:-

NA at year end = 160 at year start + 52 growth.

The growth of \$52m above is derived from the P/L extract.

(ii)

Disposal

The profit on disposal of the sub is calculated as follows:-

Actual sale proceeds (20%)	140
Deemed sale proceeds (40%) {FV of remainder}	300
NCI [215 + (40%)(590 – 510)]	247
NA	(590)
GW	(50)
Profit	<u>47</u>

(Maximum 4 marks for calculation)

Control

The sale of 20% of the shares results in a total loss of control. This is why the above schedule reflects the profit on sale of the whole 60% subsidiary.

Subsidiary

So the entity Doyle will be consolidated in the group FS up to the point of disposal. This will show up in the year end group FS in the P/L where the Doyle sales and costs for the first six months will be added to the group sales and costs.

Influence

And then the parent is deemed to have bought back 40% ownership in Doyle. The 2 directors show parental influence over Doyle for the second 6 months. So Doyle is an associate for the second six months.

Associate

So the associate is carried as followed at the year end:-

$$\text{Associate} = \text{Cost} + \text{Share of growth} = 300 + (40\%) \left(\frac{6}{12} \right) (123) = 324.6$$

The growth of \$123m above is derived from the P/L extract.

(maximum 4 marks for discussion)

(iii)

Issued

The word “issued” tells us this is a financial liability. FL are carried at amortised cost meaning discounting & unwinding.

Discounting

Here is the DCF:-

Year	CF	DF @ 10%	PV
1	0.8	0.909	0.727
2	20.8	0.826	<u>17.181</u>
FV of debt			<u>17.908</u>

Convertible

But this is a convertible bond and so is part debt & part equity

Debt (above)	17.9
Equity (balance)	<u>2.1</u>
Cash (given)	<u>20.0</u>

Adjustment

So an adjustment is required to move some of the debt into equity:-

Dr	NCL	2.1
Cr	OCE	2.1

Unwinding

Here is the unwinding:-

<i>Year</i>	<i>Opening</i>	<i>(10%) Interest</i>	<i>Instalment</i>	<i>Closing</i>
1	17.9	1.79	(0.8)	18.9
2	18.9	1.89	(0.8)	20.0

Adjustment

The group have already recorded the CF interest instalment paid of \$0.8m as the interest. But the group has not recorded the full interest cost of \$1.79m. So the interest must be pushed up for the error of recording interest on a CF basis:-

Dr	Interest expense (1.79 – 0.8)	0.99
Cr	Liability	0.99

(b)

Going concern

The IFRS require that FS disclose any material uncertainty regarding going concern. This disclosure is required even if on balance the entity appears to be a GC.

Application

Hill does appear to have the support of its bank. But the survival of Hill depends upon the new products. This should be disclosed.

EARP

A non-adjusting event after the reporting period is an event which has no effect upon conditions existing at the year end. A non-adjusting event is disclosed.

Application

The agreement of the lender after the year end to reinstate the Hill rights regarding repayment does not effect the fact that Hill was in default at the year end. Hill was in default at the year end. So the reinstatement of Hill rights goes into Hill FS disclosure notes and is ignored for the purposes of SFP classification.

Classification

A liability is classified as NCL if there is a right to defer payment beyond 12 months from the year end. When an entity has the right to refuse immediate payment to a lender (and the right to refuse payment within 12 months) then the liability is classed NCL.

Application

So the bank loan should be classified as CL on the year end SFP because at the year end it was in default. Hill had no right to refuse a demand for immediate payment at the year end.

DTA

Deferred tax assets arise upon the recognition of losses carried forward by the tax accountant. But these DTA are derecognised if irrecoverable.

Business plan

The business plan does show that Hill “which forecasts significant improvement in its financial situation”. The problem is that the plan is based upon “the launch of new products which are currently being developed”. So the plan hopeful rather than likely and the improvement is speculative rather than certain. It is uncertain that Hill will return to profits.

Effect

So there is uncertainty about the likelihood of the tax losses being used against future profits. So there is uncertainty about the recoverability of the related deferred tax asset. So I suggest the DTA is written off.

2. Gustoso*Accounting***Provisions**

There are three criteria:

Reliable estimate = Reasonable guess

Obligation = Legal or constructive duty

Outflow = Probable outgoing

Obligation

There is no current obligation because the legislation is not effective until next year. So no provision is permissible. So the provision must be removed.

Adjustment

Therefore the provision recognition is reversed:-

DR Provisions	SFP	\$2m
CR Cost	P/L	\$2m

Derivative

A derivative is an asset/liability that derives its value from an underlying. But sometimes derivatives look like purchase contracts. So a derivative is identifiable in the standard [IFRS 9] by settlement in cash and hedging derivatives are measured FVOCI.

Purchase

A purchase deal can look very similar to a derivative but a purchase deal is identifiable by settlement in product. A purchase arrangement is ignored until the product is delivered.

Wheat

Gustoso has always taken delivery of the wheat in the past in similar contracts. It seems reasonable to assume that this wheat contract is a simple purchase arrangement. So Gustoso should record nothing until the wheat is delivered.

Adjustment

So the derivative recording must be removed:-

DR Liability	SFP	\$0.5m
CR Derivative loss	(P/L)	\$0.5m

(Maximum 7 marks for accounting points)

*Ethics***Integrity**

The provision accounting above is fairly basic. But the purchase accounting is advanced. However, it seems both errors were deliberate and that the FD has questionable integrity.

Objectivity

It seems possible the errors were motivated by the desire to reduce current year profits to the bonus threshold and then release the provisions next year to aid the aim to hit the threshold next year as well.

Professionalism

The FD threat regarding asking questions is unprofessional. It is part of the duty of a professional to provide training to subordinates.

Competence

The FD threat also reduces the accountant opportunities for learning and development. This undermines her competence.

Email

I suggest that the accountant should send a simple clear email to the FD explaining the accounting and suggesting the above journals. This may not effect a climb down by the FD but it is worth a try.

Job

The FD's attitude is threatening and so Gustoso may not be a comfortable work environment. So maybe the accountant should look for a new job.

Other ethical points

Many other ideas could be explored under the ethics content including:-

1. Board
2. ACCA
3. Talk FD
4. FS
5. Shareholders

(Maximum 6 marks for ethics points)

3. Calendar

(a)

(i)

Intangibles

Intangibles are recognised when purchased either individually or as part of a sub-acquisition. This ensures that only measurable intangibles are recognised.

Project

The project was acquired as part of a business combination. So Calendar correctly recognised the project as an intangible at purchase.

Revenue

Revenue is recognised at the point that control transfers or over the period the performance obligation is fulfilled depending on the nature of the transaction.

Project sale

Calendar had no relationship with the project purchaser before the project sale. So the sale was correctly recognised at the point that the contract was signed.

Presentation

Revenue at the top of the P/L is for sales to “customers” in the “ordinary course of business”. Revenue refers to the core products sold to customers on a regular basis.

Profit

Calendar does not buy and sell development projects in the “ordinary course of business”. So Calendar must record “profit on project sale” lower down in P/L.

(ii)

Lease

A lease is a contract that gives the asset user the right to control the asset for a period in exchange for consideration. A lease transfers the control for a period even when the legal title remains with the owner.

Where & When

The contract gives Calendar the right to decide “where & when” the aircraft flies. Control has transferred. So this is a lease.

Restrictions

There are restrictions. Calendar cannot fly into no-fly zones. But otherwise Calendar has control and these restrictions do not undermine the basic picture of transfer of control.

Substitution

There is a similar conclusion regarding the substitutions. A substitution would be expensive for the lessor. So the lessor is unlikely to substitute unless the Calendar plane malfunctions. So the potential substitution can be ignored.

3 years

But if the Calendar plane does malfunction during the 3 years then Calendar will receive a substitute plane to cover Calendar for the remaining term of the 3 years. This reinforces that the contract is the right to use an aircraft for 3 years.

Lessee accounting

Calendar is the user meaning Calendar is the lessee. So Calendar must perform lessee accounting. Therefore Calendar must discount the future cash outflows down to PV and recognise a liability and corresponding asset in that amount.

PPE

PPE is initially recognised at cost. Cost is past expenditure bringing the asset to its present location and condition.

Negotiating

So the costs of negotiating the airline contract would be capitalised on top of the PV. The negotiating costs are part of the PPE.

Depreciation

Then the PPE asset described above must be depreciated over 3 years with a cost going to operating costs in P/L.

Unwinding

And quite separately the liability must be unwound by applying the discount rate to generate a financing cost in P/L.

Materiality

There are two materiality exemptions from lessee accounting:

- Short lease (≤ 12 months)
- Low value (\$ tablet)

Aircraft

The contract is for longer than a year and an aircraft is worth more than a tablet. So the exemption is unavailable. Full lessee accounting as above is required.

(b)

Materiality

Materiality is defined in the IFRS Practice Statement. The definition is as follows: An item is material if its misstatement could influence the decisions of primary users. So we must consider shareholders and creditors and their needs.

PPE (Identify)

PPE must be recognised at cost and depreciated over its Life. So immediate write off is an error.

Error (Assess)

But an error is only material if it effects users. It is very difficult to picture a user that is interested in \$500 PPE.

Conclusion (Organise)

So the control procedure of writing off PPE below \$500 appears appropriate. It reduces costs without reducing the quality of information.

Aggregation (Review)

But of course Calendar must assess the proposal in the context of aggregation. In other words, Calendar must add up all the PPE below \$500 to see if the sum is still immaterial.

Disclosure

The disclosure rules in IFRS are extensive. It would be very easy to forget an important disclosure. But there is a risk of overdisclosure.

Checklist

So the idea of using a checklist is good. This reduces the risk of omitting an important note.

Clutter

But there is a risk that a checklist approach could result in clutter. Potentially Calendar could over disclose when using checklists.

Judgement

So Calendar must use judgement when working through the checklist to ensure only material disclosure notes are disclosed.

Four Steps

There is a four step model in the IFRS Practice Statement to solving materiality problems:

- Identify = spot potential material issues.
- Assess = decide upon materiality using quantitative and qualitative characteristics.
- Organise = design appropriate recognition and disclosure to fit materiality.
- Review = once FS are ready to go, check them again.

The four step model can be used to solve the PPE issue although it is not necessary (see headings above). The four step model does not fit with the checklist issue as the checklist is not a disclosure.

4. Kiki

(a)

(i)

Revenue

Revenue is recognised either when control transfers or over the period that the performance obligation is fulfilled. The revenue model is selected based upon the source.

Toys

Kiki sells toys. This means Kiki revenue is recognised at the point that control of the toy flows from Kiki to the child. Revenue is recognised when the toy is delivered.

Gift cards

So there is no revenue when the gift cards are delivered. Instead this is recorded:-

Dr Bank	(SFP)	50
Cr Deferred income	(SFP)	50

Redemption

Then revenue is recognised when the child redeems. Say a \$29 toy is swapped for part of the gift card value:-

Dr Deferred income	(SFP)	29
Cr Revenue	(P/L)	29

Expire

Then say the gift value expires with the remaining \$21 unused then this is recorded:-

Dr Deferred income	(SFP)	21
Cr Revenue	(P/L)	21

Breakage

However if the retailer can prove the 70% then the retailer can recognise \$100/70 every time a gift card holder uses \$1.

(ii)

Revenue

Revenue recognised over the period must come from one of three sources:-

- Revenue with no alternative use (bespoke)
- or
- Revenue on customer controlled asset
- or
- Revenue with simultaneity of supply & consumption.

Simultaneous

It appears that Kiki supply the Scarimon characters to Colour simultaneous with Colour using the Scarimon characters. Kiki allow Colour cartoonists to use Scarimon characters simultaneous with the cartoonists using the characters to generate the magazine. So it appears the Kiki revenue recognition over the period is acceptable. {However, the nature of the transaction is sufficiently subtle that an argument can be made for revenue recognition by Kiki at the point that Colour deliver the magazines to Colour customers.}

Expected credit losses

ECL must be recognised when there are expectations of receivable irrecoverability. Bad debt allowances are required when customers are in trouble.

Up to July

So the receivables recognised from January to July must be written off as bad debts:-

Dr Bad debts (costs)	P/L	X
Cr ECL (receivable)	SFP	X

Contract criteria

These criteria say “do not even think about revenue if any of the following are missing”. The criteria are:-

- *Probable collectability* (confirm the receivable appears collectible at delivery)
- *Identify the rights & obligations* (of both customer and supplier)
- *Substance* (confirm the sale is real and not a hidden loan)
- *Approval* (confirm both parties are committed to the deal)

Probable collectability

This criteria states that delivery of product to a customer without probable collectability at delivery is not a sale. This applies to the Scarimon sales from July:-

Dr Revenue	(P/L)	X
Cr Receivable	(SFP)	X

(b)

Investment property criteria

For a property to be classified as an investment property it must fulfill criteria:-

Investment = Property held for rent/gain

Complete = Property finished

Entity unoccupied = Not used by group

Investment property accounting

Investment properties are carried FVPL (Fair value through profit or loss). This policy is widely applied because it reflects the idea that an “investment property” is essentially just an investment.

Theoretical alternative

But IAS 40 does have a cost alternative in which the investment property is carried at cost less depreciation. This means in theory that IP can be treated as PPE.

Culture

In order to select a policy Kiki must consider the culture and the culture around the world is to adopt FVPL. if we chose the cost policy against the culture of FVPL then investors will want to know why.

Usefulness

Investment properties are investments that happen to be properties. So the most useful single piece of information that will interest investors is FV.

Conclusion

So I suggest that Kiki adopt a fair value policy for investment properties on the grounds of usefulness and culture and even before the ratio analysis below.

Position

If Kiki adopt an FV policy and property prices are going up then this will make the SFP look stronger. This may aid security discussions with the bank.

Gearing

If Kiki adopt FV then gearing $[\text{debt}/(\text{debt} + \text{equity})]$ will go down. This is because debt will be unaffected and equity will go up as the gains go into retained earnings. This may make Kiki look more financially viable.

Performance

If Kiki adopt FVPL then the investment property gains will go to P/L. This will generally make Kiki look more profitable although the profit will be more volatile.

ROCE

If Kiki go for FVPL then the ROCE $[\text{PBIT}/(\text{debt} + \text{equity})]$ effect will be difficult to predict because both PBIT & equity will be bigger. {Bigger PBIT (gains in P/L) & bigger equity (gains in RE)}. But ROCE will probably be higher under FVPL than cost due to relative effects.

CFS

Of course the choice between FV and cost would have no effect upon the cash from rent and so no effect on CFS.

Comment

So the FV policy shows a stronger position and a better performance than the cost policy. But it is best suggested that Kiki choose FV because it is more useful to investors.

Solutions to past exams

September 2018 Exam

1. Banana

(a)

To: Directors

From: Me

Date: Today

Subject: Explanatory Note

(i)

Contingencies

Contingencies are generally accounted for like this:

	Liabilities	Assets
Probable (>50%)	Provide	Disclose
Possible	Disclose	Ignore
Remote	Ignore	Ignore

This is why the FD has ignored the 25% potential outflow.

Goodwill

Actually in an acquisition everything is measured at fair value:

FV of consideration	X
FV of NCI	X
FV of NA	(X)
GW	<u>XX</u>

So the contingent consideration must be included at FV.

Contingent Consideration

So the contingent consideration should be recorded as follows:

DR	Goodwill	(25%)(\\$16M)	4
CR	Liability		4

Land

Of course, the net assets of the sub must also enter the group at fair value. So the fair value adjustment on the land must be accommodated.

FVA

The following accommodates the missing FVA:

DR	Land	5
CR	Goodwill	5

NCI

The standard allows full or partial goodwill on a transaction by transaction basis. But as the policy is full goodwill Banana should use FV NCI:

STRATEGIC BUSINESS REPORTING

$$FV = (\$4.25)(20\%)(20M)$$

$$= \$17M$$

Adjustment

So the adjustment to NCI is as follows:

DR	Goodwill	3
CR	NCI (17-14)	3

Goodwill

So GW should have been measured as follows:

	%	Working	Sub
FV of CON	80%	68 + (25%)(16)	72
FV of NCI	20%		17
FV of NA		70 + 5FVA	(75)
GW			<u>14</u>

(ii)

Influence

Influence is the power to participate in management policy. It gives rise to an associate which is carried using equity accounting (cost plus growth).

40%

40% is a huge chunk of the voting shares. It is insufficient to remove directors on its own but only another 11% of the other 60% is need to do that. This is evidence of influence.

Board

But also banana has 1 to 5 strawberry directors. This is further evidence of Banana influence over Strawberry.

Carrying Amount

So Strawberry is an associate and should be carried using equity accounting. Strawberry exit carrying value would be:

$$\text{Associate} = \text{Cost} + \text{Growth}$$

$$= 18 + (40\%)(50-44)$$

$$= \$20.4M$$

(iii)

Disposal

The sale of 75% of 40% resulted in Banana losing influence over Strawberry. So this event should be recorded as the sale of a 40% associate and the purchase of a 10% investment.

Gain

The gain would be calculated as follows:

Actual Sale Proceeds	30%	19
Deemed Sale Proceeds	10%	4.5
Associate	(a)(ii)	(20.4)
Gain	(To P/L)	<u>3.1</u>

Equity Investment

There are two classes available for the classification of the 10% investment:

Class	Name	Test
FVPL	Speculative Equity	Intent to trade
FVOCI	Strategic Equity	Intent to keep

FVOCI

The remaining 10% is “equity” and the intent is to “keep”. So the classification as FVOCI is fine:

	\$M	
Opening	4.5	
Loss	<u>(0.5)</u>	OCI
Closing	4.0	B/S

(b)

Business combination

When buying shares it is usual that the company represents a business. This means that a sub acquisition is recorded and goodwill is calculated.

Journal for business combination

Using some figures to illustrate the purchase of all the shares in a supermarket company then the following would be recorded:-

Dr	Goodwill (balance)	10
Dr	Net assets (from valuation)	90
Cr	Bank	100

Asset purchase

But when buying shares the acquirer might find that the company acquired has one asset and no business. This means the share purchase is an asset purchase with no goodwill.

Journal for asset purchase

Say a parent buys all the equity of a company that has one song and nothing else. Then this is recorded:-

Dr	Intangible	55
Cr	Bank	55

Business

To tell the difference between an asset purchase and a business combination you test to see if the company bought has a “business”. This means Banana must look for inputs and processes and outputs in Melon.

Melon

Melon has inputs in the form of labour supplied through the management company and the licence. Melon has the process of development under way. Melon has the output of research results.

Conclusion

Melon is a business and goodwill must be calculated. It is possible that most of the value resides in the licence and the journal might look something like this using made up numbers:-

Dr	Goodwill (balance)	5
Dr	Licence (from valuation)	65
Cr	Bank	70

IASB

The IASB have accepted that sometimes there is very little difference between an asset purchase and a business combination. This occurs when there is very little goodwill. So the proposal is to have a “screening test” whereby a business combination is treated as an asset purchase if the fair value is concentrated in a single asset.

Exposure Draft

The exposure draft is just a proposal and does not represent the current rule. And therefore the exposure draft has no effect on the Melon purchase accounting. Companies are forbidden from applying EDs until they are adopted as IFRS.

Application to Melon

However, an analysis of what would have happened if Melon were permitted to use the ED that they are forbidden to use works like this. It does look likely the fair value is concentrated in a single asset in the Melon transaction. So using the numbers above the Melon transaction may be recorded as follows under the proposal:-

Dr	Licence	70
Cr	Bank	70

Tutorial Note

The illustrative journals above regarding the purchase of a supermarket and a song are for illustrative purposes only and are not required. The journals above for the Melon transaction go to the heart of the question and are an ideal way of answering.

(c)

Derecognition

Financial assets are recognised and derecognised based upon transfers of control highlighted by risks and rewards. Financial assets are only derecognised when the risks and rewards are transferred.

Risks

The key issue regarding the bond is that Banana have derecognised the bond on the basis that the bond has been “sold”. But you cannot sell an asset and keep the related risks and rewards. The scenario tells us that Banana continues to face the upside and downside risk of a rise or fall in the bond fair value.

Rewards

The scenario also tells us that Banana continue to receive the bond interest. The risks and rewards have not been transferred. The bond has not been sold. The flow of \$8m is not sale proceeds.

Conclusion

Banana has not sold the bonds. The \$8m received is a loan secured on the bond:-

Dr	Bank	8
Cr	Loan	8

Interest expense

The \$0.8m repurchase premium is interest over two years. So the following would be recorded:-

Dr	Interest expense (\$0.8m)(1/2)	0.4
Cr	Loan	0.4

Strictly the loan interest rate should be ascertained using the financial management technique of internal rate of return.

Bond accounting

The accounting for the bond asset is completely unaffected by the loan liability accounting and Banana should continue with the amortised cost unwinding of the bond asset. Banana correctly applied the CF characteristics test (the bond is solely interest and principal) and the business model test (the intent is to keep) in the first year and this conclusion is still appropriate in the second and current year.

Bond unwinding

The accounting for the bond asset is completely unaffected by the loan liability accounting and Banana continues with amortised cost unwinding as follows:-

<i>Year</i>	<i>Opening</i>	<i>Interest (7%)</i>	<i>Instalment (5%)</i>	<i>Closing</i>
Last year	10	0.7	(0.5)	10.2
This year	10.2	0.714	(0.5)	10.414

2. Farham

Factory

Provision

A provision is only required if three criteria are fulfilled:

Reliable estimate = It must be possible to estimate a reasonable guess for the outflow.

Obligation = There must be a legal or constructive duty.

Outflow = There must be a probable outgoing of benefit.

Subsidence

There is no obligation to rectify the subsidence at the current year end. So it is appropriate not to provide.

Impairment test

An impairment occurs when recoverable value (higher of VIU & FVLCTS) falls below carrying value. Any trouble with an asset triggers an impairment test.

Impairment

The subsidence is a clear indication of impairment. So Farham should measure VIU (using DCF on product sales) and FVLCTS (by talking to estate agent).

Reserves

Reserves can only be used for the asset to which they relate. So Farham revaluation reserve cannot be used for the factory impairment.

Sale of Newall

HFS criteria

An Asset is classified HFS upon fulfilment of criteria:

Sell = There must be a year end intent to sell

Available = The asset must be ready to go

Locate = The directors must be looking to locate buyer

Expected = The sale completion expected within 12 months.

Newall

The directors clearly intend to sell Newall and it appears the sub is ready to go and directors have already found a potential buyer and the sale is expected within 6 months.

Discontinued

So it appears the sub is HFS. An “operation” that is HFS is classified “discontinued”. So the Newall operation would be classified “discontinued”.

Future trading losses

The standard on provisions forbids provision for operating losses. Farham should provide for the \$6M however if the penalties have been triggered.

Redundancies

The restructuring has been announced to the media. So it seems likely this creates a constructive obligation to employees and so the \$ 5M must be provided.

Impairments

The \$8M of impairment losses appear to be the impairment of specific assets. This \$8M must be recognised before we start to write off goodwill.

(b)**Integrity**

The scenario tells us that the COO has made the accounting errors even though the COO is “aware these are contrary to IAS”. There are problems with the COO integrity.

Competence

However, the COO also appeared to mix up the provision accounting with the impairment accounting. This indicates that there are problems with competence also.

Objectivity (PRP)

The main driver driving the COO to manipulate the FS appears to be the profit related pay. She appears to be more interested in hitting her bonus target than reporting the true & fair view.

Objectivity (Sale)

The secrecy regarding the failure to disclose the discontinued operation appears to be motivated by maximisation of shareholder wealth. But this is no excuse for under disclosure.

Oldcastle

Further the under disclosure is pointless because Oldcastle will not use group FS to assess Newall. Oldcastle will use due diligence.

Action: Board

The accountant should consider discussing the actions of the COO with the rest of the Farham board. Maybe the board do not know that the COO is considering manipulating the FS.

Action: Job

Also the accountant has been threatened with the loss of his job. May be the accountant should look for a new job anyway.

3. Skizer**(a)****(i)****2018 framework asset recognition criteria**

So the IASB have set criteria that assets/liabilities are recognised if:

- The information is relevant
- The information is faithful
- The benefits of the information exceed the costs.

Intangible recognition criteria

Intangible recognition occurs when the asset is measurable. Measurable is most simply applied for purchased intangibles where the asset is only recognised if purchased. But development intangibles are also considered measurable when the project fulfils criteria that tests the probability of project success.

Match

The criteria are clearly not the same in the framework and the intangibles standard. The match between the framework criteria and the intangibles criteria is not obvious. But a number of points can be made.

Relevant versus faithful

There can be a conflict between these two. This can be shown in intangible accounting. It is helpful to users to understand the value invested in intangibles. So intangible recognition can be relevant to all users. But because intangibles are intangible there is a risk of overstatement of value. So faithfulness can be undermined.

Development intangibles

It can be argued that the development criteria address this balance. The criteria make overstatement of value difficult and so address the faithfulness issue. But the criteria do allow the recognition of development and so address the relevance issue.

Purchased intangibles

The recognition of purchased intangibles based upon purchase price makes purchased intangible initial recognition very hard to manipulate. This also addresses the faithfulness issue whilst also allowing users to learn about the investment in intangibles.

(ii)

Purchased intangible

Purchased intangibles are recognised when purchased. The development stake was purchased and so should be recognised.

Impairment test

If information was received by Skizer that a project may not be successful, then this would trigger an impairment test. An indicator of impairment would be a regulatory fail.

Impairment

So in an impairment test Skizer would measure the value in use of the project by estimating the related product sales and Skizer would estimate the fair value less costs to sell by looking at the market for the product rights. Both might fall to zero following a regulatory fail resulting in a complete development asset write off.

Change

The proposed change to immediate write off is not acceptable for purchased intangibles. The current development purchases in current FS must be capitalised and tested for impairment.

Comparatives

The treatment last year was fine. So the comparatives can be left as they are.

Tutorial Note

It is very difficult to understand the requirement "Your answer should also briefly consider the implications if the recognition criteria were not met". The asset was purchased and the criteria was met. If the purchase recognition criteria had not been met then Skizer would not have bought the asset they did buy and would not have anything to talk about. The requirement is very odd but fortunately there is plenty of good points that can be made to make five points whilst ignoring this apparently illogical requirement.

(iii)

Revenue

This is the sales in the ordinary course of business. Skizer is a pharmaceutical company. So Skizer revenue would be sales of medicines to retailers and hospitals.

Development sales

The development sale does not appear to be inside Skizer usual sales model. Skizer does not buy and sell development projects on a daily basis. So the sale should go lower down the P/L.

Purchased intangible

Purchased intangibles can be purchased in a sub acquisition. The initial recognition at fair value follows standards.

Intangible impairment

Intangibles should be written off when recoverable value drops to zero. So the impairment recognition follows standards. So the current profit on intangible sale would be the whole sale proceeds.

(b)

(i)

Intangibles

Intangibles are recognised when measurable. This means they are recognised when purchased (purchased intangibles) or fulfil criteria (development intangibles).

Goodwill

In a business combination the dominant calculation is goodwill. In this calculation everything including the purchased intangibles are valued at fair value. Strictly goodwill is not considered an intangible under current financial reporting rules. In fact, the process of recognising intangibles in an acquisition can be usefully described as pulling separable assets out of goodwill.

Separable

Some assets are more separable than others. Patent rights for drugs and royalty rights for songs are clearly separable. But customer lists are less meaningfully separated from goodwill and are often just left in goodwill. Separating customer lists and other questionable intangibles from goodwill in an acquisition can complicate the information presented to investors and undermine the value of FS to investors.

Amortisation

Once recognised intangibles must be depreciated over their lives. Some intangible lives are obvious, like the life of the patent being equal to the patent period. Other intangible lives require more guesswork.

Impairment

Intangibles with an estimated life over 20 years need annual impairment testing. And of course any intangible with evidence of impairment needs impairment testing. So an injured footballer would need impairment testing. But the recoverable value requires estimation.

Judgment

Both the useful life and the recoverable value used in impairment testing is highly judgemental. The differing judgements made by differing entities could undermine the comparison of intangibles by investors when comparing competitor FS.

Policy

The theoretical choice between revaluation and cost can reduce the comparability of FS. This can reduce the usefulness of FS to investors investing in a range of entities in one industry.

Revaluation

But actually this problem is not significant in practice. Revaluation is only allowable for identical assets traded in an active market. But all brands and patents and footballers are different. So revaluation is rarely available in practice.

Development

Development is capitalised upon fulfilment of criteria designed to assess the probability of project success. The criteria test feasibility and resource adequacy and other features and are quite strict.

Research

This can mean that much of the expenditure of a research and development company can be written off. This can significantly undervalue companies and effect investors' decisions. And because of the subjectivity of the criteria there may be inconsistency between competitors. This can effect investors' comparisons.

(ii)

Integrated report

An <IR> is essentially the abbreviated highlights of the Annual Report (AR) that integrates the financial performance from the financial statements (FS) with the strategic performance from the management commentary (MC).

Use

The <IR> is an ideal environment for the directors to explore the value generated by the investment in intangibles. The directors could use the <IR> to explain the purpose of the spending and the resultant success and the effect on the FS.

Management commentary

However, the <IR> should be compact. So a cohesive solution could be delivered by explaining in detail the intangible strategy in the MC in the AR. Then the directors could select the key points from the MC to disclose in the <IR>.

4. Toobasco

(a)

APM

Alternative Performance Measures are measures that are not prescribed in IFRS. Because there are no rules regarding their formulation the directors can use them to usefully highlight key specifics about an entity but because there are no rules APM can be manipulated.

(i)

Underlying profit

Operating profit before non-recurring items is often called "underlying profit". It is widely used to help investors get a feel for the profit that might extrapolate into the future.

Extraordinary items

But the phrase used in financial reporting for these non-recurring items is "exceptional" not "extraordinary". In fact, the term "extraordinary" was so widely used in the past to simply hide bad news that the term is forbidden under IFRS.

Toobasco

It also appears that Toobasco has classified recurring items as non-recurring. This is clearly unacceptable and Toobasco needs to rethink this figure.

(ii)

Operating free cash flow

The use of an APM derived from the cash flow has the potential to be very useful to shareholders. The CFS is often overlooked by investors and this APM draws attention to the CFS.

Calculation

But the failure of the directors to explain the basis of the operating free cash flow (FCF) and explain the utility of the number undermines the usefulness. APM must be explained to be useful.

EPS

The disclosure of the FCF next to the EPS is confusing. One is a profit figure and the other is a cash flow. This is not permissible.

(iii)

EBITDAR

The use of EBITDA is commonplace and the further add back of rent is acceptable if this creates a more meaningful figure. The failure to explain the basis of the figure by reconciliation to the FS undermines the EBITDAR in the same way this failure in disclosure undermined FCF.

Rent

The unexplained change as regards rent also undermines the credibility of the figure. If directors really feel that the add back of rent better helps understand Toobasco then the directors need to explain why.

Earnings release

It sounds like the EBITDAR has been released in a Stock Exchange announcement. The failure to explain the reasons for the rent add back or reconcile the figure to an IFRS profit is likely to attract a regulatory reaction.

(iv)

Tax

Tax is usually excluded from APM. EBITDA is obviously before tax. But in order to be meaningful tax effects on an APM must be explained.

(b)

(i)

	<i>Comment (not required)</i>	\$m
Original Net CGFO		278
Car sales	(i) Operating CF needs inclusion in CGFO.	30
Removal of "associate share of profits"	(ii) The associate is not an operating item. This random inclusion needs pulling out.	(12)
Removal of "\$4 million included in profit or loss"	(ii) The examiner assumed this was included in the \$345m although there is no evidence of this. But if it is in the CGFO then it needs to come out as it is not an operating item.	(4)
Removal of FX	(iii) Retranslation is not a CF.	28
Tax inflow	(iv) If Tax is in Net CGFO then the cash tax benefit should go in too.	6
Moving interest paid	(v) Interest paid is usually classified as part of operating. But it can be moved to Investing if part of PPE.	18
Restated Net CGFO		<u>344</u>

(ii)

	<i>Comment (not required)</i>	\$m
Restated CGFO	From Above {Own Figure Rule applies}	344
Net capital expenditure	(vi) Given below Net CGFO	(46)
Associate purchase	(vi) see working below	(20)
Associate dividend received	(vi) 4x25%	1
Interest received	(vi) Given below Net CGFO	10
Interest paid	(vi) Moving the interest back	(18)
Pension contributions	(vi) "exceptional" from (iv)	<u>27</u>
FCF		<u>298</u>

Associate Cash Flow working

Opening	0
Closing	(23)
P/L	4
Dividend	<u>(1)</u>
Purchase	<u>(20)</u>

(iii)

Adjustments made in requirement (i)**Car sales**

Cash from car sales is an operating cash flow. So this has been introduced into Net CGFO. In fact the car sales should of course be in revenue on the P/L. So the P/L will need adjusting too.

FX

The FX included in Net CGFO by Daveed is not a cash flow. This item is a loss and is correctly included in the P/L. But requires pulling out of the CFS because it is not a cash flow.

Tax

The tax should all be bundled into one line on the CFS. Daveed has included tax in Net CGFO. This is normal and acceptable. But of course all tax cash flows should go into that one line. So the "Income taxes paid" line should be adjusted from \$21m down by \$6m to \$15m because actually only \$15m was paid.

Adjustments made in requirement (ii)**APM**

APM are defined by entities and Daveed has defined Operating FCF in paragraph (vi). So to reconcile Net CGFO to Operating FCF it is required that these instructions are followed.

Exceptional items

The purpose of the exclusion of the exceptional items is not explained. But it is likely that this is to give an idea of the FCF that would have flowed had the exceptional not occurred. And of course if the exceptional had not occurred then the tax benefit would not have occurred either.

December 2018**1. Moyes**

(a)

(i)

Reconciliation of cash generated from operations from the profit before tax

PBT		209
Associate		(67)
Operating profit		142
Inventory	(165-126)	39
Receivables	(149-156)	(7)
Payables	(197-215)	18
Depreciation		99
Impairment of goodwill		10
Impairment of PPE	(43-20)	23
Service cost charge		24
Pension contributions		(15)
Cash Generated From Operations		333

(ii)

Indirect

The indirect method of producing a cash flow starts with profit and calculates operating cash flow essentially by removing the non-cash flow elements of the operating costs. Because the indirect method starts with profits and adjusts for non-cash flows the indirect method can be confusing for non-accountants. The direct method simply shows cash in and out on operations and is much clearer.

Associate

Because we want the cash generated from operations, we really want to start with the operating profit. So we deduct the Associate to work our way up the P/L to the operating profit that really should be on the P/L.

Working capital

Then we adjust the operating profit for the movements in working capital. For example, the increase in the payables results in an effective cash inflow as we are taking longer to pay suppliers and therefore keeping hold of money.

Depreciation

Then we add back the depreciation and impairment charges as these costs have been deducted from operating profit but are not operating cash outflows. This add back reverses the effect of the charges.

Impairment of PPE

The impairment of PPE is stated to be \$43m. But it appears that \$20m of the stated impairment is actually a reversal of the previous revaluation. This \$20m would have gone through the OCI and is not in operating costs. We only add back the cost that is in operating costs. So we add back the actual impairment of \$23m.

Pension

The pension cost is added back because it is a charge and not a cash flow. The principal is identical to that applied to depreciation. The cash outflow into the pension goes from the pension into investments and is often shown as an investing flow. But eventually the investments will be liquidated and used to pay employees and therefore the contributions are often shown as operating cash flows. This operating presentation is used here.

Inventory Loss

There is also an inventory loss. This is \$6m (D80/5 – D60/6). The loss is partly due to an impairment and partly due to an adverse FX movement. It is not a cash flow and therefore \$6m should be added back in the above reconciliation on a similar basis to the add back of depreciation. But it also distorts the inventory adjustment down by \$6m to \$33m (165-126-6). The two effects cancel and therefore the inventory loss can be ignored in the reconciliation.

(b)

Davenport acquisition

The purchase of the Davenport sub involved share and deferred consideration. Therefore, there was no consideration cash flow in the current year.

Barham disposal

The sale of Barham was for cash. These cash sale proceeds would be recorded in investing activities as a cash inflow.

Barham overdraft

As Barham left the group it carried out an overdraft. This would be recorded in investing activities as an effective cash inflow.

Davenport dividend

The payment of the dividend from the subsidiary to the parent did not cross the group boundary. It was simply an internal flow from the group perspective. So this flow would not appear on the group cash flow statement.

NCI dividend

However, 40% of the dividend paid by the sub flowed out of the group to the NCI. This outflow would be recorded by the group as a cash outflow in financing activities.

Working capital

Finally, the above working capital adjustments for inventory and receivables and payables in the reconciliation would all need adjusting for the flows. To illustrate the principle using inventory, the following can be noted: inventory flowed in when Davenport was acquired and inventory flowed out when Barham was disposed.

(c)

Discontinued criteria

A separate operation is discontinued if it is closed or sold during the year or held for sale at the year end. The key issue regarding the Barham sale is whether the Barham operation was “separate” to the rest of the group.

Barham

It appears that the products/markets that Barham addressed for the group will continue to be addressed by other entities in the group. It appears the group continues to do whatever Barham did. It appears the Barham sale is not a discontinuance.

Held for sale criteria

An asset is HFS if criteria are fulfilled:-

- **Sell** = there must be a clear intent to sell
- **Available** = the asset must be available for immediate sale
- **Locate** = the entity must be seeking to locate a buyer
- **Expected** = the sale must be expected to be completed with 12 months

Control

Control is the power to direct activities. Moyes can predict at the current year end that Moyes will lose control of Watson just within 12 months of the current year end. This will result in a sub disposal next year.

Watson

It is reasonable to interpret “sale” in the HFS standard as equivalent to “disposal” in the groups standards [IFRS 5 & 3 & 10]. So it appears Watson is HFS at the current year end.

Conclusion

If Watson does have separate products/markets to the rest of the group, then Watson is a separate operation and would be classified as discontinued. This would result in separate disclosure on P/L and B/S.

(d)

Earlier versions of the conceptual framework

As mentioned in the question, the original conceptual framework contained a test for asset/liability recognition based upon probability. According to the 2010 conceptual framework an asset/liability should only be recognised when flows are probable. This idea was present in the original framework in 1989.

Contingency accounting

This framework concept found its way into the standard on contingencies [IAS 37]. The result is that possible contingent liabilities are not recognised. They are only disclosed.

Example

So if an entity has a 25% of \$16m flowing out in damages during an extended court case then the entity will recognise zero as a liability. The potential outflow will only be disclosed.

IASB

But the IASB has usually ignored the probability criteria when issuing standards more recently (since roughly 2000). So the IASB had been ignoring a concept in their own framework when issuing standards. This was a problem because the framework is supposed to represent the salient concepts that underpin accounting.

Group accounting

An illustration is the recognition of contingent consideration in business combinations. The standard simply requires that contingent consideration be recognised at fair value [IFRS 3].

Example continued

So if an entity agrees contingent consideration of \$16m that has a 25% of flowing out then the entity would recognise this potential outflow as a \$4m liability. Clearly this is inconsistent with the above zero recognition accounting for a 25% chance of a \$16m outflow during a court case.

2018 conceptual framework

So the IASB have removed the probability test from the latest version of the conceptual framework in order that the framework catches up with the conceptual logic the IASB have been following for a while. Assets and liabilities now are recognised in the 2018 framework based upon a test for relevance and faithfulness. There is no longer any reference to probability in the framework criteria.

Standards

But this leaves accountants with inconsistencies in the standards applied in practice. A 25% of a \$16m outflow is recognised differently depending on whether the potential outflow is court case damages [IAS 37] or contingent consideration [IFRS 3].

2. Fiskerton

(a)

Lessor accounting

Fiskerton is a lessor and therefore uses the two models:

Risks And Rewards

With Lessee

With Lessor

Lessor Lease Accounting

Finance

Operating

Halam property

The entire 40 year asset life has been transferred to Edingley. So Fiskerton should have recorded lessor finance lease accounting and therefore recognised a property sale and corresponding receivable at the year start.

Conclusion

So the Halam property should have been derecognised when the Edingley contract was signed. Thus the \$8M investment property gain must be pulled out of the P/L.

Classification

A NCL is an obligation with the right to refuse payment for 12 months or more. The removal of the gain flips the gearing over 50% and puts the loan into default which now must move to CL.

Going concern

Any material uncertainty regarding the going concern must be disclosed. So Fiskerton must disclose its reliance upon the bank.

Fair value measurement

Fiskerton have misapplied the hierarchy:

Level

1. Exact equivalent active market price
2. Approximate equivalent transaction price
3. Unobservable inputs into financial models

\$28M

Fiskerton have used the right level (Level 2). But Fiskerton have applied level 2 incorrectly. The \$28M should have been adjusted downwards for the difference between the properties.

(b)

Revenue

Revenue is recognised either at the point that control transfers or over the period the obligation is fulfilled. The distinction is based on sources.

Sources

There are three sources of revenue where the revenue is recognised over the period:

- Revenue with no alternative use
- Revenue on a customer controlled asset
- Revenue with simultaneous supply/consumption.

Asset

The Fiskerton is not described. But it appears that none of the above apply. So the revenue should be recognised at control transfer.

Delivery

The asset has not been delivered. So no revenue should be recognised.

(c)

Integrity

The MD is making errors in the FS "Even though he knows this is contrary to IFRS". So it appears the MD has questionable integrity.

Competence

However, the MD appears to be an unqualified non-accountant. Therefore, it is possible the MD has insufficient competence.

Objectivity gearing

Both the property gain error and the over early revenue recognition pushed up profits and equity. It appears the main motivator for both manipulations is to bring gearing under the covenant threshold.

Objectivity PRP

But both errors do push up profit. So it is also possible the MD has a profit related pay bonus and is more interested in that than the true & fair view.

Action 1: Halam property

I suggest that the accountant should discuss the Halam property manipulation with other board members. It is possible that the board may be able to persuade the MD to tell the truth.

Action 2: Revenue

I suggest that the accountant looks into the nature of the asset in the sales contract. It is possible the investigation will reveal that the asset revenue is correctly recognised over the period.

Action 3: Job

The Fiskerton culture appears to be dominated by questionable ethics. I suggest the accountant considers looking for another job.

3. Fill

(a)

Conceptual framework

The above is the reference document for the development of standards by the IASB. Companies are required in the first instance to refer to issued standards to solve financial reporting problems.

Inventory

Inventory is valued at the lower of cost and net realisable value (NRV). Cost is past expenditure getting the asset to its present location and condition. NRV is future expected sale price less costs to sale [IAS 2].

Coal cost

We do not know how Fill bought the coal. But presumably the coal was purchased by Fill buying the mine. This could have been many years ago and there might be a low cost value of stock on the position statement. NRV is only relevant if it falls below this cost figure.

Coal NRV – Selling Price

The future selling price is probably best taken from the current futures market. Of course the future is an uncertain place and any estimate of future selling price necessarily involves guesswork. The 20% deduction could be used if there is evidence to support this estimate.

Coal NRV – Costs to sale

These are the mining costs. These can be reasonably accurately estimated based upon the current cost of mining extraction around the year end. Mining costs are unlikely to change enormously in three years.

Measurement

The above analysis of stock valuation connects to the framework via the concept of measurement. The framework accepts that there are various measurement bases and that cost and NRV are two of those.

Prudence

The above also connects to the framework via the concept of prudence. The original logic of the comparison of cost with NRV was the prudent idea that nothing on the position statement should be carried at a value that exceeds the value that an entity could get from the item.

(b)

Provisions

There are three criteria that must be fulfilled before Fill is permitted to make a provision:

Reliable estimate = Reasonable guess

Obligation = Legal or constructive duty

Outflow = Probable outgoing

Obligation

The question clearly states that “There is no legal obligation to maintain the mining equipment.” There is no constructive obligation either. So a provision is forbidden.

PPE depreciation

Depreciation is the systematic recognition of the cost of use of an asset. If an asset has multiple components with differing lives then the separate components are depreciated separately.

Parts

It appears the current equipment has “parts” that will last only two years. It appears the rest of the equipment will last longer. So the current “parts” should be separately depreciated over 2 years.

\$3m

The future \$3m for parts and labour will be capitalised when incurred at the date of reconditioning two years into the future if that is what is incurred. This cost will then be depreciated over two years if that is still the estimated period between reconditioning events.

Impairment

An impairment test is required when there are indications of impairment. This can be simple things like asset damage or more subtle things like a decline in the demand for the product the asset produces.

Coal price fall

A fall in the price of coal is a clear indicator of potential impairment in coal mining equipment. The equipment must be tested for impairment.

Recoverable Value

This means that the recoverable amount for the equipment must be estimated. The FVLCTS would be derived from the current market in coal equipment. However, the Value In Use would be derived from discounting a cash flow forecast of the expected sales and costs from continued mining.

Conclusion

However, it should be noted that just because there is a requirement for an impairment test this does not mean that there is automatically an impairment. And impairment would only be recognised if the carrying value is higher than the recoverable value (higher of VIU and FVLCTS).

(c)

Joint Arrangement

The reference to “jointly controls” indicates a potential joint arrangement (JA). A JA is defined by “joint control” which is defined by “unanimous consent” [IFRS 11].

Theta

Unanimous consent means that nothing happens unless all the investors agree. But Theta decisions can be carried by 72%. This means Fill does not “jointly control” Theta. Theta is not a JA.

Voting

Looking at the voting in more detail it can be noted that the 72% threshold has been selected deliberately so that any three of the four investors can carry the vote. For example, if the other three investors gang up on Fill then they will have 72% and can push through their decisions.

Associate

So then the 28% ownership should be tested for influence. Influence is the power to participate in management policy and gives rise to an associate [IAS 28].

Influence

The nature of the agreement appears to indicate that all four investors have influence without joint control. The 28% ownership of Theta is a sizable chunk of voting and the way that the partners have set up the deal appears to reinforce the message of influence.

Equity accounting

So it appears that currently Theta is an associate of the Fill group. Equity accounting should be applied to the 28% equity (cost plus share of growth).

Considerations

Considerations are irrelevant when assessing control and influence. It is irrelevant that "Fill is considering purchasing one of the participant's interests of 24%" to the assessment of influence. Currently Fill has 28% and influence.

Purchase

However, if Fill does purchase the 24% then the Fill ownership and voting will increase to 52%. This would usually be sufficient for control. But in this case there is the complication of the voting agreement.

Control

Control is the power to direct activities and gives rise to a subsidiary that is consolidated [IFRS 3 & IFRS 10]. However, the current agreement requires 72% of shareholder agreement to direct activities. So 52% is not enough for control. Therefore, if Fill acquires an extra 24% and pushes ownership up to 52% but retains the current agreement then Theta would continue to be recoded as an associate.

Conceptual framework

The current 2018 conceptual framework would have little effect upon the financial reporting as Fill is required to use the current standards as written [IFRS 3 & IFRS 10 & IFRS 11 & IAS 28]. Fill is effectively forbidden from using the framework because the issue is covered by standards.

Control

The definition of control in the framework very closely follows the definition in the groups standard on control [IFRS 10]. The conceptual framework definition is that "an entity controls an economic resource if it has the present ability to direct the use of the economic resource". This is essentially the same definition as used in the groups standards described above [IFRS 3 and IFRS 10].

Effect

The definition of control in the framework matches well with the logic of the groups standards. It is widely accepted that the concept of control in the framework and the concept of control in the groups standards work well. The IASB have no plans to substantially change the definition of control. So it is likely that current operation of the concept of control in groups will remain unchanged for the indefinite future and that Fill will come to the same conclusions if Fill finds itself in the same situation in the future.

Business combination

The directors are "wondering whether the acquisition of the interest would be considered a business combination". A "business combination" is a "sub acquisition". So another way to phrase the query is "directors would like to know whether the potential purchase of the 24% would trigger a subsidiary acquisition". As discussed above the answer is "no" because 52% is insufficient for control of Theta under the current agreement.

4. **Holls**

(a)

(i)

Annual Report (AR)

It is common practice in corporate reporting to issue an AR that is essentially the sum of two parts:-

Financial statements (FS)	the statutory annual accounts governed by IFRS
Management commentary (MC)	the comments of management on performance and position further exploring strategy and environmental and social issues

IFRS practice statement

The IASB have issued guidance on the preparation of MC. This guidance lays out broad principles in MC reporting such as relevance and understandability that derive from the conceptual framework.

For

The practice statement is not mandatory. One argument for this is that the aim is to allow management the freedom to make their comments with their own words. Another point is that the MC are not audited and therefore a compulsory IFRS would not be enforceable.

Against

The argument against a practice statement that is not mandatory is an argument for mandatory application as an IFRS standard. The main argument for mandatory regulation of MC is the prevention of director bias.

(ii)

Understandability

The MC should be understandable. The messages should be conveyed clearly and succinctly. The directors have a range of communication tools to make their points clear. They can use pictures and graphs and diagrams and case studies. The use of a varied palette of tools helps the communication of the messages.

Relevance

The users are using the MC to extract information. Different users have different needs. So the MC sections should clearly be labelled dividing between strategy and performance and social responsibility. Within each section the directors should deliver information key to the users' decisions.

Comparability

Users make decisions partly based upon comparisons. The two main techniques are comparing this year to previous years and comparing one entity to another. The directors should show information that highlights trends. The directors should look at competitor MCs to make sure users get the information in the industry format.

Clutter

Directors should focus upon key messages capable of effecting users' decisions. Directors should avoid overloading the MC with so much information that the key messages are lost. This "clutter" should be avoided.

Boiler plate

Directors should deliver content within the MC. There is a tendency for some entities to populate the MC with the bare minimum information sufficient to fulfil regulatory demands. There is a tendency for some entities to copy standardised paragraphs into the MC that hide any real content. This "boiler plate" should be avoided.

(b)

Accounting for taxation

This is a complex area. There are a number of features of financial accounting for tax that mean that the group tax charge does not equal the group profits times the tax rate. These include corporation tax itself and undercharges and deferred tax and multinational tax rates.

Corporation tax

Corporation tax is calculated by using tax rules. The general principle is that the tax accountant starts with accounting profit before tax but then adds back some charges and deducts others according to the tax legislation. The result is that even corporation tax is not the profit before tax multiplied by the rate.

Undercharges

The tax charge is necessarily estimated each year. In the UK, FS are generally published roughly 3 months after the year end but the tax is settled 9 months after the year end. This means there is usually an adjustment for undercharge in the current year to catch up with the underestimate of tax in the previous year.

Deferred tax

DT is based upon temporary differences between the recognition of items under IFRS and the recognition of items under tax rules. Changes in the DT can skew the tax charge.

Investor

It is notable that the investor has asked Holls to explain the tax charge. This is an indication that the tax disclosure is not adequate. The investor should not need to ask Holls to explain the Holls tax charge. The calculation of the Holls tax charge should be clear from the FS notes.

Notional charge

The notional charge appears to be the Profit Before Tax multiplied by the parent company rate. The idea appears to be to give a tax figure from which to start the explanation of the group tax charge.

Local corporation tax rate

However, the notes do not make it clear exactly where the 22% has come from and why 22% has been used. The investor has to guess this is the parent rate and no explanation is provided why the multinational is using the parent nation rate only.

Differences in overseas rates

Holls is a multinational. This means Holls pays tax at different rates in different countries. The 22% rate used in the notional charge appears to be the parent country rate. But the weighted average rate is higher at 27%. This is why there is a \$10m reconciling item regarding overseas rates.

Multinational tax rates

However, an important point to highlight is that none of this information is clear in the tax note. Holls should explain what the 22% is and then state what countries Holls operates and what rates Holls incurs. An investor should not need to guess.

Tax relating to non-taxable gains

It appears that the sale of the businesses created gains that did go into the financial reporting profit but not into the tax profit. This results in an adjustment in the reconciliation as the financial reporting profit is higher than the tax profit in this respect.

Capital Gain

Businesses are usually sold by groups by the action of the parent selling the sub shares. For tax purposes this creates a capital gain. For some reason this capital gain has not been taxed but the investor is left guessing as to why and this is a weakness in the note.

Tax relating to the impairment

The impairment of brands would result in a cost in the P/L and reduce the financial accounting profit. However, it appears this cost is not allowable for tax. This resulted in relatively higher tax profits and an adjustment in the reconciliation.

Brands

But again the note fails to explain which brands were impaired and how this relates to the intangibles on the B/S and why the loss is not allowable for tax. This is another weakness in the note.

Other tax adjustments

This is opaque financial reporting. Hidden in here is presumably the deferred tax and the undercharge discussed above. But this is opaque financial reporting and in direct contrast to the concept of understandability.

Tax paid

The tax paid is almost certainly the payment during the current year for last year's charge. But again this should be explained and reconciled to last year's charge so an investor can understand this term without the need for professional advice.

New tax rate

Deferred tax is potential future tax. The new tax rate of 25% applicable in the future should be used for deferred tax calculations.

Deductible temporary differences

These are negative TDs that arise when the Tax Base (TB) exceeds Carrying Value (CV). Deductible TDs give rise to Deferred Tax Assets (DTA). Often DTA arise on tax losses. It does appear the DTA is on losses based upon the phrase "prior to the current year Holls made significant losses".

Taxable temporary differences

These are positive TDs and arise when CV is greater than TB. Positive TDs can arise on anything. Often they are related to PPE because tax depreciation is often greater than accounting depreciation. However, it is an indication of poor Holls reporting that we do not know why there are TDs.

Reversal

Reversal is a technical term related to the flow of Deferred Tax (DT) into Corporation Tax (CT). First DT is recognised and then it turns into CT and then 9 months later the tax gets paid. The phrase "expected to reverse next year" means that the DT is expected to flip into CT next year and get paid the following year.

Conclusion

The Holls tax reporting is technical and unhelpful and would benefit from a fresh review by a sympathetic editor who can breathe some clarity into the note.

(1 mark per point to a maximum of 14 marks)

March/June 2019**1. Carbise**

(a)

(i)

Presentation currency

The presentation currency is the currency in which FS are presented. It is determined by demand.

Bikelite

Whilst Bikelite was in the Carbise group it seems likely that the parent would have demanded that the sub present in the parent currency. So Bikelite will have been presenting in dollars while under Carbise control.

Functional currency

The functional currency is the currency that dominates the functions. The functional currency is the currency of the "primary economic environment".

Functions

So the functional currency of an entity is determined by looking at the functions and the currencies that are used. Often one currency dominates with other currencies being used sparingly. But if there is wide use two or more currencies then the analysis can look at the value in each currency.

Competitive forces

But the determination also involves assessment of the currency that dominates the competitive forces in the market. So in the oil market the determination of the functional currency makes reference to the USA dollar.

Bikelite

The Bikelite sales are in three currencies including the dinar. The materials purchases are 40% in dinar. All staff costs are in dinar. There appears to be no currency dominating competitive forces.

Conclusion

It appears that Bikelite makes wide use of three currencies. But it does appear that the dinar dominates.

Financial statements

Therefore the Bikelite functional currency is the dinar. Bikelite should produce FS first in dinar and then translate those FS into dollars for presentation to the parent.

(1 mark per point)

(ii)

Goodwill

	%	Working	Sub Dinars
FV of consideration	80%		100
FV of NCI	20%		22
FV of NA		(60+20)	<u>(80)</u>
Goodwill at acquisition			42
Impairment			<u>(6)</u>
Goodwill at disposal			<u>36</u>

(2 marks)

FX

Goodwill at year start	36/0.38	<u>95</u>
FX to OCI	Balance	<u>8</u>
Goodwill at disposal	36/0.35	<u>103</u>

(3 marks!)

(iii)

Goodwill

Goodwill is measured by bringing consideration and NCI and net assets together all at fair value. This is why we need the FVA of \$20m on the building.

Dinars

The goodwill is measured first in dinars because it is an asset down in dinar land. The same currency is used initially for measurement of inventory and PPE and goodwill.

FX difference

The FX difference arises every year because the dinar goodwill asset is translated into dollars at each year end. So even while the dinar goodwill value remains constant, the dollar value goes up and down giving FX differences.

OCI

The difference then goes to OCI because that is the rule in the standards [IAS 1 & 21]. In fact the FX difference is part of a larger FX difference on retranslation of both goodwill and net assets.

(b)

Retranslation of NA

The assets and liabilities of the sub Bikelite were translated at each year end. Of course as the rate changed from year start to year end this gave rise to an FX difference every year very similar to the FX on the goodwill.

Profit and growth

But in most years the dinar goodwill remained constant at the original D42m. But the dinar net assets grew each year by the profit growth giving an extra complexity.

Rates

So three rates are needed to calculate the FX on NA as a balance; one each for the year start and year end and the average rate for the profit/loss over the year.

(1 mark per point to a maximum of 3 marks for narrative)

Calculation

Here is the calculation for the final year which actually only runs up to disposal:

		D	Rate	\$
Opening NA	$48 + 20 \times (16/20)$ {16 out of 20 years remaining}	64.00	0.38	168.4
Loss	$8 \times (9/12) + (20/20) \times (9/12)$ {9 months FVA depn}	(6.75)	0.37	(18.2)
FX	Balance to OCI			<u>13.4</u>
Disposal NA	Add down in dinar column	57.25	0.35	<u>163.6</u>

(3 marks)

NCI

The ownership split of the above OCI gain is as follows:

CI	To OCE	80%	10.7
NCI	To NCI	20%	<u>2.7</u>
FX	Balance to OCI		<u>13.4</u>

(1 mark)

(c)

(i)

Disposal

Sale proceeds		150.0
NCI	$47.8 - 20\% \times 6.75 + 20\% \times 13.4 + 20\% \times 8.2$ {opening plus NCI share of loss in P/L and two FX gains in OCI}	<u>48.5</u>
NA	From (b)	(163.6)
Goodwill	From (a)(ii)	(102.9)
FX recycling	$80\% \times 74.1 + 80\% \times 13.4 + 80\% \times 8.2$ {opening FX reserve plus CI share two FX gains in OCI}	<u>76.6</u>
Profit		<u>8.6</u>

(1 mark per line to a maximum of 3 marks)

Tutorial note

The exam describes the \$74.1m as the "cumulative exchange gain on Bikelite at 1 January". In reality the accounting records would record the opening balance of \$59.3m in a separate FX reserve. In a real system the two FX gains (13.4+8.2) would be brought together in the OCI and then autosplit between the NCI 20% going to the NCI account in equity and the CI 80% going to a separate FX reserve also in equity. So all the accountant would need to do is dump the OCE FX reserve of \$48.5m and the NCI of \$76.6m into the disposal above without the need for any calculation.

(ii)

Consolidation

Carbise has control over Bikelite for the first 9 months. So Bikelite sales and costs will be consolidated in the P/L up to disposal.

Disposal

Then Carbise lose control of Bikelite triggering the disposal. The calculation of the profit on disposal matches the sale proceeds to the exit carrying values of goodwill and net assets and NCI to generate the profit above.

Recycling

However, the FX standard requires that the FX reserve held in OCE is also dumped into the disposal schedule above. This is called recycling.

IASB

The OCE balance has already gone through the SPLOCI in the OCI. Some of the gain has even gone through the SPLOCI this year. However, the sub FX gain must be rerecognised in the SPLOCI on sale of the sub. This double counting of one gain is criticised by the IASB but the IASB have been unable to get support for the standard to be changed.

(1 mark per point)

Tutorial note

Credit will be given for discussion of potential discontinued operation.

2. **Hudson**

(a)

Pensions accounting

Pensions accounting is based on a movement like this (numbers used for illustration):

Opening (390-400)	(10)	
Finance (10%)(10)	(1)	To P/L
Contributions	34	To CFS
Service cost (current 14 + past 100)	<u>(114)</u>	To P/L
Expected closing	(91)	
Actuarial remeasurement – balance	<u>(69)</u>	To OCI
Closing (370-530)	<u>(160)</u>	To B/S

Effect

The effect of the above is that the only thing that goes through the OCI is the remeasurement adjustment that results from comparing the actual closing with the closing that would be expected from adding down from the opening balance.

Actuarial remeasurement

The difference arises most frequently because the asset underperforms on the markets. The pension asset and liability is measured at each measurement point by an actuary and so the difference is often called an “actuarial remeasurement”.

Curtailment

When a company close down a pension they often have to pay the employees more than the assets in the scheme. This results in a curtailment loss which goes to P/L.

Hudson effect

The effect is that Hudson cannot put the curtailment loss in the OCI. It must go to P/L.

Provision

There are three criteria:

- There must be a reasonably reliable estimate.
- There must be an obligation (legal or constructive)
- There must be a probable outflow.

Curtailment offer

It appears all employees have accepted the various curtailment offers. Therefore Hudson must recognise the whole curtailment obligation (basic and additional) at the current year end and the related loss in the P/L.

Additional obligation

If the additional obligation accrues over the period from announcement to final closure then only the obligation accrued at the year end would be recognised at the year end.

(1 mark per point)

(b)

Deferred tax

This arises on temporary differences between financial accounting standards and tax rules. When the tax base exceeds the carrying value then this leads to a negative temporary difference which then leads to a deferred tax asset.

Losses

Losses are accounted for differently under accounting standards and tax rules. Losses do give rise to DTA.

Assets

However, assets must represent present rights to future inflows. For assets to be recognised assets must be recoverable.

Recoverability

Tax losses are used to reduce profits and thereby pay less tax. Tax losses are useless unless there are future expected profits against which they can be offset.

Budgets

The budgets do forecast profits. The problem is that the budgets are unsupported by the market evidence and sales order book. It appears the tax losses will expire unused and so the DTA should not be recognised.

(1 mark per point)

(c)

Integrity

The directors are aware that the proposals do not conform with accounting standards. The directors have questionable integrity.

Objectivity

The directors' actions appear to be motivated by the bonus scheme and the debt covenant. The directors are more concerned with their own welfare than the fair presentation of FS. Directors' objectivity has been compromised.

Professionalism

The directors are threatening the accountant regarding FS manipulation. This is unprofessional and may bring Hudson into disrepute.

Action (1) Persuasion

The accountant should consider bringing the problems to a sympathetic director to gain an ally in persuading the board to deliver fair FS. Perhaps an audit committee is available.

Action (2) Job

However, it seems unlikely that the accountant will persuade directors to mend their ways. This appears to be an unethical environment and so perhaps the accountant should look for a new job.

(1 mark per point)

3. Crypto

(a)

(i)

Joint arrangements

JA are defined by joint control which occurs when the owners agree that all decisions must be agreed by all parties. The idea is called "unanimous consent".

Kurran

The Kurran structure does not include "unanimous consent" between owners. So that is that. There is no joint control and Kurran is not a JA.

Veto

Veto is a feature of joint control. If everyone must agree then everybody can veto. But veto is not the defining feature of joint control. Unanimous consent is the defining feature of joint control. So the veto is irrelevant to the assessment of the joint control.

Influence

So Kurran is not a JA but now Crypto must decide what Kurran is. Influence is the power to participate in management policy and gives rise to an associate.

Power

The key here is "power". It is irrelevant whether Crypto exercises this power. It is only relevant whether Crypto has the power to participate.

Directors

Crypto has the power to elect 4 out of 8 directors. Clearly Crypto has the power to participate in management.

Equity accounting

So Kurran is a Crypto associate and must be carried using equity accounting. This means Kurran will be carried in the group FS at the original cost plus the group 45% share of growth.

(1 mark per point)

Tutorial note

As it happens if Crypto had joint control (it has not but IF Crypto had joint control) then Kurran would be an incorporated JA also known as a JV which is also carried using equity accounting.

(ii)

Embedded

This phrase means “stuck inside”. So an “**embedded splinter**” is a splinter stuck inside your finger and an “**embedded derivative**” is a derivative stuck inside a purchase contract.

Derivative

A derivative is a financial instrument that derives its value from an underlying. So an FX derivative derives its value from an exchange rate.

Winning and losing

A derivative is essentially a bet. When in a winning position the entity has a derivative asset. When in a losing position the entity has a derivative liability.

Derivative accounting

Derivatives are carried **FVPL**. This applies for both **asset** and **liability derivatives**. However, this can be shown for **assets** by using the **cash flow characteristics test**. A derivative has no interest and so fails the criteria for “solely interest and principle”. Therefore a derivative is **carried FVPL**.

Embedded derivative

This is a **hidden derivative** hidden in a host contract. Embedded derivatives must be pulled out of their host and measured FVPL.

Electricity

The electricity deal is mostly just a deal to **buy electricity** (host) but **partly a bet** on **currency movements** (embedded derivative). So the **derivative recognised** as a liability of Euro 2m and a corresponding loss should be reported in the P/L.

(1 mark per point)

Tutorial note

This requirement is very technical. A useful approach to this question would be to define “embedded” (1 mark maybe) then define “derivative” (1 mark maybe) then explain derivative FVPL accounting (1 mark maybe) and then move on.

Treasury accounting

Embedded derivative accounting is highly specialised. Specialist treasury accountants advising on the subject usually have many years of experience in derivative accounting before considering advising on the subject. The subject had not been examined for many years before this occurrence and it may be many more before the subject appears again. The examiner noted in the examiner’s report that very few students were familiar with this area. This is hardly surprising. It appears the examiner also is not familiar with this area. The question references a “negative fair value of 2 million euros”. But it would be unusual for a dollar entity with a currency derivative to use euros for valuation. A dollar entity can only have a dollar liability on the position statement. So a dollar entity would more usually chose dollars for valuation. There are other technical problems too. Embedded derivative separation is usually only relevant if the customer and supplier are using a currency other than their own. But there is no mention of the supplier here indicating perhaps that the examiner is unfamiliar with this. There are a huge number of specialist corners in financial reporting and if you chose financial reporting as your career it is highly likely that you will still be learning quirks and dark corners until you retire.

Exam

The important thing is to pass the exam. And so it is important to learn the broad basics of financial reporting that are examined regularly and be able to deliver answers on these heartland subjects confidently and quickly. When the examiner examines a dark corner, it is important that that you slap down some response based upon the little you do know and move on without fluster. Here is another example of an embedded derivative if the reader is interested:

Teddy bears

Embedded derivatives are most frequently identified when counter parties trade in a currency that is not the functional currency of either party. This happens particularly when UK buyers functioning in UK

pounds (GBP) buy from Chinese suppliers. The Chinese currency, the Yuan (RMB), is not easy for outsiders to get their hands on. So Chinese suppliers sometimes invoice in USA Dollars (USD). This kind of trade introduces a "hidden speculation" (or an "embedded derivative") that the UK buyer must separate (or "bifurcate") from the host. This leads to an example like this: An agreement by a GBP entity to buy teddy bears from a foreign RMB supplier at a fixed amount of USD is mostly a deal to buy teddy bears (the host contract) and partly a bet on currency movements (the embedded derivative). The embedded derivative is pulled out and its fair value measured in GBP at the point of signature and remeasured in GBP at the year end. The difference between the fair values at the two measurement points goes to the P/L. Actually even this is a vast simplification of the realities of embedded derivative accounting. IFRS 9 has detailed tests for the identification of embedded derivatives and then further exemptions that allow entities to ignore embedded derivatives even when present. So it appears that the Crypto contract with a euro supplier invoicing in euros does not have an embedded derivative. Even if there was an embedded derivative Crypto might be able to use an exemption to ignore it.

Moral

The moral of this story is "don't get sucked into crazy nonsense – just slap down some reasonable comments and move on".

(b)

(i)

Lessees

Most entities are lessees. Most entities lease assets from owners and use them for a period in exchange for money. So most FS that investors will see will involve lessee accounting.

Right of use

Lessees use a right of use model. This means that every time the lessee signs a lease the lessee measures the fair value of the obligation by using discounting and uses this figure to recognise a liability and a corresponding asset.

All leases

This right of use model is used for all leases. So it is difficult for a lessee to manipulate the information to avoid the lease liability.

Subsequent accounting

After initial recognition the asset and liability go their separate ways. The asset is PPE and follows PPE accounting which records depreciation and allows for impairment. The liability is effectively a loan and so accrues interest but also reduces as the instalments pay off the balance.

Previous standard

The previous lease standard allowed many lessees to ignore many lease liabilities. This was often referred to as "off balance sheet finance". The new standard forbids this.

Investors

So the key change that an investor investing in lessees will experience is that the investor will no longer need to guess at the amount of liabilities hidden off the balance sheet.

(1 mark per point)

Tutorial note

The previous standard referred to in the question was IAS 17. This standard went off the ACCA syllabus in September 2017 when it was replaced by IFRS 16. So it seems most unfair that this question appeared to examine in March 2019 a subject that was last examinable in June 2017 almost two years previously. However, complaining about unfairness does not score marks in an exam. It seems likely that SBR will continue to examine content with questionable syllabus authority. Successful students will be prepared to take clues from the question and roll with those. In this case the clue that the previous standard allowed for "off balance sheet liabilities" was in the requirement to (b)(ii). Students are advised to be prepared to battle on in SBR no matter how unfair questions may seem.

(ii)

Effect on balance sheet

The adoption of IFRS 16 causes liabilities that were previously off balance sheet to come onto the balance sheet. This will cause both assets and liabilities to increase.

Effect on P/L

The recognition of the asset will cause depreciation to hit the P/L. The recognition of the liability will cause interest to hit the P/L. But the old simple charge of the cash flow rent to the P/L under the off balance sheet standard will go.

Effect predictions

The effect of adopting IFRS 16 will be different for different entities. Taking the rent charge out the P/L and putting the depreciation in will have a positive or negative effect depending upon whether rent or depreciation is larger. So only suggestions of effects can be made.

EBIT to interest expense (interest cover)

The liability interest will hit the P/L. The interest on the bottom of the ration will go up. This ratio is likely go down under IFRS 16.

EBIT to Capital Employed (ROCE)

Capital employed is debt plus equity. The leap up in debt will make the bottom of the ratio go up. This ratio is likely to go down under IFRS 16.

Debt to EBITDA

The debt will leap up upon adoption of IFRS 16. This ratio is likely go up under IFRS 16.

(1 mark per point)

4. Zedtech

(a)

(i)

2018 Criteria from the conceptual framework

An asset or liability must:

- Fulfil the definition of an asset/liability
- Present relevant and faithful information
- Deliver information for benefits that exceed costs

Framework Criteria

The above criteria are NOT the criteria that accountants use for the recognition of assets and liabilities. Preparers must use the criteria in each relevant standard. So accountants use the criteria in IAS 12 when recognising deferred tax.

IASB utility

The criteria above are the criteria that the IASB say that they will use when developing standards. So any time an area of financial reporting comes under development the IASB say they will use the above to improve the recognition criteria in the standard.

Definition

The definition of an asset/liability in the 2018 framework is essentially unchanged from the 2010 framework and can be paraphrased as follows:

“An asset/liability is a present controlled right/obligation to a future inflow/outflow of resource represented by economic benefit.”

Relevant

The IASB have highlighted relevance in the tests to target the audience of the FS. The key to good financial reporting is to give users useful information.

Faithful

The IASB have included faithful in the tests because useful information must be honest. Useful information tells the user the story as it really is.

Cost/benefit

The IASB has included this test to address the issue of clutter. There is a tendency for some users to want everything even when they never use it. The IASB has conducted research in this area (on pensions disclosure in particular) and has been shocked that users ask for information that they readily accept they will never use. The cost/benefit criteria allows the IASB to cut out this clutter.

(1 mark per point)

(ii)

IAS 12

IAS 12 requires the recognition of deferred tax based upon temporary differences. As the prefix “deferred” suggests this is tax that may become a real corporation tax obligation in the future.

Problem with IAS 12

The problem is that deferred tax is not a “present obligation”. Deferred tax liabilities do not match the definition of a liability given in (a)(i) above. So it is highly questionable that DTL present “relevant” or “faithful” information.

IAS 37

IAS 37 uses the “probable” criteria taken from the old framework. A provision is only recognised when the outflow is “probable” (>50% chance).

Illustration

To illustrate: the standard requires we exclude from the balance sheet a 40% chance of \$100m flowing out in damages in a court case. We effectively treat this as a nothing. But a 40% chance of \$100m flowing out is clearly not nothing.

Problem with IAS 37

The fundamental problem is this makes no sense. This accounting clearly understates the potential outflows of the entity. This recognition is not faithful to the story and hides relevant information from users.

IFRS 3

But there is a consistency problem with IAS 37 also. IFRS 3 requires that everything in the goodwill schedule is measured at fair value. This includes the subsidiary assets and liabilities.

Illustration continued

This means that when a parent buys a sub that has a 40% chance of a \$100m damages outflow then the sub ignores the liability on the sub balance sheet [IAS 37] but the group includes the same potential outflow at fair value as a \$40m liability [IFRS 3].

Business combination inconsistency

So the sub and the parent report the same court case differently. This is clearly inconsistent and requires the complexity of fair value adjustment (FVA) to manage the accounting for the problem.

(1 mark per point)

(b)

(i)

Revenue

Revenue recognition requires five steps:

- The fulfilment of contract criteria
- The separation of obligations
- The measurement of price
- The allocation of the price between the obligations
- The recognition of revenue either at a point or over a period.

Contract criteria

Zedtech will need this first step to solve the \$3m sale. In order to move to the next step in revenue Zedtech must show:

- Probable collectability at delivery
- Identifiable rights and obligations
- Substance in the contract
- Authorisation by the counter parties

Collectability

The particular contract criteria of relevance to Zedtech is collectability. At the point of revenue recognition, the supplier must be able to show that the revenue is likely to be collectible in full.

Bad debts

Of course it is not good if a customer goes bust after delivery. But this does not undermine the reality of the sale. So this event is recorded as a bad debt allowance (ECL) against the receivable. But if the revenue is not recoverable even at sale then the sale is not revenue at all.

Obligations

The other step relevant to Zedtech is obligations. The application of the idea here is often referred to as “unbundling” as the process breaks a bundled transaction with multiple components into those component parts.

Separable

The trick is to look for “separable” components in the deal. These are components that the customer is able to purchase separately even if they buy the whole bundle as one.

(1 mark per point)

(ii)

Inventory packages

The solution to the revenue recognition problem for both inventory packages uses the technique of unbundling. To solve the two problems Zedtech must assess whether the component parts can be bought separately.

Inventory

The scenario tells us that “each element of the package can be purchased without effecting the performance of any other element.” Therefore, Inventory must be separated into those separate obligations.

Inventory continued

Then Zedtech must measure the one price that the customer actually agrees for the bundle of products. Then Zedtech must allocate that one price between the separate obligations.

InventoryX

The scenario tells us “the hardware is integral to the delivery of the hosted software.” So this is just one product. The scenario tells us “the professional services can be sold on a stand-alone basis”. So this is another separate product.

InventoryX continued

So there are two obligations. The one price that the customer agrees will be allocated as appropriate to each.

\$3m

The problem with the \$3m revenue is that it is clear even before delivery that the \$3m sales price does not represent the expected cash inflow. Even before delivery it is expected that 20% will never turn into cash.

\$3m continued

So this 20% of \$3m fails the probable collectability test in the contract criteria. The planned invoice price of \$3m overstates the true revenue.

Steps

So the revenue carried from step one (contract criteria) to step two (obligations) is \$2.4m. If the customer actually pays the whole \$3m then the extra \$0.6m will be recognised as revenue when received. If the customer only pays \$2.1m then a bad debt allowance of \$0.3m will be recognised later.

(1 mark per point)

1. Luploid

(i)

(i)

Fair value is the transaction price between market participants at the measurement point. So FV is based upon transactions between buyers and sellers in an active market.

This uses a hierarchy as follows:

Level 1: exact equivalent active market price

Level 2: approximately equivalent transaction price

Level 3: unobservable inputs into financial markets

All factories are different. So level 1 is unavailable. But similar factory site transactions have occurred recently. So level 2 inputs should be used to value the factory.

The factory is a factory and not a residential development. But when measuring FV the behaviour of the buyer and seller must be considered. It seems that a buyer would be prepared to buy the factory for its residential potential. It seems that if Colyson sold the factory it would be for the residential potential.

This is captured in a concept called “highest and best use”. But it is important to understand that this concept derives from market behaviour between participants. The concept only applies because sellers will usually sell to the highest bidder. And the highest bidder will be the buyer who has the best use in mind.

So the fair value will be based upon the \$24m for the land. But the factory on the land has to be knocked down before the land can be further developed. So a buyer is likely to offer only \$23m (\$24m less \$1m demolition costs). So an estimated FV of \$23m seems reasonable.

This is completely irrelevant to the FV of the factory. Any buyer buying this site will knock the factory down and build houses. No buyer is going to knock the factory down and build another similar factory.

(1 mark per point to a maximum of 7 marks)

(ii)

			\$m	\$m
FV of consideration	80%		90	90
FV of NCI	20%		22	20% × 88
FV of NA		65+23(above)	(88)	(88)
Goodwill			24	19.6
				(3 marks)

Impairment

276

Goodwill impairment

When a subsidiary underperforms this results in a fall in value of the business. In this context the business is called a “cash generating unit” (CGU). The impairment is allocated first to individually impaired assets and then to goodwill and then to other assets if the impairment is sufficiently deep to wipe out goodwill.

Other assets

The impairment to other assets is allocated on a weighted average basis. But this is limited by FV. No asset is ever impaired below the value it could attain in the market.

Full goodwill vs partial goodwill

The full goodwill is the entire goodwill. The partial goodwill is only part of the goodwill. In fact, partial goodwill reflects only the controlling interest. All the other assets on the balance sheet are stated in full. So partial goodwill is a number that is inconsistent with the other asset measurements on the balance sheet.

Effect on impairment

This means that the measurement of impairment for partial goodwill is difficult. There are no rules in this area but one solution is to gross the partial goodwill up to a notional goodwill and measure the impairment that way. But there are other methods equally acceptable.

(1 mark per point for discussion to a maximum of 5 marks)

Full goodwill impairment

The allocation of the impairment is summarised in this table:

	Notes	Before Imp	Impairment	After Imp
	<i>Not required for the marks</i>	\$m	\$m	\$m
Goodwill	<i>Impaired second</i>	{above}24	{written off}{24}	0
Land and buildings	<i>Impaired first down to recoverable value and then cannot be impaired further</i>	{given}60	{given} (4)	56
Plant and machinery	<i>Impaired third Once \$4m and \$24m written off then only \$2m of \$30m impairment remains. This is allocated weighted average</i>	{given}15	$\{\$2m \times 15 / (15+9)\}$ (1.25)	13.75
Intangibles other than goodwill	<i>Impaired third Once \$4m and \$24m written off then only \$2m of \$30m impairment remains. This is allocated weighted average</i>	{given}9	$\{\$2m \times 9 / (15+9)\}$ (0.75)	8.25
Current assets	<i>at recoverable amount so unimpaired</i>	{given}22	0	22
	<i>Calculate impairment of \$30m to start</i>	<u>{add down}130</u>	<u>{balance}{30}</u>	<u>{given}100</u>

(4 marks for numbers)

Tutorial note

The above is a variation upon the Class Notes question AB in non-current assets. It is not as difficult as it looks and is worth reviewing as the answer can be delivered in 4 marks times 1.8 minutes per mark. The trick is to show no explanation and therefore remove all the content in the curly brackets. This content is shown purely for tutorial purposes and is not required to score full marks. However, any student reviewing this and identifying that they are unable to complete this in 7 minutes would be well advised to take this as a general lesson: Pass SBR using your words.

Partial goodwill impairment

The allocation of the impairment is essentially the same for partial goodwill as for full goodwill. But there is a new line for “notional goodwill”. The table then looks like this:

	Notes	Before Imp.	Impairment	After Imp.
	<i>Not required for the marks</i>	\$m	\$m	\$m
Goodwill	<i>Impaired second</i>	{above}19.6	{written off} (19.6)	0
Notional goodwill	<i>Impaired second</i>	$\{\$19.6m \times 20 / 80\}$ 4.9	{written off} (4.9)	0
Land and buildings	<i>Impaired first down to recoverable value and then cannot be impaired further</i>	{given}60	{given} (4)	56

	Notes	Before Imp.	Impairment	After Imp.
Plant and machinery	Impaired third Once \$4m and \$24m written off then only \$2m of \$30m impairment remains. This is allocated weighted average	{given}15	$\{\$2m \times 15 / (15+9)\}$ (1.25)	13.75
Intangibles other than goodwill	Impaired third Once \$4m and \$24m written off then only \$2m of \$30m impairment remains. This is allocated weighted average	{given}9	$\{\$2m \times 9 / (15+9)\}$ (0.75)	8.25
Current assets	at recoverable amount so unimpaired	{given}22	0	22
	Calculate impairment of \$30m to start	<u>{add down}130.5</u>	<u>{balance}{30.5}</u>	<u>{given}100</u>

(2 marks for numbers!!!)

Tutorial note

The mark allocation for partial goodwill CGU impairment is 2 marks. This is a lot of work for 2 marks. So students would be well advised not to attempt the impairment of the partial goodwill until the whole of the rest of the exam has been done.

The allocation of the impairment is essentially the same for partial goodwill as for full goodwill. But there is a requirement to cope with the partial goodwill being only part of the goodwill and the other assets like land and buildings being stated in full. The partial goodwill shows controlling interest goodwill whereas other balances are stated in full. One way of coping with this anomaly is the slot in a line for "notional goodwill". This is a ghost balance that can be taken to mean the NCI goodwill that the partial goodwill has ignored. So it is calculated on the basis that 80% of the goodwill is the \$19.6m. So the NCI 20% must be 20/80 of the \$19.6m. This is far from perfect but doing anything with the partial goodwill is challenging because partial goodwill does not make sense.

Final tutorial note

This question has much in common with other questions with numbers and narrative. The easy marks are in the narrative explaining the principles. The harder marks are in the numbers. As accountants we often try to communicate with numbers. But in this question prioritising the numbers would result in very few marks very slowly. So pass SBR by using your words!

(c)

(i)

Fair values in acquisitions

All the entry values in an acquisition should be measured at fair value. This includes the consideration. The fair value is the market value at the acquisition date.

Deferred shares

The deferred shares are guaranteed. It is difficult to know why a seller would be prepared to wait a year for their shares. But the fair value of the promise of one share in a year is probably similar to the fair value of one share now.

Deferred share consideration

A reasonable estimate of the basic share consideration could therefore be estimated as follows:

$$\text{FV of basic consideration} = 60\% \times 10m \times \$30 \times 2/5 = \$72m$$

(1 mark per point to a maximum of 3 marks)

Tutorial note

Discounting the share value is not appropriate. Discounting cash flows works for cash flows but these deferred shares are shares. Also making up a guess for the future value of the shares will be difficult to justify. Research has shown that market movements are difficult to predict. So it is reasonable to use the current share value as a proxy for the fair value of a promise now of a share in one year.

Employee SBP

The fair value of the employee SBP buyout consideration is as follows:

FV of employee consideration = $\$15\text{m} \times 3/5 = \9m

(1 mark for 1 point)

Tutorial note

The employee SBP component of this question is complex. It is unlikely that a student investing time in this would get a good return given the very few marks available. However, the story goes like this:

The SBP has vested but the employees had not exercised. This means that the employees had finished their required loyalty period but had not actually got their shares. But because they had the right to shares IFRS 3 considers them to be effectively shareholders. Therefore, payments made to these employees to close their SBP are effectively payments of consideration to shareholders. It is usual that employees in this position are paid off in cash often before the actual acquisition is transacted. Indeed, it is normal for SBP contracts to state that an acquisition precipitates the SBP being paid out in cash.

But this vested SBP has been paid by the employees receiving new SBP in the new company. The new SBP has a term of two years. This new SBP must be partly to motivate employees to continue to work for Hammond under the new management for the next two years. But it has been swapped in exchange for the old SBP. So it must be partly for the old SBP too. The new SBP is valued at \$15m. So the question arises as to how much of the \$15m was to get the employees to give up their old SBP and how much is to get the employees to continue to work for the new group for the next two years. Various methods could be used to split the \$15m but one is to use the years as a guide. The old SBP was for the 3 years before the acquisition and the new SBP is for the 2 years after the acquisition. So it could be argued that a 3/5:2/5 split of consideration for old SBP to consideration for future labour is reasonable.

It should be remembered that the whole question is only 4 marks and 3 of those can be earned by looking at the deferred consideration. Therefore, the SBP consideration is of questionable value.

Further tutorial note on the commercial issues

The question tells us, "At 1 July 20X7, the employees had completed their service period but had not yet exercised their options." One might question, "Why had the employees not exercised their options?" Imagine this was you and you had the chance to benefit from an acquisition of your company and you could have shares just by exercising your option. Imagine that you could have shares in Hammond and then sell those shares to Luploid during the acquisition. Imagine that you then say, "No thanks. I don't want to be a shareholder and make money from my options". The next reasonable question would be to ask, "Why would you do that? Why did you sign the SBP options scheme in the first place if you did not want to benefit from the scheme?" These reasonable questions regarding the commercial sense of the scenario are entirely unaddressed by the question and answer. The answer should of course reflect the accounting and the accounting should reflect the commercial "substance" as we call it in financial reporting. So this further reinforces the message that overthinking this question and answer is unlikely to reward a student.

(ii)

Share based payment expense

SBP expenses in any year are measured by comparing the opening obligation to the closing obligation. The obligation at a measurement point is as follows:

SBP obligation = number of rights expected to vest * fair value * timing ratio

Fair value

The fair value of the options used in the SBP obligation measurement is the fair value at the grant date. So subsequent changes in fair value of options is ignored.

Vesting conditions

“Vesting” means fulfilling the terms of the SBP. The principle vesting condition used in essentially all SBP is that an employee must remain in continuous employment for the vesting period. So options vest when the option holder gets to the end of that period.

Number of rights expected to vest

It is the vesting conditions that give rise to the “number of rights expected to vest” in the obligation measurement. Those employees expected to leave are expected to fail the vesting conditions. This is why the 10% and then 4% expected to leave are excluded.

SBP movement

The movement is as follows:

		\$m
Acquisition	$[100 \times 10,000 \times (100\% - 10\%)] \times \$20 \times 3/5$	10.80
SBP Charge	{balance}	4.56
Year end	$[100 \times 10,000 \times (100\% - 4\%)] \times \$20 \times 4/5$	15.36

Tutorial note

There is a lot of dense SBP information in this question. The exam answer appears to contradict the question. First the question says, “The fair value of the options granted at 1 July 20X7 was \$15 million.” Then the answer says, “The fair value of the replacement scheme at the grant date is \$18 million”. There are other issues also. The answer appears to ignore the changing information regarding the expectations of staff leaving. Therefore, a wise student approach to this question would be to attempt to show broad understanding of the operations of SBP without overly attempting to unravel the complexities.

2. Stent Co

(a)

Cash advance**Aggregation**

A liability may only be set off against an asset when a right of set off exists [IAS 1]. This can apply to an asset bank balance and an overdraft bank balance with the same bank and the right to sweep one into the other.

Advance

This does not apply to the advance. The advance is a receipt from one customer and the receivable balance is due from other customers. The advance must be shown as a liability.

Loan

Deferred income is a liability balance appropriate to cash advances that are received from customers and then settled by the supplier supplying product [IFRS 15]. This liability will be settled by Stent paying Budster back in cash. The balance is a loan liability.

Related Party Disclosure

Transactions between parties related by control or influence must be disclosed. The FD clearly has influence over both Stent and Budster. So the related party transaction must be disclosed.

Preference shares**Equity**

This is defined by the characteristic “no contractual obligation to transfer cash”. Essentially equity is a credit balance which is not a liability [IAS 32].

Obligations

Stent has various obligations to the preference shareholders. Stent must pay the 7% annual dividend and Stent must pay back the original \$2m if required by the shareholder. The preference shares must be classified as debt in liabilities.

Debt/equity split

It is possible there is a small element of equity hidden in the \$2m received. This would be identified by discounting the cash outflows down to present value and comparing to the \$2m inflow.

Journal

If the DCF revealed a FV of debt of \$1.9m, for example, then the double entry would look like this:

Dr	Bank	{cash inflow}	\$2m
Cr	Liabilities	{from DCF}	\$1.9m
Cr	Equity (OCE)	{balance}	\$0.1m

Deferred tax asset**Deferred tax**

DT is based upon temporary differences between financial accounting carrying value and tax base. Losses do indeed result in a deferred TA asset (DTA).

Recoverability

But like any asset a DTA has to be recoverable. There has to be the expectation of the recovery of benefit. DTA benefit is derived from the related losses being set off against future tax profits and thereby less tax is paid.

Budgets

Unless there is clear evidence of Stent making a profit in the near future then there is a question mark over the DTA recoverability. The DTA should be written off.

(b)

Integrity

The FD is qualified. Knowing that a liability cannot be set off against an unrelated asset is very basic accounting. It seems highly unlikely that the FD does not know this. But the FD is insisting upon the set off. So it appears the FD has questionable integrity.

Objectivity

The quote from the FD regarding the “security of our jobs” is evidence of compromised objectivity. The FD is more concerned about keeping jobs than in reporting the position and performance faithfully.

Professionalism

The statement that “all these accounting treatments must be made exactly as I have suggested” has threatening overtones. This appears to be workplace bullying. This is evidence of questionable professionalism.

Action (1) Persuasion

The accountant should first try to persuade the FD to see sense. This would be done by drawing the FD attention to the relevant IFRS. This does not appear likely to work.

Action (2) NEDs

The accountant should seek the support of a sympathetic director. This would ideally be via the audit committee. But without an audit committee the accountant might be forced to speak to a NED.

Action (3) Whistleblowing

The accountant should consider approaching a lawyer with a view to going to the press. This is what happened in Patisserie Valerie and that intervention prevented Patisserie Valerie from further slipping into the red before it went insolvent.

Action (3) Job

It appears that Stent is an environment with questionable ethics and a business with a questionable future. The accountant should consider looking for a new job.

3. Digiwire Co**(a)****(i)****Revenue recognition**

The revenue should be recognized over the period if it is from one of three sources. The sources are revenue with no alternative use or revenue on a customer controlled asset or revenue with simultaneous supply and consumption.

Simultaneous

There is simultaneous supply and use of the music catalogue. So the revenue should be recognized over the three years.

Fair value measurement

This uses a hierarchy:

Level 1: exact equivalent active market price

Level 2: approximately equivalent transaction price

Level 3: unobservable inputs into a financial model

Level 2

The shares are unlisted and so could be valued approximately as follows:

$$FV = \$4.5m \times 7\% = \$315k$$

Journal for share consideration revenue

The first year journal should be as follows:

DR Investment \$315k

CR Revenue $315 \times 1/3$ \$105k

CR deferred income 210

Royalty revenue

This too should be recognized over the period as the Clamusic customers play our music.

$$\text{Revenue} = 5\% \times 1m = 50k$$

Journal for royalties revenue

The first year journal should be as follows:

DR receivables \$50k

CR Revenue \$50k

Conceptual framework

The above uses the concept of the asset. An asset is a present controlled right to a future inflow of resources.

Contract

It is the contract that gives Digiwire the right to the \$50k. So this asset does appear to accord with the conceptual framework.

(1 mark per point to a maximum of 9 marks)

Tutorial note

Like any SBR there are loads of other points that could be made as alternatives to the above. Here are a few. And of course the valuation of the share consideration could be estimated differently depending upon assumptions.

Other points available for marks:**Share consideration**

However, the share consideration is delivered to Digiwire at the start of the contract. So at delivery the following is recorded:

Dr Investment \$xm

Cr deferred income \$xm

Investments

Financial asset investments are carried in the balance sheet at fair value. However, gains and losses go either to P/L (intent to trade = FVPL) or OCI (intent to keep = FVOCI).

Intent

The intent is not clear. But it seems that Digiwire has taken this large minority stake in Clamusic with the intent to keep the investment long term. So the classification FVOCI would appear reasonable.

Professional valuation

The professional has used a "market-based approach". The valuer has come up with a range of valuations for the whole company by comparison to a comparable listed entity. This appears to use level 2 inputs and is a reasonable basis.

Controlling interest

However, the valuation range is based upon a "controlling interest" in a "listed company". The 7% in Clamusic is neither. So it appears reasonable to use the valuations at the bottom of each range issue and then again at the year end.

Conceptual framework

A key requirement of the new framework [Conceptual Framework (2018)] is that assets and liabilities should be recognised if the information is relevant to users and faithful to the substance and benefits exceed costs.

Fulfilment

The recognition of the \$50k receivable would appear to accord with the above as the shareholders will want to know about money earned on royalties (relevant) and the basis of the contract is 5% of Clamusic sales (faithful) and the cost of this information is minimal (benefits > costs).

(b)

(i)

Joint Arrangement (JA)

A joint arrangement is defined by joint control which is the power to direct activities divided between two or more investors with unanimous consent. This means that decisions must be made by all the investors working in agreement together.

FourDee

The two investors have agreed to "unanimous vote". FourDee is a JA. So next question is whether the JA or a JV or JO.

JV v JO

The difference between a joint venture (JV) and joint operation (JO) is essentially decided by incorporation. A JV is incorporated and a JO is unincorporated. The scenario refers to "shareholding" and "Co". So FourDee is incorporated. So FourDee is a JV.

Equity accounting

JVs are carried using equity accounting. So Digiwire will carry FourDee at cost plus share of growth.

Cost

The cost of the initial investment in the JV is the transfer of the cryptocurrency and the office building. The cost to Digiwire is the fair value of the two assets. So \$14m (4+10).

(ii)

Sale

Digiwire has lost control of the cryptocurrency and the office building. Absolute control and joint control are not the same at all. And so the transfer of the assets outside of the group is effectively a sale.

Profit

So a profit on disposal of the two assets should be recorded:

			\$m
Sale proceeds	(fair value transferred to FourDee)	(4+10)	14
Exit carrying value		(3+6)	9
Profit			5

PUP

However, the old standard on equity accounting (IAS 28) argues that this profit is partly unrealised. This double think is questionable because the standard argues that the JV is outside the group and therefore the sale to the JV is real but that the profit is not real. The standard does not explain how or why the provision for unrealised profit (PUP) is calculated or how it is recorded. But assuming 50% is unrealised in line with the ownership seems reasonable.

(iii)

Financial assets

Financial assets have counter parties [IFRS 9]. So in a loan there is always a lender and a borrower.

Cryptocurrencies

There is no counter party to FourDee in the cryptocurrency deal. Nobody owes FourDee the \$4m fair value. So cryptocurrencies are not financial assets.

Intangibles

These are assets that cannot be touched. FourDee cannot touch the cryptocurrency. So the classification as an intangible seems to work.

Purchase

Purchased intangibles are recognised when purchased. FourDee effectively purchased the intangible from its investor when Digiwire invested the asset at incorporation. So initial recognition at fair value as the effective cost seems reasonable.

Revaluation

A revaluation policy for an intangible is only permissible for assets with an "active market". An active market is one with large volumes of transactions in identical assets. All the cryptocurrency units are identical and the market in cryptos is very active. So the revaluation policy would seem appropriate. So any gains that FourDee make next year will go to OCI.

(1 mark per point to a maximum of 9 marks)

(c)

(i)

Tutorial note

There are many amendments to IFRS every year and it is difficult for students to know the IFRS in detail and then further learn which bits changed from one year to the next. So the trick is to answer the question using the question. Using this technique, the student would explain what an "amendment" and

a “curtailment” and a “settlement” are in the context of pensions for a mark. Then say that “net interest” and “service cost” were changed to better faithfully reflect the substance of pension changes for a mark. This can all be taken straight from the requirement without any prior knowledge. A student could then score a potential 2 marks out of 3 marks without any idea of the actual IFRS amendment.

Amendment and curtailment and settlement

An “amendment” to a pension contract occurs when the two parties change the terms of the deal. A curtailment of a pension occurs when a pension fund is closed. A “curtailment” usually involves a payout and this is referred to as a “settlement”.

Amendment to amendment accounting

Confusingly the IASB issued an amendment to the accounting for pensions amendments. This was motivated by a desire to promote consistency and faithfulness of the reporting of interest and service cost.

Details

Prior to the IFRS amendment some entities were ignoring the changes in interest implied by a plan amendment. In other words, they were amending the liability at the plan amendment but were ignoring the new interest rate implied by the amendment and charging interest based upon the year start rate. The IFRS amendment clarified that a liability must be unwound using the discount rate used for discounting. So a pension amendment resulting in a new liability results in a new interest rate too.

(ii)

Tutorial note

Again a student should not allow a lack of detailed knowledge stop the delivery of a reasonable answer. All that is required here is that we use the information in the scenario.

Service cost

The service cost charged to the P/L each month would simply reflect the actual service charge in each month. So up to the curtailment the full charge would be charged every month. After the curtailment the reduced charge would be charged each month.

Charges

So the charges per month would be:

Months	\$m per month
January to August	9
September to December	6

Interest

The net interest charged to the P/L would simply reflect the unwinding of the net liability for the two periods. So the opening liability would be unwound using the opening rate up to curtailment. Then the curtailment liability would be unwound using the curtailment rate up to the year end.

Charges

So the charges over the year would be:

Months	Liability at period start \$m	Discount rate at period start %	Months	Interest \$m
January to August	30	3.0	8/12	0.60
September to December	36	3.5	4/12	0.42

(4 marks)

Prior to the IFRS amendment

Prior to the IFRS amendment many entities were doing the obvious as above. Many entities were accommodating the changes implied by the curtailment. But some entities were not. These entities were ignoring the changes and charging the same monthly rates both before and after the curtailment.

(1 mark per point to a maximum of 4 marks)

4. Guidance Co

(a)

Policy choice

Various IFRS allow a choice of treatment. When presented with a choice an entity is required to select the choice that most faithfully reflects the substance of the entity. Once this choice is made then it becomes “policy” and should be applied consistently from year to year and across similar items.

Choices

The two most particulate choices relate to goodwill and PPE. There is a choice of treatment of NCI in group accounting leading to full or partial goodwill. There is a choice of revaluation or not for PPE leading to FV PPE or Cost PPE.

Selection

The policy choice should be selected in order that the FS most faithfully reflect the performance and position of an entity. However, there is always the danger of director bias towards director benefits.

ROE

One particular ratio that directors might be keen to show in a good light is ROE. An entity keen to keep ROE high might select partial goodwill and cost PPE as both minimise the equity on the bottom of ROE and therefore maximise ROE.

Comparability

Comparability is a characteristic of useful information. Information is comparable if it is prepared using the same underlying logic. Clearly comparability is undermined if Tesco use FV PPE and Sainsbury’s use Cost PPE.

Faithfulness

Information is faithful when it conveys the substance of a transaction. Full and partial goodwill take very different views regarding the valuation of NCI. It is difficult to see how both can be faithful to the nature of goodwill at the same time.

(b)

(i)

ROE

ROE is a popular ratio because in theory the ratio is literal: it tells shareholders the return they are getting on their equity invested. The main problem is that the equity value used traditionally in ROE is taken from the balance sheet and may not reflect current market value.

Net profit/sales

The above is a profit ability ratio. In theory this tells shareholders how much of the sales value comes out as shareholder value. But in practice can be undermined by revenue recognition manipulation.

Sales/Assets

This is an efficiency ratio. In theory the ratio tells users how efficiently an entity uses its assets. But in practice the ratio can be undermined by a cost PPE policy.

Assets/equity

The above ratio is a close relative of gearing. A ratio of one means the entity has no debt of any sort. The value of this ratio is undermined because both the figures are unlikely to reflect the fair value.

(1 mark per point to a maximum of 3 marks)

	20X5	20X6
Net profit margin	15%	17.3%
Asset turnover	0.8	1.05
Equity ratio	1.43	2.1
Return on equity	17%	38%

(1/4 mark per ratio to a maximum of 2 marks)

(ii)

SPE**Control**

Control is the power to direct activities. When a parent has control over another entity then that other entity is a sub and must be consolidated. The scenario tells us that "Guidance had no intention of consolidating the SPE". This means that Guidance intends to record the transfer of property in the group FS as if the sale had been to an outsider.

Managed

The scenario tells us that Guidance "managed" the property after the transfer. This means that Guidance has control over the SPE and that the SPE should be consolidated as a sub. So the internal transfer of the property from the parent to its sub should be removed from the group FS entirely.

(2 marks)

Buy back**Share buy back**

This is a capital market technique used by many entities with lots of cash when the entity believes the entity share price is cheap. Microsoft in particular have had a history of regular share buyback.

Cancellation

And the transaction is simply recorded by a reduction in cash and equity. The problem lies in the non-comparability the share buyback introduces. An appropriate response may be to reverse the buyback for comparability purposes.

(2 marks)

Loan capital**Loan Issue**

The loan issued resulted in increased assets and liabilities. This transaction appears to have been appropriately recorded. However, it could be argued that the cash asset that flowed in and allowed the share buyback had a skewing effect on the ROE ratio.

No adjustment

However, the opposite could be argued. It could be argued that the ROE has not been effected by the loan issue. Therefore, no adjustment is necessary.

(2 marks)

Tutorial note

The logic of the exam answer adjustment for the share buyback and the non-adjustment for the loan issue appears highly suspect. The exam answer quote was as follows: "Guidance Co has raised loan capital of \$20 million during the period and this amount will not be included in the ROE calculations because ROE is based on assets as opposed to net assets." This appears to be a contradiction. A more internally consistent response would argue that it is because ROE is based on assets (which increase due to the cash) and not on net assets (which are unaffected by a loan issue) that ROE should be adjusted.

Associate

An associate is an entity over which the parent has influence. Associates are carried using equity accounting meaning that a share of growth is reported through the P/L and then lands onto the cost in the balance sheet.

Accounting

The Guidance accounting for the associate appears appropriate. However, it could be argued that the new associate skews comparison with last year and therefore the associate profit should be removed.

(2 marks)

Tutorial note

The exam answer quote in this context is as follows: "Guidance Co has included the profit from the purchase of an associate in the current year's figures. If the share of the results of the associate were excluded, this would allow Guidance Co's profitability to result exclusively from Guidance Co's asset base. It could be argued that the full value of the company's reported profit including the associate could distort the analysis of Guidance Co's performance as compared to the last financial year. There is no need to adjust for the original \$15 million investment in the associate because one asset is merely being replaced by another but the total assets remain the same." This again appears inconsistent. When the exam answer removes the associate profit from ROE but leaves the associate asset in ROE the exam answer delivers an inconsistent ROE. It is not clear why the associate must be removed at all. Guidance did buy an associate and it did make a profit. But it is even less clear why the exam answer removes the associate from the top but not the bottom of ROE.

This highlights a problem with the approach to this question. Students attempting this question would have been severely challenged to understand what the examiner wanted to be done with the miscellaneous items that were appropriately accounted for. So a sensible student approach would be to invest time in briefly analysing the accounting for the four items and ignoring the recalculation all together. This is a theme in SBR. Calculations often have few marks and little reward for great complexity. It is often the best approach in the exam to focus upon the narrative unless clear and easy numbers are present.

Adjusted amounts

	Original	SPE property	Shares	Associate	Adjusted
Net profit before tax	38			(4)	34
Sales	220				220
Assets	210	50	30		290
Equity	100	50	30	(4)	176

Adjusted ratios

	20X5	20X6 (adjusted)	20X6 (unadjusted)
Net profit margin	15%	15.5%	17.3%
Asset turnover	0.8	0.76	1.05
Equity ratio	1.43	1.65	2.1
ROE	17%	19.3%	38%

(4 marks for figures)

Tutorial note

The above calculations rest upon highly questionable logic and deliver few marks to the student that is able to perfectly read the mind of the examiner. A sensible exam approach to the above would be to ignore the numbers altogether and concentrate efforts upon making reasonable accounting points regarding the SPE and the miscellaneous items.

March 2020**1. Hummings****(a)****Functional currency**

The functional currency is the currency of the “primary economic environment” to use the language of the standard [IAS 21]. This means that the functional currency is the currency that dominates the functions.

Determination

So, the functional currency is determined by looking at the functions and the currencies of those functions. This means looking at the currencies the entity uses with its customers and suppliers.

Dollars

Subsidiary functions are sometimes dominated by their parent. This does not apply to Crotchet. Crotchet has independence from its parent and does not even have a dollar bank account. The functional currency is not the dollar.

Dinar

Most entities function in the currency of their head office. But this does not apply to Crotchet. Half the salaries are in dinars and receipts are held in dinar. But everything else happens in grommits. The functional currency is not the dinar.

Grommits

The sales and purchases and finance are in grommits. Grommits dominate the functions. The grommit is the functional currency of Crotchet.

(1 mark per point to a maximum of 5 marks)

Other points available:

Financial statements

The importance of the functional currency is that the T accounts and then the FS will be prepared in the functional currency. This means Crotchet will prepare FS in grommits.

Presentation currency

The grommit FS will then be translated into dollars for presentation to the parent. The parent will then consolidate the dollar Crotchet FS with the dollar group FS.

Tax

However, Crotchet must pay tax on its profits in dinars. Crotchet will need to negotiate with the dinar tax authorities to find a solution to this problem. One solution might be to present to the dinar tax authorities in dinar by translating the grommit FS to dinar.

Conclusion

This would mean that Crotchet would run its T accounts in grommits and prepare grommit FS from those records. Then translate into dollar for presentation to the parent and translate into dinar for presentation to the tax authorities.

Tutorial note

This idea that the functional currency is the currency that dominates the functions is simple. But it can have bizarre consequences like this. Crotchet is in dinar land but is dominated by grommits and so prepares FS in grommits. A similar result applies to Anglo American. This is a company that is incorporated in England and listed on the London Stock exchange. But Anglo American is dominated by US\$ and therefore prepares FS in dollars. And as the shareholders are prepared to accept US\$ FS, Anglo presents US\$ FS to LSE shareholders.

(b)

(i)

Goodwill

The key figure in an acquisition is goodwill which is calculated as follows:

FV of consideration	X
FV of NCI	X
FV of NA	(X)
Goodwill	xx

And as part of the process intangibles must be recognised in NA.

Separable

The key component required for the separate recognition of an asset in NA is that the asset must be “separable”. This means the asset must be capable of being sold separately.

Customer relationships

In the context of the Crotchet acquisition the potential separable intangibles are the several customer relationships. The scenario tells us that the relationships are captured in exclusive trade deals.

Conclusion

It is possible therefore that Hummings could sell the Crotchet trade deals to a new market entrant that wants an exclusive customer deal. So, the customer relationship intangible should be separately recognised.

Measurement

This would hit the group balance sheet as follows:

		\$m
Acquisition	(G15/8)	1.875
FX{to OCI}	(balance)	0.267
Year end	(G15/7)	2.142

(4 marks for 4 points)

Tutorial note

It is possible that Hummings could sell a Crotchet right to supply Crotchet customer X to another supplier. It is possible that the exclusive trade deals are separable from Crotchet. But it is possible to argue the exact opposite to the above. It is possible to argue that the customer relationships are incapable of being separated from Crotchet. Indeed, it is very reasonable to argue that the relationships could not be sold precisely because of the exclusive relationship with Crotchet that they represent. It is possible that Crotchet customers have signed these deals because they trust Crotchet. It is possible that the Crotchet customers would not accept another supplier. However, this answer logic misses a trick. The requirement asks “how” the customer contracts should be accounted for on the group financial statements. The requirement does not ask “whether” the customer contracts should be accounted for on the group financial statements. So, you can see the examiner has already made up his mind.

(ii)

Goodwill

The goodwill is calculated as follows:

	%	Working	Grommits
FV of consideration	80%	[\$24m × 8]	192
FV of NCI	20%	[\$6m × 8]	48
FV of NA		[43 + 15 + (50 × 2)]	(158)
Goodwill at acq			82
Impairment		[30% × 82]	(24.6)
Goodwill at year end			57.4

(3 marks)

FX

The FX is measured as follows:

		\$m
Acquisition	[82/8]	10.25
Impairment	[24.6/7]	(3.51)
FX	Balance	1.46
Year end	57.4	8.20

(2 marks)

Explanation of FX calculation

The goodwill hits the group balance sheet at acquisition and is measured on the group balance sheet at the year start in \$ using the year start rate. Then at the year end the goodwill is remeasured in \$ using the year end rate. The difference between the two measurements is the Sub FX. To complete the story for Crotchet we must also remember that part of the reason for the movement in the \$ goodwill value from the opening to the closing position is the impairment. So, we must throw that into the mix too.

Reporting

The impairment goes to the P/L and the FX goes to the OCI and the closing goodwill goes to the position statement. The mechanics of group reporting will take 20% of the impairment and the FX loss against the NCI.

(1 mark per point to a maximum of 6 marks for the requirement)

(c)

Control

Control is the power to direct activities and gives rise to a sub. Hummings has the *power* to direct activities and so is a sub. It is irrelevant that Hummings chooses not to direct activities.

Held for Sale

A sub is HFS if there is a clear intent to sell and the sub is available for sale and parent is looking for a purchaser and the sale is expected within 12 months of the measurement point.

Year end

The criteria all appear to be fulfilled at the year end. So the sub is HFS at the year end and is therefore classified "discontinued".

Year start

However, this sub appears to be HFS from the point of purchase at the year start. So the sub would be reported in a single line on the P/L labelled "discontinued".

(d)

Financial asset classification

FA are carried at amortised cost if they fulfil two tests. Otherwise FA are carried at fair value.

Two tests

An FA must be solely interest and principle (CF characteristics test) and held with intent to keep (business model test) for amortised cost.

Stave bonds

The Stave bonds only pay interest and principle. Hummings holds the Stave bonds with the intent to keep. So both tests are fulfilled. So amortised cost applies.

Measurement

Amortised cost means carrying the asset initially at initial FV and then unwinding. So the asset would hit the B/S at \$10m and then interest would be accrued at the effective rate of 8%.

Unwinding

So the unwinding over the one year since purchase would look like this:

Year	Opening	Interest	Instalment	Closing
1	10.00	0.80	(0.50)	10.30

Expected Credit Loss

It is a requirement that receivables are tested for impairment at each measurement point [IFRS 9]. The result is the “expected credit loss” which is the allowance for bad debts.

Presentation

Then the receivable is presented on the B/S after the deduction of the ECL:

Net (presented on B/S) = Gross (carrying value) – ECL

Year end last year

The bond was actually purchased on the last day of last year and so would be presented in last years FS as follows:

	\$m
Gross	10.000
ECL {given}	<u>(0.010)</u>
Net	<u>9.990</u>

Year end this year

The bond presentation this year is complicated by the increase in the risk of default and would be measured as follows:

	\$m
Gross	10.000
ECL {see below}	<u>(0.357)</u>
Net	<u>9.643</u>

Current ECL

The scenario gives us the methodology for the measurement of the ECL as follows:

	\$m
3% × \$463k	0.014
5% × \$6,859k	<u>0.343</u>
ECL	<u>0.357</u>

ECL

So the ECL movement for the current year is measured as follows:

	\$m
Opening	0.010
Charge to P/L	<u>0.347</u>
Closing	<u>0.357</u>

P/L

The increase in the ECL (aka “allowance for bad debts”) of \$0.347m would be charged to the P/L as a bad debts expense.

(1 mark per point to a maximum of 11 marks)

2. **Bagshot Co**

(a)

(i)

Provisions

A provision is required if all the following criteria are fulfilled:

- The outflow is measurable with reasonable reliability
- There is a present legal or constructive obligation
- There is a probable outflow

Legal obligation

The principle restructuring cost appears to be redundancy compensation. The legal obligation to pay redundancy compensation is incurred when an entity makes an employee redundant. There is no legal obligation for redundancy at the year end.

Constructive obligation

A constructive obligation is incurred when you tell the counterparty to expect compensation. The restructuring decision is secret. There is no constructive obligation.

Conclusion

There is no obligation to pay redundancy. A restructuring provision is not permissible.

Events after the reporting period

A non-adjusting EARP occurs when something happens after the year end that has no effect on the year end conditions. A non-adjusting EARP is disclosed.

Announcement

If an announcement is made before the FS are authorised, then this will be a non-adjusting EARP. So the plans would be disclosed in the FS.

(1 mark per point to a maximum of 6 marks)

(ii)

Good stewardship

“Stewardship” is the role that a director undertakes when the director runs the business on behalf of the shareholders and the wider community. So “good stewardship” is delivering on this role such that the shareholders and community benefit.

Difficult times

Difficult times require difficult decisions. It is possible that the redundancy of some of the employees will result in the survival of the company for the benefit of the remaining employees and the shareholders.

Errors

If a restructuring provision is recorded in the final FS then this would be a breach of IFRS. Delivery of FS with errors is a breach of good stewardship.

Leak

However, probably the worst breach of stewardship is the leak by the CEO to the accountant. This may result in a further leak of the potential plans to the wider staff and is likely to cause much stress and confusion.

(1 mark per point to a maximum of 4 marks)

(iii)

Related party disclosure

A transaction must be disclosed if it occurs between parties that are related by control or influence. The disclosure requirements require the disclosure of the transaction and the parties and the relationship.

Control

5% equity would usually result in 5% of the vote. This is way below the majority required under Companies Law for control.

Influence

Mrs Shaw is married to Mr Shaw and is likely to have influence over him. But Mr Shaw is not on the board and is unlikely to have influence over Bagshot. No disclosure is required.

(b)

Confidentiality

The CEO has breached confidentiality by revealing board plans to Mr Shaw. Mr Shaw is now in the difficult position of having to keep the secrets secret from his friends and nephew.

Competence

It appears the CEO does not understand the accounting for provisions. This would indicate questionable competence.

Integrity

However, the provisions accounting in this context is so simple that it is possible that the CEO does understand provisions accounting but wants to manipulate the FS. This would indicate questionable competence.

Action (1) Persuasion

The first action that Mr Shaw should consider is persuasion. Mr Shaw should consider trying to persuade the CEO to remove the proposed provision from the FS.

Action (2) Moving

Mr Shaw should consider moving job. It appears that Mr Shaw is working for a boss that manipulates FS and is flagrant with secrets.

(1 mark per point to a maximum of 5 marks)

3. Leria Co**(a)****(i)****Held for sale**

An asset is held for sale if there is clear intent to sell and the asset is immediately available and the seller is looking for a buyer and the sale is expected to be completed within 12 months.

Month end 30 November 20X6

The expected sale date is at the month end of 30 November 20X6. This is 13 months after the current year end of 31 October 20X5.

Year end 31 October 20X5

It appears that the criterion for expected sale within 12 months is failed. So the stadium should remain in NCA at the current year end.

(ii)**Provisions**

A provision is required if all the following criteria are fulfilled:

- The outflow is measurable with reasonable reliability
- There is a present legal or constructive obligation
- There is a probable outflow

Anticipated

The barrier is described as “anticipated”. There is no obligation for this improvement. So the provision should be removed. But it appears the provision has been “treated as a reduction of the asset’s carrying amount”.

Error

It appears that the following has been recorded:

Dr	operating costs (P/L)	\$2m
Cr	PPE	\$2m

Correction

So the journal to reverse this error would push the stadium carrying value up by \$2m from \$18m to \$20m at 31 October 20X5:

Dr	PPE	\$2m
Cr	operating costs (P/L)	\$2m

(iii)**Lease accounting**

The leasing standard says that before assessing the leasing in a sale and leaseback an entity must first consider whether the sale is real by using the revenue standard. This is referred to as testing the “substance” of the revenue.

Revenue accounting

The revenue standard [IFRS 15] argues that a sale is only a real sale if the sale transfers substantially all the asset risks and rewards to the new owner. The transfer of risks and rewards can be assessed by looking at relative lives.

Lives

The life of the leaseback is only 10 years. The life of the stadium is not given but is likely to be much longer. So it appears that sale really is a sale.

Sale

So it appears the sale of the stadium really is a sale and that the stadium should be derecognised during the transfer to the new owner. However, the sale takes place 13 months after the current year end of the 31 October 20X5. So first we have to get to the point of sale.

Depreciation

It appears the stadium will be in use for the next thirteen months and so depreciation is appropriate:

Stadium carrying value		\$m
31 October 20X5	18 + 2 see above	20.00
Depreciation (12 months)	20 × 5%	(1.00)
31 October 20X6		19.00
Depreciation (1 month)	19 × 5% × 1/12	(0.08)
30 November 20X6		18.92

Leaseback

Leria must now consider just how much of the value of the stadium is actually sold in the sale. The lease standard [IFRS 16] requires that Leria must measure how much of the value of the stadium is retained.

Value retained

The entire fair value of the stadium is given as £30m. The value retained is captured by the present value of the lease obligations. This is of course equal to the present value of the right of use asset. Thus the fair value of right of use asset retained is \$26m.

Proportions

Next Leria must measure the proportion of value retained. This is 87% (\$26m/\$30m). This means that Leria only actually sells 13% (100% - 87%) of the value of the stadium in the sale. The sale appears to be real but only 13% appears to be sold.

Sale

So the sale of 13% of the value of the stadium would be recorded as follows:

Dr	Bank	30.00
Cr	Lease liability	26.00
Cr	PPE {13% × 18.92}	2.52
Cr	Gain on sale (P/L) {balance}	1.48

This would then leave the remaining 87% of \$18.92m in PPE on the balance sheet to represent the value of the right of use for the subsequent 10 years.

Tutorial note

The timing of the year end on 31 October 20X5 and the sale on the 30 November 20X6 is separated by 13 months. The sale falls in the year ended 31 October 20X7 and the current year end is 31 October 20X5. The requirement is asking us to consider accounting that would normally be considered two years apart. This requirement has the potential to be confusing and therefore it would be reasonable for students approaching this question to look at this as an exercise in making as many relevant points as possible without expecting a cohesive answer to emerge under exam conditions.

Further tutorial note

The data in the question appears contradictory and therefore the answer is open to broad interpretation. For example, it is not explained how Leria can enter into a "sale contract" in the current year that "requires the disposal" without selling the stadium in that transaction. This contradiction could result in the reasonable assumption that the risks and rewards of the stadium have already transferred and that a sale should be recorded during the current year of 31 October 20X5. Further the years retained and the value retained appear contradictory. The years retained are only 10 years but the value retained is 87%. This 87% is a large proportion of the asset value and therefore a reasonable interpretation could be presented suggesting that the sale is not a sale but instead is a loan. There are many other features of this scenario that could result in further alternative interpretations and this reinforces the message that it would be reasonable for students approaching this question to look at this as an exercise in making as many relevant points as possible without expecting a cohesive answer to emerge under exam conditions.

(b)

(i)

Amortisation

Amortisation and depreciation are expenses that represent the cost of use of an asset. The pattern of depreciation or amortisation should be designed to best represent that pattern of use [IAS 38].

Use

Leria has identified "use" with "customer views" and identified the customer views with programme revenue. This appears reasonable. The programmes are made to attract viewers and make revenue.

Conclusion

The method of amortisation of the "content rights" appears reasonable.

(ii)

Intangibles

Intangibles are recognised when measurable and are measurable when purchased [IAS 38]. The players' registration rights are purchased. So the players' registration rights should be recognised.

Cost

When recognised intangibles should be initially measured at cost [IAS 38]. Cost is the consideration in bringing the asset into use [IAS 38.8]. Consideration is the amount paid to the counterparty.

Contingent costs

So the immediate consideration paid for the player must be capitalised. The consideration may include contingent consideration and this should be estimated and capitalised at purchase.

Bonus

The bonuses paid to players are paid to players. These bonuses are not paid to the former owner of the player. These bonuses are not consideration. Therefore, these bonuses are not capitalised as part of the cost of the intangible.

Expense

The bonuses paid to players are employee expenses and should be charged to the P/L as incurred. They are short term employee benefits and are expensed as incurred [IAS 19.11].

Impairment

An impairment occurs when the recoverable value of an asset falls below the carrying value. The recoverable value is the higher of VIU and FVLCTS.

Footballer impairment

Footballers can suffer an impairment when they suffer an injury or a drop in form. Either event would result in an impairment test requiring the measurement of VIU and FVLCTS.

FVLCTS

Fair value less cost to sell measurement would begin with a fair value measurement. This process could be based upon the FVM hierarchy.

Hierarchy

Fair value measurement [IFRS 13] acknowledges that there is a hierarchy in the reliability of inputs into FVM:

Level 1: exact equivalent active market price

Level 2: approximately equivalent transaction price

Level 3: unobservable inputs into financial models

Level 2

All footballers are different. So level 1 is unavailable. So the FVM would drop to level 2. The measurement of the FV of one footballer based upon the sale of another would be highly subjective. But it would be possible.

VIU

However, the measurement of value in use for a footballer would be difficult. VIU is the discounted present value of the net cash flows derived from using the footballer. But footballers do not generate income in isolation.

CGU

Which brings us to the cash generating unit. A CGU is the smallest unit of a business that is able to generate cash in isolation.

Footballers

Footballers are unable to generate cash in isolation. Footballers cannot man the turnstiles and sell burgers while playing football at the same time. The CGU in the football industry is the football club itself.

Conclusion

This would make the performance of an impairment test upon a footballer challenging. Leria may have to use FVLCTS as a proxy for recoverable value.

(1 mark per point to a maximum of 12 marks)

4. Ecoma Co

(a)

Sustainability

The concept of sustainability is the idea that the current generation of people alive today have a responsibility for the healthy maintenance of our world for the future generations of tomorrow.

Sustainability reporting

Sustainability reporting is the idea that the corporations that represent our industries and that consume the Earth's resources should communicate their efforts to minimise their impact upon the environment.

Disclosure

The Annual Report (AR) is made up of two components: The Financial Statements (FS) and the Management Commentary (MC). It is in the MC in particular where we find sustainability reporting.

Sustainability reports

The sustainability reports in management commentary take various forms. However, it is common for the reports to discuss the broad sustainability aims and the targets and the performance against those targets.

Communication tools

Entities use a wide range of tools to communicate their sustainability messages. Techniques like case studies and graphs and photos and flow diagrams are common.

Investor pressure

One of the key drivers driving the demand for sustainability reporting is investor demand. There is a growing body of ethical investors that will invest only in entities that show certain ethical standards. And the performance against these standards are assessed by users by analysing the sustainability reporting.

Government pressure

Another driver driving sustainability reporting is government pressure. Legislation requiring disclosure of sustainability information is common around the world.

Dirty businesses

It is dirty businesses in particular that are under the greatest pressure to report sustainability performance. Industries like oil and mining and power invest substantially in sustainability reporting.

(1 mark per point to a maximum of 8 marks)

(b)

(i)

Provisions

A provision is required if all the following criteria are fulfilled:

- The outflow is measurable with reasonable reliability
- There is a present legal or constructive obligation
- There is a probable outflow

Operating losses

The standard on provisions [IAS 37] states that an entity cannot incur an obligation to operating losses. Therefore, operating loss provisions are forbidden [IAS 37:63].

Lessee lease accounting

Lessees must recognise the present value of the obligation to pay rent as a liability and a corresponding asset. Thus Ecoma will have recognised the original liability when Ecoma originally signed the lease and this will mean that the obligation to pay the remaining two payments of \$600k will already be on the Ecoma balance sheet.

Lease liability

The remaining lease liability is the discounted present value of the two scheduled payments due annually in advance:

Lease liability at year end = $\$600k + \$600k/1.05 = \$1.17m$

Impairment

An impairment occurs when recoverable value falls below carrying value. Recoverable value is the higher of VIU and FVLCTS [IAS 36]. We do not know the carrying value but we can calculate the recoverable value.

VIU

The head office lease appears to be unsaleable and therefore has no FVLCTS. The VIU appears to be measurable as follows:

$VIU = \$400k + 40\% \times \$400k/1.05 = \$0.55m$

(1 mark per point to a maximum of 6 marks)

Tutorial note

It is clear that to discuss the scenario a student needs reference to IFRS 16 and IAS 36 as well as IAS 37. And in his answer the examiner does reference lease accounting and impairment accounting as well as provisions accounting. This means that the requirement to discuss "in accordance with IAS 37" is unhelpful as it appears to imply that the answer should only use one standard. Questions with similarly unhelpful requirement are not uncommon. So as a matter of exam technique it is safer for a student to interpret this requirement and similar future requirements as "discuss the scenario with reference to IAS 37 and other standards" rather than "discuss the scenario with reference to IAS 37 only".

Further tutorial note

The examiner seemed to have forgotten the right of use model under IFRS 16 when addressing the above in his answer. The examiner forgot that the lease liability of \$1.17m would already be on the position statement and therefore provided for the \$1.17m. So the exam answer appears to duplicate the lease liability. Therefore, it is doubtful whether the exam answer would appropriately accord with IFRS. There is a brief mention of IFRS 16 in a tutorial note. But it is not clear what this note is trying to say. Further it is not clear what the "costs of moving" in the question represent. It appears at least possible that these are operating costs in which case they would be expensed. But they might be costs of moving into the new premises in which case they would be capitalised. The examiner's answer states that "a provision of \$1 million can be made for the costs of moving to the new head office if it felt that the cost is unavoidable". This is very difficult to defend. There is no "can" under IFRS 37. Either you must or must not provide. It is irrelevant what is "felt". An auditor would demand evidence. There are no criteria in the standard for "unavoidable". The standard requires an obligation which in turn requires a contract or indicated

responsibilities to other parties [IAS 37:10]. Further, it might be noted that the examiner concluded that the anticipated barrier expense in question 3 of this exam could not be provided but that the similar anticipated move costs in question 4 could be provided. This is despite these two being similarly related to unincurred PPE expenditure. This further supports the argument that the key to SBR is not to try to get things “right” but to make as many relevant and reasonable points as possible within the time.

(ii)

Defined benefit pensions

Defined benefit pensions offer employees a benefit on retirement based upon their contract. Thus defined benefit pension schemes give rise to liabilities. Defined benefit pension schemes require companies to save up to pay the employees. Thus defined benefit pension schemes give rise to assets.

Net pension liability

Thus defined benefit pension scheme accounting is the accounting for an asset and a liability at each measurement point. This is achieved by recognising a net pension liability at the year start and another at the year end.

SPLOCI

The differences between the opening and the closing liability go to the SPLOCI. Most costs go to the P/L. But the actuarial remeasurement goes to the OCI.

(1 mark per point to a maximum of 4 marks)

Movement

The current year movement is measured as follows:

		\$m	
Opening	Given	(59.0)	
Finance	$59 \times 5.5\%$	(3.2)	P/L
Service cost	$18 + 9$	(27)	P/L
Contribution	Given	10	CFS
Expected closing		(79.2)	
Actuarial remeasurement	Balance	1.2	OCI
Actual closing	Given	(78)	B/S

(1 mark per line to an overall maximum of 7 marks for this requirement)

(iii)

Calculation

		\$m
Draft profit	Given	25
Impairment	Unavailable	Unknown
Pension costs	$3.2 + 27$	(30.2)
Partially adjusted loss		(5.2)

(2 marks)

Tutorial note

The answer to part (b)(iii) is severely undermined by the lack of clarity in part (b)(i). Because we do not have the carrying value of the head office we are unable to measure the impairment.

Final tutorial note

The marking guide states “candidates may discuss issues which do not appear in the suggested solution. Provided the arguments made are logical and the conclusions derived are substantiated then marks will

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be awarded accordingly.” This should encourage students to view SBR as an opportunity to make relevant points as opposed to trying to deliver an absolute right answer.

September / December 2020**1. Sugar Co****(a)****Influence**

Influence is the power to participate in management policy and gives rise to an associate. An associate is carried using equity accounting (cost plus growth).

Flour

Sugar bought a 40% holding several years ago. The scenario tells us that the investment gave Sugar influence. So Flour was an associate and was carried at \$10m cost plus growth during the period of influence.

Carrying value

So the carrying value of the associate at the year start was as follows:

$$\text{Associate} = 10 + 40\% \times 12 = \$14.8\text{m}$$

Control

Control is the power to direct activities and gives rise to a subsidiary that is consolidated. The point of getting control is an acquisition and to give a clean acquisition the groups standard requires that we treat the previous ownership as sold and then bought back.

Additional shares

So the groups standard treats the purchase of the additional 30% as the sale of the 40% associate and the purchase of a 70% subsidiary. This gives rise to a profit on the sale of the associate and the recognition of goodwill at the year start.

Number of shares

The scenario tells us that "the consideration to acquire an additional three million shares [represents a] 30% shareholding". Thus there must be 10 million shares in total.

Associate sale

The associate sale would be recorded in the P/L as follows:

Deemed sale proceeds	FV of 40% at year start	$\$3.80 \times 10\text{m} \times 40\%$	15.2
Exit carrying value	See above		(14.8)
Profit			0.4

FV of share consideration

This can be calculated as follows:

$$\text{FV of share consideration} = \text{number of SUGAR shares ISSUED} \times \text{FV of each Sugar share}$$

$$\text{FV of share consideration} = \$9\text{m}$$

Goodwill

This enables us to calculate goodwill:

FV of consideration	70%		
Initial 40%		$\$3.80 \times 10\text{m} \times 40\%$	15,200
Shares for 30%		$30\% \times 10\text{m} \times (1/2) \times \6	9,000
Cash for 30%		Not given	Not given
FV of NCI	30%	$30\% \times 10\text{m} \times 3.8$	11,400
FV of NA	Given	$35,741 + 600\text{FVA}$	(36,341)
Goodwill	Given		2,259

Cash consideration

The scenario does not tell us the cash consideration that is combined with the share consideration and used to buy the 30% shareholding that gave Sugar control over Flour. However, because the goodwill is given the cash consideration can be calculated as a balancing figure and is found to be \$3m.

CFS

This \$3m cash outflow would be reported in the CFS as an investing activity. The cash inflow flowing in with the sub of \$1.234m would also be shown in investing activities. The working capital figures in the operating section of the CFS would also need adjustment for the inventory and receivables and payables walking in with the new sub.

(1 mark per point to a maximum of 10 marks)

Tutorial Note

This requirement is deceptive. If you just read the question and then read the answer above then you probably thought the question was quite difficult. It is not difficult. It is impossible. Impossible against the clock. Make sure you try this requirement against the clock yourself to feel the time pressure.

There are just 18 minutes to answer this requirement, and understanding the whole scenario and extracting all the data within that time is extremely challenging. It is relatively basic financial reporting to talk about influence and control and how to account for the switch from one to the other. And getting a rough picture of the profit on the associate sale and a rough picture of the goodwill on subsidiary acquisition is also relatively easy. So a score of 5 or 6 out of 10 is accessible.

But picking up on the subsidiary share population being 10 million shares and figuring out the FV of the share consideration within the 1.8 minutes allowed for each point is extreme time pressure.

However, the real problem is exam strategy. Students that did this question first tended to massively overrun. Many overran so much that they failed the paper. It is fairly obvious that this is a time-consuming question. And it is fairly obvious that students are usually at their fastest at the end of the exam. Therefore the students who did this question last tended to score a 5 or a 6 mark quickly and passed. The students who did this question first still scored only 5 or 6 marks but took forever and failed the whole exam.

That is right. Some students doomed their potential for a pass in the first minute. By choosing to do question one first they doomed themselves to failure even before they had read a word of the exam. So be very careful. Choose a question order that will help you to pass.

(b)

			Marks
Investing			
Sub acquisition	Above	(3,000)	1
Sub acq. (cash in hand)	Given	1,234	1
Investment sales	4,000 + 500	4,500	1
Associate purchase	Given	(5,000)	1
Intangible purchases	Working	(14,310)	3
Associate dividend	Working	2,253	2
Investment dividends	Working	1,991	2
PPE sales	Working	4,370	3
Financing			
Share issue	Working	9,600	2
NCI dividend paid	Working	(3,324)	2
Maximum			16

Intangibles

Opening	15,865
Closing	(33,456)
Amortisation	(3,500)
Sub acquisition	6,781
Intangible purchases	<u>(14,310)</u>

*Trust the minus sign for the CFS***Associates**

Opening	23,194
Closing	(26,328)
P/L	15,187
Associate purchases	5,000
Associate sale as part of step acquisition	<u>(14,800)</u>
Associate dividend received	<u>2,253</u>

*Trust the plus sign on the CFS***Share Capital**

Opening	20,000
Closing	(23,000)
Opening	18,000
Closing	<u>(33,600)</u>
Sub acquisition share issue {see part (a)}	<u>9,000</u>
Cash flow share issue	<u>9,600</u>

NCI

Opening	12,914
Closing	(30,152)
P/L	9,162
Sub acquisition	<u>11,400</u>
Financing	<u>3,324</u>

Reverse the plus sign to minus sign on CFS

Tutorial note

*A very good pass of 13/16 can be achieved relatively quickly by attempting the easier marks highlighted in **Bold**. Notice that the first 4 marks above are essentially just copying. The other marks in italics above are extremely tricky and it is dubious whether these marks can be attained within the short time allowed in the exam.*

The same is generally true of all CFS questions. The easier marks can be attained quickly and the harder marks are impossible within the time allowed in the exam. So the technique with a CFS is to pick up the information that can be copied and deliver any cash flows that drop out of the workings quickly but abandon any workings that start to get hard or messy. Even those abandoned workings will attract marks. But further work on hard messy workings is unlikely to yield more marks.

The exam answer is not helped by the examiner incorrectly assuming that Goodwill is an intangible. Goodwill is of course a separate asset [IFRS3] and must be presented separately on the position statement [IAS1]. If the examiner is getting things wrong then students should know that the question is difficult and that the technique should be to cherry pick the easier marks.

The following workings are difficult and should be viewed only by those students who have sufficient exam speed to complete the whole of the rest of the exam well within the time allowed:

PPE

Opening	52,818
Closing	(55,124)
Depreciation	(10,000)
Sub Acquisition (18,076 + 600FVA)	<u>18,676</u>
Sales exit carrying value	<u>(6,370)</u>

Note that this is not a cash flow

PPE sales

Sales proceeds (cash flow) {balance} <to CFS>	4,370
Sales exit carrying value {from above}	<u>(6,370)</u>
Loss on sale {given}	<u>(2,000)</u>

Financial Assets

Opening	6,000
Closing	(3,000)
FA sales	<u>(4,000)</u>
FA FV gains	<u>(1,000)</u>

Note this is not a cash flow

Investment income

Investment income received {balance} <to CFS>	1,991
---	-------

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<i>FA FV gains {from above}</i>	<i>1,000</i>
<i>Profit on deemed associate sale at acquisition</i>	<i>400</i>
<i>Profit on FVPL</i>	<i>500</i>
<i>Investment income {given}</i>	<u><i>3,891</i></u>

(c)

Pension contributions

The cash flow from an entity into the pension scheme is called “contribution” and it is this that normally goes into the CFS. Because there were no contributions during the current year, no contributions will appear in the Sugar CFS.

Pension service cost

However, the pension service cost will have an effect. The indirect method is a method of calculating the operating cash flows by starting with the operating profit and adding back operating costs that are not cash flows. Thus the pension service cost must be added back.

Benefits paid

The benefits paid do not appear in the CFS of Sugar. This is because the benefits paid are paid by the separate entity of the Sugar Pension Scheme Limited and this limited company is outside of the group.

(1 mark per point to a maximum of 4 marks)

Tutorial Note

Note that insufficient information is given to calculate the pension service cost. This explains why the requirement is “Describe” and NOT “Describe using suitable calculations”.

This is further evidence that under time pressure it is almost always the better strategy to go for a narrative answer rather than calculate numbers.

2. **Calibra Co**

(a)

Revenue [IFRS 15]

Revenue is recognised over the period that the performance obligation is fulfilled if it comes from one of three sources. These are revenue with no alternative use or revenue on a customer-controlled asset or revenue with simultaneous supply and consumption.

Apartment blocks

Apartment blocks can be sold to any customer and the builder controls the block while building and the customer gets no use from the asset while it is being built. So none of the sources above apply.

Control

So the revenue should be recognised when control transfers on completion. This is true regardless of the timing of the cash flow.

Deposit

This means that if the customer takes the option to pay \$8.5m early then this is an early payment for the apartment block. So the liability will be recognised in deferred income and represents the customers loan to the builder.

Unwinding [IAS 23]

The \$8.5m is then unwound up to \$9.55m over two years by accruing 6% interest. This borrowing cost is capitalised on top of the materials and labour costs.

(1 mark per point to a maximum of 5 marks)

Tutorial note

The effect of this is that the revenue will be \$9.55m for each apartment block sale at delivery regardless of how the customer pays. But when the customer offers to pay early then the builder is accepting a loan and so the finance costs of that loan to build that block are capitalised.

(b)**Receipt**

When Calibra get the cash from the customer on the first day then this is recorded:

DR	Cash	8.5
CR	Deferred Income (loan)	8.5

Interest

This is recorded for the first year interest:

DR	Inventory (WIP) $8.5 \times 6\%$	0.51
CR	Deferred Income (loan)	0.51

And this is recorded for the second year interest:

DR	Inventory (WIP) $(8.5 + 0.51) \times 6\%$	0.54
CR	Deferred Income (loan)	0.54

Completion

Finally this would be recorded at delivery:

DR	Deferred Income (loan)	9.55
CR	Revenue (P/L)	9.55

(1 mark per point to a maximum of 3 marks)

(c)

Objectivity

The chief accountant has agreed to late payment and given assurances about distributed ledgers that he cannot fulfil. The chief accountant's objectivity has been compromised by the desire to get full-time employment.

Intimidation

The Bondini issue could represent intimidation. It appears that Bondini have used the reference as a lever to allow late payment.

Action in response to Bondini

The chief accountant should have referred the customer request for late payment to the directors. There may be good commercial reason to agree to this but the chief accountant should have realised his objectivity was compromised.

Self-interest

The chief accountant has a self-interest threat regarding the distributed ledger. The chief accountant is finding it difficult to be objective about the blockchain concerns because he is more interested in the job than being honest about the due diligence.

Action regarding the due diligence

The chief accountant should be honest about concerns regarding the due diligence and the local regulations. This is the professional response and it is quite possible that this honest opinion might increase the director's keenness to hire the chief accountant full time.

Competence

The chief accountant has advocated himself as an expert in blockchain when he has only basic knowledge. Accountants are not expected to be experts in blockchain but they are expected to be honest about their competence.

Action regarding the expertise

The chief accountant should have made his understanding of blockchain clear to directors. The professional response to new technology is to be honest about what you know and that honesty plus an offer to learn blockchain may have been more attractive to directors than offering to facilitate the move without the competence.

Board

It should be noted that the board have a responsibility for appointing the right expert to advise on the use of blockchain. If the board appoint the chief accountant to facilitate the move and it goes wrong then it will be in large part the fault of the board.

Financial security

The key here is that the chief accountant's desperation to get the permanent job has resulted in the objectivity issues described above. Retention of objectivity under pressure is a key part of professional life but it should be recognised that it is easier to be objective when you have job security.

Recently qualified

The chief accountant does not have job security and therefore it might be reasonable to expect the chief to struggle with objectivity. Of course, the chief should retain objectivity even under pressure but perhaps the board should recognise the pressure that they are putting on their accountant and assess the accountant's assertions with that in mind.

(1 mark per point to a maximum of 10 marks)

Tutorial Note

Of course, many other alternative points are available for discussing the ethics and actions and will be awarded marks as appropriate.

3. Corbel Co**(a)****Intangibles**

Intangible assets are rights to resources that cannot be touched. Because intangibles are literally impossible to hold they are difficult to picture and this leads to difficulties in measurement and recognition.

Individuality

Intangibles are all very different. Even brands that both compete in the same market are difficult to compare. Just because Marvel was sold to Disney for \$4bn does not mean DC is also worth \$2m.

Internal

Many brands are internally generated. For example, Google is a brand developed by Google and is still owned by Google (Alphabet). So there is no purchase price to look at.

Value

The problem of measurement is compounded by the value of intangibles. A huge proportion of the value of Google (Alphabet) is wrapped up in the brand. So it is the group's biggest asset that is hardest to measure.

Goodwill

Another problem lies in the separability of intangibles. Some intangibles like footballers are clearly saleable individually. But it is difficult to see how the brand Google could be sold separately from the entity Google. Another way of saying this is that it is not clear how to separate the customer loyalty to the entity (goodwill) from the customer loyalty to the name (brand).

(1 mark per point to a maximum of 5 marks)

Tutorial note

Any relevant point can score here. And there are many avenues to explore. Students could discuss the IFRS on Intangibles or discuss other intangibles like footballers and songs or discuss the FVM methods that could be used to help with measurement or discuss the problem that allowing recognition of internal brands could lead to creative accounting. There are so many potential avenues for discussion.

(b)

(i)

Intangibles

Intangibles are separable rights with no physical form. Intangibles are recognised when measurable and measurable when purchased or when there is fulfilment of the development criteria.

Jengi

It is difficult to tell for sure, but it does appear that the brand Jengi could be sold separately. It is difficult to tell for sure, but it does appear that the customer loyalty is to the brand. Thus it seems reasonable to attribute most of the intangible value to the intangible and very little to the goodwill.

CGU

A cash generating unit is a unit that generates cash separately from the rest of the group. It is relevant during impairment testing.

Jengi CGU

Once the Jengi brand is merged into the group manufacturing then the Jengi brand is no longer a separate unit. Thus at this point Jengi will no longer be a CGU.

(1 mark per point to a maximum of 4 marks)

Tutorial note

This is a classic example of an acquisition where it is not clear how to separate the customer loyalty to the entity (goodwill) from the customer loyalty to the name (brand). So any reasonable discussion will score.

(ii)

Amortisation

Recognised intangibles should be depreciated over the estimated useful life. Estimating the life of any asset whether intangible or tangible can be difficult. However, reasonable evidence must be used to support a guess.

Indefinite life

The phrase “indefinite life” in the context of intangibles and tangibles implies a guess that the life of the asset is so long that it is essentially forever. The classic example is land. Clearly any piece of land is subject to erosion and plate tectonics and so will not literally be useful forever. However, the life is so long that depreciation can be ignored.

Locust

The first brand is established. There are no obvious restrictions upon the brand continuing to attract customers for many years. Very few brands do last more than 100 years but maybe the life of Locust is predicted to be so extended that an indefinite life is reasonable.

Chanel

A good example of a perfume brand that has lasted for well over 100 years is Chanel. If Locust is in that league then an indefinite life seems reasonable.

Clara

The second brand is new and dependent upon an actress’s stardom. This is unlikely to extend beyond the actress’s life and thus an estimate of a shorter brand life seems more appropriate.

Jennifer Aniston and Halle Berry

These two actress-based perfume brands sold well for many years. But their sales potential is limited now. So using the sales life of these two brands might indicate a reasonable maximum life.

(1 mark per point to a maximum of 6 marks)

Tutorial note

The key to a good answer here is knowing that in the context of depreciation the phrase “indefinite life” means “infinite life” and then students must be prepared to explore ideas from there.

(iii)

Discontinued

A separate operation is classed as “discontinued” if the operation is closed or sold or held for sale (HFS). There are criteria for HFS.

HFS

For an operation to be HFS the operation must be held with intent to sell and available for immediate sale and the parent must be looking to locate a buyer and the sale must be expected to be complete within 12 months from the measurement point.

Italy

It appears that there is intent to sell and the assets are available and the parent is looking for a buyer and the sale will be complete well within 12 months. Thus the Italy division appears to be discontinued.

Provisions

A provision is required if three criteria are fulfilled. There must be a reliable estimate and an obligation and a probable outflow.

Italy Provision

The announcement of the formal plan shows that there is a constructive obligation. The redundancy costs can easily be estimated and it is highly probable cash will flow. Thus a restructuring provision is required.

Newspaper article

The group has no involvement in the newspaper article. The group did not make this announcement and so has no obligation and so a provision is not permitted.

(1 mark per point to a maximum of 6 marks)

Tutorial note

*It is tricky to imagine how “close **and** sell” would work. Usually, businesses are either closed **or** sold; not both at the same time. With a little imagination and a lot of thought it may be possible to guess how the closure and sale of a shop would work: maybe the staff are made redundant and the sign is pulled down (closure) and then the lease is sold on to a new retailer (sold).*

Students do not have time in the exam to think through this kind of detail. It is vitally important that students make an instant superficial impression of the story and then whack down the resultant knowledge and application.

(iv)

Impairment

An impairment occurs if the recoverable value falls below carrying value. An impairment test is required if there is any indication that the asset is in trouble either because of damage or because it is not making as much money as hoped.

Losses

Losses are an indication of potential impairment. The new store should be tested for impairment.

Outcome

The VIU of the store will be the discounted present value of the net operating cash inflow over the many years of operation. It is quite possible that the impairment test will reveal that there is no impairment.

CGU

ANSWERS

The new store appears to be a cash generating unit (CGU). The revenue from the internet sales appear to be largely unconnected to the new store. Thus internet sales cannot be included in the new store CGU VIU.

(1 mark per point to a maximum of 4 marks)

4. Handfood Co**(a)****(i)****IFRS for SMEs**

The IFRS for SMEs is a single accounting standard that covers all the reporting issues that a small or medium entity might need to report to its shareholders. The requirements of the IFRS for SMEs are much less onerous than the full suite of IFRS.

SMEs

Strangely SMEs are not defined by size. An SME is defined as a non-public interest entity; meaning not listed and not involved in finance.

Reductions

The IFRS for SMEs was reduced by taking the full accounting of the full IFRS and pulling out irrelevant accounting and simplifying other accounting. The purpose of the reduction was so the burden of reporting is reduced if the SME opts to use the IFRS for SMEs.

Example

An example of accounting pulled out of the IFRS for SMEs is EPS; there is no EPS in the IFRS for SMEs. An example of a simplification of accounting is development; development is written straight to P/L so that SMEs do not need to fuss about the criteria.

(1 mark per point to a maximum of 4 marks)

(ii)**Information asymmetry**

This simply means some people know more than others. In the context of SMEs, the scenario tells us to interpret this phrase as SME directors knowing lots about their SME but potential investors knowing little.

Effect 1 Profile

One obvious problem that SMEs face is profile. SMEs can struggle to get money from investors simply because the potential investors have never even heard of the SME and its need for money.

Effect 2 Trust

Next, once the investor has heard of the SME then the investor might struggle to find information on the SME. It would be hard to convince an investor to invest in a company that has little presence on the internet.

Effect 3 FS

Then finally the investor might not believe the SME FS. This is where the IFRS for SMEs comes in. It is possible that an entity applying the IFRS for SMEs might produce clear and credible FS that do successfully sell the SME to investors.

(1 mark per point to a maximum of 4 marks)

(iii)

Integrated Reporting

This is the practice of producing an Integrated Report (IR) that brings together a cohesive message on financial and social performance. It is a report that allows a user to understand the entity and how the entity creates value.

Understand

A board of directors that adopts IR must think about how the SME creates value. The process of IR forces directors to really think about what they do and why they do it and thus understand themselves better.

Communicate

The board must then think about how to communicate that information to others in the IR. The communication skills used in the IR can then be translated straight to meetings with investors.

Details

Thus creating an IR could give directors all sorts of nuggets of information that would help talk to investors. Directors would have case studies and graphs and flow charts and pie charts at their fingertips just because that is what goes in an IR.

Questions

And the process of creating an IR would make directors better able to answer investor questions. A potential investor might ask, "what is your strategy regarding a new pandemic?" or "how do you address your pensions responsibilities to employees?" and because the directors have done an IR the directors have the answers.

(1 mark per point to a maximum of 5 marks)

(b)

Tutorial comment

This part of the exam was badly answered with many students writing little or nothing. So if you struggled then you were in the company of the vast majority of students. When strange and remote subjects are examined all students struggle. However, there is still a way to score marks. Say simple, basic things and use reasonable guesses to solve the problem. And give the markers something to tick. If you do that then the markers will give you ticks because you have shown you are a cut above the average by having a go.

The following answer is deliberately simple to illustrate the standard required for full marks. More full answers would of course also score full marks. But shorter answers would still get credit. Aim for simple explanation and do not put too much effort into guessing the numbers.

(i)

Employee liability

A liability is a present obligation to a future outflow of resources. The employee bonus is a contractual obligation and so a liability is required.

Time value

Liabilities should be measured at FV including an adjustment for time value. So the employee benefit must be discounted.

Best estimate

Liabilities should be measured as accurately as possible. So the measurement should include the 3% growth per year.

Outflow

The liability measurement should attempt to reflect the expected outflow. So the measurement should include the 75% and exclude the 25% who will not be there to get paid.

Movement

So the liability movement is as follows:

Opening		0
Charge to P/L	Balance	<u>7,641</u>
Closing to SFP	$1,100,000 \times 1.03^4 \times 75\% \times 1\% \times 0.823$	<u>7,641</u>

Calculation

The year end liability is measured as follows:

Current salary		1,100,000
Expected growth	From current year end to fifth year end	$\times 1.03^4$
Expected %	The percentage of employees remaining	$\times 75\%$
Bonus	The percentage bonus to be paid	$\times 1\%$
Discount factor	Time value from year end 1 to year end 5	$\times 0.823$
Liability		<u>7,461</u>

(1 mark per point to a maximum of 6 marks)

(ii)

Measurement

Estimates should generally be estimated based on best current information at the point of measurement. Thus the liability will change if the estimates change.

Salary

The liability at the second year end will reflect the salaries at the second year end. An increase in salary above 3% would result in the liability being bigger than expected.

Percentage

The liability at the second year end will reflect the percentage expected to stay at the second year end. An increase in percentage above 75% would result in the liability being bigger than expected.

Cost

The increase in the liability would effect the P/L. The cost is a balancing figure and so will be bigger than expected.

(1 mark per point to a maximum of 4 marks)

1. Columbia Co

(a)

(i)

Control

Control is the power to direct activities with exposure to variable returns. The parent then controls the subsidiary after the acquisition.

Share split

The voting share split is 50%/50%. Thus at first glance it appears neither Brazil nor Columbia have control.

Board

But Columbia has the contractual right to appoint 60% of the board. This means that Columbia can decide any board vote.

Senior management

Further, Brazil and Columbia each has one senior management representative. But it is the Columbia manager that decides on strategy.

Conclusion

The right to appoint 60% of the board and the right to decide all strategic decisions means that Columbia has control. Columbia is the parent of Peru.

Veto rights

Brazil has veto rights regarding changes articles and appointment of auditors. These are ownership protection rights and these rights reinforce the message that Brazil does not have control and therefore needs rights to protect its ownership.

Credit risk

The Brazil senior manager has the right to refer strategies to the main board especially if they effect credit risk. This is another ownership protection right and further reinforces the message that Brazil does not have control.

Joint Arrangement

Because of the 50%/50% share split it is appropriate to dismiss the suggestion that this is a Joint Arrangement. A Joint Arrangement requires unanimous consent between the investors. An incorporated JA is a JV.

Joint Venture

Columbia makes all the strategic decisions. There is no unanimous consent. There is no joint control. This is not a JV.

(1 mark per point to a maximum of 9 marks)

(ii)

Goodwill

Goodwill is measured by bringing together the FV of consideration and NCI and deducting the FV of separable NA. When entry book values are below fair values the fair value adjustments are required.

Consideration

This is made up of the cash and shares:

FV of consideration = Cash (5m shares $\times$ 50% $\times$ \$8) + Shares (5m shares $\times$ 50%/20 $\times$ \$10) = \$21.25m

NCI

This is simply cash:

FV of NCI = Cash (5m shares $\times$ 50% $\times$ \$8) = \$20m

Intangibles

Intangibles are recognised when measurable. Intangibles are measurable when purchased either individually or as part of a sub acquisition.

Brand

The brand was purchased by the group. Thus the brand must be measured at FV of \$5m at acquisition.

Brand FVA

The entry book value of the brand was \$4m. Thus a FVA of \$1m is required to uplift the brand at entry.

VIU

It appears the group plans to discontinue the brand shortly after purchase. Thus the value in use will fall to zero at that point. But this has no effect upon the FV entry value of \$5m.

Impairment

An impairment occurs when carrying value exceeds recoverable value. Recoverable value is the higher of VIU and FVLCTS.

Effect

It appears both the VIU and FVLCTS fall to zero immediately after the brand purchase. Thus it appears the brand hits the balance sheet at \$5m and then should be written off immediately after.

Performance obligation

The performance obligation carried as a deferred income balance of \$2.8m is a real liability. But it appears this liability can actually be fulfilled by paying another supplier less than \$2.8m.

Performance obligation FV

The obligation FV appears to be as follows:

$FV = \$1.7m \times 130\% = \$2.21m$

Performance obligation FVA

Thus the obligation FVA appears to be as follows:

$FVA = \$2.8m - \$2.21m = \$0.59m$

This is a positive FV because it makes NA increase by making the liability shrink.

Adjusted Goodwill

Thus the goodwill should have been measured as follows:

FV of consideration	50%	See above	21.25
FV of NCI	50%	See above	20.00
FV of NA		$32 + 1\{\text{brand}\} + 0.59\{\text{customer}\}$	(33.59)

GW

7.66

(1 mark per point to a maximum of 11 marks)

Tutorial note on the Bond FVA

The ACCA exam answer appears to reveal that the examiner mixed up the difference between an accounting policy and a strategic policy. Adjustments do need to be made for assets entering the group if the accounting policy differs from the group accounting policy. But adjustments do not need to be made if there are differences in strategic policy.

In the exam answer the examiner assumes that the two bonds should have the same accounting. The examiner appears to think that because the bond contracts are similar, the accounting should be similar. However, IFRS 9 requires that we assess not only the bond contract (via the cash flow characteristics test) but also assess the intent (via the business model test).

The scenario tells us that "Peru has a business model to collect the contractual cash flows" and the scenario tells us that "Columbia has a business model whereby they may either collect the contractual cash flows or sell the asset". Thus the two assets are managed with different intent. The two assets are managed with different strategic policy. Hence the differing accounting. There is no difference in the accounting policies of the two entities. There is only a difference in the strategic policies of the two entities. Hence, no adjustment is required.

Of course, if after the acquisition Columbia tells Peru to change the business model then that will change the accounting at that point. But this has nothing to do with the entry values and the calculation of goodwill at acquisition.

This is a subtle point and little value can be found in exploring it further. So the goodwill above simply ignores the complex and debatable FVA on the bonds.

Tutorial note on the Customer FVA

The scenario does not fully explain what is going on with the customer balance. But it must be something like this:

The customer paid a premium price for a technical service contract and the customer paid upfront. So Peru recorded the following journal when the contract with the customer was signed:

Dr Bank \$2.8m

Cr Deferred Income \$2.8m

The credit balance to deferred income is a real liability. Peru owes its customer the service. But for reasons that are not made clear the customer paid Peru a lot more than the going rate. So the liability is real but the fair value is lower.

The fair value of the liability is the amount that Peru could pay another supplier to do the job. This is measured as follows:

$$FV = \$1.7m \times 130\% = \$2.21m$$

So you could say that Peru is going to make a regular profit and a super profit something like this:

Cost	1.70
Regular profit	0.51
Fair value price	2.21
Super profit	0.59
Actual price	2.80

Note that there is no suggestion that Peru will go to another supplier to supply the service. Peru will probably do the job themselves and keep the whole profit. And note that we do not know why the customer paid a premium. But customers sometimes do pay a premium for a service because they trust that particular supplier.

The FVA is needed because the fair value of the liability is \$2.21m and the carrying value of the liability is \$2.8m.

(b)

Defined benefit pension scheme

The above is an obligation to pay employees on retirement balanced against an asset that will be used to pay out those obligations. Thus a defined benefit pension scheme is measured by measuring the movement in a net asset or liability.

Actual opening net asset

Thus the actual opening net asset would be measured as follows:

Asset	260
Liability	(200)
Actual net asset	60

Asset ceiling last year

An asset ceiling is literal. It is a ceiling above which the net asset is not permitted to rise. However, Columbia breached this ceiling at the last year end and thus they would have been forced to report a net asset limited to the ceiling:

Actual net asset		60
Adjustment to last year's P/L	Balance	(40)
Reported net asset carried forward to current year start	Asset ceiling given	20

Movement

Columbia would then have recorded the following movement:

Reported net asset	Asset ceiling	20	
Finance (interest income)	5% × 20	1	P/L
Service cost		(30)	P/L
Contributions		21	CFS
Expected closing		12	
Actuarial remeasurement	Balance	35	OCI
Actual closing	242 - 195	47	SFP

Finance

The interest income of 5% of the opening balance is the equivalent of the interest expense that is familiar from unwinding net pension liabilities. Both interest income and interest expense are based upon high quality corporate bond rates.

Service cost

This represents the cost of the employees' work during the year. This goes to operating costs in the P/L.

Contribution

The cash contribution increases the pension asset as above. But this is also a cash flow and thus also appears in the CFS.

Actual closing net asset

It appears that the figures are quoted before the curtailment and the asset ceiling adjustment. Thus the actual net asset before curtailment and asset ceiling was \$47m (242 - 195).

Remeasurement

The actual closing net asset is way above the expected closing net asset. The difference is the actuarial remeasurement and goes to the OCI as a gain.

Asset ceiling this year

The asset ceiling kicks in again this year end and thus Sugar would have been forced to report a net asset limited to the ceiling:

Actual net asset	From above	47
Adjustment to P/L	Balance	(22)
Reported net asset	Asset ceiling given	25

Curtailment

A curtailment occurs when a pension scheme is closed down and the employees are paid off. However, a curtailment can also occur if a large proportion of the employees are paid off.

Curtailment loss

A defined benefit scheme is a comfort to the employees because it guarantees financial security upon retirement. So usually to get the employees to agree to moving out of a defined benefit scheme an entity has to pay more than it owes and this results in a loss. However, it is not clear in this case exactly what proportion of the scheme is closed.

(1 mark per point to a maximum of 10 marks)

Tutorial Note

The information provided in the scenario is very technical and unhelpfully presented. There are problems with the key data. For example, it is not clear what the phrase "Scheme curtailment \$28m" means. Is this the fees payable to close down the scheme? Further it is not clear what is going on with the "Payment to employees as settlement \$16m". Why are we paying extra cash to the exiting employees if the scheme is in surplus and there is plenty of cash to pay the employees without putting more in?

Careful analysis of the question and answer reveals that what the question is trying to say is that a large chunk of the employees is going to move out of the scheme. Their liability at the year end is \$28m and that liability will be paid off by paying them only \$16m. Even after careful reading of the question and answer it is still not clear why anyone owed \$28m would accept \$16m. But that appears to be the situation in the scenario. The effect of this is that the asset shrinks by \$16m as the cash flows out and the liability shrinks by \$28m as the employees agree to the settlement. The net asset thus goes up by \$12m.

The examiner also assumed that the remeasurement loss would be measured after the asset ceiling assessment. The IFRS is not clear on the order. This has the following effect upon the movement answer:

Movement

Columbia would then have recorded the following movement:

Reported net asset	Asset ceiling	20	
Finance (interest income)	5% × 20	1	P/L
Service cost		(30)	P/L
Contributions		21	CFS
Curtailment	Remove liability of \$28m and remove asset of \$16m	12	
Expected closing		24	
Actuarial remeasurement	Balance	1	OCI
Actual closing	Asset ceiling	25	SFP

This adjusted answer fits with the examiner's answer and thus appears to be the examiner's intention. However, this is extremely complicated. Therefore the appropriate exam strategy is to mention what a curtailment is for a mark and then ignore the numbers. This would generate an answer that would most likely score full marks. This is the answer presented above.

Tutorial note on Asset Ceiling

The asset ceiling is strange and the accounting is old. The original idea seems to be largely lost in history. But the story goes something like this:

In some countries at some point in history, pension legislation limited the upside that companies could gain from a defined benefit scheme. The laws appear to have worked such that an entity would be exposed to the full shortfall of a net liability but if the pension value rose to a net asset position, then the company could not benefit from the entire asset. The idea appears to have been that if the net asset rose above a certain ceiling, then the company would have to yield this super gain to the employees. This legislation may have been motivated by the desire to benefit employees. However, it may have had the unintended consequence of motivating companies to make sure that the pension was always in liability so that the company never got caught out by the ceiling.

The instances when the asset ceiling has been applied appear to have been very few. The IASB mention no circumstances in which the asset ceiling was relevant in their research since the original IFRS was issued and the technical guidance manuals mention no practical examples. So it appears unlikely that a student would ever find this area of financial reporting useful in real life.

However, this subject has been examined on occasion in ACCA SBR and therefore it is worth having a feel for the asset ceiling. As described above, the asset ceiling is simply a ceiling on the net asset and if at any point a net asset rises above the ceiling then it must be chopped back to the ceiling, thereby creating a loss like an impairment in the P/L.

2. Bismuth Co

(a)

Impairment

An impairment occurs when the recoverable value of an asset falls below the carrying value. The recoverable value is the higher of VIU and FVLCTS.

Mines

The mines appear to have no FVLCTS. Thus the recoverable value will be the Value In Use (VIU). The VIU is based upon a cash flow forecast (CFF).

CFF

All the factors involved in using the mine must be included in the CFF. This includes the revenues from customers the costs paid to suppliers and the payments to engineers to close the mine.

VIU

Thus the VIU is as follows:

Sales	203
Operating costs	(48)
Decommissioning costs	(53)
Decommissioning income	20
VIU	<u>122</u>

Impairment test

Now the above is compared to the net carrying value:

Mines		200
Provision		(53)
Net		147
Impairment	Balance	(25)
VIU	From above	122

(1 mark per point to a maximum of 5 marks)

(b)

Equity

Equity is a financial instrument with no contractual obligation. So equity holders have no rights to cash in a going concern.

Rewards

The rewards payable on both classes of share are at the discretion of Bismuth directors. There appears to be no obligation regarding the Bismuth rewards.

Redeemable

The class A shares are redeemable at the point of stock exchange listing. This seems highly probable and if this occurs then Bismuth must fulfil this redemption obligation.

Conclusion

It appears class A shares are debt as there is an obligation. It appears class B shares are equity as there is no obligation.

Option

The option available to do (i) or (ii) to fulfil the redemption obligation does have the effect of allowing Bismuth to minimise its obligation. But as both options would require Bismuth to spend cash to either buy bitcoin or its own B shares, both options reinforce the message that class B is debt.

(1 mark per point to a maximum of 5 marks)

(c)

Competence

There is a duty of competence that both the chief accountant (CA) and the finance director (FD) must adhere to. The CA is competent with blockchain and the FD is not. Thus the FD must make efforts to understand the project.

Expertise

There is no requirement for professional accountants to be experts in everything. Expertise in accounting is sufficient. However, an FD working in mining must make efforts to understand mining and an FD working with blockchain must make efforts to understand blockchain.

Integrity

However, the FD's dishonesty with the board is far more serious. By lying to the board about integrity, the FD is showing a serious lack of integrity.

Professionalism

If the FD has been destroying data in order to undermine the blockchain project then this shows a lack of professionalism. This is also likely to be a breach of information and employment law.

Confidentiality

Accounting professionals are required to keep confidentiality. Thus the CA must not reveal her expertise that breaches her former employer's patent.

Action (1) Honesty

The FD should be honest with his colleagues about his knowledge of blockchain. He should explain what he knows and what he is learning about the technology.

Action (2) Reservations

The FD should also be clear about his reservations about the blockchain project. Even given limited knowledge of blockchain it is possible that the FD has some very good points about the technology.

Action (3) Expert

The board should consider appointing an independent expert to look at the blockchain project. This would solve the problem of the CA confidentiality conflict and the FD reservations.

(1 mark per point to a maximum of 8 marks)

3. Sitka Co

(a)

(i)

Revenue

Revenue is analysed using a five-step model. First the contract criteria must be fulfilled, then the obligations identified with the price which is then allocated and finally revenue is recognised either at a point or over the period.

Contract criteria

Sitka has agreed a contract with Cent. So the contract criteria have been fulfilled and Sitka must look at the potential obligations.

Obligations

Sitka is providing two products for one price. This is bundling and the deal must be unbundled. The basic system and the updates have been sold together to Cent but are capable of separation and have been sold to others separately.

Price and Allocation

The single price is clearly \$3m. The \$3m should be allocated between the system and the updates using the FV of each (roughly \$1.5m:\$2.5m) and then allocated to the months by using the 4 years $\times$ 12 months.

Revenue recognition

Revenue is either recognised at the point that control transfers or over the period that the obligation is performed. The model is determined by the source.

Sources

There are three sources of revenue that are recognised over the period: no alternative use asset revenue or customer-controlled asset revenue or revenue where the supply is simultaneous with consumption.

System revenue

This has simultaneous supply and use over the four years. So the relevant fraction of the \$3m should be spread evenly over the four years.

Update revenue

This revenue should be recognised at the point of delivery. Thus the revenue for each update should be recognised at each update in this year, therefore at two revenue points.

(1 mark per point to a maximum of 8 marks)

(ii)

Intangible asset

This is a right to an inflow of resource with no tangible form. Intangibles are recognised when purchased and control transfers from one entity to another.

Cent perspective on a potential intangible asset

Cent does not have control over the software. Sitka is in control throughout. So this is not an intangible.

Lease

This is a contract where one entity owns the asset while the other entity uses the asset. The user needs to have control of the asset for the deal to be considered a lease.

Cent perspective on a potential lease

Cent does not have control over the software. Sitka is in control throughout. So this is not a lease.

(1 mark per point to a maximum of 4 marks)

(b)

Separate FS

All companies must produce separate FS. So parents produce two FS: one for the group and the other just for the parent as a limited company.

Shares

In the group FS Marlett is a subsidiary and the Marlett assets and liabilities are consolidated with those of Sitka. But in the Sitka parent FS the investment in Marlett is an investment in shares.

Equity method

The question tells us that the parent chooses to carry Marlett using the equity method. This means carrying the investment in the sub as if it were an investment in an associate.

45%

The sale of the 45% appears to result in the loss of control and influence over Marlett. Thus it is reasonable to treat this as the sale of the entire 60% holding in the equity carried subsidiary and the purchase of a 15% simple equity investment.

Exit carrying value

Thus the exit carrying value is relevant and would be measured as follows:

Marlett CV in parent single entity FS = \$12m

Profit

The profit on the deemed sale of the entire 60% would be measured as follows:

Actual sale proceeds	CF for 45% sold	{say} 10.5
Deemed sale proceeds	FV of 15% kept	3.5
Exit CV		(12)
Profit		2

Profit or loss

Of course this profit would go to the P/L. This item is not one of the items that is required to be recognised in the OCI.

(1 mark per point to a maximum of 9 marks)

Tutorial comment

This is a highly specialised question. The preparation of individual parent FS is rarely examined in SBR and generally of no interest to shareholders and thus of no interest in broader corporate reporting.

Further, the accounting for the subsidiary investment in the individual parent FS is even more specialised. As the examiner notes in his answer the IFRS on this subject [IAS 27] permits that the investment is either carried at cost or in accordance with IFRS9 or using the equity method. Of course the vast majority carry their sub investments at cost in the parent FS. The equity method is the most bizarre. It means the parent carries its sub like an associate. This would be extremely rare in real life and it is difficult to understand what value there is in examining this.

However, this teaches its own lesson. No matter how much you learn the examiner can always find some corner of the IFRS that you do not know. Thus the appropriate learning strategy is to make sure you have rock-solid basics and the appropriate exam strategy is to use those basics to grab a few marks.

In this case a reasonable answer would talk briefly about sub disposal and score maybe 4 marks and move on.

(c)

Fair Value

The FV of an asset is the transaction price between market participants at the measurement point. So FV is a market price often referred to as an “exit price”.

Three assets

There are three assets here, the two bits of software separately and the two together. Each of the three would have their own FV.

Entry value

The reason the FV matters is because the intangibles are purchased and therefore must be recognised. But because they are purchased as part of a sub acquisition the assets do not have their own separate entry FV and so the entity must measure that using FVM.

Solution

The solution depends upon the view of the two bits of software. If it is viewed that the two bits of software are separate then the separate FVs must be used. If the two bits of software are viewed as a single asset then the FV of the two together must be used.

(1 mark per point to a maximum of 4 marks)

4. Colat Co

(a)

Sustainability

Sustainability is the idea that we have a responsibility to leave behind us a planet that is habitable. The idea is closely related to parenthood and it is written into our genetic code.

Investors

There are many investors who want to put their money in investments that act in accordance with sustainability ethics. Many investors want to create wealth for their children but also want their children to inherit a planet in which the children can have children.

Sustainability reporting

This creates demand for sustainability reporting. Investors want to know which entities take their sustainability responsibilities seriously so that they can put their money there.

Directors

This then motivates directors to invest time in sustainability reporting. Sustainability reports now contain targets and performance information and graphs and case studies in order to sell to ethical investors.

(1 mark per point to a maximum of 4 marks)

(b)

Impairment

An impairment occurs when recoverable value falls below carrying value. Literally any bad news can trigger an impairment test; any bad news like damage or fall in demand or change of views on sustainability.

Natural disaster

The damage caused by the natural disaster will trigger impairment tests. Any assets damaged by the disaster must be tested. But also any assets that are idle because of the disaster must be tested.

Power plant and demand

The power plant value will need impairment testing. The revenue potential has been cut to 8 years. The drop in demand will also trigger impairment tests.

(1 mark per point to a maximum of 3 marks)

(c)

(i)

NCA

The destroyed NCA need to be written off altogether. The recoverable value appears to have dropped to zero.

Power plant

The recoverable value of the power plant has been reduced by the reduction of the life. The recoverable value must be estimated as the VIU by producing a cash flow forecast of revenues and costs from operating for only 8 years.

Provisions

A provision is a liability of uncertain timing or amount. The measurement at any measurement point should be based upon the information known at that point.

Decommissioning

The decommissioning liability needs remeasuring following the shortening of the asset life. The liability will be much bigger primarily because of discounting over 8 years compared to previous discounting over 25 years.

(1 mark per point to a maximum of 4 marks)

(ii)

Provision

A provision is recognised upon fulfilment of three criteria. There must be an estimate of the outflow and there must be an obligation and there must be a probable outflow.

Obligation

There is no legal obligation. A constructive obligation is incurred by making promises. But it appears no promises have been made. Thus there is no constructive obligation either.

Contingent assets

Cash flows that might flow in are referred to as "contingent assets". These are not recognised and not even disclosed unless probable.

Acknowledgement

It is difficult to know whether the inflow is probable or possible. The government announcement makes the inflow sound probable but the lack of acknowledgement might indicate the inflow is only possible.

(1 mark per point to a maximum of 4 marks)

Tutorial note

The same conclusion regarding the disclosure of the potential government cash can be achieved by referencing government grant accounting [IAS 20].

(iii)

Hedging

Hedging is the process of betting on a price movement that an entity fears. So if an entity fears a price rise then that entity would use a derivative to bet on that.

Aluminium manufacture

The scenario does not explain how the hedging works at Colat. But the scenario does say that Colat "manufactures aluminium products". Thus it is reasonable to suggest that Colat uses derivatives to bet against the potential increase in aluminium input purchase prices.

Cash Flow Hedging

This is cash flow hedging. In a cash flow hedge the derivative is carried FVOCI.

Expectations

Now that the purchases are considered unlikely to occur the derivatives are no longer hedging against the potential increase in purchase prices. Thus the derivatives would be carried FVPL from the disaster onwards.

(1 mark per point to a maximum of 4 marks)

(iv)

Contingent assets

The potential insurance inflow is also a contingent asset and is either disclosed if probable or ignored if possible.

NCA

It appears that the compensation regarding the NCA is probable. Thus this should be disclosed.

Disclosure

The disclosure would mention the source of the potential inflow from the insurance company and the potential inflow of \$280m based upon the FV. The note would also explain the connection of the potential inflow to the recorded impairment on the P/L.

Further potential compensation

The disclosure of the potential for further compensation would not be permitted in the FS as the cash flow is not probable. The management commentary could further explain the position.

(1 mark per point to a maximum of 4 marks)